Tech Mahindra Ltd. (TECHM)

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Call: Jul 2022

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28th July, 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th June , 2022

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III , please find enclosed the transcript of the earnings conference call for the quarter ended 3 0th June, 2022 conducted after the meeting of the Board of Directors held on 25th July, 2022, for your information and records.

The above information is also available on the website of the Company at https://insights.techmahindra.com/investors/t ml-q1-fy-23-earnings -transcript.pdf

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

“Tech Mahindra Limited's Q1 FY'2 3 Earnings Conference Call”

July 2 5, 2022

MANAGEMENT : MR. CP GURNANI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER
MR. JAGDISH MITRA – CHIEF STRATEGY OFFICER
MR. HARSHVENDRA SOIN – CHIEF PEOPLE OFFICER
MS. SIMMI DHAMIJA– CHIEF TRANSFORMATION OFFICER
MR. MANISH VYAS – PRESIDENT CME BUSINESS
MR. VIVEK AGARWAL– PRES. CORPORATE DEVELOPMENT
MR. BIRENDRA SEN – PRESIDENT BUSINESS PROCESS
SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q1 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now turn the conference over to Mr. CP Gurnani, M .D. and CEO for Tech Mahindra. Thank you. And over to you sir.

CP Gurnani : Good morning , good evening. Thank you for joining me on the Q1 FY'23 Analyst Earnings Call . Again, welcome and I do pray for your good health. Overall , as you know Tech Mahindra is a company driven by purpose and is people -centric and performance -driven. On the purpose s ide, Tech Mahindra continues to be recognized for their focus on ESG and focus on sustainability. We have been rewarded, awarded, and more or less continue to set the benchmarks and sustainability.

On the people -centric side , our Chief People Officer is on e of the proud recipients of the Golden Peacock for HR Excellence .

We have also been recognized as the Most Preferred Workplace at the India Today Summit …

I'm just briefly covering what has happened during the quarter. And we have also improve d the gender diversity from 34.1% to 34.4%.

In terms of performance, I would like to reiterate that the big bold steps that we took in developing some of the capabilit ies 5G, Metaverse, the Makers L ab, that we set up at eight different locations , continuing to invest in data and AI labs, continuing to invest in sports tech vertical with platforms like Fan Nxt.Now, new platforms like net Ops.ai. I think is all coming together and we are able to deliver sustainable growth and we are able to create value for our customers and partners. I know Ro hit will cover the performance results in greater detail.

On the growth side , we are now in constant currency at $1,632 million . Com ms has grown 3.9% and Enterprise has grown at 3.2% in constant currency.

I also have an honor of welcoming t wo new verticals into billion plus clubs … I mean , comms has been there for a very long time. But the new 1 billion club now has BFSI and Manufacturing for Tech Mahindra . The company continues to be driven by new age technologies, digital transformation, and more importantly, business transformation.

Our EBIT margins have been a little bit under pressure. But as a company, we are determined to reverse the trend. And what I've committed to my board is this is the lowest we have gone or we will go and we will be working together with my transformation office and my leadership to look at many operating levers particularly on utilization, particu larly on efficiency and productivity and the pricing levers.

So, again, Rohit wil l cover this , but I just want all of us to recognize that building technology at scale, building t wo-tire cities, delivery centers and preparing for the future. Yes, the repor ted EBITDA margins have been lesser than what we had originally probably projected.

In terms of our pipelines, I think both the sectors are showing very healthy pipelines. We track our pipeline for existing accounts, new accounts, we look at digital transf ormation, we look at the business transformation, we also very actively monitor our deal conversion s. As I had indicated earlier also that the focus is to deliver between $700 million to a billion dollars of deal conversions every quarter. This quarter also, we would be sharing with you that we booked about $800 million.

So, clearly, firing on all cylinders. I know that two internal focus ar

eas, number one is organic growth and number two is to bring back profitability on the track. I'm confident that these two focus areas coupled with an industry -leading growth, I think you would find us much better aligned and much better prepared.

In terms of the economic challenges, as of date, we see the deal flows to be strong. We do analyze every account , every sector about the potential . So we have a dedicated task force, which is not only looking at geographies, but also looking at the various verticals, and what our response would be. So I can only say that as of date, while there may not be a general con sensus on when the economic headwinds will start pinching us , but overall, I think , we are in good shape for the next few quarters.

So that's really the opening commentary. For all those people who are che ss lovers, I can only say that Tech Mahindra is ve ry proud that we have been chosen by the International Chess Federation to be the Digital Partner for it s 44th FIDE Chess Olympics, and is the first time taking place in India. It starts on 28th in Chennai . Those who would like to join us. And on the ringside of the Chess Olympiad, you're welcome.

So, again, thank you for your support and thank you for your confidence. I'm handing over the call to Ro hit to get an Update on Financials.

Rohit Anand: Thank you , CP. Good evening, everyone. Let me now cover the company financials for Q1 ending June 2022. We ended the first quarter with revenue of $1,632 million versus $1608 million last quarter, up 3.5% QoQ in constant currency. Growth was broad -based as CP mentioned w ith CME growing 3.9% , Enterprise growing 3.2% both in constant currency terms. We had another quarter of strong deal wins with a TC V at $802 million. Revenue in INR terms was 12,708 crores versus 12, 116 crores in Q4, up 4.9% quarter -over quarter.

The EBIT for the quarter was at $177 million , in INR terms 1 ,403 crores versus $211 million in Q4. EBIT margin for the quarter was at 11%, which is a reduction of 220 basis point s QoQ due to higher salaries, sub con related costs and some large deal transit ion costs that we saw. Another

reason for deduction was revenue and visa seasonality that we see. And then normalization of G&A and sales cost was another reason of margin reduction , offset in partially by pricing benefit that we saw .

Moving below EBIT , other income for the quarter was at $16 million versus $42 million in Q4. Forex gain was at $7 million compared to $28 million in Q4 2022. The tax rate for the quarter was at 22.8%, which is higher compared to 17.5 % in Q4. T his is because we had higher reversals of tax provision related to SEZ benefit in Q4 and partially also in Q1. A normalized rate is in the range of 26 % to 27%.

The net profit margin for the quarter is at 8.9%. Our free cash flow for Q1 FY'23 was at $72 million . Our DSO have increased by three days to 100 from 97 in Q4, partially impacted by currency because of d ebtor revaluation.

As mentioned earlier, we will continue to consistently follow a rule based hedging policy. As of June 2022, the total hedge book was $2.28 billion versus $2.22 billion in Q4 '22. Based on hedge accounting treatment, the net mark -to-market gain as of 30th, June was $68 million, out of which $11 million was taken to P&L and $57 million has gone to reserves. We had a cash and cash equivalent of $1.114 million , in rupees terms Rs.8,801 crores.

Overall, the demand momentum as CP mentioned continu es driving growth while the supply side pressures are impacting profitability . But we've committed towards improving profitability with targeted actions t hat should help us tide over the short -term pressure.

With these remarks, I now open the floor to questions. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the

line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : Rohit, just wanted to check if there is any one -off in the SG&A like a bad debt provision or something like that. It seems to be up very sharply quarter -on-quart er.

Rohit Anand: Last quarter, we did have some gain, which was one -time. I understand we've had increase in

provision , because of which the quarter -over-quarter variations looking large.
Ravi Menon: Can you quantify the provisions in this quarter ?
Rohit A nand: We had a provision range of around $6 million.
Ravi Menon: Would be great if you could share your vertical break up quarter -on-quarter in constant currency growth because of the cross -currency moments being sharp th is quarter , it's a bit difficult fo r us to figure out what's happened to the communications vertical for instance?

Rohit Anand: From a growth perspective, that will go one-by-one on a constant currency sequential quarterly . As I mentioned, comms was 3.9% , when you look at manufacturing, that has grown 5.7% , technology has grown 6.4% , retail has grown 6 .8%, HLS and others have grown 2% , and then BFS has been mostly flat , while on the reported side , it's impacted most because of FX.
Moderator: The next question is from the li ne of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria : Firstly, on the large clients, if you look at the top client performance on quarter -on-quarter basis, it looks like a bit of decline that could be an element of FX. But even if you strip out that it seems quite weak. So anything going out there, especially in the top pipeline bucket ?
Rohit Anand: So mostly, FX that you see and then there are certain projects that for the quarter stopped and the new projects going to start in the following quarter. So beyond that there's nothing , but if you look at the trend broader , I think we've expanded beyond that outside the top-20, the growth has been substantial. So that's a good sign and that's where we've had historically certain deal wins also th at are ramping up. So the base in the top customers also spreading out.
Gaurav Rateria: Could you just talk about the percentage on margins? I guess there would be some impact of wage hikes which may come in the coming quarters. So what would be some of the headwinds and what would be the tailwind s, what gives you confidence that this is for the margin and go back to the range you had historically talked about?
Rohit Anand: So from a Q2 perspective, headwind s predominantly is only one which you mentioned, which is going to be the wage hikes , right. From a tailwind perspective, we've had certain good outcomes from pricing . I think that we have a good funnel and visibility. So that will continue giving us some ta ilwind in Q2. We also will have lesser impact due to the visa and mobility business impact that we saw from Q 4 to Q1, so that will ease out a little bit , so that will give us a favorability. Other big area which CP also reiterated that we will all focus on operational efficiency. There we put plans to get our utilization backup. So if you remember, we spoken a couple of quarters back that we are consciously investing in the talent pool, investing in bottom of the pyramid . That utilization trend, we have concrete plans to get up by delivery unit by geography in the current quarter, which will give us a positive tailwind as you look forward. Another big focus for us, we have almost 8% to 10% gap on our offshoring revenues versus p eer set. And there also we have a clear by delivery unit and geo action s to drive offshoring in the current quarter , and as well, these factors will continue through the year. So talking about Q2 and then some of this will continue through the year. So those are the bi g actions that we 're going to drive from a tailwind perspective. And this quarter, we did

have some large deal transition
costs, which I mentioned , those won't be repeated. So as we see that , that will also give us a benefit in Q2.

Gaurav Rateria: Lastly, on the cash flow, the conversion of PAT to free cash flow for last two consecutive quarters has been weaker than your usual trend. So what are the factors that have driven that and how long will it take to come back to the historical trend that you used to deliver?
Rohit Anand: I think this time a bit of the play was also driven by FX, b ut irrespective I think operating performance will get better as we look at Q2, Q3. So between the next two quarters, I think we will get to a similar FCF conversion rate th at we've seen in the past closer to the range of 9 0%-110%
Moderator: The next question is from the line of D ipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta : Two questions. F irst, can you help us with the margin in Q1, I think you indicated some of the factors . if you can break up us the cont ribution of those factors ? Second question is about the margin projection. I think we are suggesting good confidence about margin recovery. But considering let's say sometime you used to indicate 14 %, 15% percentage as EBIT margin is a good range considering overall business m ix and then future potentially maybe we can increase it to further o ver medium to long term. So by when do you expect it we can again back to our optimal range of margin pr ojection ?
Rohit Anand: Specifically for current quarter walk versus last quarter, as I mentioned, we saw approximately a 50 b ps expansion due to pricing actions and we've been talking about it for the last previous

and the previous quarter that we're working at it , so that's giving us positive outcomes. We've seen salary , subcon and large deals . Those three combined contribute a headwind of approximately 100 bps in the current quarter versus last quarter. Visa seasonality and the mobility busine ss jointly contribute approximately 80 bps. So those were the three big factors on the direct side and then there is a percent impact on G &A normalization , we had some good impact in the last quarter which is getting normalized with some of the impact on provision also that we have , due to which we are at 1%, 100 bps negative impact versus last quarter on the G&A part. So those are the big drivers that lead to a 13.2 % to 11% book . Then, second part of your question, I think, as we look forward, a lot of these actions that I articulated are in motion . We have a very detail micro plan that we're working on. And that gives us the confidence as we move forward that every quarter sequentially given this as a bottom, we will increase margin anywhere between 100 to 150 basis point s and by the end of the year , I think we'll be in the range of around 14% EBIT . I think I mentioned earlier 15 %, but I know where we are right now , 14% seems like a mor e for 4Q exit run rate rather than 15 %.

Moderator: The next question is from the line of Sandip Agarwal from Edelweiss. Please go ahead.

Sandip Agarwal : CP, t hanks for the update on the business side and also good exhibition on revenue pa rt. CP, what are you seeing in the market today -- are you seeing increasing tiltness of the client towards conservatism given the macro environment or you are seeing continued spend or the inclination to spend money , what you're seeing in the market today, versus you were seeing six months

earlier? So are you seeing any kind of change in the client perspective? mood or they have really done some action on that, like, the y have taken some thing s longer time or delay , any kind of refrainment from the aggression by which they were s pending earlier , are you seeing any kind of early signs of that?

Rohit Anand: I want Manish and Ja gdish t

o comm ent about com ms and enterprise verticals and then I like to also summarize at a corp orate level how are we tracking in terms of what changes are we seeing . So, Manish, first, probably to you.

Manish Vyas : Sure, Rohit, t hank you . Sandip, t hank you for that question. I think, clearly, there is a lot happening in the macro, geopolitical economic scenario, and hence the question is quite valid. There are clear discussions in the various customer environments about what is exactly in store. So that indeed is happening . Is that resulting in any specific macro level trend change in terms of the spend patterns? We haven't seen any evidence of that yet . There are one -off conversation that happens , but that is very strictly limited to that particular company's own individual decisions, which I think is nothing to do with the overall macro scenario. At this point, I think like CP mentioned right up front , the funnel is pretty robust. The decision cycles continue to remain exactly as they were six to seven months back. The areas where the discussions are happening in the telecom , media space, continue to be in this space of what is called “Holistic Digital Transformation” from network modernization to driving more velocity on underlying digital platforms, whether it is cloud or data, or customer experience. I guess that continues to happ en. We haven't seen any net -net in short . Before I hand over to Jagdish, I would say at this point we haven't seen anything material to come back and report at this.

Jagdish Mitra : Sandip, t hanks . Thanks, Manish . The outlook I think for us hasn't changed. It's very positive from a deal w in and the pipeline robustness perspective. I think we all have to recognize that in the last couple of years , trend that has got started in terms of redefining or rather modernizing the core of everyone's enterpris es business …. what I mean by enterprise is the organization's core platforms, and solving that problem that we don't see any le t down. So the pipeline of what we've talked about approximately upwards, you heard 700, 800 million of TCVs, we see a similar tr ajectory in every growth. I personally drive the large deals across as a company and therefore that large deal momentum I still see to continue. So from a deal win perspective, I don't think there is any let down . Industry wise, all of them , as Manish said, are focused on digital transformation. So supply chain issues and we call ed out four key areas, right -- cloud, connectivity, engineering and experience -- and all those four key areas , we think that even if there is an economic slowdown, the investment on those areas is something that the companies and enterprises will have to do i f they have to be relevant. And so therefore, that part, we feel very confident about. I hope that answers your question , Sandip .

Moderator: The next question is from the line of the Sandeep Shah from Equirus S ecurities . Please go ahead.

Sandeep Shah : This question is to Manish Vyas. Just looking at the macro hiccups which have been increasing , what we are are reading is on the 5 G CAPEX, clients are maybe becoming slightly cautious , they are accelerating where they can find the pa ying consumers, but where they are not finding the pay ing consumers , they may become slightly more conservative. So whether this trend can lead to any negative surprise in a telecom growth recovery, which we have seen for almost four to five quarters , do you foresee any downside risks to the growth momentum in telecom going forward?

Manish Vyas: Sandeep , again , thank you . See, it's like this, the 5 G spend in the markets that we are spending was not necessarily a function of added consumer revenue. The focus on 5 G was always to continue to build the new modern network in terms of replacing what is called the care er adds , the cap

acity bill. So instead of building the car eer add on 4 G, it was ha ppening on 5 g and that trend will continue . Revenue upt ick for the telco m was always going to be more around enterprises , not as much about the consumer business , I mean, that's a normal cycle that will continue. So that's not really necessarily a driver if anything changing. As far as the sector al performance is concerned, I'm assuming you're referring to our performance versus the industry broad -based performance . I don't think like I said earlier, that whatever is happening at a macro level is giving us any indication of slowdown in the kind of opportunities that we are engaged in, in driving transformation at a process , at an operate , at a system , and at a busin ess design level , or customer experience level , and for that matter of the network level . We're not seeing any change to the pattern of the kind of funnel that we're building.

Sandeep Shah: Just a follow up to CP 's opening remarks, where he said that we ar e confident for the growth in the coming few quarters, while some of your large peers are indicating macro may start impacting the second half of the growth , while I'm expecting that Tech Mahindra is alluding that even the second half of this year may see healthy growth. So what is driving this confidence as a whole?

Rohit Anand: I think a few things. One is we are continuously monitoring the pipeline and the pipeline is looking pretty strong, maybe better than what we've seen in the past. Now , the question s of deal conversion. So the trend continues what we've seen in the last few quarters of the range wherein that continues over the next couple of quarters . I think we should be in that zone of continued demand environment, right, which is what we are seeing right now. Of course, it's very dynamic world. So hence, we are monitoring the situation through constant data as well as client interactions and put that feedback back into the way we have been lookin g at the next half . So that's kind of where we're doing it , but I think qualitatively as Manish, Jagdish mentioned, from a client communication discussion perspective, there's not some significant change as they move into the second half that we've seen, a nd that's why that's reflecting in our data and that's the view we right now have. I will also like Vivek to add his view on BFSI that he's seeing on HLS from a discussion with his clients that he can share with you.

Vivek Agarwal : Thanks, Rohit. So not to repeat what Manish, Jagdish and Rohit have said, but just reiterate that we haven't seen any budget reductions. I think what gives us a degree of confidence is the pipeline. I think we've had a continuous win of large deals. So I think we have a backlog t o execute on. I think that does put us on a reasonably good footing as we look forward for the rest of this year. And lastly, I think not only from the big ticket macroeconomic indicators, which has everybody confused, I don't think anybody has an answer. But what we are focused on is more specifically looking at different industries, sub -verticals, and the impact they may have and then obviously, at the next level, which are our specific clients have any specific impacts they would have. And what we have i s a fairly laid out thought process on how we will react if we were to see any early signs.

Sandeep Shah : Just on the margins, Rohit, in terms of your comment, how much dependence are we placing in terms of pricing as a tailwind in terms of your commentary of targeting 100 -150 bps QoQ increase in the next three quarters? And just a follow up on the wage hikes, so what percentage of employees been covered in the first quarter, is it effective April, and what percentage is pending and how the balance wage hik es are scheduled?

Rohit Anand: Maybe I will just take about pricing first. So we've

sequentially quarter -over-quarter seen
increase in the quantum of price increase we've got. This time the impact as I mentioned was 50 bps. What we look at next quarter is similar or better outcome of that. But outside of that in the second half right now, while we will continue to drive it, I think the view is, mostly first half factor is an upside for us. We've not baked in significant upside in the second half, right. Tha t's pretty much on the pricing side. In terms of wage hikes, it's all from a company perspective. While we do constant interventions to the year because it's not the same world as it was a few years back, there's usually a lot of retention and niche skills interventions happen through the year. But from an annual cycle perspective, that for us will be effective in Q2 and broadly the

impact there's going to be around 100 bps.
Sandeep Shah: And after 2Q all 100% of the employees will be covered on an annual w age hike?
Rohit Anand: Yes, that's right.
Moderator: The next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.
Ashwin Mehta : Rohit, just one clarification in terms of what you said 100 -150 bps improvement starts from 2Q or it's more in the second half of the year?
Rohit Anand: It starts from 2Q and it continues 3Q, 4Q, that's how our actions are stacked. As I mentioned, right, from Q1 to Q2 perspective, some of the impacts that we've seen negative will get normalized as we move forward, for example, a) Comviva and visa spend that seasonality impact will lower down. Beyond that, the large deal one -off transition cost that I mentioned, that will not get repeated. So that will kind of offset a little bit of the wage pressure that w e see. And

outside of that the operating actions on utilization increasing from 82%, 83% range we're comfortable with which is 87%, 88% through the year, some of that benefit will come in Q2. Similarly, offshoring, we have specific targets by months that w e will be driving as we move forward, will give us that range in each quarter as we move forward .
Ashwin Mehta: Rohit, in terms of subcontractin g because that saw a further increase in excess of 16% , what is the outlook there , are we looking at that also being a lever as you go through the year?
Rohit Anand: It is a lever. While we are pushing that, but that is also a little bit of a c ost that is in terms of stickiness available for us to act easier if we see a demand slowdown in the second half if that scenario comes right , what you've been hearing from others , while we don't see it , but there's so much of confusion what people are saying what the outcomes are reflecting. So when you look at us entering the second half, this is a relatively easier bucket for us to act on, right , and reduce as we move forward. So as we look at it right now, if it's a subcon reduction initiative, where we get some benefit to that, an d optimization, we're looking at one -to-one replacement, from a headcount perspective more as we move forward for the second half rather than immediate actions.
Moderator: The next question is from the line of Viraj from S iMPL . Please go ahead.
Viraj : I just have one question. I don't know if Mr. Gurnani is still on the c all. This is regarding the investment approach in terms of acquisitions and investments, which we have been making for last several years , in '22, we made a significant amount of investment. And if I were to look at the impairment part, we took something like 4 60-odd crores of impairment and cumulatively, last four years alone, it's in excess of 1 ,100, 1,200 crores. So just trying to understand how should one really understand the benefits of the acquisitions or the investments we've been making, because the amount o n the impairment is also quite sizable. So just want to understand , if you can provide some perspective .
R

ohit Anand: Viraj, maybe I just add a few sentences and then Vivek, who h eads our corporate business development function will a dd on. So a couple of things. One is, from an impairment perspective, we are going to look at it a consolidated level what's the impact versus standa lone. T he numbers you are looking are more in subsidiaries in standalone numbers . The way it happens is, if we get an acquisition asset, the idea for us and the approach from an M&A perspective is, if changed versus what we had four to five years back, now we are integrating the companies and the offerings solution into our core business. So hence when we look at any acquired company, the way we look at it is more of a measurement unit across legal entities. So hence the business that happens to that offering shows in that stream , which is not reflected in the legal entity . Hence, at a legal entity level, you m ight see an impairment, but a t consolidated level, that's not the case , right. So that's kind of broadly the way it is and that's, why not to correlate that to the M&A execution strategy. We continuously through regular discussions with folks like you arti culate our change in strategy, how they're performing and we'll continue to do that as we move forward

to show more and more transparency around our numbers on acquisition performance. But I will want Vivek to add on some of the points around this.
Vivek Agarwal : Yes, t hanks , Rohit . So I think just from M&A approach, both from our transaction perspective, and integration and synergy , I think what we've said for the last couple of years is that our acquisitions are meant to be integrated into the core of the business , they have to become an integral part to a service offering of how we go to our clients. So more and more, our acquisiti ons are part of one TechM rather than looking at them as individual operating businesses, which we've acquired or invested in. I think the success in some part is reflected in our large deals win over the last few quarters, I think we've seen a significant uptick and sustained momentum in

our deal wi ns numbers over the last few quarters. And one of the things I would attribute that to is our success in integrating a whole host of capabilities we've acquired over the last couple of years, and hence we are mo re relevant to our customers' needs and we can offer them a wider solution. I think that's one point. And in terms of a part of your question around our investment approach, we said this quarter and I just want to reiterate, the management team recognizes that we have had a busy M&A period over the last couple of years. So, we will be very selective, our focus is on integration, on driving synergies in the short -term or what we have already acquired.
Viraj : Just two parts, first is its more of a suggestion that, maybe in the investor presentation if you can kind of share over last 2 -3 years or 5 years the acquisitions we made, how has that kind of added and in terms of increase these wins or sales generate our cost synergies because probably it's not coming out clearly to us as investor. But that's our suggestion, if one can just put some perspective there in the form of charts or some data points. Second is if I look at this particular quarter, so the CTC acquisition happened in Q4 and given the kind of scal e and the profitability that company made, we also kind of paid a good valuation for it. But if one were to kind of better understand the organic versus inorganic growth rate, what would that be like for us in Q1 and specifically on margins because some of those acquisitions like CTC are very high margin businesses. So, if one were to kind of dissect that from our numbers and just look at the organic business profitability, is it right to think the pressure and the profitability is even more severe than wha t we se

e on the reported numbers?
Vivek Agarwal : So, while there were bunch of questions, I will try and address one by one and if in case anything is left, please feel free to prompt me. In terms of the information suggestion, currently we share that the analyst day event, so we are doing it once a year . But we will discuss it internally and see how practical it is to do it more frequently. But as we said at the last year's analyst day event, we are committed to giving the transparency once a year on overall performance, synergy etc. of the acquired busi nesses and their integration status. I think specifically to your question on CTC, it was nearly the full last quarter because we did this middle of January. So, I think it was 11 weeks for the last quarter also, it was largely like -for-like especially whe n you consider the currency impact. As we all know the euros which is what is the accounting currency for that acquisition has taken a massive hit against the US$. But overall, the business remains on plan for its early days, we recognize but it is on trac k. I think the only other item which relates to your

question on our margins on CT Co., you may recall that that business had a small setup an operation in Belarus. With the advent of the war in the region some of our customers were uncomfortable with cont inuing to work in Belarus. So, over the last few months we have wound down our customer operations specifically in the country. We've managed to relocate most of our employees to other parts of Europe if they were willing to. It has meant that we have incu rred some one -time cost on that relocation. But it did not impact billing or revenue and we do expect the newer operating model a more distributed delivery across Europe to be sustainable going forward.
Moderator : The next question is from the line of Ravi Menon from Macquarie.
Ravi Menon: If you have seen the whole change to the demand environment, why have we not really added to our freshers. That could be an important margin level until it looks like we really don't have a fresher bench at all because u tilization including and excluding trainees is at 83%.
Rohit Anand : As I had mentioned earlier, we have hired significant freshers last couple of quarters and our endeavor is to get them build, trained, deployed. I think that's been the internal focus. As we move forward, get more streamlined on that model as we move forward, we will continue to add that sequentially over the next few quarters. So, I think that is on the cards as we move forward.
Moderator : The next question is from the line of Gaurav Rate ria from Morgan Stanley.
Gaurav Rateria: So, two questions, firstly two large telcos that reported numbers in the US, they lowered their margins and/or FCF guidance for the full year. So, in this context have you seen any prioritization of spending happeni ng by them in terms of what projects are they were prioritizing over us and is there any assessment done internally of any particular projects which could potentially be if such prioritization were to take place?
Rohit Anand: So, as I mentioned at a corpor ate level there are one -offs, discussions happening, nothing significant from a trend perspective to call out. But I will still ask Manish, Jagdish and Vivek who handle different aspects of the business in the US can comment quickly on have they seen anything like that on a particular telco.
Manish Vyas: I think the question is more specific to couple of telcos that have announced the results in the results recently and that observation is correct and valid. Like I said there are some conversations that a re happening very specific to a few project prioritization but typically all of them are around continuing to drive the digital transformation process a little harder and faster. Some work that will probably get shifted from moving work

to a Cloud to more driving a data intensity or
customer experience transformation. So that kind of re -prioritization of some of that capital budgets may happen and those are part and parcel of also what program is deriving greater than the others and what may result in midte rm to long term benefits. I think it is in the realm of that kind of a conversation, not necessarily a reaction to a certain quarter performance. That there

could be discussions around more a long -term impact is probably something which I don't think I can comment on it today because we haven't seen any such reaction from anyone and this point.

Gaurav Rateria: Second question is for Rohit, amortization expense related to last few acquisitions have impacted margins in FY23, how should one think about the sa me going beyond FY23 that be a margin lever and also, any lever on margin improvement from portfolio companies that can help you in the coming quarters?

Rohit Anand: From an amortization perspective, year -on-year on FY23 to '24, there will be very marginal change not significant benefit at a company level. But we will continue to see certain other management cost benefits as we move forward which will help margin and then maybe I will ask Vivek to also add on some of the synergy actions that he is driving that will also benefit. So, Vivek if you can add.

Vivek Agarwal: From a short -term impact, there are two items related to acquisitions which go through the P&L. Some of the earn -outs which are linked to continued association of the foun ders, they go through the P&L and the amortization as Rohit said, it's honestly fairly complex accounting of some impact is for 12 to 18 months on the amortization, those will decline in the short -term but some of the amortization is 7 to 9 years linked to the acquisition so we won't see a very significant change in that line item. And the part around synergy, we have spoken about it before but what we are really doing is very heavily focused on an integrated service offering, how do we take all our capabil ities and offerings both organic and those through our acquisitions to our clients as One TechM offering and that's yielding good success for us.

Moderator : The next question is from the line of Vibhor Singhal from Phillip Capital .

Vibhor Singhal: Rohit j ust one question from my side. O n margins, again on margins but not from a very near -term perspective. So, my question was more like your margins have been quite volatile over the past few years, of course given multiple reasons, acquisitions and all, las t 1-1.5 years we had the benefit of travel cost coming down because of COVID and all and this time, at this point of time we are seeing all those of price hike pressures. So just wanted to understand let's say two or three or four quarters down the line wh en supposedly all the other companies and everybody been calling out that the supply -side pressures should stabilize, travel should also recover. What is the sustainable level of EBIT margins do you think that we can operate at? Keeping everything else con stant, I know it didn't happen that way but let's say if we were to hypothetically assume that these things have stabilized, what is the kind of margins that we can sustainably report over a 2 to 3year period of time, post these things settle down?

Rohit A nand: I spoke about this year walk which is actions on operating levers that we are going to be driving, pricing which is more tactical right now, relevant right now and then there is some structural actions that we are trying to drive which are littl e bit more medium -term to long -term and we

have got a specific project plan, team working on those on a specific basis and we have aligned our measurement criteria and targets also accordingly. So, if you think about

it, what I have
spoken earlier and whic h we are working on is a big part of our margin dilutions also, if you look at our geography mix. When you look at our component of US -Europe and compare with some of the peer set we are 10% to 15% lower on that component and then margin difference typical ly in that region versus rest of the world is to the range of 10% differential. So there if we get our mix in line with that comparison, we are talking about anywhere between a 1% -1.5% increase over a longer -term cycle that's is something that is increment ally start playing out every quarter and every year as we move forward in that zone because it's not a shift that you can dramatically do in 1 year. So that's something that we will need to drive out and similarly as vertical scale up that happening, the B FSI is becoming more towards the billion -dollar mark, manufacturing at billion -dollar, COMS already a big size and scale for us, similarly high tech is growing. There you get operating leverage with the size and scale of that vertical so that's something s tructurally that's going to help us and then we have spoken the past we are working also on a very tactical area on pruning the portfolio which is not core to our strategy and we feel long-term doesn't fit so those assets and identified portfolios, we are going to be taking as divestment actions on which will improve the mix from a margin perspective. So those are

structural long -term actions while we continue to drive tactically the operating levers each quarter, this will help us structurally change the n ature of the margin profile. So, in terms of year-end, I think what we said the 4Q exit will be closer to the 14% EBIT range and as we move forward, we will continue to drive this action to continuously expand structurally the margin levers.

Vibhor Singhal : Is 14% a number that I mean again not a guidance for FY23 or '24 but from a long -term perspective is 14% EBIT margin number that we would be comfortable in with in terms of sustainably reporting that?

Rohit Anand: Yes, I think that's a comfortable with a positive upside to that as we move forward.

Moderator : The next question is from the line of Girish Pai from Nirmal Bang Equities.

Girish Pai: First question is to Rohit. I recall you saying that prices have not been the so much of the lever in second h alf of FY23. So, are you getting any pushbacks from some of our clients conversations we are having on prices which is making you a little bit cautious on the pricing action side, that's question number one? Second question is to Manish sir where he talked about a re-prioritization of certain client's digital transformation programs. So, what exactly are these clients doing? What are they deciding to drop now and try and shift that their money to, what kind of work? So those are the two questions I have.

Rohit Anand: From a pricing perspective, we started getting some benefit from Q4 incrementally in Q1 which we are outlaying in our margin w alk and at similarly in Q2 we have a good pipeline of specific customer accounts that we are very clear that the discussions are o n a progressive stage of

conclusion. So hence that visibility towards Q2. As we move about Q3 -Q4 because these discussions have been on for a while and it takes multiple iterations cycles to conclude that's why this is more certain. As we move forward, we think the quantum will reduce and also lot of discussions which you are hearing globally, specifically macro does play our mind in terms of, as we talk to the clients about second half. But as a scenario unfolds from an opportunity standpoint if the growt h environment, everything, macro, inflation, all that settles down it will continue to be an opportunity for us in second half as well but I am just saying we are factoring from the case that we are making from a margin perspective

towards 2Q -3Q-4Q, we are not factoring price as a lever in 3Q -4Q, if it happens, it will be an upside towards our margin profile. So that's the way we are looking at it. I would like to forward it to Manish for the second part of the question that you have Girish.

Manish Vyas: Girish, I just want to be very clear that answer was in response to only one or two customers and the perspective around it, not necessarily of a macro industry wise trend. So, it's not going to be true for from region -to-region or from account -to-account. H owever, there are certain things which clearly at this point are gaining lot more prominence in the conversations in terms of where the spends will happen. Number one, there is an increased focus on automation both from a network standpoint as well as at a broad -based operation. To drive do lot more but not less I think is something that clearly is a big focus and that takes a significant investment and this point and we are busy with both on what we call is AIOps as well as AI NOps which is the network operation automation as well as the IT automation, so that's one. Two, there is lot of discussions around data synthetization and driving data on Cloud and integrating data with Cloud so that's also gaining lot of prominence. Primary reason being that through that there is a monetization opportunity that the Telcos continue to see in the short -term and the medium term as well. The third clearly is there is going to be money spent around network modernization and I will leave it at that this point because it's a trend that will be evolving over the next 3 to 4 months where we will start seeing lot more spend happening in the cyberspace besides of course the investments in 5G. So, I guess those are some of the areas where you will see a little bit of activate.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Rohit Anand for closing comments.

Rohit Anand: Thanks. So just like to reiterate and recap from a quarter perspective, deman ds looking strong, revenue growth of 3.5% broad -based between Enterprise and COMS . We have three units now billion dollars run rate. From a deal win perspective (+$800) million deal wins which is in the range that we had articulated, attrition has reduced quarter -over-quarter sequentially by close to 2% based on various interventions we took structurally over the last few quarters, margins down quarter -over-quarter by 20 bps but that's a bottom point for us. We have actions that are planned and as we move f orward between Q2 to Q4 to get it up sequentially every quarter by 100 -150 bps so the management team is committed to that and from a capital allocation perspective we will continue to spend more time this year on M&A integration, on the acquisitions we ha ve done and focus on organic growth versus new acquisitions. So that’s a recap of where we are and thanks everybody for joining the call today. Good evening.

Moderator : Thank you. Ladies and gentlemen on behalf of Tech Mahindra Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

7th November, 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th September, 2022

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended 30th September, 2022 conducted after the meeting of the Board of Directors held on 1st November, 2022, for your information and records.

The above information is also available on the website of the Company at https://insights.techmahindra.com/investors/tml -q2-fy-23-earnings -transcript.pdf

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

"Tech Mahindra Limited Q2 FY '23 Earnings Conference Call"

November 1, 2022

MANAGEMENT : MR. CP GURNANI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER
MR. JAGDISH MITRA – CHIEF STRATEGY OFFICER
MR. HARSHVENDRA SOIN – CHIEF PEOPLE OFFICER

MR. MANISH VYAS – PRESIDENT CME BUSINESS
MR. VIVEK AGARWAL– PRESIDENT CORPORATE DEVELOPMENT
MR. BIRENDRA SEN – PRESIDENT BUSINESS PROCESS SERVICES

Moderator : Ladies and gentlemen , good day, and welcome to the Q2 FY '23 Earnings Conference Call of Tech Mahindra Limited.
As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. C P Gurnani – MD and CEO for Tech Mahindra. Thank you, and over to you, sir.
CP Gurnani: Thank you. Good evening to all . Welcome to our Earnings Call for Q2 FY20 23.
I know the la st few years have been a little challenging . On one end we ha d the pandemic. The other end we had th e software technology climate change . So, all I can say is that we remain focused on our core purpose . We have align ed ourselves to the New World norms , and we continue to drive positive change in the lives of our commu nities. We will continue to ride on the three pillars of more equal world, being future ready , and creating value .
Our efforts in sustainability , our efforts in diversity, our efforts in e quality have yielded very , very good results . We have been creating value for the s hareholders , stakeholders, and the community a like. We have delivered reasonably good financial outcomes , and we do believe we are making a lasting impact . We constantly believe and practice there is no trade -off between purpose and profit. So, thank you again for your support .
Our strategy o f focusing on data, focusing on discipline, focusing on new competencies , new technology development has resulted in profitable growth . 3% quarter -on-quarter in CC terms, revenue now close to 1640 million , CME has grown 3 .1% in CC terms, Enterprise has grown 2.8% in CC terms . On a year -on-year basis , CM E has grown little over 20% o n CC terms, and Enterprise verticals have grown 14.4% on CC.
Our M&A team's focus on integrating acquisitions , driving synergy goals continue to give us good returns and good results .
Large deals , we are committed that we would be in the range of 700 to 1 billion . We think that 716 despite some of the last minute 's slowd own in decision -making is a good , good result .
EBITDA margin also , we gave the salary hike, but we still deliver ed 15.1% . That's basically because of very sharp focus on operating metrics . Generated a free cash flow of UD$ 253 million , which is again one of the better ones .
The Board has agreed to a special d ividend of Rs. 18 per share , but most of th is I would like to say Rohit can cover in detail.

On a management perspective , me and the Management Team are cautious of the slowdown and the coming winter . We have made our own plan s A, B, and C. We will be a gile. We will ad apt, and it will continue to monitor the global situations .
So, I genuinely believe that the Company is in a better shape as we grow through some of the rough economic conditions , but more important is that your technology investments in Meta verse , and I am sure Manish will share in detail 5G connectivity , customer experience management , some of the investment s that we have done on the network operations are all yield ing good results .
So, between Rohit and Manish, they will share more about numbers and the competencies that we have developed.
Over to you, Rohit.
Rohit Anand : Thanks, CP. Good evening everyone .
Let me now cover the Company 's Financials for Q2 ended September 2022 :
We ended our second quarter revenues of US $1638 million versus $1632 last quarter, up 2.9% QoQ in a constant currency basis. Growth was broad -based with CME growing at 3.1 %, Enterprise growing at 2.8% on constant currency terms.

Our deal wins continu es to look positive with the TCV closure value of $716 million . Revenue in INR terms was at 13,129 crore versus 12,708 crore in Q1 , up 3 .3% quarter -over-quarter.

The EBIT for the quarter was at US$184 million, in rupee terms 1 492 crore s versus $177 million in Q1 . The EBIT margin was 11.4% , an improvement of 40 basis point QoQ on a report ed basis and an improvement of 70 basis point on a constant currency basis.
As we have articulated earlier, we have executed on improv ing utilization , which has eased the margin by 60 basis point s. We have also taken measure s on discontinuing certain low -margin business which had helped the margin by 20 basis point s. We have got sales, G&A savings of 60 basis point , price improvements which we had articulated before , we are continuing to work with customer s & that has helped us in the quarter by 50 basis point s, consecutively now for two quarters in a row , and this all a s CP mentioned was , in fact, helped us offset the wage hike and inflation which was around 1 20 basis point s, and then the currency which I mention ed for us was headwind of 30 basis points. Those are the broad margin drivers .
Moving on from EBIT to other income for the quarter , it was at $36 million versus $16 million in Q1. Foreign gains were higher compared to the previous quarter from $16 million versus $7.

The tax rate for the quarter settle d at 21.9% , which is lower from last quarter of 22.8 %. This is because certain one-off items we saw in Q2. Normalized tax rate for us is around 25% to 26%, which we had articulated earlier .
The net profit margin for the quarter is at 9.8% , which is the 90-basis point improvement from Q1 and close to 120 basis point improvement o n a constant currency basis.
Our free cash flow for Q2 FY '23 was at $253 million, which is 1 59% of PAT as we catch up over the spillover effect that we saw from Q1.
Our DSO has decreased by 2 days from 100 to 98 driven by better collections rigor and operating follow -ups.
As mentioned earlier , we continue to consistently follow a rule -based hedg ing policy . As of September 2022 , a total hedge book was at $2.4 billion versus $2.3bn in Q1 '23. Based on hedge accounting treatment , net mark -to-market gain for 30th September was at $75 million, out of which $16 million went to the P&L, and the gain of $59 million went to the reserves.
We had cash and cash equivalents of $947 million , in rupee terms Rs. 7,703 crores . We are committed to prudent capital allocation and returning back to the shareholders . On that basis, the Tech Mahindra Bo ard has approved a special dividend of Rs. 18 per share , which compared to last year’s midpoint is a 20% increase .
With that, I open it up to Q&A f or the rest of the time we have the call.
Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Chirag Kachhadiya from Ashika Institutional Equities . Please go ahead .
Chirag Kachhadiya : In net new deal wins during the quarter , if you can provide the bifurcation for Enterprise and communication verticals ? Second question , geograph y wise which territory you feel that highly impacted due to the slow down ? And also, vertical wise, other than communications segment vertical specific any observation you have witness ed that the client delaying their decision - making in terms of expense ? Which are those areas? That is it from my side.
Rohit Anand : From a deal win perspective, we have stopped that disclosure or split between communication and Enterprise , but I can let you know that communication s vertical continues to benefit from the 5G tailwind that we have and in the marketplace our position in that area benefits us from a consulting to an execution standpoint , so that continues to be a tailwind. F

rom a revenue growth perspective , geography growth is quite broad -based this time. U.S. has grown 2.5%. Europe, when adjusted for currency , has grown 3.5%, a nd the rest of the world adjusted for currency has grown 3 .4%. So, it's been broad -based from a geo perspective a s well.

When you look at decision making , I would say nothing that is a trend that we see right now from a customer behavior stand point that is coming out . But given the macroeconomic environment , the impact of the war on Europe intensifying the energy p ricing , and overall inflation in Europe , is something , that is from a geo political standpoint , going to have a bigger impact . Having said that nothing yet has percolated down into a customer behavior . So, that's the current view we have . So, as we go forward , pipeline still looks robust . Our deal momentum continues , but we will continue to watch the environment cautiously.
Chirag Kachhadiya : And many Indian telecom operators started giving orders for the 5G rela ted requirements . So, how are we pl aced to take benefit of those? Because our major concentration is outside India, and also lot of PLI scheme is introduced by government to make India a telecom equipment manufacturing hub. So, how our design vertical is placed to take the advantage of it?
Manish Vyas: Chirag, thank you for asking that question . I think, a s far as the telecom network equipment

business is concern ed, I think we have always said that that 's not a business that we are participating in . We want to continue to stay focused. Even CP alluded to earlier. We appreciate all your guidance as well in keeping us focus ed on our core purpose. So, software integration , engineering , both around software equipment a s well as devices and operations I think are the focus areas that we want to continue to be a dominant player across the world. Includ ing India as the design happen s and the rollouts happen, we will continue to work with the service providers here and help them realize the value of the network .

As far as the underlying , physicality of building the network and deploy ing it, it is a very volume - oriented game , but it is not something that align s with our business strategy balancing our long-term strategy with prof itability , and of course, our core competence . So, I think we are very clear what we will do , and we are position ed very, very well . In fact, we have also one of the businesses that we have won is around supporting one of the Indian service providers in he lping with the ir Enterprise 5G business. So, we continue to play that role , and we feel very good about it with all the major operators in India.

Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie . Please go ahead.

Ravi Menon : Hi-Tech is a vertical that most of the peers have not reported good growth in. But your growth here is very strong on a sequential basis. Are there any new accounts that we have entered through acquisitions like Allyis and Infostar that are helping us here ?

Rohit Anand : Yes, as we have mentioned almost three quarters back, this is an area or vertical for us, which is a growth driver. We have invested both inorganically and organically in the competencies that are helping us drive growth here. So, from either the capabilities that we build in from either Cloud competency perspective, or areas that you mentioned are helping us drive growth f or better customer coverage, making sure we are getting better share of the wallet with each customer, beca use we have multiple competencies to offer. And then the combination of service offering that we have acquired, combining with our co re IT competencies together are giving us

better deal wins, and better penetration for those customers . So

, it’s all jointl y working together in that vertical, which is helping us . So, we see the momentum continue as we move forward with more penetration in our existing customers. So, there is less of I would say new customers added but more customer penetration that continues to be strong.

Jagdish Mitra: One of the things that's actually helping us, as Rohit said, is both the organic and inorganic, but mainly our strategy with hyperscalers that we see as the one key driver that's helping us drive growth in a complete 360 -degre e manner, working with them in creating market opportunities and working to them about creating some of their product development digital engineering parts, and so on and so forth. That's driving primarily the growth. And we see this as a continued momentu m that we want to continue.

Ravi Menon :: Given that we got good deal wins this quarter as well and utilization is already pretty high at 85%. Why have you chosen to allow our software headcount to decline quarter -on-quarter ?

Rohit Anand : This was something we had articulated even last quarter that we have made certain investments in the business over the last , previous two quarters, and we want to use this quarter to improve our operational efficiency and performance . And utilization, which we peaked at a period of 89%, and we still are at 85% based on th ose investment, we have come back from as low as 8 2% to 83% now to 85%. A nd we still have room to go forward . Based on the demand environment, the pipeline that I s aid is looking positive, w e will continue to drive additions on those skills, as well as continue to utilize the internal talent base, which we are skilling in different digital skills better as we move forward.

Ravi Menon :: Could we assume that some of this, though it is showing up as utilized is not really translating to billing ? And should we expect some realization improvements to help us?

Rohit Anand : Yes, it would . From this quarter it does help us from a revenue growth perspective with increased utilization , margin g ets better . And as we move forward, we will continue to see that happen. So, yes , we still have operational room for us to drive both revenue growth as well as margin expansion.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead .

Rishi Jhunjhunwala: A few questions here, f irstly, there seems to be a very sharp decline on a sequential basis on our Top 5 clients and even adjusting for cross currency, it seems that there would have b een a decline in a quarter which is otherwise seasonally strong. So, just wanted to understand any peculiar cases of ra mp downs that we have witnessed or any pricing corrections the re.

Rohit Anand: Not really , pricing is on an upward trend, but there was a couple of projects, which from an implementation , closure perspective came to a close from a timeline perspective. So, that caused a dip but otherwise no trend in any of those customers beyond that.

Rishi Jhunjhunwala: Second is on the margin side , given that wage hikes are behind us and in 3Q and 4Q we see some momentum in some of the verticals there, but on the flip side we have cut down slightly on the higher side. So, just wanted to understand the trajectory from a margin perspective, are we still on track to exit at 14% for the year?
Rohit Anand: As I have mentioned earlier, our levers continue to be similar, we still have headroom to go in each of those. So, as we have said, pricing continues to be a very strong lever for us, we work it as a prog ram, we are continuously going for opportunities there. So, that will continue to drive margins for us in the current quarter as we ll. If you look at utilization, as I mentioned, we still have power to get better there as we move forward. We are also looki

ng at a lot of internal efficiencies by combining certain support and middle office functions that gives us some benefit as well on operating performance and leverage. So, we will be driving that as well.
Offshoring while we did a lot of actions there, but some of the new deals had some on site component, which doesn't show in terms of improvement, but we will continue to drive that going forward as well. And if you see subcon we are still at a high level though we have reduced its quarter -over-quarter. But those are the programs that we feel that we have enough juice left from a margin expansion standpoint. So, that all will continue and will drive it like a program.
Also, we are continuously looking at areas with margin profile, and take a call o n either divesting or discontinuing that in this quarter . I mentioned that we took action on a portion of that business which reflects in the BFSI segment. And that gave us a margin uplift, but mellowed down the growth, which otherwise at the company level would have been close to 3.4%. So, we will drive all those actions , I think what we will have to also continue to look at is the global economy scenario, how it reflects in the second half, I think that's something that we will watch and be cautious about as we continue to dive these actions.
Rishi Jhunjhunwala: Just one thing on impairment charge that we have taken in this quarter, on the consol financial the impact is Rs 244 million, but on the standalone, the impact is more than Rs 4 billion. So, one with subsidies or acquisitions are these related to ? And secondly, why is there such a big gap between the two?
Rohit Anand: Yes at the consolidated level, I would say it's, it was a small investment we made around 12 to 14 months back, which didn't get us the right value we anticipated. So, we took a proactive call to move out of that. So, that’s the impact on the consolidated side, which is pretty sm all investment, and hence the impact being so low .
And at a stand -alone level , as we had articulated before, it's not really the legal entity view that we should look at, because when we are working across the company, it's more across legal entities that the projects are delivered, and hence a little bit more for management view. So, hence from a legal entity perspective, that doesn't really reflect the performance of that segment, but from a main impact perspective, which target which is the entity where we have taken the impact.

Moderator: Thank you. The next question is from the line of Ruchi Burde Mukhija from Elara Capital. Please go ahead.
Ruchi Burde Mukhija: So, you have been talking about portfolio pruning as a lever for margin. Could you talk to us about how this process is now progressing? And when do you expect it to conclude? That's one .
And secondly, if you could talk about some indications from client on fur loughs how do we see December quarter in terms of furloughs ?
Rohit Anand: So, I think from an estimate perspective, it said our actions are targeted around $100 million to $120 million annualized revenue impact that we are kind of looking at which we have identified for margin either from a divestment or discontinue business operati on standpoint . We have executed on an annualized basis, almost $60 million of that which is reflect ing in the current quarter . And we are close to executing the rest in the next two quarters as we move forward. So, through an annualized basis this should b e anywhere between $100 and $120 million impairment .
Yes so furlough follows not so different trend from w hat we saw last time, I think we are still looking a t evaluating as we move forward with our customer base. So, maybe marginally higher than what we have seen in the past. A s also we have actions to mitigate some of it. So, we are working through that in the current quarter a

s we move forward. But I won't say substantial difference from what we have seen in the past maybe a little bit on the higher side is what we see.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Phillip Capital . Please go ahead.
Vibhor Singhal: Just a couple of clarifications , I probably didn't get this properly . You mentioned that this portfolio pruning exercise might continue for next two quarters as well .
Rohit Anand: Yes, that's right.
Vibhor Singhal: So, basically, by the end of this calendar , with this financial year 4Q, this year, we expect this process to end and thereafter the margin benefits that you say will probably start slowing down as well.
Rohit Anand: Yes, I mean, from an action perspective for this year, that's what we had identified and will execute. So, from that perspective, that's the target we have kept for oursel ves. And this is an exercise that we will keep on discussing as we move forward into next year, we still have some pruning to do , but for now, that's our immediate focus that we have to execute and we will keep you updated on the progress.

Vibhor Singhal: So, as of now, we are looking at activities that we have decided upon, that should end by 4Q, but we might take upon similar exercise next year also, that's what you are saying, right?
Rohit Anand: Yes, that's right.
Vibhor Singhal: And just one last question our EBIT margin guidance remains right that we are looking to target 14% exit rate in 4Q this year?
Rohit Anand: Yes, I mean Vibhor from our perspective, as I had mentioned, the headroom is still there, and all the operating levers will continue to drive th at. As we move forward towards the second half the growth environment and how the situation in Europe pans out will be an important driver, because already when you look at it, while the reported EBIT is 11.4% operational is more like 11.7% right . So, that also plays a role there. So, growth effects those will have some impact there. But we will continue to work towards our actions that we have defined for ourselves. And given the Q2 execution, we continue to be confident that our actions are working. And we will keep on working in that direction going forward as well.
Vibhor Singhal: Basically, we are almost one month into the 3rd Quarter as well. I am sure there are many parts of Europe that have already maybe started seeing some sort of wint er setting in . So, what is the overall basically feedback that you are getting from clients, especially in Europe? I mean, how well are they prepared to face this winter? Are we concerned about plant shutdowns or similar kinds of activity, which might lead us to not just in terms of the entire industry per se, might lead to some loss of revenues or pushback or postponement of their IT CAPEX? Any color on that would be really helpful.
Rohit Anand: I think for now, we are not seeing anything dramatic from a E urope standpoint yet. There are discussions that we are following up more from a macro standpoint, we are looking at what the energy prices looks like it's getting more and more steep and the impact is obviously more in certain countries versus the other . From our clients that point yet those specific discussions are not panning out , not so much in Q3 but as we continue to move in Q 4 we will see that is a potential that we need to watch out for.
Moderator: Thank you. The next question is from the lineup M ukul Garg from Motilal Oswal Financial Services . Please go ahead.
Mukul Garg: Just wanted to kind of follow up on your plan to prune this $100 to $120 million an nualized number, is this mainly on account of client specific exit service you are planning or does this also include the s ame actions we are taking on investment o n subsidiary fronts, where we might be exiting or we might be kind of

trimming back leading to an impact on r evenues.
Rohit Anand: It’s not specific, and we have bunch of different strategic areas where we feel we're not getting the right return on investment, which doesn't have potential for us to scale up. So, it's a mix of all of that . And what we have execute d is in one of those buckets. As we continue to move in

the next two quarters, on the similar lines, we will drive that. So, the areas of focus for pruning are non-strategic areas with no scalable possibility and where the return on investment is really low right now .
Mukul Garg: And also, I think this is something which has been discussed I think multiple times earlier, also. But, because you have disclose d your revenues on IT services and BPO separately, there seems to be a fairly wide gulf, which sometimes appear between the two growths , likewise, this quarter . And any reason why the BP S grows so strongly while IT services kind of trail s it, or is this a part of the same equation, and it j ust gets reported that way ? How should we see this going forward also, given the wide difference in the in-employee addition in both these cases?

Rohit Anand: BPS does have seasonality impact, so if you look at the current quarter the headcount gets ramped up from a seasonality perspective. So, that drives little of those differences or dynamics, which creates the difference between both the areas . And from an overall perspective BPS business continues to drive better performance for us, if you look at last six to eight quarters . So, our investments that we did in that business, both organically and organically are positioning us to drive every quarter more than 5% quarter -over-quarter growth and that trend continues. And the current quarter difference is mo re driven by seasonality more than anything else.
Mukul Garg: Following up on margins, given that you are taking multiple actions to meaningfully improve your profitability over the next two quarters. Any initial thoughts on here , how should we think about FY24 in terms of levers w hich you guys have to continue to drive margin improvement from here onwards, because again, there is a quarterly cycle that you exit Q4 at 14% or roundabouts and then you will have wage hikes which will co me in, which will again, pull back your profitability numbers in ‘24, to where I think your ’23 numbers are at . So, how should we think about the levers which you guys have to further scale up after taking maybe 150 to 200 basis points over the next two qu arters ?
Rohit Anand: So, I think we had articulated our actions, which are short term, which is what we had set, I just articulated before that we are driving , and we will continue to drive that over the next two quarters . Those short -term actions will continue, because that's a regular part of our quarterly operations. But from a structural and long-term perspective, th ere are two or three things that we had articulated that we will do, which will not just drive change next year, but all m ore in terms of next two to three years .
So, one is the g eography mix , if you look at our mix, we were around 47% to 48% U.S. geography, which are now close to 52%. Obviously, some of it is FX impact that you see in the Europe . But even if you take that ou t, the mix in U.S. is going up and Europe is going up versus the rest of the world , right. So, that's one area we articulated around 12 months back that we will push to make our investments in those areas better. And hence change of mix over the next three year, more in line with getting them better towards driving better margins outcomes. So, that's one area structurally that you will see the difference.

Second, we had also articulated that some of the investments we have made in large deals in exe

cuting, in setting the structures , COEs of making large deal execution and winning that as a n investment that will start giving us some benefit, or kind of leverage as we move forward. And some of the large deals getting into the mode of 12-to-18-month cycle, and post that giving margin benefit next year, should give us return there as well over year -on-year basis. So, that's the second area then as I mentioned, streamlining the portfolio on streaming out the low investment buckets will always be a drive, that shou ld continue to drive margins for us.
So, I think structurally, that will continue for us as we move forward, and also when we look at our competencies, some of the competencies like Digital Engineering which gives us a better return, we are through various organic and inorganic investments, developing those investments. And that also should give us a better margin mix as we move forward. So, those are some of the areas that we are investing to drive better outcomes more structurally as we move into FY'24.
Moderator : Thank you. The next question is from the line of Sandip Agarwal from Edelweiss. Please go ahead.
Sandip Agarwal : Two things, #1 on the demand side while I know that our performance till now doesn't reflect anything, any kind of weakness nor our discussion with customers are showing any signs of that, but what is your sense, will we get more clarity, when they start the next year budget? Or you think there will be some other signs which you would be tracking to gauge the demand for the next ye ar?
#2 While I agree that you have answered in different ways the margin question, but I would like to still probe a little bit more on that. To think that the internal metrics are enough, our internal operating metrics are enough for getting margin benefi t from here, expense from here or you think that external levers as well, like there is a scope for price improvement or something which can further aid our margins.
Rohit Anand : On our demand view of second half maybe I will open it up to Manish to give a view to you with respect to Comms, and Jagdish and Vivek in terms of what we are seeing other than Comms. I will begin by saying that we continue to look at our pipeline on a very regular basis, how that is moving across geography, how that is moving acro ss vertical. Our timeline to close deals are changing quarter -over-quarter from what we had to now on a significant basis or marginally. So, we continue to monitor these triggers. And that's why I said, when we look at those internal data trends, we don't see some of that reflect in what the macro discussions are. But I think as we get into the second half of next year, I think a possible, kind of recessionary phase seems imminent, more likely in Europe region than in U.S. and maybe U.S. would lag with that impact more

towards sometime middle of next year.
So, I think that will have a consideration impact on us, as we think about second half, at some point of levels for next year.

So, we are keeping all that in mind and our internal actions are driven toward s that possible scenario as well. I think specifically on those segments, maybe I will just open it up first to Manish to talk about Comms and how he is seeing the customer discussions as well as lever on the demand environment for the second half of next year.
Manish Vyas : On the demand side you are right , I think we will indeed continue to get more and more clarity, as the year winds down and people finalize their budgets and assess this calendar year, this fiscal as well. But that said, I think our overa ll funnel and pipeline of all kinds of discussions that we are having across the world continue to remain very robust. So, depending on the budgets here there could be an impact as we go forward with some of the decisions. And there hence could be some rep rioritization of where

the money is spent, contrary to probably where the money was
spent in the last two years, on the technology side. But it is very clear that with all the gains that the enterprises have, and the telcos have achieved over the last two years, the focus on that spend will continue to remain high.
There will be no doubt a little bit of reprioritization, for example, in the last cycle, they spent a lot of time in continuing to build platforms for customer experience management. Going forwar d, we start seeing a lot of activity in more and open design, open architecture, creating and converting their network assets into more of a platform play. So, some of these stories will play out as the year ends and the next year starts.
At this point, I think we do have both kinds of discussions that are happening in terms of looking at the current spend, at the same time, which is a cost player, savings player at the same time, some discussions around increasing the velocity on a few reprioritized digita l projects, whether it is in the network realm or in the underlying digital realm. So, absolutely, I think for the next two, three months are going to be crucial to continue to watch for this space.
Jagdish Mitra : Just similar commentary I think to what y ou heard from Rohit and Manish. Primarily, we may see an impact in Europe more so not that the deal pipeline or the demand is not growing, but probably decision making on closure on certain things, may have an impact in Europe. And so we will have to watch it closely. But good part is that the investments we did on tech and continue to do around the four areas that we feel are critical Cloud, Engineering, Connectivity and Experience and also our ongoing business around sustainability tech. These are things that we don't think are going to be cut down and there will be a requirement for the service offerings, irrespective of the speed of decision making. So, that, plus our large deal pipeline continues to look robust.
So, those are positives, and we will prob ably have to keep a watch on how the decision -making timeframes , as Rohit said , it is a key parameter that we keep a watch on.
Moderator : Thank you. The next question is from the line of Girish Pai from NBIE . Please go ahead.

Girish Pai : I had a few questi ons on price realizations. Rohit, you sounded a bit cautious on pricing in the second half of FY'23. Today, you seem to be sounding a bit more positive, has something changed?
Secondly, are you having any price like pushback from any section of your client s with the kind of macro that we are seeing right now? And probably a shift away towards cost optimization or savings related kind of work that you will probably see in the future?
Rohit Anand : We h ave been looking at this pricing scenario, from a macro perspective for a while now. While we were confident of our internal program, the external macro impact was always looming. But I think as we move forward, at least from a current quarter perspective, we continue to see the pipeline, which we can execute on and see that benefit that we brought over the last two quarters continue. And as things move, change, or whatever happens, I think that scenario will now probably play out in Q4 rather than Q3. So, I think from that perspec tive, it's slightly better than what I had anticipated. And our programmatic approach and pricing will continue.
I think from a customer standpoint, there are , as Manish mentioned, some discussions going -on on various priorities of the customer happening, and we are critical part of that solutioning , either be it on their journey towards a cost approach standpoint or from IT or even from a BPO standpoint. But I wouldn't say that it's radical. It's right now not a trend that we see, but still, we continue to push & proactively work with customers across.
Girish Pai : The othe

r question has to do with CP commented where he said, we have got about $716 million TCV . And we kind of hinted that we could have got a lot more, but because of the decision - making being slower, so was there any specific geography or any particular verticals that where these concentrations of decision -making being delayed that you saw?

Rohit Anand : Not any specific geography or vertical, just a couple of deals that from a closure perspecti ve spilled over to the current month. Decisions on order booking have spilled over, there are lot of other variables. That's why we always talk about a range, and these are not that specific that you kind of decide that this is the time is going to happen, it pans out. So, from that perspective, we are in the range. And hence the view from this side was the pipeline strong. And we continue to see momentum that reflects in that conversion. And hence, the trend for now will continue as we move forward.

As I a m continuously reiterating that this is a dynamic scenario. And we are monitoring it closely. So, that's an area that as we move into the next couple of months, we will keep on updating you as we see any changes happening.

Girish Pai : Lastly, these $700 mi llion to a billion dollars of TCV , that guidance still remains for the next couple of quarters, or will that change?

Rohit Anand : Yes, right now, I think there is no reason for us to change that and it entails what we articulated --

Moderator : Thank you. The next question is from the line of Venkat Samala from DSP Investment Managers. Please go ahead.

Venkat Samala : I know enough questions have been asked on the margins. But then, just a little further probing on that, you did mention a lot of l evers plus the portfolio pruning exercise that we are undertaking. Given the fact that this quarter we had wage hike, headwinds for us and given the levers that you spoke about which will play out in full throttle in H2 as well, should we expect a sharper ramp up in margins versus 30 bps to 40 bps that we saw this quarter?

Rohit Anand : Yes, as I mentioned before, I think our actions still have headroom, and that will continue to drive that, the precursor that I continue to reiterate is how the growth pans o ut and compared to first half there is a little bit more uncertainty, furloughs was an example we spoke about, which is marginally higher, as I mentioned, and then other dynamics, which might change as we enter the Q4. So growth, obviously will have a litt le bit of impact on how those translate into the P&L. From our perspective, I think all we are focusing on is driving those actions and ensuring that what we have set ourselves as goals, we continue to drive that as we move forward.

Moderator : We move to t he next question from the line of Viraj Kacharia from SiMPL. Please go ahead.

Viraj Kacharia : I just have two questions. First, I didn't get the explanation on the impairment charge in the standalone operation, so if you can explain again, please, as to what charges were you relating to?

Rohit Anand : Regarding the i mpairment that I mentioned before, our strategy is to integrate businesses, as we had articulated a few sessions back, maybe six or nine months back we did a specific M&A session with Vivek. And we articulated that our strategy is now to integrate all the portfolio companies in the core business and that integration means the front office, back office including our view that the business that we do doesn't follow a specific legal entity model. So, to measure the performance of a particular business you are going to look at cross entities, which is not really represented effectively as compared to when it that comes at a specific legal entity on a standalone basis. So, hence, a consolidated view , if there is any impact to impairment side. From that perspective, the standalone

factor doesn't really impact on the performance of that business, in the true shape or form.

Viraj Kacharia : And second question is, you talked about portfolio pruning as a leve r for margin improvement. But so just to kind of dwell a little deeper into this, what has driven margin erosion in those businesses in last say, one and a half year because from our business point of view, our utilization is also not to the level where it was say a year back so there seems to be a good amount of avenue in terms of making good use of utilization. So, just trying to understand from a business point of view what has driven the margin erosion in those businesses, where we are looking to prune.

Rohit Anand : So, various factors, the returns, the pricing is probably not up to the point, and there is activity that nonstrategic and non-core to our region which in turn doesn't really align from a synergy perspective. So, various factors . In fact, Geo is another area that we feel we don't have the scale to get the benefit there. So, it's multiple of those that we trying to take actions on. And I think from a current point of perspective it's 20 basis point improvement of margin, while we are almost 1% impact on the discontinued business. So, as we keep on moving forward, we will see

similar impacts between 20 to 40 basis points on actions that we will take, and we will keep you posted on specific areas around that.
Viraj Kacharia : No, what I really mean t is in terms of verticals or geographies, can you kind of give a more detailed perspective? Which verticals they are happening in or which geographies --?
Rohit Anand : Yes, it's a cross. And I think as we execute on to that, in this current quarter, the i mpact is more on BFSI and the geography is ROW. That's where you see the impact coming through. But as we execute the others, we will share that perspective with you as well.
Viraj Kacharia : Okay, so of the businesses, which have you acquired in say last year, year and a half, any perspective you can give in terms of how the margin performance been in those businesses. So, the portfolio pruning is largely in the ROW or other businesses, but it 's not really in any of the acquisitions?
Rohit Anand : No, not there, I think those are, as we mentioned earlier, integrated to our core offering helping us continue to close deal wins to the better range that we can now versus what we saw earlier. So, the y are fitting in well, integrating, we are working with specific integration, as you remember, we mentioned that this year, we are focusing on integrating these businesses, and these are almost 10 different assets that we had acquired. So, integrating thei r front office, back office, aligning cultural integration with them, and as you know, aligning the backend support, finance, all that takes a significant amount of time, our focus there is that. From a return perspective, they are performing very close or better to the business case that we got them also. So, I think for now, those are moving on track, and I don’t know Vivek, if you want to add something on the portfolio integration progress that we are making.
Vivek Agarwal : I think just adding on to what Rohit said, really, success ultimately for us is measured in large deal wins and the influence of these new capabilities we acquired and how well we have integrated them. And then from an operations perspective, the focus is on driving higher value to the customer, can we take more share of the wallet from the customer with new and expanded offerings. And then from an efficiency perspective, it's about standardization of our systems processes and any cost savings there. So, those are really the three vecto rs on which all the integration activity is driven across, all the acquisition has support the core business.
Moderator: Thank you. The next question is from the line

of Dipesh from Emkay Global. Please go ahead.

Dipesh : Just two question from my side, on BFSI, BFSI remains slow. So, can you provide constant currency quarter -on-quarter growth first of all across verticals, particularly on enterprise side? Second thing is why weakness is visible in BFSI.
Second question is about low margin business exit stra tegy, what you highlighted about 100 to 120 million kind of impact on annual basis. It is more skewed towards IT business or BFSI business. Thanks.
Manish Vyas : So, I will answer the second part of the question, and that probably will have an answer on the first built in. Rohit talked about pruning and rationalization in our portfolio. A lot of what we prune in this quarter is in BFSI. Hence, you see softness in BFSI on a quarter -on-quarter basis. But we believe it positions us better and stronger in the lo nger run. There is no impact or no change from a demand perspective.
And on the on the quantum of pruning, if we wouldn't have, if you look at BFSI on a continuing business basis, excluding the discontinued business, we would have ended up with about 6% quarter-on-quarter growth in BFSI. So, on an overall basis, the pruning resulted in a lower reported growth of about a percentage point on a quarter -on-quarter basis.
Dipesh : Can you give us constant currency growth for other vertical also?
Manish Vyas : I think Bhairvi will have the data and she will share the data offline.
Moderator : Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to Mr. Rohit Anand for closing comments. Over to you, sir.
Rohit Anand : Thanks everybody for joining the call today. And just to recap, our Q2 performance has been a result of driving operating actions. We will continue to focus on those as we move into the second half, while watching the macro environment ca utiously and as that pans out more closely in Europe than anything else.
And then just from a shareholder perspective, reiterating our commitment to the capital allocation strategy that we had articulated. So, in line with that, we have given 20% increase versus last year on the dividend and we will continue to focus on shareholder value as we are moving forward. So, thanks to everybody who joined us today.
Moderator : Thank you. Ladies and gentlemen, on behalf of Tech Mahindra Limited, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

4th February , 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 31st December, 2022

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended 31st December, 2022 conducted after the meeting of the Board of Directors held on 30th January, 2023, for your information and records.

The above information is also available on the website of the Company at
https://www.techmahindra.com/en -in/investors/disclosure -events/

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

"Tech Mahindra Limited's Q3FY23 Earnings Conference
Call"

January 30, 2023

MANAGEMENT : MR. CP GURNANI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER
MR. MANISH VYAS – PRESIDENT , COMMUNICATIONS , MEDIA
AND ENTERTAINMENT BUSINESS , AND CEO, NETWORK
SERVICES
MR. JAGDISH MITRA – CHIEF STRATEGY OFFICER & HEAD
OF GROWTH
MR. HARSHVENDRA SOIN – CHIEF PEOPLE OFFICER
MR. BIRENDRA SEN – BUSINESS HEAD, BUSINESS PROCESS
SERVICES

MR. LAKSHMANAN CHIDAMBARAM (CTL) – PRESIDENT –
ENTERPRISE AMERICAS
MR. VIVEK AGARWAL – PRESIDENT - BFSI, HLS AND
CORPORATE DEVELOPMENT

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q3FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pre sentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. CP Gurnani – M.D. and CEO for Tech Mahindra. Thank you , and o ver to you, sir.
CP Gurnani: Good evening, everyone , and again, thank you for joining us on the Q3FY23 Earnings Call . We beg an 2023 with a special milestone that enterprise verticals have reported a billion dollar quarterly revenue. I want to thank all my employees , customers, and more importantly, the technology leaders in the company wh o have continued to invest on connected enterprise and connected solutions. I'm grateful that some of our leaders have remain focused on building tools and technologies in the worl d of cloud, AI and data in the world of metaverse and web 3.0 , in the world of newer solutions with 5 G and AI and cyber security.
Our team at BORN have continued to deliver record performance on customer experience management, and customer experience manag ement extends to our service offerings in BPS , which continues to deliver record performance.
I'm also proud to thank my technology team, which has now delivered the CloudBlaze tech platform. It's a sector -agnostic platform, which will help our client s improve their digital absorption, digital acceleration, and more importantly, cloud consumption. This, we have done in a partnership with all the hyper scalars . It's sector -agnostic and will create value for all our clients we will partner with hyper scal ers.
On the CME side, 5 G continues to fuel the growth . 5G in enterprise which is one of the focus areas , we have announced with Mahindra G roup 5G rollout at one of the largest and the most modern auto factory at Chakan near Pune. So, it is clearly a tri-party performance as I call it ; involving a telco provider like Airtel and value integrator like Tech Mahindra . We do believe that this will unlock a lot more opportunities for us , and it will also be good for our clients because they will improve prod uctivity , they will use intelligent and more importantly , AI-driven network solutions , and it will help our clients run their operations smoother .
On the Q3 performance , $ 1,668 million , I think it translates into quarte r-on-quarter growth of 1.8% for enterprise and for CME it translates into 1.9% . I mean, clearly in a normal situation , Q3 what is internally known as December quarter is seen as a softer quarter , I think the company has delivered good performance.
In gener al, I can only say that our leader in our vertical service offerings is BPO. They are one of our largest and the faste st growing businesses. They probably are one of the best performing BPO companies if they were a standalone company, an d they have done remarkable growth in Q3 and overall also, their year -on-year growth is close to 21%.

On the operating margin side, I know there is a lot of work to be done. We are right now at 12% , but our commitment t o focus on EBITDA improvemen t, on margin improvement , and us being able to work on the levers, I think is reasonably high. A large deal team has done overall a great job; they delivered deal wins of about $ 800 million, we have had good large deal wins in the Americas and both in telco , doing even the platform for the future versus we have signed a multi - year partnership with a digital wellness and a health technology company. So, overall , digital transformation and

business transformation has been the key to t he wins that we have had this year.
I know there are broadly questions regarding the macroeconomic environment . I can only say that the company has decided that we are going to become a lot more agile. We will be looking at our operations alignment with 1 ,290 customers now on a monthly basis. Earlier , we used to do it on a quarterly basis and the reason is very simple ; on one end, when I look at my deal pipeline, when I look at my three main value offerings, which is cost transformation, digital transformat ion and business transformation, we still see probably record high deal flows. At the same time, we have seen a few clients hit the pause button for the discretionary spending. We will obviously want to remain w ith the customers better aligned with our bac k office operations ,

and we want to be more responsive to our customers , and hence we are going to go into the monthly demand and business plan management.

So, again, inherent strengths of the demand is strong. Drivers for the demand are strong. And the im pression that we getting i s that our investments in Metaverse, Web 3.0 , Blockchain , 5G, and some of the platforms will be helpful. Cloud continues , AI-enabled Metaverse continues to be the best service offering right now.

So, we do recognize the near term challenges. But more important is we are confident that our customer base is our biggest asset , our workforce is our biggest asset , and we will create a much more agile organization.

So, Rohit over to you with your set of numbers.

Rohit Anand : Thanks. Good evening, everyone . Let me now cover the Company Financials for the Quarter -ended December 2022. We ended our third quarter with revenue of $ 1,668 m illion versus $ 1,638 million last quarte r, up 1.8% quarter -over-quarter , adjusted for FX, the growth comes at 0.2% . Growth was broad -based with CM E growing at 1.9 %, enterprise growing at 1.8% over the quarter .

Revenue in INR terms was Rs.13,735 crores versus Rs.13,129 crore s in Q2, up 4.6% QoQ . The EBIT for the quarter was at $200 million versus $184 million in Q2. The EBIT margin was at 12%, an improvement of 60 basis point s. We got some tailwind from the currency, which helped drive operational rigor as we'd covered it, which is partially offse t by certain SG &A increase.

Moving now from EBIT to other income for the quarter , we had $30 million of other income versus $36 million in Q2. FOREX gain was $15 million compared to $16 million. The tax rate for the quarter was at 27.4% . The PAT for the quarter is at $157 million , and the net profit margin for the quarter is at 9.4%, which is a 40 basis point s, drop from Q2 mainly because of the rate of tax a t a lower point last quarter versus this quarter. Our free cash flow for Q3 was $31 million which is 20% of PAT . Since s ome of the b illings were impacted by furloughs, we had some FX impact of revaluation as well. We'd also said during last quarter that we had some movement from Q3 to Q2 due to which the Q2 cash flow was very high, that has got ten normalized as well. So, when you look at the year till date, FCF number is closer to $350 million, which is approximately 80% of the PAT conversion. For the full year, we still have a very strong view of FCF conversion to PAT , as we move into the fourth quarter . DSO was similar to the last quarter at 98 -days.

As mentioned earlier, we continue to consistently follow rule -based hedging policy . As of December '22, the tota l hedge book is $2.5 million versus $2.4 million in Q2, based on hedge accounting treatment , mark -to-market gain on 31st of December was approximately $7 million, of which $6.6 million was taken to the P&L, and the rest went to reserves which was $0.3 million. We had a cash and cash equivalent of $780 million which is Rs.6,449 crores . We

are

committed to prudent capital allocation and returning back to the shareholders as per our earlier commit ted outlook.

In summary, I would like to reiterate that we a re committed towards executing the plan ned targeted actions of improving profitability even up in the near -term demand headwinds.

With these remarks, let me now open the floor to the question s.

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Abhishek from Nomura. Please go ahead.

Abhishek Bhandari : I basically had two questions. Ro hit, first is on your margins. Look , this quarter, we had good improvement on utilization and the subcon expenses going down. And we had earlier thought about exiting Q4 with 14% EBIT margin. So , maybe you could give us some of the additional levers what you think you have from here on to improve the margins further?

Rohit Anand: As I said earlier, our focus on margin expansion continues from a lever standpoint, our subco n cost is still high, we h ave actions lined up to get that normalized , that will continue to be an area of focus for us. Again, from a comparable entitlement position perspective, we will continue to drive offshoring as an action item also , that's the second lever we will continue to drive . We'd also articulated earlier that we are looking at non -strategic assets, where the margins are not favorable to us and shutting those businesses or divesting the m will help us . So, we continue to execute on that plan , so, that action will also continue from a structure standpoint . Overall from automation in delivery and how we optimize delivery is going to be a critical lever as we do more and more engagements on fixed price and as you see our large deal volume going up. An

important part of tha t is driving efficiency , but driving more to on automation . So, delivery excellen ce, I'll say , is the other bucket that will continue to drive margin expansion , and the last but not the least is our portfolio companies or the companies that we have acquire d, I think our synergy with them continue to drive action both on the revenue side as well as on costs. So , I think as we move forward, that's another area that we'll continue to work on to drive margin expansion.

Abhishek Bhandari : My second question is on the demand comment . Both CP and you mentioned that the near -term demand environment is challenging. While if I look at your order booking for this quarter is at least still hovering in the range of around $800 million , so, are you seeing any kind of delay in execution, or the TC V to AC V transl ation is elongating in your deal book, which might be an additional thing to keep in mind while we model our growth numbers ?

Rohit Anand: So, maybe I'll answer it on what we' re see ing and maybe CP can ad d on as well. So, from a demand environment standpoint, as CP also mentioned, versus the first half o f the year, definitely , there is slowdown, the decision -making is relatively s low, people are taking more time to close transactions. Also, wh ile the deal win number is still good. I think when we look at the current book of business, which is with existing customers, there are a lot of areas where we continue to work with them on smaller assignments, and delivery engages with the clients on driving growth th ere as well . I think those budgets are getting squeezed as well , and those incremental small deal sizes or opportunities are reducing as well. So , that conversion to revenue is much faster versus typically what you see on a large deal conversion standpoint . So, I think that's also playing out as the squeeze from each and every customer depending on where they are, how their financial outlook is , how their customers are reacting to the current situation , that environment is panning out, everybody's reacting differently

, and hence, the point that CP made that we are being very agile to monitor our actions, conditional to those customer behavior. So, that's kind of a few points there. CP, if you want to add something more on the demand environment ?

CP Gurnani: The best is to hear directly from Manish Vyas , Jagdish Mitra and CTL if he is on the call. Manish , you want to go first?

Manish Vyas: Absolutely , CP. I think, Abhishek, the demand scenario can best be described as where after having spent a signif icant amount of money on digitizing both the customer experience as well as the network , I don't think broadly speaking, strategically, there is going to be any slowdown in those areas . The modernization of the telco, modernization of the IP stack, and as they continue to work on finding out where exactly is the monetization opportunity that will come , in all of this, I think what will happen and what is happening is , there will be a little tightening of the operating budget to basically find new ways of de livering services. So , we are going through that process of change , the other inflection point in many ways. And as we do it, what will happen is the demand cycle will slight ly change , in the sense, we will start seeing lot more of cost take -out opportunit ies yet again, which we saw a few years ago . I think we're going to start seeing those opportunities over the next … difficult to try and hazard a guess on timeline,

but maybe about six to seven months from now , we will start seeing some of these deals fructify. Why? I think we have maintained that the digital spend will continue to happen in agile fashion in small, bite sized projects as they have been happening. So , that's really the qualifier behind how the demand is going to be happening. Tightening of OPEX, smaller deals as far as digital transformation is concerned, followed by as we are working on some large cost take-out opportunities in the industry. I hope th at answers your question , Abhishek .

Jagdish Mitra: Abhishek, we are pretty similar to what Manish talked about in terms of the generic trends that we see in the industry. But there obviously are going to be some market and industry nuances that we will see . I think, for example, we already know that there has been a fairly good quarter -on-quarter deal signing for us. So , from the demand side, we still see a similar robust growth . On the enterprise verticals , there will be good growth expected on some of the se verticals, especially retail, manufacturing, and similarly on banking and financial services, Vivek, my colleague can comment on that. We will see some slowdown or rather tepidness in hi -tech as you know, as they start to reorganize and look at where th e spend and the allocation will be. But broadly, we see demand being quite robust, large deal inflow is quite strong, and the decision -making, as Manish also mentioned, will be spread over a little more time than what we see now. So, that's how I see the o verall segments play.

Moderator: We have a next question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain : Rohit, to your comment on the margin side, when I look at some of the matrix right here with the kind of growth that we sa w last year and the kind of traction which we might see given the macro we are in, and how some of these factors that you're saying are really doable in this environment, because utilization is already high for you, and then you expect the subcon also to go down? And some of the factors which you are saying in terms of divesting or strategic thing or even offshoring, what kind of impact those elements will have on the revenue growth if those are the margin levers?

Rohit Anand: I think, maybe just take it sequen tially. From a subcon perspective, we've articulated this that, earlier from a perspective due to travel restr

ictions and certain large deals requirements to have a specific skill subcon requirements, we had a higher subcon as a percentage of revenue, righ t. And we clearly articulated, we have a transition plan as we move forward on substituting or replacing that or eliminating as relevant. So , we will continue to work on that journey. And I think as we go forward, we feel , we have significant opportunity o n that area, not just current quarter, but even getting into the next year , right, so that will be a short -to-medium term lever to continue to work on . When you look at offshoring , again, I think , while we have taken action on offshoring to drive more and more people from onshore to offshore , but somehow, the way the reduction of headcount s panned out , the mix from an offshoring perspective as a percentage of total headcount hasn't showed that chan ge. So , our view is on entitlement perspective, we still have significant headroom to go there again from short -to-medium term . Revenue o n divestiture, I would say that we haven't really called a number , but broadly, I think we've done some actions last qu arter, we have similar or slightly more actions lined up as we move forward. Because you

would appreciate the action or some of these are a little bit structural, and you have to line up a lot of aspects, depending on are you divesting or discontinuing , right, so based on that, how they pan out, we will continue to share the impact , but one thing is for sure, it will be favorable to the margin , and that's a big driver of our action around that portfolio , right. So , those areas will continue to give us lever s significantly moving forward , not just in Q4, but even going into the next year. So , broadly, those are the areas that will work out .

Rahul Jain: One mo re question which is related to your active client data. It's been growing, but the pace of that has r educed significantly. So , is this a conscious effort in terms of choosing the net new customers more in a different light altogether given the margin aspiration, but these are also related to some demand side things ?

Rohit Anand: We had a conscious process and a project where we were trying to make sure that we rationalize or right -size our TL accounts , where the size of the business is that a particular threshold or below a threshold we expect , that we don't see a pipeline with that custom er. So, hence our focus has been to continue to work on fine-tuning that list, right. So, that's a conscious effort because of which , net, you don't see the increase, right , while we have added a new customer , we have also taken out a lot, which are sub -optimal and below the threshold that doesn't give us the economies of scale for expansion for those, in fact, turns out to be more managerial bandwidth diversion actions for us, right . So, that's the reason why you don't see a net significant increase there because of that action we are driving .

Rahul Jain: Lastly, from a more bookkeeping point of view, this spread that we got this quarter in terms of dollar to CC was quite significant. Is there a ny specific reason for that or is a general big move in the GP C or any other factor that led to this and what we should bank for now based on the current rate ?

Rohit Anand: So, if you see even last quarter, we had a headwind due to currency, which was significant due to the movement we saw in G BP and Euro pe predominantly . This time that has corrected with some of these currencies, moving back a little bit, right . GBP and Euro, b oth. So, that is causing the fluctuations over last and this quarter, both negatively last time and positively this time . I don't think so there is a prediction on how it will pan out from an FX perspective. But , as we move forward, and as the rates change , we continuously look to model it and keep you informed on how thin

gs pan out as the quarter goes.

Rahul Jain: Probably I will take it offline, because the difference still looks very significant compared to some of our peers.

Moderator: We have our next question from the line of Surendra Goel from Citi Group . Please go ahead.

Surendra Goel : So, you may have mentioned it earlier , I'm sorry if you have already done so , but CP, Rohit, could you talk about the trends in the top five clients, the performance year -over-year as well as

seque ntially looks quite weak , and what is the outlook there , what should we be expecting in the coming few quarters?

Rohit Anand: Yes, I think from year-on-year perspective, you see a reduction in the contribution by the top five clients. I think we have a couple of customers there that are having their internal restructuring plans and focus projects that they're working on . We are partner to them or those actions and initiatives. Based on that , we see softness in tho se customer s causing that impact. Some of it is obviously on a reported basis driven due to FX. If you see last year rates versus now, it's unfavorable, right . So, on a reported basis, you will see a couple of points dil ution due to that. But the second poi nt is what I've said earlier, there are certain actions that they're working on and we are very closely working with them, but that is causing us a decline when we look at it. Going forward , I think we are estimating that to bottom out by Q4 probably, as we move forward , in terms of impact , from there, we will have to work closely with them to see , as CP mentioned, a very agile resource management focus to see how we're able to support them as they change their plans in the other direction.

Surendra Goel : What is the constant currency performance in the enterprise business sequentially this quarter?

Rohit Anand: We have stopped disclosing that , but broadly, it's not much different at an overall average basis ; enterprise has a little lesser FX impact than coms, but not much different.

Surendra Goel : Are you see ing any meaningful change in deal durations in the T CV that you are winn ing?

Rohit Anand: Yes, yes, we are seeing decision -making to be slightly longer than what we were seeing in the past. While the pipeline is still robust, and a lot of them are towards mature state of closures , we still see from that point of final signing, i t's a little bit of a longer process , because people really just want to be sure wh at are they committing to, is it fitting into a probable scenario analysis for them . So, we are work ing very closely with them , we can be even modeling that for them , right. So , I think there is an impact there. CP also articulated, the decision -making is becoming slightly slower. And as we move forward, it's important that we continue to be staying close to the customer so that the way they're thinking, we are making sure that we are close to that thought process as well as their planning as they look for the future.

Surendra Goel : My question was slightly different ; are we seeing less smaller deals and more relatively larger deals, so that was the context which I was trying to get here?

Rohit Anand: Average deal size hasn't changed for us, it's a similar number, maybe in the last four quarters, we saw one or two probably large deals, but beyond that, as I look at the current quarter mix also, we have a similar one large deal which is more than the average which is similar to what we saw in the pas t. So, not really significant change in the average deal size for this time versus the last few quarters.

Moderator: We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : First of all, I wanted to understand thi s headcount reduction on software side. We are now running

at utilization, I think, that's even higher than pre -COVID levels and considering that attrition is still kind of above pre -COVID and probably likely to remain, slightly elevated, wondering, how mu ch headroom we have in utilization

Rohit Anand: I think our pre -COVID level…probably don't have the numbers, but I remember we have operated at utilization level of even 88%. So there is still headroom there maybe . Generally, I think, the view from a headcount perspective is more closer to as you move forward, I think as we said, the macroenvironment is relatively volatile. So, we just want to make sure that we are actioning…while we are actioning closer and linking ourselves to the macroenvironment , the lean linearity of correlation between headcount and growth is also diluting a little bit. So, just to kind of clarify, we feel that there is not a direct correlation that you can apply on reduction to revenue, while there will be certain linkages, th at correlation is not 100%. As we look forward, I think, while we don't give view on headcount hiring, all we can say is that that's going to be very closely aligned and monitored with the demand environment that we see, and given where we are, while the p ipeline is strong, overall demand will be pushed to a longer decision cycle, right. And what I had articulated earlier also is the committed business where we are working on the run basis with the customers, there's a lot of smaller required change orders that keep on coming on that business. So, that is becoming mo re and more squeezed, while does it show in the large deal wins, but squeezes the revenue profile.

Ravi Menon: Rohit, this quarter, it looks the growth has primarily come from the rest of the wo rld, the core markets. Americas and Europe seems quite week. Still done some slight addition, but almost all the revenue added, 30 million or so comes from rest of the world excluding AUD contribution there, that seems slightly negative. So, any comments a bout what drove such strong performance to India this contract that you guys are mentioning about this manufacturing plant introduced 5G, IoT work in India ?

Rohit Anand: This quarter , rest of the world has grown , but, we've consciously said that we are very selective in India, what deals do we b id and choose . So, I think from India perspective, it's a very margin - focused strategy . From the other regions within our ROW that are seemingly doing well, I would call out , Middle East specifically, I think we're seeing some good momentum there and significantly good digital deals that we' re work ing with the customer in that region, and that's driving a growth , that region, we feel from an out look perspective continues to be positive, right. And as you look at th e global macroeconomics also next year, you will see much more pressure in US, UK, generally Europe, Germany, all the developed countries . When we look at GDP growth in all the ROW countries, including MEA, Africa, ASEAN, etc., the pressure on GDP growth will be relatively less. So, as we move forward, I think it is going to be very important from a margin management perspective that as we grow in the growth oriented regions where there is still demand, we pick and choose the right project to drive the right profitability outcome that we have articulated to you guys.

Ravi Menon : Sir, but that seems to be at odd still the commentary from one of the larger peers, so seem to suggest to US and UK demand is still strong and the y are looking at, those geography is really driving growth even in this calendar year?

Rohit Anand : As I mentioned, you look at the pipeline, the pipeline deal wins are still coming from predominantly US and Europe, but there are certain client specific top accounts restructuring that has been happening due to which we see a pressure in those geographies, I think tha

t is also
contributing for us versus may be general view that you have got. So, maybe that is the factor from a depreciation standpoint .

Moderator : Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Rohit, my question is when I look into the segmental IT services margin, for the last three quarters of FY23 it has been remaining stagnated at 14.5 % to 15% despite IT service utilization has gone up, subcontracting cost has come down, so is it fair to link this stable margin despite improving operational parameter s, with the restructuring that's happening in the top 5 clients and if yes what is the nature of this restructuring which is impacting the margin as a whole?

Rohit Anand : Sandeep, maybe offline with the IR team we can look at the last three quarters of IT, there is some play between FX that has playing out may be last quarter, there was an impact on FX, but operationally it was higher and similarly the opposite way, so we can go through that with you separately, but generally from an impact perspective, as we look at the growth, one big area is if you look at the last two quarter's growth, overall the IT segment versus the previous two quarters, there is a slowdown there, so that definitely has an impact from a margin actions perspective, while we have right sized the organization over the last 2 -3 quarter s and improved utilization. I think because of the sudden change in the growth environment that does have an impact. In terms of impact of some of the key customers and what they are doing, I think it is more an internal kind of restructuring on how they a re looking at their priorities and how they are trying to re - club that in a particular fashion, so we are ensuring that we are closely working and consulting with them jointly in that process. Beyond that, I think since it is the customer specific informat ion, it is very difficult for me to divulge anything more.

Sandep Shah : But there is no realization pressure, it is unfair to say that?

Rohit Anand : Not really, I don't see if there is a realization pressure.

Sandeep Shah : And just last question, in terms of the business realignment or restructuring where you are cutting some of the low margin business, last time you called out the annualized run rate in $220 million ($120 mn actually) of which half has been concluded in 2Q, so what is the status in 3Q and is it fair to say th e margin benefit of these rationalization of low margin business may start coming from 4Q or FY24 or it has already started flowing into numbers into Q3?

Rohit Anand : No, the ones which was done , has already started flowing from Q2 onwards, we have had limited impact in Q3. There are few discussions which are in progress and as we move forward in Q4, it will continue, it is not the end that we will end the action as we end the year. I think the point is we will continue to work on the fine -tuning the pruning list going into the next year as well and as we do that depending on the nature of the transactions the margin impact will flow through immediately or with a lag. So, as we conclude those we will communicate it appropriately to you.

Moderator : Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria : So, first question is correlation between the deal wins and revenue growth, if you look at the last year, we kind of ended the year with a very strong growth in the deal wins which translated into almost double digit revenue growth in constant currency terms. If you look at now, trailing 12 - month deal wins number it is kind of stagnated at a particular rate of $3.3 billion, so how should one think about the deal wins stagnating versus revenue growth outlook over the coming 12 months, I know that you may not be able to giv

e any quantitative guidance , but just trying to understand the correlation and conversion better?

Rohit Anand : So, I think I wouldn't talk about the guidance, but maybe as I have articulated earlier as well, while the deal wins is still in the range that we anticipated it to be which is $700 to $1 billion , we do see pressures on decision making, so that is one area to think about. Second, as I mentioned, beyond the deal wins that we report all that new deal wins with new and existing custome rs which helps us, over and above $5 million, right, so when you look outside of that, in the next quarter, there is lot of activity that happens with the customer on existing projects where you can drive more revenue through add-on or bolt -on project s. This is what I was referring to when I men tioned that the budgets have become pretty tight with most of the customers and those opportunities are shrinking and hence the contribution that we typically used to get from those initiatives have diluted and this is reflecting in the revenue profile as well including the demand environment, so while the deal wins look robust, there is a contribution dilution from these areas and as we move forward that pressure will continue kind of into at least the next couple of quarters as we see the demand environment peak the way it is right now.

Gaurav Rateria : My second question is around margins, if you would be able to provide any margin block of this 9 months versus last year 9 months, what would be those 2 or 3 key facto rs that really drag down the margins, in this context if you see our attrition rates have actually come down below pre - COVID levels on LTM basis for last two quarters, so what could be the possible tailwind from lower attrition on margins one can think ab out over the next 12 months?

Rohit Anand : So, broadly from a margin perspective, the biggest impact for us is of course people cost and the supply chain pressure we saw from last four quarters that has had significant impact on the overall wage bill so tha t is the biggest dilutor . Then there were certain other EBIT line items based on the acquisitions we did, the amortization impact flows into the D&A line item, so that

also dilutes margin by broadly at 80 basis po ints or one percent. So, these are the two biggest areas in terms of margin impact that we saw . From go -forward perspective, as we mentioned a couple of quarters back most of the impact of that had happened at a rate faster tha n pricing increases , which was happeni ng with a lag. So with this and other operating actions we will continue to drive that to improve margin from here forth as we move quarter -on-quarter sequentially. Coming to attrition, which is also going in parallel while we have don e a lot of internal actions may be I will ask Harsh to comment on it, but just beyond internal action, which helped us the couple of quarters forth now in the recent few months, the market is also easing out a little bit, so you would see this trend across . So, from that perspective, the impact is going to be favorable or the wage will increase, but relatively versus what we saw last year that impact is kind of easing out. So, Harsh can add on the attrition trend and what we are seeing as for you to get a b etter understanding .

Harshvendra Soin : Yes, thanks Rohit . As he's said, we have been working diligently on reducing attrition and it is fairly under control, but if you look at the market, while we see it easing up a little bit, the niche skills are still bit of a challenge and therefore we will have to keep our efforts on and make sure that this doesn't shoot up. The other thing that we have to do to really make it translate into real saving is going to make sure that we increase our 'Junioriza tion' , optimize our internal rotation - this quarter internal fulfillment was much bette

r than any of the past quarters, but we will have to keep those efforts up, so the battle is not really won, I would say the journey is still ahead of us and we will concentrate on keeping this assets.

Moderator : Thank you. We have our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal : Just two set of questions, one is, just wanted to pick your brain a bit more on the BPO business, we had very strong growth in the BPO business this quarter , almost $20 million of increment out of the total $30 million that we did in this quarter came from that busin ess, so any color on that and what drove this growth, was there a large contract which may be just started in this quarter which led to bump up and we might see more normalized growth rate post that ? A question linked to that is - how do you tie up that very strong growth to a significant reduction in the headcount in BPO business, almost 4800 reduction, so how does that tie -up for overall BPO growth?

Rohit Anand : From a growth in revenue perspective, this is typically a sea sonal quarter for us where we see ramp up happening. At this time, it was significantly stronger than the typical trend also. I think I will ask Biren to comment on that because the team has done a good work in maximizing that opportunity. In terms of trend, yes, the seasonal, you need to look at the headcount movement than the impact with a little bit of lag marginally at some point, so we would have ramped up

headcount in the previous quarter which has now reduced in the current quarter whic h is
reflecting in your revenue growth and as the seasonality goes away that headcount has reduced,
so that is kind of the way to think about it. From an overall growth perspective, the BPS growth
levers and actions are lined up very strongly as we move in to the next year as well and I think

the team sees a favorable opportunity set for this set of segment for us to continue to drive
positively and that will be very accretive to the overall portfolio. Biren, maybe you want to add
a couple of more lines on y our growth journey?
Birendra Sen : I think on Q3 specifically Rohit has covered it all, but if we just step back and look at what we
are executing , our objective has been to le ad the CX segment through AI and data-based
transformation and ch allenge the back of fice businesses through the New Delivery model, so
while there is overall softness in the environment we will continue to execute well and we should
be reasonably confident of going ahead of industry growth.
Vibhor Singha l: Second question Rohit, just for the clarification, you have mentioned about the portfolio pruning
exercise that we had done a just a couple of quarters back, so could you just quantify to some
extent as to where we are in terms of that exercis e, in terms of targeted actions , you had
mentioned the impact could likely to be around $100 million, so are we through that exercise ?
And also in terms of margins, how much of margin accrual have we already seen and what is
the kind of timeline that we are looking at may be for the entire exercise to be covered
substantially if not completely?
Rohit Anand : So, we had indicated that range in the last quarter , out of which we executed annualized run rate
of almost half of it which g ave a bum p of possibly around 20 basis points in margin. As we look
at the next set of action s, I think I probably would quantify the margin impact while we continue
to be accretive from a margin standpoint and not just Q4 . These actions for us will continue as
we mov e forward into next year as well because while we execute this there is a continuous
pipeline that we will evaluate even for next year from now.
Vibhor Singhal : But any timeline as to let us say first half, second half that we expect this exercise to be ov er?
You mentioned

it might be a continuous process but the large part of the exercise when would
it be over next year?
Rohit Anand : There are lot of external factor dependencies around this, not just internal decision making, so
hence I think we want to make sure that we find the right partner, from a strategy fit perspective
of that business in terms of their ability to drive value , given our priority and our value from our
focus perspective . We just want to make sure that we had done right to partner side and if we
are discontinuing then there is a different set of action which we have to drive in terms of
managing the size of the book, delivery commitments to the client, l iquidating that as per the
company timeline, so I think from a timeline perspective depending on how we go and which
way we go it might vary because of that.
Moderator : Thank you. We have our next question from the line of Nitin Padmanabhan from Investec. Please
go ahead.
Nitin Padmanabhan : Rohit, just if you could help me understand this better . So you are suggesting that there is
continued weakness in the demand environment and with top 5 customers , but this quarter we ’ve

had furloughs, and one would assume that the furloughs would come back, and should sort of
yield revenue next quarter . Do you believe that there is going to be weakness despite that or how
should we think about thi s primarily?
Rohit Anand : I think there are two or three points here. Maybe I will also ask Manish to also talk about it . So,
I think in certain markets, we have seen the furlough this time continue into January also, so
some of the cu stomers have extended it. So, it continues to impact may be we might not see it
in the same proportion as we saw last quarter the impact that is one. Second is, I think from the
top customer impact perspective, we are seeing that continuously evolve and o ur expectation is
that it will reach a particular steady state by the end of the next quarter. So, I think those are the
two drivers that are happening . Overall , from a Hitech, and Tech market standpoint , it’s all over
the news and you wou ld have also read about it, there is lot of focus on cost and a lot of actions
that the companies are driving on the rightsizing their operations . Hence at some point based on
the customer profile mix, that will continue to impact us. So, I think those are the broad
headwinds that we see from a growth standpoint. As we move forward, of course the deal wins
etc add on to help mitigate it , but on an average right now, headwinds seem a little bit more
compared to tailwinds in the current scena rio, which is still very volatile and with some changes
it changes very fast, so our point on being very close to the market is the reference that CP was

bringing out. Maybe, Com side, Manish can give you also some flavor.
Manish Vyas : Look, I think growth and demand, I hope we are discussing with context and reference with the timeline . Broadly speaking , in the Telecom industry particularly there is already intense activity on large cost take -out deals . This is one sector where , in reference to one of the previous questions that was asked to Rohit in terms of the deal sizes , we do expect some of the largest deals to come back into discussions and they are indeed already coming back, but that could be a midterm to long term which is 2 to 3 quarters from now. When the consolidation is going to be a big growth trend for us in the Telecom sector, particularly with the solid active clients we have and the presence we have in most of the accounts as a Tier-1 vendor. Even with the small size Telecom on relative positioning is that of a major provider. That puts us in a pretty good spot due to the advantage of each vendor console plus cost take out and as we continue to driv e and the new budgets starts getting rolled out in different

parts of the world for continuing the
Digital Transformation because they are reassessing it . So, I think overall directionally these are things which always have helped our relative positioning in good stead and there is no reason to feel any difference about it now. In the very short term , I think some of the decisions that the budget cuts will induc e I think will indeed be there. We don't know how long will they last they could probably be as short lived as another quarter, but we do believe that overall the agile side transformation, vendor consolidation and the large deals, I think it is going to b e pretty positive in the long run for us.
Moderator : Thank you. We have our next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : I know you have already faced a lot of questions around margin outlook and the margin levers, but just wanted to understand Rohit a couple of things, while you are saying that we will see further improvement in terms of subcontracting expenses, but this is an expense item which for us has historically remained higher than peers, so is there significant change in terms of our operating model that we are thinking about when we suggest that there is more room to reduce subcontracting expenses? And the second question was around the onsite/offshore mix or more around the utilization metric s, so when we have operated at 88% to 89% utilization rates, our onsite, offshore mix was much higher and now you are talking about much higher offshore mix, so do you think we have more room to essentially improve utilization despite higher offshore mix of business?
Rohit Anand : So, maybe subcons first, I think with the subcon, as I mentioned we have got a tab on each and every spend we do, why we do it, what is the reason, do we have the skill internally , is it custom er specific requirement, so we have gone into each level of detail there through which we ha ve made time based action s startin g couple of quarters back and you can see the impact of that in the P&L. We will continue to drive that. There could be some new deals coming with similar consideration s which will temporarily bump up the requirement, but from an action focus and D&A perspective we are changing that quite rapidly in terms of actions that drive us to get this metric as close as possible to entitlement that we feel we can get to. So, that is on subcon. In terms of utilization and onshore, offshore, if you look at our offshore -onshore ratio, I think we have a significant headroom compared to peer set. We discount some of it because , most of if it are due acquisitions made adding to structural differences, but still out side of that, we feel there is quite a bit of headroom for us to work on. Again, we have created a work stream where we are going individual by individual, project by project on who, what name or person is going to be moved from onsite to offshore repl acement and how we are going to try the project execution with our chain . This is pretty well governed and hence our view on driving these metrics is positive. In terms of utilization, again we are striving to drive that to the next level tracking each and every increase in utilization percentage to final billing and collection to the customer, closed looping the entire order -to-cash. So I think the rigor in governance will continue. As we get each and every person to validated to point an increase in utilization and reflect the margin expansion. We will be very rigorous going forward , even our focus on cost is specifically the demand str etch environment, the focus on cost delivering measures, it is going to be even more scrutinized, so I think with that , the confidence level in driving this is pretty high. It is just that the overall demand environment be it flattish, positive, negative al so drives s

ome of the profitability outcome, so I
think we are balancing all of that as we look into the next quarter.
Manik Taneja : So, like through the course of this year, you had this target of getting or exiting FY23 with 14% EBIT margins, is there a similar target or a timeline that you want to set for us to see the margins going back to that 14 -15% levels?
Rohit Anand : Yes, we are working on this very strongly internally, we have got a team set up to drive our

medium to long term expectation. We have a strong working crew between operating team transformation and financing that drive us. We do have an aspiration, but from a guidance

perspective, all I can say is that we do have levers which we have articulated . They are going to be in general to move in the right direction of expanding margin over the short, medium and long term .

Moderator : Thank you. We will take our last question from the line of Girish Pai from Nirmal Bang Equities. Please go ahead.

Girish Pai : CP, in your media interviews at Davos you were sounding a bit more positive, incrementally has the demand environment changed for the better over the last 3 months or has that remained the same or turned worse that's the question number one ? Second, the discussion on smaller deal seems to be like little contradictory, did I hear that small deals are fewer in number conclusively now compared to say 6 months back?

Rohit Anand : So, Girish, sorr y CP had a hard stop at the en d of scheduled time and had to rush f or a customer meeting . On this Davos comment, may be you can send the note and we will respond back to you.

Girish Pai : So, generally if Manish or Jagdish can speak on how this has move d on three -monthly basis as it improved, worsened or being the same?

Manish Vyas : I don't think there is any inconsistency, if you play back about 10 minutes ago what I said is the overall broad commentary in terms of demand enviro nment. Of course you may want to check with CP on his commentary in Davos . But I think it is not a new train, I think this train is moving much faster and we will continue to see momentum in driving more and more Digital Transformation across the enterprises in all business processes and we are very upbeat about it. So, I think from a long -term standpoint that is great. From a trajectory standpoint there will be a little reallocation that is happening and that I think is segmental. It may not be broad based in every single industry. My commentary was more keeping in mind some of the tier 1 service providers versus what will continue to hap pen. Even there, the belief is that both 5G -related modernization, both of the network and the stack as well as the cost takeout, so that they could have more cash available to try and pump into the transformation initiative. That also will be a very secul ar trend going forward. I don't believe there is any inconsistency there. It could just be in light of very specific timeline that you are talking about in the short term, but otherwise I think this thing remains as promising as they were in terms of drivi ng and helping both business process as well as the stack continue to modernize in almost all the enterprises.

Jagdish Mitra : So, Girish, if you look at the enterprise side of the business, again, similar commentary that we spoke in the very beginning, it is starting to obviously reset the demand is growing as Rohit said the decision making is a little more delayed and discussed which means that some of these will start to play out, but the demand for technology to drive the transformational changes that we have invested in as a company and we called it out whether it is connectivity related with 5G across C&E and enterprise or whether it is Cloud or Experience or Engineering or even Sustainability, these areas have started to definitely create traction in t he market an

d I don't think

there is any inconsistency in the commentary that we have given. What we see therefore is as we said some verticals especially on the enterprise side will drive much better growth with furloughs not getting impacted for Q4 etc., but in certain cases in Hitech etc., you are seeing what the news is, so that is going to have impact on may be you will see the growth going forward. So, that is how we see it, but overall demand from the client base on areas of growth specially driven t owards automation and cost efficiency goals seems to be quite robust.

Moderator : Thank you. I would now like to hand the conference over to Mr. Rohit Anand for closing comments. Over to you, sir.

Rohit Anand : Thank you. Thanks to everybody for joining us f or the quarterly results. Again, I will recap, on sequential growth of 0.2% reported 1.8 %, broad base between C ME and Enterprise, deal wins $795 million, again within the range we had articulated, margin expansion as we had said quarterly sequentially continue s and with that I think we will continue to make sure we drive the value creation points that we had articulated for our shareholders and investors, so thanks for joining. Wish you have a good evening ahead. Thank you.

Moderator : Thank you. On behalf of Te ch Mahindra Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

5th May , 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter and year ended 31st March, 2023

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended 31st March, 202 3 conducted after the meeting of the Board of Directors held on 27th April , 2023, for your information and records.

The above information is also available on the website of the Company at https://www.techmahindra.com/en -in/investors/disclos ure-events/

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

"Tech Mahindra Limited Q4 & FY '23 Earnings Conference Call"

April 27 , 202 3

MANAGEMENT : MR. CP GURNANI – MD AND CEO
MR. MANISH VYAS – PRESIDENT (COMMUNICATIONS , MEDIA AND ENTERTAINMENT BUSINESS) & CEO, NETWORK SERVICES
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER
MR. BIRENDRA SEN – BUSINESS HEAD – TECH

MAHINDRA BUSINESS PROCESS SERVICES
MR. JAGDISH MITRA – CHIEF STRATEGY OFFICER
AND HEAD OF GROWTH
MR. VIVEK AGARWAL – PRESIDENT – APJI
(ENTERPRISE), BFSI & CORPORATE DEVELOPMENT
MR. HARSHVENDRA SOIN – GLOBAL CHIEF PEOPLE
OFFICER AND HEAD MARKETING
MR. LAKSHMANAN CHIDAMBARAM (CTL) –
PRESIDENT – AMERICAS (ENTERPRISE BUSINESS)

Moderator : Ladies and gentlemen , good day, and welcome to the Tech Mahindra Limited Q4 FY '23 Earnings Conference Call .

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C P Gurnani – MD & CEO for Tech Ma hindra. Thank you, and over to you, sir.

CP Gurnani: Thank you. Good evening to all . I am really happy that FY23 has proved to be yet another year of double -digit growth and p articularly proud that our large deal wins have been about $3 billion. I'm also very happy that CME, despite all the challenges has continued to grow for 12 quarters in a row.

On the Enterprise side, we have touched a billion dollar quarterly run rate which means really a billion -dollar businesses have been built in BFSI and Manu facturing and also very happy that the technology investments , upskilling investments your company has made on Quantum Computing Metaverse , on Blockchain , Web 3.0, Cloud and the Customer Experience Management are yielding good results.

We continue to be focused on making our customers successful and we do believe that while the global economic outlook continues to be little uncertain , the macro indicators and the actions of the monetary authorities impact because of some of the regulator y or the policy decisions taken is resulting in some of our customers slowing down for the time being, but I know if our customers are cautious , we need to be cautious, but the other way of looking at it is that Tech Mahindra as a company has always believ ed that never waste a crisis and we would like to double up our investment in people upskilling , we want to double up our investment in technology , we want to double up our investments in prioritizing a few markets like Japan or Middle East because we gene rally believe that there will be more large deals because our clients will eventually want to move to new platforms, would want to move away from legacy to digital and I think this economic downturn will force the decision making, particularly from legacy to digital.

So as my clients adopt new technologies , they l ook at how they will meet some of their customer demands , Tech Mahindra will be ready alongside our clients to become agile and relevant for the next few quarters.

My personal belief is that this p hase is temporary, and we will see a recovery within FY24 and hence I remain more determined to be aligned with our customers, be aligned with our partners, and deliver value and more technology benefits.

Just a quick recap on the numbers :

FY23 constant currency 13.7% growth .

Margins , yes, they've been under pressure, but as I said if you look at investments, if you look at the potential for us to look at certain operating efficiencies, particularly on automation , I think there are enough operati ng levers for us. We do believe that because Tech Mahindra has invested a lot in quantum and in AI, we are looking at predictive technologies, data sciences, cloud in a much bigger way . My belief is as we adapt it to our existing projects, we should be abl e to bring out some of the efficiencies.

In general, the Q4 Earnings , I know Rohit will cover in detail but on an annual basis closing the year with US $6.6 billion of revenue. For this quarter, the large deal is at US $592 million but as I said last year, we did US $3 billion, and we will do a lot better this year because our clients want to take some big decisions. They may have a little bit of hesitancy right now bu

t eventually
looking at improving their own utilization also.
On the dividend side , our capital allocation policy is consistent. Capital allocation is if we have extra cash, we will return it. So , our board has agreed to a recommendation of a final dividend and the total dividend now becomes Rs. 50 for the year.
So, I again want to repeat to me that the soft environment is an opportunity and Tech Mahindra is geared for that opportunity through our own investments in technology and automation.
So again, thank you for all your support. Thank you for being with us during this tough time or softer times but I do promise you that the company is a lot better engaged and a lot better engineer ed for both growth and profitability.
I'm joined with my colleagues Manis h Vyas . Jagdish Mitra, Vivek Agarwal , Harsh S oin, and CTL so we will have a free -flowing debate but before we start with the question and answer, I'm going to request Rohit to take you through the numbers a little more in detail.
Thank you again. Thank you everybody.
Rohit Anand: Thank you, CP. So good evening t o everyone.
Let me now cover the company financials for the Fourth Quarter and the Year Ended 31st March 2023 :
We ended Q4 with a revenue of US $ 1,668 million , marginally up compared to Q3 constant currency .
CME vertical grew 1.8% Q oQ on a CC basis, while Enterprise vertical decreased by 0.7% cc.

Our deal wins were at US $ 592 million for the quarter and revenue in rupee terms was Rs. 13,718 crores versus Rs. 13,735 crores in Q3 , down 0.1% Q oQ.
The EBIT for the quarter was at US $ 186 million versus US $ 200 million in Q3. The EBIT margin of 11.2% versus 12% last quarter. The reduction of 80 basis points was largely contributed by currency impact of 60 basis point , SG&A impact of 90 basis points and these were offset by productivity actions that we had articulated in the past that we've been working on, namely around subcon reduction which gave us the tailwind of 70 basis points .
Moving below EBIT – Other income for the quarter was US $ 37 million. We had a FOREX loss of US $ 1 million compared to a gain of US $ 15 million in Q3. There was a one-off impairment cost of US $ 26 million in Q4 which was reported in the financial this quarter. We continue to follow from an FX perspective a rule-based hedging policy which has helped us deliver g ood results over a long -term period and we will continue to follow that as we move forward as well .
From a tax rate perspective, we were at 26.2% for Q4 versus 27.4% for Q3. As we have said before our normalized ETR for the year is in the range of 25 % to 26% so that continues to be the ba nd.
The net profit margin for the quarter was 8.2% , a decrease of 120 basis point versus Q3. Free cash flow was US $ 142 million , which was 104% of PAT.
Our DSO s have reduced by 2 days to 96 Q4 versus 98 in Q3.
Moving o n to the full year performance :
Revenue stood at US $ 6,607 million with a constant currency growth of 13.7% . In rupee terms, our revenue was Rs. 533 billion , a yearly growth of 19.4%.
During the year, Communication business grew as I mentioned, 13.4% and Enterprise grew 13.9% in CC terms. Within Enterprise – Technology, Retail and Manufacturing were the major growth drivers for the year.
We ended the year with a n EBITDA of US $ 990 million and an EBITDA margin of 15.1 %. The EBIT for the full year was US $ 747 million and an EBIT margin stood at 11.4% versus 14.5% in FY 22. This decline of broadly 300 basis point was driven by :
• Headwinds due to wage inflation that we saw on the supply side, more aggravated towards the first few quarters versus the last quarter .
• SG&A, travel costs with some of the normalization post -COVID increasing year-on-year.
• Some of the deal M&A related cost that we had articulated before around 50 basis points

.

• Then the large deal cost where the ramp up in the initial phase of large deal reduces and the recovery or the efficiency happens in later years so that was around 70 basis point.
The offset for the year were driven by pricing , we had c ommunicated at the beginning of the year that we will target close to 1% of expansion due to price and that is what we've

delivered close to that number. From a subcon perspective, we've had a reduction, so hence that has contributed 80 basis point and then we continue to drive more offshoring. T hat has helped us give a benefit of 30 basis point.

Going below the EBIT line :

Other income for the year was US $ 119 million. Other income year-on-year was lower because of lower FOREX gain compared to last year. When we look at our hedge book, it was US $ 2335 million with a mark -to-market gain on outstanding covers as of 31st March 2023 , being US $ 13 million . Based on the hedge accounting treatment, a gain of US $4 million has been taken to the P&L while the US $8. 9 million residual has gone to reserves.

Free cash flow for the year was US $ 497 million which was 84% of PAT conversion .

DSO year-on-year went down by 1 day.

Cash and cash equivalent at the year -end stood at US $ 905 million and in INR terms Rs. 7,435 crores .

In line with our commitment to prudent capital allocation a s CP articulated , we continue to return cash to shareholders. The Board as per our recommendation has approved a final dividend of Rs. 32 per share , taking the total dividend for FY23 to Rs. 50 per share, which is an expansi on from last year by close to 11% from Rs. 45 a share. This translates to a dividend payout ratio of 91% for FY23.

In summary :

I would like to reiterate , that our execution strateg y is focused on portfolio synergy, operating rigor, and people transformation as we move into the next fisca l.

With this commentary, I will open the floor to questions and with all the Leadership Team , we'll take each question one by one.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Rohit I had a question on the low margin performance for Q4 and the path going forward. Now if you could help us explain what happened on the SG &A part that there was such a sharp

increase and if I look at your commentary since the start of the year and also in your Analyst Meet, the visibility on you recovering back to the FY22 margin towards FY23 seems to be very heavy , so if you could help us understand now how should we think about margin expansion from here and Q4 particularly SG&A what happen ed?

Rohit Anand: From an SG&A perspective , I will just answer the Q4 first. From an investment perspective, we continue to invest , from a business process perspective and system perspective , we a re taking a longer -term view here so that continues. We did have some year -end cost which w as skewed ; then that will get normalized as we move into the next year. I think our view is that SG &A as a percentage of revenue should be in the band of around 13 .5% for us so that should get normalized. When you look at the future view in terms of margin, right as we move from here as I had mentioned in the Investor Meet also in March, I think the levers are the same for us and we've delivered in the current quarter as well . If you l ook at the direct cost aspect , we said that subco n will be something that w e'll keep on working on and that y ou'll see a dramatic reduction there. We will continue to work on 4 -5 levers as we said earlier. I think our large deals will get a little bit more maturity in terms of where they are to where we want them to be next year so that

's one lever . Second , we had articulated we still have almost 4 % to 5% improvement opportunity in our offshoring rates versus where we are today so that will continue to drive. We also said that we will continue to drive pyramid rationalization and that's an investment we are going to make in FY24. We also said that we will take some structural action to divest or stop and cease some non-profitable o r low -profitable businesses, so we did some actions last year and we'll continue to execute on the pipeline we have to expand margins on that front as well. And then within subcon as well, while we continue to reduce it, we'll also drive better margin mix there by improving the mix. So those are a few actions that we will continue to drive as we move forward and. I think directionally our commentary is the same that we have more opportunities to continue to expand it. Obviously, the macro environ ment in the last two quarters and as we look at the next two quarters is different than what we've seen in the beginning of the year. And our view is as we move into the second half , it will get better again to where we were. So, in terms even macro first half will be more cautious versus the second half .

Abhishek Bhandari: So, if I can understand it correctly, the margin improvement for FY24 is contingent on a better second -half of FY24.

Rohit Anand: I would say margin improvement will be irrespective of the view that we will go for but when we look at our demand scenario and our overall macro environment vis-à-vis the verticals and all the mix that we have, second half in our view get s better than where we were in the first half but that's not the basis on which we will drive our margin action.

Abhishek Bhandari: Second and final question is on your Top 5, client outlook , while you had already signaled it in last the quarter that the Top 5 clients might remain soft for some more time. if you could h elp us understand, how should we think about this bucket going into FY24? How long do you think the decline in this particular thing will continue ?

Rohit Anand: I think as I mentioned it is bottoming out as we speak . There are certain plus and minus there but generally the trend is seems to be stabilizing and as we move forward, while I can't share any customer specific information, but we've had majority of the impact should be towards the fag-end of that.

Moderator: Thank you. The next question is f rom the line of Sandeep Shah from Equity Securities. Please go ahead.

Sandeep Shah: This is a second quarter in a row where constant currency growth is like a flattish and Rohit you also mentioned that the first half would be cautious. So how do you see FY24 in terms of the growth rates? Will it be second -half heavy , will it continue to remain tepid in the first half, despite you believe the Top 5 client specific issues are largely behind. So how do you expect there would be a growth bump up from the last two quarters in the first half itself or you still believe the first half would be cautious and growth revival would be only due in the second half ?

Rohit Anand: As I mentioned while I won't give a number or a guidance, but directionally that is true I th ink the headwinds that we've seen from a growth perspective when you compare our second -half this year versus the first half . From headwind perspective macro side, the trend in our view and looking at our mix customers, verticals, all that our view is that trend continues in some form or shape for the first half . The pipeline is still robust right across the segments, there are good deal discussions happening, there's a mix change in terms of deal s dynamics also, but from a pipeline discussion perspective, it's quite favorable overall, right , But the trend wise, yes, first half versus second half is kind of the reverse mir

ror reflection of what we saw last year as of the current view . And as we move forward, we keep on updating you on what chang es are we seeing across industries vertical and geography, but I can also request Manish is here. We've got Jagdish and Vivek ; they can add some flavor on their side of the business to give you their perspective as well.

Manish Vyas: Thank you, Rohit. I just add that the broad sentiments continue to remain . The investments from a tech standpoint, I think remains a top priority for most of the customers that we talk to . Either it is to find operational efficiencies or to continue to modernize. What clearly h appens in uncertain times like these and some of that story is playing out in the second half of the last fiscal is some of the discretionary spend and the transformation projects they do go through another added lens of evaluation before the money is released . So that's what we are seeing at this point in time and that of course sometimes has an effect on OPEX as well. We d o believe that as things become more certain, the second half of the fiscal, I think we'll start seeing the positive upswing and so me of the large deals that we are pursuing now , as some of them have got delayed from a decision standpoint, they nevertheless remain extremely important for each of these customers to decide at some point . It could be a month ; it could be sometimes more t han a month . As those decisions manifest, I think it will start translating into revenues towards the second half of the year. I hope that helps you, Sandeep .

Sandeep Shah: And commentary on Enterprise .

Jagdish Mitra: Jagdish here . I think similar , in terms of behavior . The digital transformation journey as we all recognize is a train that's definitely not stopping and it's a lot of demand in the customer base of what to do in terms of bringing transformation at different levels , So even cost peak o ut is ultimately leveraging these technologies which CP talked about where we've invested in and we're starting to see a lot of engagement on that, whether it's AI, whether it's data analytics, whether some of the work that we're doing in Quantum , etc. Pre tty similar to what Manish said, decision making is going to be prolonged. People will look at it multiple few times. The conversations are there and obviously mode of the discussion is towards cost takeout related deal structuring and transforming their c ore functions, whether it's supply chain, whether it's back - office operations so and so forth and it's pretty uniform across enterprises industry verticals, some little more than the other but more or less the good part of it is the tech conversations and the transformation conversations continue. So , we are confident and bullish that the transformation journey is definitely not slowing down.

Sandeep Shah: OK. And just to follow up in this outlook for growth, which may be tepid in the first half, how do we see wage hikes and timing of the wage hikes? Will it fall into place by Q1-Q2, which we

generally do as a whole or there could be some delay in the same?
Harshvendra Soin : So, this is Harsh and thank you for asking that question. Like we have done in the past we continue with the same strategy of staggering the hike suitably as we view quarter -on-quarter, so we'll follow the same strategy this year too.
Sandeep Shah: So, it would be across four quarters of FY24.
Harshvendra Soin : We will stagger it. We don't know if it will be for two quarters or four quarters, but we'll stagger it for sure.
Moderator: Thank you. The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.
Sudheer Guntupalli : One of our competitors saw a sharp decline in Communications and thereafter the expectation was that we should se e a sharper impact given our conc

entrated exposure to this vertical and some of our top clients are from this vertical. However, your Performance in communications is fairly defined So what is driving the optimism that top account issues are still bottomin g out or close to bottoming out? Is this being led by the fact that we had already gone through a longer period of softness in this vertical and accordingly, you think a lot of it is already in the base?
Manish Vyas : On the contrary, I think you heard in t he opening comments, and I think I've also been saying it for some time, we have actually seen a consistent growth in the Telecom vertical now for the last three years. I think this is a quarter of celebrating a few interesting important milestones in our lives. We did say and give all of you an early indication on 3rd of March that we should be getting too close to a billion -dollar run rate as far as our 5G business is concerned and as you know we invested mostly organically in capabilities , solutions across the broad range of the 5G

spectrum f rom software , to services , to integration , to test to manage services automation included , all of that has translated indeed into that billion dollar number that from a run rate standpoint that we have hit. The other very interesting and important I'm sure all of you would recall that back in the days 2015, I'm taking you 8 years back , we did invest in L CC and that didn't play out that well a t the time, but we have been consistent in saying that our comm itment as a technology agnostic independent integrator and managed service provider to the networks, both carrier and enterprise network , I think it's a huge differentiator for your company - that's also played out extremely well. While we don't break the business unit numbers often . But at this point I'm happy to report that it's seen one of the fastest growths . It should be close to a billion dollar by the end of this year as far as our netw ork business is concerned . I don't know whether you call it optimism or o ur strong belief in this industry vertical , it's largely because of the support that all of you have provided in continuing to invest and becoming the market leader in this space with the wide margin. As far as Telecom is concerned, there is not a single telecom service provider in every market that we want to operate in that we do not serve today. So now granted that one quarter or two or a little uncertain at a macro level does not d efine our presence, our strength, our investments, and our performance in this sector. I think from a long -term standpoint, I wish I had a crystal ball to say whether it will be third quarter or fourth but I definitely can say this that from a mid -term to long-term standpoint, the discussions that we are having with this sector are absolutely all time best and I don't think we need to be concerned about that.
Moderator: Thank you. The next question is from the line of Girish Pai from Nirmal Bang Institutional Equities . Please go ahead.
Girish Pai: You mentioned that theirs is probably be a pickup in growth in 2H, what is it optimism based on? Is it based on some client co nversations you've had or is it merely hope?
Rohit Anand: So maybe overall I'll say that the pipeline is quite robust from where we were last year so I think that is first ray hope, if you will. Second is client conversations w hich Manish just mentioned which is what it's saying that is quite positive. There is a slowdown in terms of decision making, which is what we were saying that there are more approval cycles and hence the final sign -off is taking time which is what we're kind of cautioning out from a first half perspective. We'll continue what we've seen in the second half of this year. But from an industry perspective, if you look at cloud penetration is still low. In Communication , 5G p

enetration is still a lot to desire for, and AI work is just starting right . So, I think Data Analytics on top of cloud, all that from a technology penetration standpoint, when you look at all the metrics is positive. So , one -two-three quarters really doesn't define the long-term trajectory that the business has to offer and that's what gives us the optimism including the discussions we've had and maybe some of them just in the recent past that Manish , Vivek, Jagdish have had , maybe you can elaborate some examples.
Manish Vyas: The only thing I would add to this and we may have mentioned this earlier, this is not the first

time this story is playing out in this tech industry theater where we have seen these pressure

points and the decisions that typically get made are around modernization, around transformation, aroun d cost take out and those conversations have begun now . Like we said, we can't really predict whether these decisions will happen in six months or eight months, but they will happen at some point in time. It's also not a function of hope, but definitely a function of the business that we have at this point in our conversation if that answers your question.

Girish Pai: Just a last one, w hat's your view on pricing in FY24? I believe you did get some price increase in FY23, how you're looking at that in 2024?

Rohit Anand: We'll have some carry forward impacts from last year to this year that will flow through of the impact of Q2 -Q3-Q4. But incrementally, while we continue to drive those conversations , there are oppo rtunity on where we should be versus where we are is there . But on a broad -based perspective versus last year is going to be quite limited as an opportunity. I would say we would continue to work on proactively providing solutions to our customers and we are right now focusing ourselves to be very close to defining how they look at the future and hence , positioning ourselves on driving efficiency outcomes for them, which gives us opportunity to get more business as well as expansion with the same customers , hence the cost of acquisition and other efforts goes down to improving the productivity from a business standpoint. So that's kind of what we'll drive and the pricing as a lever is going to be limited this year versus last year.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead .

Manik Taneja : I had a question with regards to the way our headcount essentially has been coming off through the course of last couple of quarters and on the IT, services side has been declining for the last three quarters. So how should we be thinking about our optimization around pyramid in the context of the fact that our headcount has been coming off for the last three quarters alongside utilization almost run ning close to the peak levels.

Harshvendra Soin : This is Harsh and t hank you for asking that question, Manik. So , if you notice that our internal fulfillment rates have increased substantially. In fact, we've gone up from about 46% to about 71%. Clearly, o ur focus, as we stated in the last quarter also on upskilling and giving opportunities for within has really worked out. Now add to this the fact that our attrition is also the lowest in our peer set gives us a lot of confidence that the strategy is workin g, and folks are getting more opportunities internally . So, we don't have to go out for every single vacancy. I think that's a good sign for the organization going forward.

Manik Taneja: Given the fact that you expect first half to be relatively subdued, s hould we expect that the deal wins number will also remain below the typical range that we are targeting ?

Rohit Anand: We won't give a guidance specifically on a number, but I think from an overall year perspective CP also commented that and

Manish added to the comment that the discussions are quite favorable and encouraging and hence from a yearly basis , if we look at the y ear versus last year,

we feel that as it moves today and what the quality of those discussions are, we should not be far off from where we're lasts year .

Moderator: Thank you. That was the last question for today. I would like to hand the conference over t o Mr. Rohit Anand for closing comments.

Rohit Anand: Thank you. I just want to reiterate that as a Company as we have committed in the past, we'll continue to drive towards the goal of driving productivity . We will continue to expand margins that we have communicated to you. We will continue to provide return to shareholders. We have returned back Rs. 50 share this year and which is an 11 % expansion from last year which is as per our capital allocation policy . As a Company we just continue to our goal s of driving growth , margin improvement from where we are today and then capital return. So , with that we'll move into the next year with those goals in our mind and thanks everybody for joining us for today's call.

CP Gurnani: I just wanted to reassure al l the analysts and investors that the C ompany is conscious of some of the macro challenges, but I think we are in a better position to address some of these challenges and that old saying that “opportunities are best discovered during the crisis ” and the Company is geared up to take advantage of the crisis. Thank you so much everybody.

Moderator : Thank you. Ladies and gentlemen, on behalf of Tech Mahindra Limited, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Aug 2023

31st July, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th June, 2023

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended 30th June, 2023 conducted after the meeting of the Board of Directors held on 26th July, 2023, for your information and records.

The above information is also available on the website of the Company at https://www.techmahindra.com/en -in/investors/disclosure -events/

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

"Tech Mahindra Limited Q1 FY '24 Earnings
Conference Call"

July 26 , 202 3

MANAGEMENT : MR. CP GURNANI – MD AND CEO
MR. MOHIT JOSHI – MD (DESIGNATE)
MR. MANISH VYAS – PRESIDENT (COMMUNICATIONS ,
MEDIA AND ENTERTAINMENT BUSINESS) & CEO -
NETWORK SERVICES
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER
MR. JAGDISH MITRA – CHIEF STRATEGY OFFICER
AND HEAD OF GROWTH
MR. BIRENDRA SEN – BUSINESS HEAD – TECH
MAHINDRA BUSINESS PROCESS SERVICES

MR. VIVEK AGARWAL – PRESIDENT – APJI
(ENTERPRISE), BFSI & CORPORATE DEVELOPMENT
MR. HARSHVENDRA SOIN – GLOBAL CHIEF PEOPLE
OFFICER AND HEAD MARKETING
MR. LAKSHMANAN CHIDAMBARAM – PRESIDENT –
AMERICAS (ENTERPRISE BUSINESS)
MR. ATEET DHAWAN – CHIEF TRANSFORMATION
OFFICER

Moder ator: Ladies and gentlemen. Good day and welcome to the Tech Mahindra Limited Q1 FY24 Earnings Conference Call .

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentatio n concludes. Should you need assistance, join the conference call , please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. CP Gurnani – MD and C EO, Tech Mahindra. Thank you and over to you Sir.

CP Gurnani: Good morning, good afternoon, good evening wherever you all are thanking you for joining this Call.

This Q1 -FY24 Earnings Call , I have with me my senior leadership , whom most of you have interacted with, but I do have my other colleague , Mohit Joshi, who is taking over from me, and he is MD (Designate). I want to take this opportunity on behalf of everyone to welcome Mohit Joshi to Tech Mahindra. He has now spent about 5 weeks in the Company and as the old saying goes, "bapti sm by fire ". Sure enough, he is getting th e required exposure at the same time . He will share his own experiences with you.

Tough times don't last. Unprecedented times don't last. Challenges of global economy, challenges of communication media sector. I think I can keep counting. Several reasons why Tech Mahindra has faced one of its toughest quarters in recent times. My own pe rsonal belief is some of the transformative projects coming to an end , one odd customer declaring bankruptcy , a few challenges on the road and overall, the revenue drop and our cost, I mean we have not been able to balance it, right and which has become a prescription for a reasonably bad quarter in terms of our overall performance and I can only see an upside .

Really three or four reasons why I think we have a decent upside :

1. Our client -driven , customer relationships . Our dialogue with the customers is still strong . That effectively mean s we can plan a lot better, and our customer centricity will help us recover from where we are .
2. Our investment in talent. Just to give you an example, we trained and upskilled 8,000 people last quarter in new AI platforms and in generative AI. Effectively, that means that we have used some of these challenges to repurpose and retrain our people. So, our focus on people, focus on talent overall, is quite strong . Generative AI Studio developing a large set of solutions and use cases. I think it will help us as we go forward.
3. We clearly are again investing making sure that we continue with our investments not only in the new technologies, we have announced more investments in quantum - computing , cybersecurity and AI, but I think overall our primary differentiator will be

5G connected solutions and networks and experience management . And we will convert them into solutions for the clients , not only the 30 use cases that I said about AI, but also by increasing our reach with the clients.

4. Last but not the least, there are operating levers, both Harsh and Rohit hav e worked , and we are getting into that mode of "Execute , Execute, Execute ".

So, while we have various accolades also from our technology partners , from different customers but I think it is important to recognize that our results could have been better.

I can take you through the Results , but I think the best way is to reinforce my confidence that this quarter is a blip in our growth trajectory. We have a robust pipeline of opportunities across all geographies, across all verticals, across all service lines. We p ride ourselves on our cust omer centricity and people centricity . We are confident in our ability to overcome the current challenges and we will appear stronger as a lead

er in the IT Services industry.
We have a solid foundation of capabilities, assets, values and differentiators from our competitors . The market demand is still strong, and we do believe that we are in a position for future growth.
So, I can only reinforce that treat this as a blip and we are getting better focused on execution, more agile on meeting revenue and cost .
And over to you, Rohit. If you would like to take us through the numbers .
Rohit Anand: Good evening, everyone. Good morning, good afternoon basically where you are .
Let me cover the Company 's financials for the Quarter Ending June 2023.
We ended the 1st Quarter with revenue of USD 1 ,601 million versus USD 1,668 million in the last quarter, which was a sequential decline of 4% QoQ . The decline was greater in our CME vertical, which declined by 9.4%, while the Enterprise decline was margina l at 0.4% Q oQ.
Our TCV deal wins were lower than in the previous quarter at USD 359 million . Revenue in INR terms was INR 13,159 crores versus INR 13,718 crore in Q4, showing a reduction of 4.1% QoQ.
The EBIT for the quarter was USD 108 million , rupee terms INR 891 crore versus the last quarter at USD 186 million, in rupee terms INR 1530 crores in Q4.
The EBIT margin was at 6.8%, a drop of 440 basis point due to three areas of drop :
1. Revenue drop, impacting margin quarter -over-quarter. We had to take a one-time provision in the quarter mainly driven by certain customer declaring bankruptcy and

on accounting principles, we have to reserve for that exposure that's causing a one - time provision in the quarter impacting margin by approximately 2%.
2. The s easona lity in Co mviva where the top line decrease impacted the margin of 0.5%.
3. There is 2% on one -time provision , reduction 2% broadly on revenue drop impacting margins and 0.5% due to Comviva seasonality .
Below EBIT other income for the quarter was USD 23 million versus USD 37 million in Q 4.
The quarter's gain was USD 5.4 million compared to a loss of USD 0.8 million in Q4. The effective tax rate for the quarter was 27.6 % and PAT for the quarter was at USD 84 million in rupee terms INR 693 crores.
Net prof it margin for the quarter was 5.3% . Our free cash flow for Q1 -FY24 was USD 106 million , 126% of PAT. DSO was up by 2 days at 98 compared to Q4 at 96.
As mentioned earlier, we continue to consistently follow a rule-based hedging policy. As of June 2023, the total hedging book was USD 2.7 billion versus USD 2.3 billion in Q4 '23. Based on hedge accounting treatment net mark to market at the end of 30th June was USD 33 million, of which USD 8 million was taken to the P&L and the rest USD 25 million was taken in reserve.
We have the cash, the cash equivalent of USD 939 million, in rupee terms INR 7,701 crores as of 30th June.
In summary, I would like to reiterate that we are committed towards e xecuting the planned target action as CP mentioned to improve our profitability as we head into the rest of the year.
CP Gurnani: Rohit, I'll just talk for 30 seconds. I just wanted again to welcome Mohit and Mohit, if you would like to just say hello to the audience .
Mohit Joshi: Thank you, CP, and it's great to speak to all of you again. Just to make three points. The first is that as CP mentioned it has now been five weeks since I joined TechM and I've really been gratified by the very warm welcome I've received from the teams, from the wider ecosystem, from many of you and from our clients.
The second piece is that over the past f our to six weeks, I've had the opportunity to visit many of our clients, to visit many of our centers to take stock of our service lines and I'm very enthused by what I see : a very strong connect with the employees, who really have a very unique affinity to Tech Mahindra and to the broader Mahindra Group and its values. Got t

o meet a set of customers who again in most cases have had a multi -decade relationship with TechM and really see us as an integral part of their tech -driven transformation journeys. And then got to a sense of our service lines, right, which really have seen a lot of investment, our innovative , and across the board are being infused with AI as well.

And the last point I wanted to make was obviously we've had a challenging quarter, but in the medium to long run, again, given what I've seen of the company, our clients, the ecosystem, I remain very optimistic about the opportunities in front of us. I look forward to working with all of you through many, many years to come. Thanks, CP.
Moderat or: We will now begin the question -and-answer session. The first question is from the line of

Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: The first question is looking at the decline in the revenue at close to 4%, is it fair to say that most of the headwinds on the demand especially on the communication side, is fairly behind where you may see a gradual recovery or you believe full quarter impact, which has not come in the first quarter, may come in the second quarter? And Rohit, ju st a bookkeeping question, in terms of 200 bps provision for doubtful debt looks like the client may have a revenue above USD 100 million, looks like a big client, and is it in the telecom account or in the enterprise?
Rohit Anand: So, maybe I'll answer th e second one first, Sandeep, and then we'll go to the first one. On the second one, it's a cumulative number from the discussion the customer had been ongoing for the last 3 -4 quarters, right, and that's amount is a pile up of that, the quarterly revenues already in the Q1 baseline is impacted, so we've not taken that revenue, it's quarter over quarter, not going to have a decline or any impact to the year in terms of run rate, but it's a culmination of three, four quarters of impact. So, that's on the one -timer. And then in terms of communications, I would say, you're right, most of the headwind is behind us as we look forward. But in general, the telcos are still pretty tight on their budgets on any capital outlays of projects as well as on OPEX. The focus is a lot on over OPEX reduction. So, as we move forward, we'll continue to work closely with them to ensure that we align our strategy in making sure we help them drive more outcomes as they look forward to the rest of the year and the next year. So, I'll also request Manish who is on the call to give a little bit more flavor on as he looks forward for the rest of the year, how does he see it across regions and customers.
Manish Vyas: Sure, Rohit. I will just add one additional point to what you just s aid. I do concur with Rohit that the worst is behind us, most of the headwinds we have seen. There is another factor that does happen in Q1. I hope all of you do recall there is an element of cyclical nature to one or two of our businesses. That also plays out in Q1. Our endeavor always is to try and compensate for that through additional growth. But then this was like a perfect storm where all budgetary pressures on discretionary as well as the cost take out on current OPEX, all three factors were happenin g at the same time. So, fundamentally and structurally, I think we are still very well placed to continue to scale growth from here on.
Sandeep Shah: Rohit, how to look at margins going forward? And a question to Mr. Mohit, as you have joined, it looks lik e both the departments on margin and revenue growth need a turnaround . So, would you like to first focus on margins and then look for turn around or you may look to manage both and repair both on a going forward basis?

Rohit Anand: So, Sandeep, maybe I'll take care first in terms of our action

and then pass it on to Mohit for his
views. But from an action perspective, when you look at where we are in terms of the opportunity, I think there are three, four areas that we've articulated before, which we will continue to execute. We've seen some improvement in these metrics, but I think there's more to be desired. So, if you look at subcon, our cost was 16% of revenue which we now move closer towards 14% and we said that we will continue to aspire and get toward s less than 10% there, right. So, that continues to be a focus area as we move forward for the rest of the year. When we look at the Junior ization opportunities of our pyramid structure we've articulated that that's an area of improvement. As we go forward , we'll continue to invest in that and make sure we bring more juniors into the organization driving the more efficient average resource cost that will help us give more productivity as we move forward. We will continue to drive offshoring because we had m entioned that we have room of 4% to 5% improvement in medium term and continue to execute on that. So, these are the operating levers we feel comfortable available to us to execute as we move forward and then the divestment for non -strategic portfolio, whi le it has small impact on margin improvement, it does have a significant impact on managerial bandwidth to focus on what matters most. So, we'll continue to drive that also for the rest of the year. So, these are some of the levers that we'll work on, and we mentioned those in the past as well. I'll hand it over to Mohit to give his views .
Mohit Joshi: To add to what Rohit said, look at the end of the day, it has only been five weeks in the organization and I'm more in a mode to listen and to learn. And we have an extended transition over the next five to six months. And so, we'll develop a plan in concert with the entire team to turn the trajectory around. Again, I'm sure a lot of those actions will be similar to the ones that Rohit has just outlined.
Moder ator: The next question is on the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: So, just wanted to take a dig deeper on to what exactly transpired in the telecom sector and how do you see this going forward, do you think tha t large part of the cuts that you saw in this quarter are kind of done and hereafter we've kind of hit a bottom in this one or clients are still reluctant to spend, there could be more cutting discretionary spends going forward in the coming quarters and a ny other scope for, let's say, recovery in the telecom spends that you could see over the

next few quarters?
Manish Vyas: I don't think anything in this large industry happens in very short bursts. There are obviously patterns. There are things that we hav e been discussing over the last several quarters as well in terms of how the industry is shaping up. You've seen in the results of many of our other esteemed competitors the pressure points th at we are facing. The way we look at it and we are analyzing the situation is that there will be lot of reprioritizations that will continue to happen on digital transformation projects. Almost all the major operators are evaluating those and where they need to press the pedal versus where they need to take their foot off the accelerator. And we are very well entrenched in all those conversations with most of our key customers to understand that. The other pressure point is of course on the OPEX because the cost of capital has changed

dramatically . Due to this the need to generate more cash is more acute at this point in the industry. I can't predict how soon things will ease ou t but where we have a good vantage point is from our funnel and our pipeline and the discussions both in terms of cost as well as opportunities . This is why I called it a perfect storm last quarter that maybe we'

ve hit the worst,
and we now need to start gradually inching forward. I'm not saying all pressure point s are over and done with, actually some of those we'll have to continue to deal with, it will be a gradual progress in terms of recovery for the industry and as a result for someone like us, but I think we will start making good progress from this quarter and definitely from the seco nd half of the year.
Vibhor Singhal: My second question was especially on the manufacturing vertical. I think the manufacturing vertical has held up quite well for us over the past 7 -8 quarters. I think in the eye of the cut in discretionary spend just wan ted to basically understand how this segment is looking, because I think we've seen this for other players as well the manufacturing vertical continues to be the one where almost all the IT vendors are kind of seeing continuous growth. So, is this vertical where we could see maybe this growth pattern and the spending continue or what is our conversation with our clients leading us to believe?
Rohit Anand : So, maybe I'll add a little bit of flavor to this and request Jagdish to add a few more points. But just if you look at manufacturing, overall, the industry is going through a transformation, right? So, when you look at any segment within manufacturing increased digitization is happening, more and more embedded software is getting created in the machine. Th at is making the change in terms of the requirement from those companies in terms of services they request from us ; the requirement is becoming software -oriented, the engineer skills requirement that is being gathered, getting more software -oriented. So, with that, there's a lot of transformation happening and we're seeing the demand shift more in that nature. When you look at our focus on manufacturing standpoint, we are heavily entrenched with automobile aero, both of them are growing very, very positivel y from an industry dynamics perspective . A lot of automobiles are switching their plans from the existing mechanical cars to more e lectric ones and they need platform orientation, they need engineering support there, they need the system to be put together. So, a lot of investments that are happening in that area are favorabl e to us and then the aero vertical is back to shape with travel coming back. So, I think that's something we've also recognized, and we continue to invest in this vertical. We made some inorganic investments also around third ware which will be helping us and then some competency that we got. So, all of that together is helping us penetrate the clients better. We're helping them service with more and more service lines, not just IT, engineering support, b ut w ith commerce from an experience design standpoint or BPS, which is a very strong and robust franchise for us. So, it's helping us penetrate better with the same clients, with the credibility we've been able to drive, the legacy of which is very strong from a marketing standpoint. So, that's kind of the underlying reason why we feel good about it and we see that the trend will con tinue favorably as we look forward to the rest of the year.
Jagdish Mitra: Thank you for the question and Rohit, you've outlined it. So, from our perspective, growth obviously has two components to it from let's look at markets and let's look at the segme nts. If

you look at the markets , a good part of the growth in manufacturing today is being driven by Americas and EU in terms of the opportunities that are coming, the areas are right as already outlined by Rohit - primarily auto which is our strong segmen t partnered with industrial and Aero and Defense, but also is a function of investments we've done. We've invested in building a solution and our engineering services are a critical player in driving the growth, the IES capability and the digital capab

ilit y that we've added. In both of these, the segments that we've
invested in for electrification and in industry cloud with hyper scaler, a couple of them I think is
what gives us a little more bullish impact of where we think manufacturing growth will sustai n.
The pipeline is also quite robust, and I think we will start to see even though the conditions
overall are tepid, we will see growth in manufacturing.

Vibhor Singhal: So, just to wrap it up on that, so we're not seeing too much impact of any cut in disc retionary spends in the manufacturing space, is that what we can conclude or do you think they are being more than mitigated by the kind of catch up spend that the industry has to do?

Jagdish Mitra: I think in this case our work profile defines where the growth is coming from. So, a lot of our work profile is today driven by running the business platform. But especially as you know, on the auto sector, both on EV as well as on some of the platforms we have created, the warranties and some of the other solution platforms we've talked about, are becoming critical for the demand to be fulfilled in the auto sector, and though in discretionary spend, there is not much cut there, so in the auto segment at le ast we have that strength coming together.

Moderator : The next question is from the line of Gaurav from Morgan Stanley. Please go ahead.

Gaurav: First, how should one look at outlook for second half in respect to the deals that you had like the trailing 12 months deal win is down by 25%, keeping that in mind, how do you see your second half playing out, what are the areas that is giving you confidence? Second is on areas of business that are actually positively exposed to generative AI versus the ones that could be negatively impacted due to deflationary pressures, how are we preparing for this? And lastly, within the top 11 to 20 accounts, it looks like a significant decline. Anything going on there?

CP Gurnani : I think it's a good question. So, let's look at it a few different way s. Clearly not only in introspection, but it is also time to act. As I said, the company has a definitive plan to look at how to stop looking back, but to look forward and look at all th e three vectors that will help us improve our response to the market. Number one is being able to look at all the technology investments and also look at all the reskilling , upgrading our own people or using this opportunity to take a few tough calls, for example, our onsite -offshore ratios, our subcon hiring, and juniorization . So, that is one which I say which is an easier playbook, but important focus is execution. The second part is on the growth vectors. I think there is two parts to growth vectors : Number one is on the deal flow be a little more realistic about the closer dates because customers obviously are in different segments reacting differently to the cost transformation or business transformation proposal. If you're more realistic about our clo sing dates, I think we will be able to prioritize a lot better. Number third, in terms of increasing our account penetration, account

reach or to get better engage with the top 200 accounts, I think we're doing a reasonably good job. It's just a question o f how to recalibrate ourselves during the headwinds. So, obviously what I'm trying to say is when you can't score runs by sixers or the bigger deals, then go for singles. So, those are the strategic changes that we need to make. But overall, I am confident that this was a tough quarter, but it was also a tough wakeup call that we need to be a lot quicker , agile and we need to readopt our strategy for each of our customer success offices and each of our large deal programs.

Moderator: Thank you. The next question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Rohit, is i

t possible to quantify the revenue impact of the client bankruptcy event in this quarter?

Rohit Anand: So, revenue impact in this year is going to be none. But when you look at year -on-year, quarterly run rate of USD 6 million to USD 7 million.

Sudheer Guntupalli: So, on a sequential basis, you had a hit of USD 6-USD 7 million because of this event?

Rohit Anand: Q4 versus Q1 yes.

Sudheer Guntupalli: And is the wage hike impact taken in the quarter partially or at least or that is still pending?

Rohit Anand: Majority of the wage increments already done in Q1 . Only for certain senior proportion of the employee base - it will happen in the following quarter.

Sudheer Guntupalli: Got it, Rohit. And last question, in a quarter like this, obviously one would have expected the company to dial down on cost, but your sales and support headcount seem to have increased by almost 200 people. So, is it sales driven investments that you are upfronting or are there some element of support staff addition here?

Rohit Anand: That's part of our leadership program hiring that we do for campuses with annual exercises. It's more driven by that.

Moderator: Thank you. The next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: If you look at your head count, there's been a 10 % reduction over the last 3 quarters, but our employee costs seem to have gone higher. So, is it tha t the cuts happen more towards the end of the quarter, this quarter? What is driving this?

Rohit Anand: So, when you look at 2 -3 aspects, which is when you look at year -on-year or last year while the head counts overall down, but when you look at increases , the increments happen more towards Q2 last year. So, in the baseline, you don't have that impact. And this year, we have managed to effectively increase for a majority of the population. We've done it effective April, right? We

have a double impact there from a wage inflation perspective, that's causing an offset in a way to the correlation , to the headcount reduction and for the QoQ movement, while the reduction has happened in IT of approximately 2000 people: yes, from a timing perspective, it's more towards the second half as well. That will show us the full quarter impact. Then I think , in addition to that what we've done as part of the strategy is that will continue to reduce the cost and wherever we have the skills that we've been working on, we've r eplaced those Subcon resources with the full-time headcount. That is also reflected as it is mostly on site.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala : Just wanted to get some more color on our expectation of margin recovery over the next 12 -15 months, especially if you look at from a headcount expense perspective, we are currently operating at 87% utilization, have seen a 10% headcount reduction in the last three quarters and our offshore mix also is pretty much at an all-time high. On the flip side , we are also talking about subcontracting, which would mean that subcontractors have to be replaced by permanent employees. So, effectively if we had any so rt of growth coming back over the next 12 months, then our headcount growth has to be faster than your revenue growth. So, just trying to understand, I mean some of the levers that you talked about in terms of recovery beyond say the current blip that we h ave, what exactly will drive that specifically?

Rohit Anand: So, Rishi, few areas then maybe I'll start with the Subcon that you mentioned. The 2 -3 areas within the Subcon, while in some cases you'll end up replacing Subcon with a full -time headcount. But when you compare cost -to-cost basis, there is a differential easily of around 25% there, right? So, typically you would say

a 4% reduction there will reach 1% overall impact on margin that is one. That's one kind of direct -to-direct replacement if you do. Second is even within the Subcon bucket, there's a lot of opportunity from a vendor perspective that we continuously work on to see how we rationalize and optimize the scale benefit at a company level. Those are multiple productivity in itiatives that we will continue to drive for overall Subcon spend given that quantum is pretty large. When you look from a company perspective, 14% from an annual basis, you're talking about 800 million plus spend. Then when you look at leveraging the scal e benefit, there's all productivity opportunities that we can drive there, right? So that's the second that we'll continue to work on. And then from other perspective of margin improvement, while the utilization is high, from an offshoring perspective we h ave a good 3% to 4% more headroom to get better on offshoring versus where we are today that should give us significant benefit and then juniorization when we look at the employee base today versus how much pressures we have in the system and how we can dr ive that go forward? There is an opportunity that in the medium term we can get better on. So, those are some of the levers that we can continue to work on. And then as I mentioned before, one of the areas that we look at from a large deal perspective gett ing into more maturity stage and execution tightening there in line with the planned view, I think that will also help us improve profitability as we drive more productivity in those projects. So, those are some of the levers that we will continue to drive as

we move forward, including rationalization , secure or divest certain business which we don't feel is on the long run strateg ic or giving us the value that we want .

Moderator: Thank you. The next question is from the line of Girish Pai from Nirmal Bang Equities. Please go ahead.

Girish Pai : Thanks for the opportunity. The second -half recovery is based on the existing TCV or are you expecting any significant TCV expansion to happen from 2Q onwards that's question #1. Second, one of your larger peers talke d about shifting away from 5G in the telco space , is that what you're seeing on the ground? What does that mean for the investments that you've made in the 5G space?

Manish Vyas: I have mentioned that there is a reprioritization happening in the industry from a digital standpoint and the digital in telco parlance, answers to everything from 5G to their customer experience platforms to the core BS S and others. And that is happening because they are clearly looking at where do they get a better bank for the buck from a short term . In terms of if it's the US, then it is about a better conversion on the wireless consumer. In parts of Europe, they're looking to shore up their enterprise busines ses. And clearly as now we all have seen the enterprise use cases and revenues from the 5G is going to take longer than probably anticipated so that I think is indeed true. I guess we are observing the same pattern. The reprioritization is underway. That s aid, I don't think our investments are in any kind of jeopardy. All of them, both on the devices as well as on or for that matter, on our software platform side, all continue to do very well, and I think they will continue to serve us well in time to come as we go forward. I don't think we are worried about that aspect as far as our portfolio is concerned.

Moderator: Thank you. The next question is on the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Just wanted to understand why our revenues in Europe and RoW have declined sequentially . In addition, can you also help me with reasons for the decline in active clients ? And the second question was with regard to the comments that the Management had made

after Q4 Result that FY24 will be a very strong year for deal closures , given what we have seen in Q1 how should we be thinking about this comment going forward?

Rohit Anand: So, Manik, on deal closures, first, I think we have articulated that our first half would be tough given t he macro environment and the situation. So , we always maintain that that first half will be tough, and second half will be a recovery. It will be a mirror opposite view of the last year where the first half was okay and second -half start getting tougher, r ight? So , I think that's what we said and what it's turning out to be is a little bit wors e. Hence, the dip you see in the current quarter . And I think that's been consistent from that perspective . In terms of the other question, you had on number of active clients, I think that's more driven by the reporting guidelines we follow on threshold of revenue in the quarter and the last 12 months and basis that bottom 40 - odd clients the fell off that threshold requirement and that's pur ely a tail change from a quarter -

to-quarter perspective, nothing more than that. And I think you have one more question, sorry , Manik , if you can repeat that.

Manik Taneja: So, the other question was with regards to a sequential drop that we've seen in Eur ope and R oW as compared to North America holding up quite well. If you could help us understand how the two sides of the business, Enterprise and Comms , would have performed across each geography .

Rohit Anand: So, RoW is partially driven by the Comviva seasonality and certain closures in projects that happened in network services with one of our customers there where we are working on a large project with them, so that drove the R oW decline sequentially. And then from a Europe perspective, again the decline in Communication verticals driven more around the Leadcom and LCC Network Services where there were project closures versus Q4 that led to the decline there and in general certain discretionary spend cut with the te lcos that Manish mentioned overall more aggravated in Europe this time th an US, US is broadly flat QoQ .

Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal. Please go ahead.

Mukul Garg: I have two questions, one for Ro hit and one for Manish. Rohit, f irst of all, just a clarification . If you can help break down the impact on margins from wage hike this quarter and secondly , all the steps which you articulated the steps to improve profitability, juniorization , offshore and subcon reduction, won't that be a little deflationary on revenues going forward ? How are you looking going to replace the impact on growth from maybe billing impact? Manish on the Communication side is it possible to give some color on the areas which were impacted ? and if you look at BPO , it grew this quarter, so the impact was pretty much on the IT side . Was that Network Services or the IT which got hit ? We have seen commentaries from a lot of telecom equipment guys being fairly negative on spend. So, if you can just give us a color on what is driving this decline?

Rohit Anand: So, maybe Manish kindly give the Communication answer first and then I'll talk about the other point.

Manish Vyas: So, Mukul while we partially answered it earlier, both Rohit and I, but just to be clearer and more specific , one is there is the cyclicality that happens to our Comviva business. Second, a pretty significant impact from a project clos ure in the Network space in RoW . Which is j ust that in Q4 , we did significant amount of work, a little ahead of time, which I think was positive . From an overall spend and where the pressure points are, it is both in the Network as well as in the IT space, and IT is largely coming because some of the digital transformation work that had started 3-4 years

ago either they have come to clos ure and as we speak for the new projects that they were about to award, they have pushed these dec isions forward as they reprioritize these things. So, I think that's coming in from both the Network as well as from an IT Transformation standpoint if that answers your question.

Rohit Anand: And just to clarify, your questions were one on increment al impact for the quarter and then second, the margin levers for the rest of the year, how much of that is driven by growth or elsewhere is it?
Mukul Garg: So, the second question was that , as most of the margin levers which we are contemplating tend to be defla tionary on growth , how to ensure growth without compensating on margins . How should we look at it?
Rohit Anand: So, first from an increment impact perspective for the quarter, as I mentioned, we did increment for a major chunk of the population. The impact was closer to 1.3% in terms of margin. And there is a smaller size of the population for which the increment will happen in Q2. So, that's a smaller impact. Th is is in terms of annual increments . In terms of the margin levers , if you look at the subcon substitution or improvement on scale or other productivity benefit there really is a lever which is kind of independent from a growth perspective . And even if you look at the last three quarters while growth has been stagnant or down, we've been ab le to drive a reduction in the subcon cost dramatically. Similarly, the other areas also which I mentioned , maybe accept a little bit of juniorization which probably needs to be supplemented with growth and the recovery in the second half as we look at it . The rest can be worked on as purely productivity measures that can help us as we think about margin expansion.
Moderator: Thank you. The next question is from the line of Ashish Agarwal from Sundara m Mutual Fund. Please go ahead.
Ashish Agarwal: So, most of my questions have been answered . Just want to understand one thing and as the Management aptly said that this was a perfect storm, but if we look at last six or seven years, we have three or four t imes where we have seen a double -digit EBITDA decline on a sequential basis on a Q -on-Q basis . Now how should we look at Tech Mahindra going forward as an investor given our portfolio of businesses , given our nature of business, do we see this volatility continuing over a longer term and w hat steps we need to take to make it a, let's say, a predictable or a boring organization going forward?
CP Gurnani: I like the word “boring organization ”. I think when we last met during our Investor Day in early April we have said these are the four things that we will do. #1, bring in an extraordinary focus on a few geographies, which included US. #2, we said we will grow Insurance , BFS, Manufacturing, Health Services a little more than the other industry verticals. #3 , we said we will look at cocreation with some of our customers. We look at potential joint ventures with them to develop new service offerings or new niches. And #4 , we had said we will be looking at reselling some of our service offerings as platforms. I think we are going to stay on this trajectory and obviously there is a need for us to become a lot more simplified as a structure. #2 , there is a need for us to be a little more agile in terms of the way w e run our own internal operations and #3, we probably need to permanently correct our pyramid. I know that Mohit is a little hesitant on being prescriptive right now, but he and I have been discussing it for the last 5 -6 weeks. And in generally , the direct ion that we had committed to you during Investor Day, we just need to

get into that formula that I think I don't remember whether it was Rohit or Manish Vyas who

had said “We know what we need to do , we just now have to get into execute, execute and execute ” and I'm going to repeat that I don't know who the original author of execute, execute, execute and since Manish I'm willing to give you credit, let's get down to “execute , execute, execute ”.
Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar : Congratulations to Mohit on joining Tech M. Largely two questions. The first thing on the provision side, pertaining to bankruptcy . So, are there any more provisions going to come or have we provided them fully ? Have we also considered the unb illed revenue part of it ?. And my second question was just on the B FSI side of the thing , when we see our 40% of our business is largely coming from the CME vertical , now fundamentally the business itself, the global telcos have been challenging over the last four to five years and the current BFSI business which is there, it is more on the Asian banks side. So, just wanted to get an understanding of will US BFSI be an important part of our strategy , any color around that, that will be helpful.
Rohit Anand: So, maybe first on the provision side, on this case, we've covered all the risks that we have, both unbilled /billed everything so that's been taken care of. In terms of BFSI, yes, US will going to be a significant part of our strategy, it's a big opportunity and as we kind of look at our portfo lio from the past where we were to where we are . Now , BFSI is more than 15% of our overall revenue base. We've grown it from where we were to now . We've identified significant gaps, both geographically as well as within the BFSI side where we don't play to day. So, I think there's

a clear articulation of that strategy internally . I think the focus will be for us to continue to drive those gaps of improvement, including a big focus in Americas as we move forward from a BFSI standpoint.
Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: My q uestions to M ohit. Manish, you had said that there were cost take -out deals that were in discussion and probably towards the middle of the yea r those can fructify . Just wanted to understand how those have moved ? Are we any closer to closing some of those deals and how would that change the growth trajectory in Telecom , if at all towards the latter half of this year ? Thank you.
Manish Vyas: Of course, Abhishek . I think the deals are still in play. We are still in discussions at various stages. Some of these, as I said earlier, have been pushed out because they're evaluating all other options as well. But clearly from a vendor consolidation cost take out perspective , reforma tting, how their tech workforce needs to be architected , all those discussions are underway at this point and they are all at the various levels of maturity in the funnel at this point and over the next two to three quarters, some of these deals will indee d impact the growth.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Two questions. First, just want to understand CME, if you can provide some detail on sub - segment where we are se eing more weakness and how do you expect that to play out over next few quarters? The second question is about top 10 client performance. If we look at the top 10 client fairly resilient whereas CM E is very weak. So, typically CME used to have a higher client concentration and some of the clients were part of our top 10. So, if you can provide some more details about divergent trends between these two ?
Rohit Anand: So, maybe I'll answer the second one first and then Ma nish, can add flavor on your first question. On the

second one, as we've articulated before, inside the top 10 clients we were seeing some pressure in couple of our top customers in the last couple of quarters . And that we had said is getting closer toward s bottom ing out. So, that's happened, and we are seeing some positive momentum there. The closure of the projects that we mentioned in Network Services within CME were more outside the top 10 customer s, one probably closer to the top 20 and the other was e ven below that . So, I think that's what is causing a reduction , which is leading to the decrease and then overall discretionary spend cut across the board beyond these couple of project closures which have one -time impact . Hence, you don't see that in the top 10, where it's more stabilized view now, we see more resilience there. Maybe Manish you can take up the earlier part of the question.
Manish Vyas: So, Dipesh, tactically speaking, while there are different customers who are at different point s in time in terms of their transformation journeys where some projects for some people ar e still behind the curve , some have completed, and some are in the advanced stages. And I think it is too detailed to be able to articulate in a short while. But to answer your question, most of the trends that we see in terms of discretionary digital transformation spend as well as the cost transformation are pretty uniform across the major Tier -1 operators across the world. That said, while we are very well placed with many of these companies to continue to take advantage of their initiatives, we probably will go through some of these headwind days and quarters. The other aspect that played out this quarter like we said, were a couple of one-time cyclical issues that are part of our business . Hopefully . we'll be seeing all these behind us as we go forward from here. And maybe to provide a little bit more comprehensi vity as a response to your question. I want to reiterate that the two areas where we saw a significant pushb ack was one is in the IT Digital domain and the other was in the Network Services where some of the re - prioritizations have happened . Geographically , I think it is pretty uniform at this point . I hope this was pretty elaborate for you.
Moderator: Thank you . The next question is from the line of Abhishek Shindadkar from In Cred Capital . Please go ahead.
Abhishek Shindadkar: Thank you for the opportunity and welcome Mr. Joshi. I have two questions. The first one is last quarter we were saying spends related to 5G so on and so forth also some of the deals got pushed

off and maybe they could come in 2Q. If you can elaborate , we heard you about challenges, but anything specific that played out especially related to 5G that is what I wanted to understand. And the second question is for Rohit , on margins based on the portfolio we have today , can we

assume that we have reached the bottom o f the margins and a subpart to it, as you mentioned that the subcontracting expenses could be less than 10% of the revenue so is that the priority for current year or is it a priority over the next 12 -18 months? Thank you.
Rohit Anand: Manish, can you take the 5G question first and then I will take the margin one?
Manish Vyas: I addressed the 5G question earlier. In terms of the watchfulness that has gotten into the mix of decision making as far as the 5G spend is concerned, which is part of the overall digital transformation spend so I don't think I can add any more color to that question . Let me answer the other part of your q uestion first, which is what happened particularly this quarter in terms of some of the decisions that got pushed out . So, one is the Enterprise part of some of the major telco’s businesses , we were expecting some of these deals to come through both in Europe as well as in US and these decisions ha

ve been pushed out because their enterprise business is going through a lot of organizational changes as we speak. These are specific to a couple of customers, but they are significant in terms of both our portfolio as well as the impact that they have on the Enterprise businesses for the industry as a whole. These things have been pushed out as a result, some of their decisions in terms of digital transformation and cost takeout have been pushed out . So, that clearly was part of the surprise element that happened and how that pans out over the next few quarters remains to be seen. B ut we continue to remain in a dialogue with each of these customers as we go forward. Broadly, I think I've already addressed in terms of what areas have seen a slow -down in spending and what areas will continue to remain pretty important as far as spending is concerned going forward . So, I just want to repeat that digital transformation is not something that they are stopping. They are just reprioritizing the various areas they want to focus on versus what they are doing to day. That clarity as it emerges clearly will lead to a lot of decisions that will start happening in the second part of the year.
Rohit Anand: And on the margin question from a subcon standpoint, we've reduced that from 16 % to 14% over the last three, four quarters and will continue to work on it as we've articulated, our entitlement mark is getting to 10% and below. Given where we are, we will continuously drive that in the next few quarters to get to that level. And see that opportunity flow through from a benefit standpoint over the next 3 -4 quarters.
Manish Vyas: And Rohit if I may just add one more thing that that while we have had this challenging quarter, I hope we appreciate that this is at the back of 12 quarter -on-quarter successful growth quarters that we have seen . And the reason I'm highlighting that is just to acknowledge not just the support from all of you, but also from both our customers and our teams and partners who continue to put in that and believe that this business and the leadership position that we have in this industry is something that we are very confident will continue to serve as a great foundation as the industry per se transforms and comes back into a growth mode , I think your Company is in a pretty good position to take advantage of it.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from BNP. Please go ahead.
Kumar Rakesh : I have just one more question on the margin side. So, the kind of revenue decline which we have seen wo uld have started at the beginning of the quarter itself and Comviva seasonality, something which is quite well -known. But we don't see any cost intervention taken during the quarter to manage the margin. So, the revenue decline is largely understandable , most of the peers have also seen. But during the quarter, we have undertaken the wage hike of full impact. We went ahead hiring the sales and support staff. Our SG&A costs have also increased during the quarter. So, why was no intervention taken to manage the cost and what is giving us the confidence that now this is the bottom, and we should see a recovery from here on? Because the levers which you have highlighted are largely the same, which you have talked about ea rlier as well.
Rohit Anand: So, I think just from an action perspective, managing cost action did happen just when you look at the revenue drop, right, the revenue drop some of it is what we planned, right, like Comviva seasonality and some of the project closures that we envisioned, but the backfill of that from new deals or discretionary spends that got reduced or as we move more towards the lat ter half of the quarter . So, some of it is well known and some of it gradually happened in the quarter and cost actions did take place . If w

e see the IT headcount that's down to 1000 quarter -over-quarter. So, it's more driven towards the lat ter half of the quarter and will continue to action as we move forward, so that that is work -in-progress . In terms of sales and support headcount as I had articulated, those are campus hires for the leadership program that we have. Backing off from that isn’t something we want to do. We want to continue , instead of backing away from that. So, that's what the inc rease you see, it's not adding to the sales head count, etc., given the y are declining.

Moderator: Thank you. The next question is from the line of Sameer from ICI CI Prudential AMC. Please go ahead.

Sameer : If you thin k about an environment which we are cu rrently in, the ability to monetize some of your levers like last two -three quarters you have been able to bring down subcon from 16 % to 14%, now you are headed to 10%. So, how should we think about the pace of monetizing these levers, especially in an environment where we are facing a lot of headwinds in terms of discretionary cuts? And how does that change our margin goal , which we have set up in the Analyst Day that you have spoken about? That is first question. The second is that in an environment like this where a lot of these short -term projects are getting rolled off. And there's a lot of discretionary cut. Last six months TCV generally decides the revenue trajectory, which has been weaker for us. So, what gives you confidence that the growth may come back or this is kind of the bottom in terms of performance. Thanks for the opportunity.

CP Gurnani: So, Sameer , let me answer this with two broader strokes. One is what I have told my team is if he can't go for the sixers , go for the singles. Effectively, what it means is that sometimes when you go back to the basics with all your accounts and you are better prepared to listen to them for

all those smaller transformative Gen-AI kind of deals , all of that adds up . That's number one. Number two for the cost transformation , I would rather take a medium -term outlook than a very short -term outlook. Short term outlook is very simple, cut a few layers and you can right size it almost on an urgen t basis. In a way this is also what I want to propose to Mohit Joshi and Rohit Anand . If we take a medium -term outlook, what will happen is that A) As I said I would go more aggressive on investing in young talent. That means we invested last year in Tier -2 cities why not take a target of 25,000 people in the Tier -2 cities in the young talent? Now that 25,000 people will become productive in the next maybe 6 to 8 months, I'm just giving a suggestion. I'm not saying we're taking a decision here, rather amplifying the word “Medium -Term”. And as far as my existing staff, if I res kill them fast enough and if I focus on those short -term projects, I think I'll be able to optimize it for both the market demand . For the medium term I have no choice but to corre ct the pyramid and for that I have to take one shot at investing so that we permanently correct the pyramid. Otherwise, we have a challenge in our C&B cost compared to others in the industry and the only reason we have the C &B challenge is three factors – #1) onsite -offshore ratios, #2) subcons and #3) junior ization .

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the Management for the ir closing comments. Thank you and over to you.

CP Gurnani: So, thank you everybody. As I said we all know that we have faced one of our toughest quarters. But overall , I want to reemphasize Tech Mahindra is positive about its own outlook. We as a team have gone through some of these challenges in the past and we will rally together and as committed by many of my management team members

here today, we will start improving our performance as we go along and the magic word is the same three words that I started the call with “Execute, Execute, Execute ”. Thank you, everybody. Thank you for your support and I need more support as the team repurposes and gets into the recovery phase . Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Tech M ahindra Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your line.

Call: Oct 2023

30th October, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th September , 2023

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter en ded 30th September , 2023 conducted after the meeting of the Board of Directors held on 25th October , 2023, for your information and records.

The above information is also available on the website of the Company at https://www.techmahindra.com/en -in/investors/disclosure -events/

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

"Tech Mahindra Limited
Q2 FY '2 4 Earnings Conference Call "
October 25, 202 3

MANAGEMENT : MR. C.P. GURNANI – CHIEF EXECUTIVE OFFICER – TECH MAHINDRA LIMITED
MR. MOHIT JOSHI – CHIEF EXECUTIVE OFFICER DESIGNATE – TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER – TECH MAHINDRA LIMITED
MR. ATUL SONEJA – CHIEF OPERATING OFFICER –

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q2 FY24 Earnings Conference Call. We have with us today from the management of Tech Mahindra Limited, Mr. C.P. Gurnani, Chief Executive Officer, Mr. Mohit Joshi, Chief Executive Officer Designate and Mr. Rohit Anand, Chief Financial Officer. As a reminder, all par ticipant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touc h-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C.P. Gurnani, MD and CEO for Tech Mahindra. Thank you and over to you, sir.

C.P. Gurnani: Yes, thank you. Good evening, everyone and rather for those w ho have joined from different parts of the world, good evening, good morning, good day to all of you. Thank you for joining the Q2 Financial Year 24 Earnings Call . We are now halfway through what would reasonably be called as one of the toughest years for IT services. I know most of us have spoken to you about some of the headwinds, some o f the reasons for the slowdown.

And I do want to admit that we had not budgeted enough for this slowdown. Persistent high interest rates have forced customers, especially in some of our core verticals, to reprioritize spending and make room for elevated interest costs, reallocate capital towards bearing the debt positions, and obviously it meant cut in discretionary spends during the process. We do realize that the world i s dynamic and we also nee d to be more agile and dynamic.

We need to listen more to our customers, take a better view of economy, but I do promise you that the company is conscious that there is a requirement for a reset and refresh. And we are working tow ards that. Meanwhile, Mohit will shortly take you through how he has been listening to the customers, how he has been managing the transition, or how he has been leveraging his expertise as a leader, and he has announced some of the reorganization to make us more agile, but I'll let Mohit comment on it.

I also want to take this opportunity to welcome Atul Soneja. You all saw the announcement that two months ago he joined us as the Chief Operating Officer. Welcome, Atul. And, Atul, I'm sure you all read abo ut him, that he is an IIT Kharagpur graduate of about 23 -24 years experience, has worked very closely in the financial services and in the healthcare sector.

So, again, Atul, thank you for strengthening our operations team and the delivery team. Now, comi ng over to where Tech Mahindra continues to invest, despite of slow take off of 5G, we continue to invest in innovation. We are building new age capabilities.

Last quarter, both Mohit and I were together visiting customers in the Finland region, and we inaugurated our innovation centre in Finland, which will basically help us tap into some of the new age talent, which is abundantly available in Finland and in th e Nordic countries. We have also partnered with An nyverse. This is a high -end, hyper -spectral, synthetic data generation platform.

This partnership will focus on new age technology for the automobile sector. It will also help the in -cabin systems, and it will also help us build the EV platform and the autonomous AV application, autonomous vehicle applications. Most of us are aware of the momentum that generative AI is creating.

We are working closely with lead partners like Google. We recently launched th e generative AI -powered email amplifier at the Google Next event. Now, the way the company is structured, the company has done it, is GenAI is definitely a part of all our recent deal wins.The GenAI studio now

has almost 60 pre -built use cases, and over 10 ,000 associates use GenAI -based pair programming to boost their productivity.

Continuing to innovate, continuing to invest, we started a new vertical about a year ago. It's a sports tech vertical where we have now built relationships with BCCI. I just have that right now India is hosting the cricket World Cup, and we have now got BCCI as a client, IPL, NFL, th e Mahindra electric car racing.

We also did a very, very successful event called Tech Mahindra Global Chess League where it was heart -warming to see how digital and physical get together and how grandmasters are now

propagating the use of digital to bring it, chess, into every nook and corner of the world and I'm happy that Tech Mahindra launched a digital product called Fan NXT.NOW, which is basic ally bringing in fans closer to content, fans closer to creativity, fans closer to commerce, and more important is the backbone of all of this is new tech innovation. Backbone to all of this is the communication vertical which powers the solution.
And we c ontinue to work in partnership with some of the hyperscalers like AWS to build a sports cloud because ultimately a consumer community wants a personalized data -driven experience.
Talking through the large deals, you know that last quarter was not that grea t. I think we have now improved the momentum. Q2 we delivered 640 million of large deals. Now this has been, again, we've signed these large deals in FinTech. We have signed these large deals in digital transformation. Some of these large deals are also in modernizing the legacy telecom networks.
So I think, I mean, I'm seeing a healthy pipeline, but as you know that the market is slightly tough. The deal conversion cycles may become a little longer. We are definitely closer to the customer.
I know Tech Mah indra wanted me to finish strong, but I know we are in a cyclical industry.
Tech Mahindra does realize that we didn't have the best of our quarters. We saw a decline of 2.4% over the previous quarter on a constant currency basis. We are looking at optimizi ng our services. Mohit will take us through more about his drive to reduce dependence on some of the low-yield geographies and also prioritize few of the service offerings.
Similarly, Rohit will help us with the numbers on the EBITDA. I can only say the bo ard continues to be very, very confident about the reset at Tech Mahindra. The board has approved an interim dividend of INR12 per share because we all know that tough times do not last forever.

And Tech Mahindra not only has a resilient management team, b ut now we have been enforced by Mohit and Atul Soneja joining.
So, overall, I feel good about the company. I am definitely proud of our capabilities, proud of our multi -decade strong client relations and even prouder of some of our team members because they are the core of the company, the relationships built over decades and employees who are part of our strong fabric.
So, I can only tell you is that, Tech Mahindra continues investment in innovation and now with Mohit optimizing some of our organization st ructure and service offerings, I do feel confident.
This is definitely the last time I am presenting the earnings to you. I cherish our friendship. I cherish the guidance that you have given me from time to time. I cherish the times when you have provoked me. I cherish the times when you have been a good shoulder for me to bounce ideas. I love the interaction that I have had with you. Thank you so much. And I know Tech Mahindra, particularly Mohit, will continue to get your coaching, guidance, affection and more importantly, the cheer that Tech Mahindra and Mohit will need.
Thank you again. Thank you so much. Over to you, Mohit, for the next few sessions.
Mohit Joshi: Thank you, CP. This is Mohit here. Before I pass it on to Rohit, as yo

u suggested, I'll jus t give
a quick update on the proposed reorganization. And good evening to everyone on the call. As CP mentioned, you know, CP and I have really been traveling across the world over the past four months, meeting our teams, meeting our customers, meeting our partners for me to get a deeper understanding of the organization.
And I think these set of meetings have been incredibly helpful, these perspectives and these feedbacks, I think are going to be instrumental in refining our approach and in shaping the direction forward. I think from our customers it is very clear that they want Tech Mahindra to be their transformation partner with deep expertise in key technologies in their business. They want us to focus and invest in their organization.
I think in speaking with our teams it's also clear that we have to work to improve our operational performance and to drive growth across all verticals and then step up boldly on large deals. I think keeping in mind the above asks, we have proposed a new organization structure to help us grow further. This organization structure gets effective from the 1st of January.
And essentially what we have tried to do is to streamline and simplify under six business units -- six strategic business units to foster deeper client intimacy. So these are our go -to-market business units. In the Americas, we have organized geographically across industry verticals. So all of the Americas will now be split into three broad industry verticals. There is America Communications that is heade d by Abhishek Shankar, America's Tech and Media headed by Harshul Asnani and America's Diverse Industry Group headed by CTL. In EMEA and APJ the units will continue to be regional with verticals coming together for better synergy.

So we have an EMEA SBU he aded by Vikram Nair and we have an APJ SBU headed by Harshvendra Soin. We have also carved out India from APJ as the market in India needs a different strategy. So if you have noticed in EMEA and APJ we have consolidated our telecom and our non -telecom bus iness.
From a delivery perspective we have verticalized delivery and we have a total of eight service lines. I think this consolidation and this centralization will help us bring efficiencies and superior customer experience. This centralized structure as CP mentioned also will bring agility, it will foster innovation and help us drive modernization at scale.
I think it will also help us really improve our economics given the consolidation that we are driving, continue to provide the same level of resilient service to our customers while being able to invest in service line innovation as well. Atul as our Chief Operating Officer will be at the helm of this centralized structure. Again I think this new structure will help us double down our focus on our top c lient accounts.
It will allow us to develop deeper domain expertise especially in sectors where we have a tremendous right to win like telecom, like manufacturing and the emerging capabilities that we are building in BFSI, in healthcare and in retail and l ogistics. We intend to go live with this new structure with effect from the 1st of January 2024 and are making all the relevant changes so that we can hit the ground running on the 1st of January.
I will now hand it over to Rohit for detailing the financia l performance for the quarter.
Rohit Anand: Thanks CP and Mohit. I will just take everybody through the financial in detail. We ended the second quarter with revenue of US$1,555 million versus last quarter of US$1,601 million which is down 2.8% on a reported basis and on a constant currency basis by 2.4%. The CME decline was 4.9% and enterprise decline was 1.6%. Revenue in INR terms was INR12,864 crores versus last quarter at INR13,159 crores which signifies a reduction of 2.2% Q -o-Q.
The decline in revenue reflects

the market reality as there continues to be pressure on the discretionary services portfolio. Some of the revenue declines also attributable to the actions towards business nationalization in non -core areas which we started in this quarter and will continue that action towards the next quarter.
Last year, TC V win stands at US$640 million which was higher than the last quarter, getting back some momentum. We see the closure cycle continue to be elongated while the pipeline for the second ha lf looks healthy. The EBIT for the quarter is at US$73 million in INR terms, INR607 crores versus last quarter at US$108 million in INR terms, INR891 crores.
The EBIT margin is at 4.7%, a drop of 200 basis points versus last quarter. I will talk about the drivers as we go forward. From other income perspective, the number came in at US$32 million versus US$23 million last quarter. Forex gain or loss this time showed a marginal loss at 300K compared to a gain of 5 million last quarter. The effective tax rat e for us came in a little lower due to some benefit on refunds at 17.9%. And PAT at US$59 million.

The net profit margin for the quarter stood at 3.8%. Free cash flow for the quarter stood at US$213 million aided by improvements in our working capital cyc le. The total hedge book for the quarter was at US$2.5 billion where we saw a mark to market gain of US$20 million. US$7 million of that was taken to the P&L as per accounting standards and the rest US$13 million went to the reserves and to the balance she et. We had cash and cash equivalent of US$784 million in INR terms, 6,515 crores as of end of the quarter. In line with that, the Board has approved an interim dividend of INR 12 per share which we have announced in this current quarter.
As I mentioned be fore, we have taken certain actions towards prioritizing what our core business is. Whereby we have taken actions on non -focused geographies, contract, business and service lines. Which means that we are taking no more business in those areas, we are closi ng contracts, taking one -time impact. As well as we are terminating projects where we don't see a long -term runway both from a strategic and viability perspective. After adjusting for these exceptional items, we see operating margins decline at around 7.3% versus the last quarter of 8.6%.
We are open to take questions now and open the line for that.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Hi, good evening. Thank you for taking my question. Best wishes CP. It has been a pleasure interacting with you over the years. My first question was, Mohit, you talked about the reorganization and the focus that it brings on the a gility as well as doubling down on the client

accounts. From a vertical and service line perspective, what the new reorganization focus would be driving towards?
Mohit Joshi: Sure. So I think from a service line perspective, we are very focused on three th ings. We are very focused on resilience, so ensuring that the service quality that we provide to our customers does not deteriorate. That is something that Tech M has been known for and I want to make sure that we retain that. It is also very focused on se rvice line innovation. We want to make sure that each and every single service line where we have capabilities is in the leader quadrant.
And finally, it is very focused on improving the economics of the business, right . So, these are the three objectives from our delivery perspective. From a sales perspective, the reorganization will help drive greater customer intimacy. It will help drive a greater focus on must -have accounts and on our largest customers. And I believe it positions us better from a large deal perspective. By bring

ing together our telecom and our non -telecom businesses in markets like Europe and APJ, I believe it will give us greater heft.
And by moving towards a vertical model within our largest geography, which is the Americas, I feel i t will give us a greater degree of domain expertise. So these are some of the objectives that we are looking to drive from the reorganization. But like I said, it will help us improve the economics of our business and drive greater revenue growth.

Kumar Ra kesh: Thanks, Mohit, for that. A request, if you could have a session arranged in which we can go a bit detail around the re -org and your plans over the next two, three years, at a time convenient to you, would be really helpful? My second question was for Rohit. So you talked about the business rationalization, which continued in this quarter as well. Once we are done with that, and you said that we'll have some of it in the third quarter as well.
Once we are done with that, how should we assess the benef it of this rationalization exercise? Will the growth for the same business should be better or the margin profile improves or our DSOs improve? So from a tangible perspective, where should we be looking at the benefit out of this exercise?
Rohit Anand: Yes, it's a mix of all of that you mentioned. I think first it clarifies from a strategy perspective where we want to spend time. That's focusing on what matters and making sure the managerial bandwidth is all aligned way give us the best suit us so that’s fi rst benefit.
Second is, when you look at the risk and reward to the portfolio we're rationalizing. It also beyond the margin benefit that we naturally see the next year based on these actions. We also see what the call we are also taking is based on the i nherent risk in some of these contracts. So while the margin on the surface in some cases might look okay, but from a risk perspective that doesn't align with what we want to do as we move forward. So I think it's a mix of all of that. Benefit is going to be better risk management profile, better margins as we go to the next year, and better cash flow cycle that's on the financial side. And then from a managerial perspective, more focus on how we will unlock some value.
Moderator: Thank you. The next quest ion is from the line of Sudhir Guntupalli from Kotak Mahindra Asset Management. Please go ahead.
Sudheer G.: CP and Mohit, all the very best to most of you on your new era. Mohit, you have been with the company for almost four, five months now. When you an alyze the portfolio and conceptualize the new organization structure, what is the growth and profitability level that you are targeting over the medium term? Not asking for guidance, but if you can give a color on what your medium term aspirations are, tha t will be helpful?
Mohit Joshi: Sure. So look, I think a couple of things. One is that we are very much still in transition mode. It is now more than halfway through the transition period, but I take over the reins from CP only on the 20th of December. Like I shared earlier in the call, we have put together a new organization structure. We are also redefining KPIs.
We are changing many of the policies within the organization. And we are looking to get the team in the new organization structure to think about the numbers that we hope to deliver in the future. So to that end, I think we will be ready sometime in April to come to you with three sets of plans.

There is a plan for margins that we will be sharing with you , which is what do we think is the sustainable medium to long -term margins from a TechM perspective, how we're thinking about re-shaping our pyramid, how are we thinking about the drivers from an automation perspective, from a subcon perspective, from a integration of the acqui

red en tities perspective. We'll be
bringing a plan for revenue. How are we thinking about our geo mix, our vertical mix, account growth strategies, our account hunting strategies our, our large deal strategies, our new service line strategies.
And we'll be brin ging a plan for the organization, right? How are we thinking about the learning within the organization, tighter alignment with the M&M group, or we thinking about how we work with our ecosystem of partners and influencers. So, these are the plants that we 'll be coming back to you with but in April.
And hopefully, between January and April, we can provide you greater color. But it's way too early for me to be able to provide you with a short -term guidance on margins. But if you look at the org structure we 've announced and you look at the focus that we have on service and innovation in our margins, hopefully, it gives you a sense of the way forward.
Sudheer Guntupalli: Got it, Mohit. Thanks and all the very best.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Yes, thanks for the opportunity. Rohit, the first question is the rationalization of business has started way back in FY'23. And it looks like it has been res tarted again starting from this quarter, which may continue in the third quarter as well. But it doesn't actually yield any results in terms of the margins. When do you expect some benefits in the margin? It may start from the fourth quarter of this financ ial year or next financial year as a whole.
And also a question to Mohit. In terms of whatever in your plan which you have announced, I do agree the more details would be given in the month of April. But can you throw some color, what are your aspirations in terms of the growth and minimum level of margins which you are comfortable with such a big reform or reset which we are planning in the organization?
Rohit Anand: Yes. So, Sandeep, maybe I'll take the margins one first. So, if you think about what we st arted action on, we executed and communicated an action on an annualized basis of around $60 million. So, when you look at $60 million from a low margin perspective and if you assume 0% versus a portfolio average of 15, that gives you an annualized basis o f $9 million benefit, right. So, it's not, I mean, from a significance perspective, quantum wise, that doesn't have doesn’t give you the plan at a portfolio level. But I think from our perspective, it all is adding up . And that's what we clearly articulat ed that we'll continue this exercise . So, hence, with Mohit coming in, I think we, as he rightly mentioned, that we'll be coming back to you with a strategic plan in April. It's a part of that where we're defining our core and taking action on the non -core as we identified.

And the action of the non -core could be seizing that business. Some of the possibility could be that the season is not an optionality given the contract commitments. Hence, we let it run off as a separate unit, right, with a different f ocus there. And then third is the divestment area. So, I think we are continuing that with a refreshed look with Mohit coming in. And we've done some discreet measures this quarter, which will definitely help in margins next year. And as I've qualified two or three benefits on both cash flow margins and managerial bandwidth, and we'll continue to drive that towards Q3 also.
Mohit Joshi: And just to add to that, right, look, I think the way that we're thinking about the reorganization and the new organizatio n, right, is first we have to define the organization structure. Then we have to have the sort of the policies, the KPIs, the KRAs that underpin this new organization structure. Then we have to have these teams come back together and think about, what we'r e going to do from a

revenue acceleration perspective, what we're going to do from an
organizational capability perspective and from a margin perspective.
Once these plans have been built, they have to be tested internally. And only then do I want to share them with you. Otherwise, these will not be credible plans, right. So, please understand when I say that, we are using this time to build a credible plan. We already have an organization structure that we're going to live with for many, many years. To bu ild these plans, to test these plans thoroughly before we bring them to you so that it has a very high degree of credibility when you receive them.
Sandeep Shah: Okay. Just a follow -up Mohit. The inherent nature of Tech Mahindra business is 40% of the revenue comes out of communication, which is more cyclical. So how do you deal with that? Because there has been a hurdle for Tech Mahindra in terms of its growth not in line with the industry because of the portfolio mix, which is more skewed towards communic ation, which is more cyclical. So how we will plan to deal with that?

Mohit Joshi Sure. While telecom I agree is a cyclical vertical, but telecom has been a good vertical from a TechM perspective and many of the capabilitie s that we have built in telecom, we are taking to other sectors as well through our network services service line. Also, telecom is now less than 40% of our overall revenue. We also have deep inherent strengths in manufacturing because of the M&M associati on. And because of the very long presence we've had in the auto, aero and the discrete manufacturing space.

We also have emerging strength in BFSI , healthcare. But this is the exact portfolio mix that we're thinking about and testing it to make sure that in different sort of scenarios, right, high growth, medium growth, no growth, we're still able to come back to you with a credible plan on margins. So that's what we're working on. I do want to underscore though that there is no intention for us to deprioritize our telecom or our manufacturing heritage. I absolutely want to make sure that it is the centrepiece of the new TechM as well.

Sandeep Shah: Okay. And Rohit, last question, is it fair to assume Q3 would be the last quarter where you may clean up the non -core revenues and there could be one tim ers in terms of the cost and margin and fourth quarter could be the start of a clean slate in terms of pe rformance?

Rohit Anand: Yes, Sandeep, that's the intent. I mean, but some of these actions you would appreciate are dependent on customer interactions and other dependencies. So while the intent is in that direction, but we'll keep you posted, how we pace on that so that you're reliant on anything that changes there versus the current assumption.

Sandeep Shah: Okay. Thanks, and all the best.

Rohit Anand: Thank you.

Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. Hi. Good evening. Thanks for the opportunity. Rohit, I had a question on the absolute employee costs. I think over the last four quarters on an absolute basis, this is up almost at a 3.5% CQGR. Well, revenues have d eclined. Even the absolute employee count has also gone down. So if you could give some context there, that would be very helpful. The second is your thoughts on telecom. Do you think it's sort of is bottoming out? And how you're looking at it? How should we think about it as we look into the second half and going further? Those are the two questions.

Rohit Anand: As of our employee cost perspective, I think we did wage hike a little bit later last year. So more towards Q2 -Q3 cycle. And this year we've done the wage hike Q1 -Q2 cycle with most of it in Q1. I think from an inherent increase perspective between the last three -odd quarters, that's showing as two wage cycle

impact. So that's causing an increase there. We are in the current quarter where the impac t is minimal.

We've also started as a part of a long -term strategy, investing in freshers from a long -term view of pyramid correction. So that while not a big cost item, will continue as a long -term measure for us, which will be an investment for a few qua rters before we start seeing the return there. So that's kind of the drivers there in terms of employee cost increase.

From a telecom perspective, I don't know, Mohit, if you want to add based on the discussions you've had with the customers, I think maybe a quick view is, when we look at our customer discussions and the geographies we are operating in, we don't see a dramatic uptick into the second half versus the first. If you look at the global results of majors and telecom players also are not that favourable . And what we try to work on is what Mohit mentioned, making sure that we use this opportunity to get the organization structure in the right direction from a long -term perspective so that we leverage that domain expertise which we truly believe in f rom a telecom perspective. Mohit, if you want to add anything?

Mohit Joshi: I think, we do have deep and exceptional capabilities from a telecom perspective. So as and when the sector bounces back, I think we will have the ability to grow with the sector. At the same time, I'm also quite keen that we are all quite keen that we don't do any suboptimal deals that we don’t -- this is not the time for us to be doing crazy deals and I want us to avoid that temptation.

Nitin Padmanabhan: Sure. Just one last question for Mohit, if I may. Is that over the years we have done a lot of acquisitions and do you see that a lot of these acquisitions that have been done, that the cross - sell opportunities to multiple customers across TechM, has that sort of been embedde d or that's

something which is sort of a low -hanging fruit that can be sort of executed on as we go forward?
Mohit Joshi: I don't think, its low -hanging fruit. I do think that some of the sort of opportunities of cross -sell have been utilized, but certainl y, there is the possibility of doing more. For instance, we have made acquisitions of a digital engineering services company with strong capabilities in Eastern Europe.
Now, digital engineering clearly is a skill in great demand the world over and across industries.
So, Atul and I will be working very closely to see how we are able to grow our engineering business on the back of this and other acquisitions. There is also some acquisitions that we have in the design space where there is the opportuni ty to take that capability across various verticals and across various geos.
So, there is certainly the possibility to optimize the acquired entities from a margin perspective and from a cross -sell perspective, but I don't think that there is any particula rly low -hanging fruit there.
Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie.
Ravi Menon: Hi, thank you. CP, it's great seeing you and your team at transform Tech Mahindra. Best of luck for your next adventure. You sp oke of how 5G -related spending has been a little slow, but given how 5G has failed to uplift consumer output in all markets, and we've also not seen any killer enterprise use case come up, can we even expect 5G -related spend to pick -up in the near future?
Mohit Joshi: Yes, this is Mohit here. I think, look, from a 5G perspective, I don't think that there is any near - term expectation that there will be a significant pickup in demand. I think while the telcos have invested quite aggressively in 5G historicall y, there is a little bit of a pullback now, and there are use cases that we have built with telcos that are labs that we have established, and we are very hopeful that in the medium to

long run, whether it's manufacturing or it's travel, we will
start to s ee more 5G use cases, but there isn't a near -term bounce that is visible.
Ravi Menon: Thank you, Mohit. And while it's great to see the 99% pay-out to shareholders of stuff, I mean, with 37% of the revenue coming from communications that I just spoke, we a re not likely to see an immediate or near -term uptick. Wouldn't the turnaround be aided by some inorganic initiatives in verticals like BFSI, where we are sub -scaling with the peers?
Mohit Joshi: Yes, so again, like I said, this is the plan for revenue tha t we are building out, and we hope to come back to you with that in April. You will be mindful of the fact that I still haven't taken over as the CEO, so it's too early to be sharing concrete plans, and these plans also have to be, built and tested, right, before they are shared. But we will certainly come back to you, and it is very much on our mind.

Like I said, our plan for revenue will include things like how we're thinking about the vertical mix, how we're thinking about the geo mix, how we're thinking about our service lines. All of these will be in our plan.
Ravi Menon: Right. So we shouldn't take the current capital allocation as kind of, what is , as the norm, right?
Mohit Joshi: Yes. No, certainly. I mean, we are looking at reshaping from a margin p erspective, from a revenue perspective, and from an organization perspective.
Moderator: Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi. Thanks for taking my question. Firstly, all t he best to CP for future. Two questions. On the margin profile, I understand that you will be sharing your plan in April, but just trying to understand based on your experience so far, what are the key levers that will help you to bridge that gap and attai n the steady state margins?
Mohit Joshi: Well, I think the levers are pretty much the same that you would have for any player in our space, right? So there is the pyramid that we're looking at, and therefore, for the pyramid specifically, what is our avera ge resource cost both offshore and in all the geographies in which we operate.
We are looking at a service line mix because certain service lines like digital product engineering, for instance, have a higher realization than service assurance, for instance . We are looking at the acquired entities and the profitability of these acquired entities.
We are looking at the productivity that we can drive in our fixed price portfolio using automation. We are looking at our head to tail ratio or the span of control that we have within the organization. We are looking at the level of subcontracting that we have. These are the broad areas we are looking at. To be candid, I don't think that there is very much from an SG&A perspective, but these are the broad lines we ar e looking at when we talk about the margin expansion program. We will be sharing the details with you as we build and test our plan.
Gaurav Rateria: All right. Last question. On the large deals, can you specify what initiatives are you taking and what woul d be the sweet spot for Tech Mahindra? Thank you.
Mohit Joshi: Yes, look, so from a large deal perspective, first of all, I just want to underscore that TechM

actually has been extremely successful in large deals historically, right? It was one of the firs t companies in the space to actually do $1 billion deals well ahead of many of our larger peers. So there is a lot of expertise within TechM in commercially structuring, but also in delivering successfully on large deals, right?
We have created a large dea ls capability within each of the SBUs. Because the SBUs at the end of the day manage the accounts. We are also looking at creating a large deal capacity centrally, and the central large deal

capacity will essentially be deal directors and deal advisors, bu ilding relationships with the various deal advisors, but also identifying patterns, right?

Are these digital transformation deals? Are these cost takeout deals? Are these Gen AI -led deals? Are these cloud and infrastructure deals? So that we can then take these patterns across multiple deals to multiple clients. So that is how we are thinking about large deals.
I want to make sure that while obviously we do our best to win large deals that we do not go that at the end of the day we have a certain margin asp iration that we want to build, and so therefore we will be guided by that as we shape our large deals structure.
Gaurav Rateria: Thank you.
Moderator: Thank you. We have the next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.
Rishi Jhunjhunwala: Yes, thanks for the opportunity. Just a couple of questions. Firstly, if you look at our top five clients' revenues, right, in the last six quarters they are down almost 30%. So just wanted to understand, what is the nature of ram p down given that these were being the top five clients would be large and fairly long relationships that we would have had. And I'm assuming, the budgets wouldn't be down by that amount. So have we lost wallet share there ?
Mohit Joshi: Yes, so a few impacts, Rishi . One, the rationalization that we did was within the top customers where we had a particular area that was non -strategic, non -core, agreed with the c ustomer and we kind of took it out. So that was kind of non -value -added for them and for us. So it's kind of a pass through, if you will. So that caused a 15 million a quarter impact, right . So that was part of the top list.
Second, we see, as you know, a lot of our top customers are also from Com ms space. So there we mentioned in our narrative over the last three quarters, four quarters that one of our top customers is going through a downward spend pattern and that has impacted us negatively. So that's th e second driver that's caused a reduction in the top account.
And then, between, if you just kind of normalize these two and where we can share specific walk with you, outside of that is going to be all in average with the discretionary spend that we've seen going on.
Rishi Jhunjhunwala: Understood. And just secondly on the margin side, right? So the last two quarters have seen about 650 bps of margin decline. Just if you can quantify, how much of that was purely led by all the restructuring efforts that yo u would have done either on the customer or on the employee side? Any kind of visibility in terms of reversal of those in the time period in which you can.
And I'm just talking about these one -off expenses, right? So I'm assuming there should be some visib ility around that. That will help. Thank you.
Rohit Anand : Yes, sure. So I think from a last quarter perspective, we reported a number of 6.8%. In that, we had broadly 2% one -time impact due to mainly due to a customer bankruptcy, right . And that we had to take a charge. So that gives you a normalized view closer to, 8.7% -8.8% where we were last quarter. And from there, based on the operational dropping scene and utilization

revenue decline versus not equivalent cost out in the time frame we had and some pa rtial VP reinstatement which we had in the previous quarter, we've seen a normalized margin dip down to 7.34%, right?
And then this quarter, if you add back the exceptional items, so then we've had the exceptional items, right? So you take that out, the re ported margin is 4.7%. The exceptional items in the quarter is around 260 basis points. So take, 260 basis points for this quarter and close to 200 basis points last quarter. So those have been the exceptional items th

at we've seen in the last two quarters .
Rishi Jhunjhunwala: So I'm assuming these two should ideally be reversed in the next two quarters, right?

Rohit Anand: So these are, look at the, say for example, customer, when you say reverse, it will get normalized. Yes, it won't repeat. But when we l ook at Q3, as I mentioned, our portfolio identification of the core and exiting non -core will continue towards Q3. That's the current plan. And since there are a lot of dependencies on multiple stakeholders on executing those actions, there could be some one month up and down. That I mentioned, we'll keep you posted on how that goes. But right now, the intention is to close all our portfolio clarity actions by Q3.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Pl ease go ahead.

Manik Taneja: Sir, thank you for the opportunity. Just while some of my questions have already been answered, I'm just trying to understand, what are you seeing from your customer portfolio in terms of verticals like financial services and m anufacturing?

Mohit Joshi: Sure. So look, manufacturing is a very significant vertical for us. And I do feel that, we have an incredible right to win. It's also a sector that is being transformed quite dramatically by everything from 5G to IoT to automatio n in the plant to everything that is happening from a digital perspective on the sales front. So it is a sector that has historically been underinvested in technology. But there's an enormous amount of technology going in, whether it's from the IT perspect ive or from an engineering perspective or from a design perspective.

And I do feel given the heritage of the Mahindra Group, we have a unique right to win over here. This is also a sector where despite the slowdown and despite the downturn, we have seen gr owth across Europe and across the US. So I'm very bullish about our long -term opportunities in this sector, especially as we're tying more closely with the Mahindra Group as well.

On the BFSI side, our presence is a little bit more scattered. We have a dee p presence in insurance in the US and in Europe, and that is something that we will look to build. We've also had an incredible amount of success in insurance across the Americas and Europe.

On the banking side, our presence is more limited. But again, I d o feel that, we have a right to win in this sector, given the fact that, we have expertise across multiple areas like digital engineering for financial products, like design through the BORN acquisition, like a couple of

very targeted vertical BPS capabili ties we have, for instance, in mortgages in Europe, but also the relationships that we have built up with financial institutions through the Group.

So I do feel that while it will be a longer climb in financial services, because we are not the entrenched l eader in this segment. I do feel that there will be significant opportunities, because banks and insurers and asset managers are constantly looking to refresh their partners. And I do feel that, we have the opportunity to dig in deeper into our existing cl ients and to get new clients.

Manik Taneja: Sure. And one strategy question, like this year we've had the restructuring cost, the transition that's happening in the organization, but should some of these efforts continue into next year as well, or next yea r should be a year of margin expansion, especially given the fact that we've had much higher margin aspirations in the past, but we've always disappointed on that front. Just trying to understand if FY '25 should be a year of margin improvement or not?

Moh it Joshi: Yes, absolutely. For sure.

Manik Taneja: Sure. Thank you and all the best for the future.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Sing

hal: Yes. Hi. Thanks for taking my question. So, Rohit, my question is on the margins again. Two parts to the margin breakup that you gave. You mentioned there was a 200 basis point excess item last quarter. This was related to a client bankruptcy and around 260 basis point in thi s quarter. So what was this 260 basis point in this quarter related to?

Is it that we are shutting down some subsidiaries? Is it some severance packages that we are giving or some penalty that we are paying for some contract termination? It will be very helpful if we could just broadly classify, if not with the numbers, just with the help us to what exactly does this 260 basis point compose of? And then I'll have a follow -up question.

Rohit Anand: Yes, sure. So it's just some of that that you mention ed. It is broadly, we decided not to take any more business in certain category of geographies, type of customers slash business line. So that's one where we've said no, to that business or said strategically doesn't fit in. We've closed contracts based on the similar outline where they don't fit us from a long -term perspective, taking one-time closure impacts.

And similar to that where we could terminate, we've taken those terminations as well. So that's where it is. And in some cases, we've also isolated those as separate runoff portfolio. So those are the impacts we've taken in the quarter.

Vibhor Singhal: And would it also have some severance pay of maybe people who have left or have been asked to leave?

Rohit Anand: Not right now in the current action s et. As we continue to outline our focus areas moving forward, there are areas where we think we don't have a viable divestment case. And we stop

those businesses and have some restructuring or severance impact. That could be a part of the next step of acti on.
Vibhor Singhal: Next couple of quarters maybe?
Rohit Anand: No, I mean trying to get it towards the next quarter. But as I mentioned, given the dependencies, regulatory, other aspects, if there's an overflow, we let that communication flow through the event.
Vibhor Singhal: Got it. And my second question is that, this takes care of the one -time impact in Q1 and Q2. Now, adjusting for that, our margins in this quarter is 7.3%, which is almost 400 basis points down in the last couple of quarters. So what is the reason for this core margins, excluding the exceptional items, to be down by 400 basis points?
Rohit Anand: Yes, revenue is definitely under pressure, right? So that continues to be a big driver, which is the number one. Second, we've had, while we' ve taken a call from a long -term perspective to continue our regular wage cycle, so that's also added to a cost from a Q1-Q2 perspective.
And when we look at actions from an operational perspective, while some of them have been executed well, you can see t hat in the sub -con item, over the last three quarters, four quarters, we've continued to play that out. The headwind that we've seen on some of these items have over kind of led to a gap versus the improvement that's visible, right? So that's kind of broad ly where it is.
As we look into the future, into the second half, our view is the revenue will continue to be under pressure while the deal wins have come into momentum. So hence our cost and relevant actions have to be in line with that. And also, as we t hink about the next year and the baseline around the core business that we continue to maintain, what's going to be the right set of growth numbers, and in accordance with that, our cost alignment to make those actions happen. And that's the plan that we w ill share with you as we move forward.
Vibhor Singhal: Got it. Great. Thank you so much for taking my questions and wish you all the best.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now li

ke to ha nd the conference over to Mr. Mohit Joshi, CEO Designate, for closing comments.
Over to you, sir.
Mohit Joshi: Well, thank you all again. I just wanted to end by, first of all, thanking CP because this is his last investor call, thanking him for his leader ship through the past many years in guiding TechM to its sort of relevance today. So, thank you, CP.
Also from a TechM perspective, while there are obviously near -term challenges, I am very enthused about the medium to long -term prospects of our business, given the depth of client relationships, given the outstanding talent that we have, and given the incredible support that we have from a very successful group, the Mahindra Group.

I am very optimistic about the long -term potential of the business and look forward to sharing the plans that we have mentioned, a plan for revenue, a plan for the organization, and a plan for margins with you over the next few months. So thank you and speak to you soon.
Moderator: Thank you. On behalf of Tech Mahindra Limited, th at concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

29th January, 2024
To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM
Subject: Transcript of earnings conference call for the quarter ended 31st December, 2023
Dear Sir/Madam,
In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and E xchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter en ded 31st December, 2023 conducted after the meeting of the Board of Directors held on 24th January, 2024 for your information and records.
The above information is also available on the website of the Company at https://www.techmahindra.com/en -in/investors/disclosure -events/
Thanking you,
For Tech Mahindra Limited
Anil Khatri
Company Secretary
Encl.: as above

"Tech Mahindra Limited Q3 FY24 Earnings Conference Call"

January 24, 2024

MANAGEMENT : MR. MOHIT JOSHI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CFO, TECH MAHINDRA LIMITED
MR. ATUL SONEJA – CHIEF OPERATING OFFICER , TECH MAHINDRA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q3 FY'24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conferen ce is being recorded.
I now hand the conference over to Mr. Mohit Joshi – M.D. and CEO of Tech Mahindra.

Thank you and over to you, sir.
Mohit Joshi: Thank you, operator. Good evening to all of you who have joined the call today and I wish you a Very Happy and Prosperous 2024.
It has now been seven months for me in Tech Mahindra and slightly over a month as the CEO. And I'm very grateful and privileged to speak to you today as the leader of this wonderful organization that is respected by clients globa lly for the quality and the caliber of our services.
We have embarked on our turnaround phase in TechM's evolution, and we are actively making foundational moves to upgrade TechM's performance. Our overarching goal in this phase is to make the investments and changes to maximize a long -term earnings growth to drive a culture of performance in both delivery and sales. We are in the process of defining our long -term strategy, which will then be effectively implemented to deliver long -term value for our custom ers, employees and shareholders.
We are embarking on three tracks as I'd shared with you previously to unlock the value from our operations:
The first track is focused on “Revenue” and is focused on “Sales Improvement”:
The erstwhile organization structure at Tech Mahindra comprised of 12 sales SBUs, which we have now simplified to just six units. We have also eliminated the dotted lines and delayered the hierarchy for better synergy and accountability. The portfolio companies will also be integrated under the respective business units for better realization of synergies. Further, as we scanned through the portfolio, we saw a need to reconsider how we allocate our time and investments across our client portfolio.

There was low investment focus on our top acc ounts, which resulted in us not being able to realize substantially the true value of these top clients. At the same time, we've also worked to find ways to substantially improve and better utilize our efforts in engaging across the smaller accounts. So, w e are bringing more attention and investment to the top accounts, and we are revamping our efforts to engage with the smaller accounts. These actions are likely to improve the effectiveness and efficiency of our sales efforts.
The second track is focused o n “Margin Improvement”:
Since the delivery teams historically were aligned to the regions and spread across many units, there was no central ownership. This led to a lack of scalable, innovative and industry -focused solutions. Centralized delivery structur e will result in innovation and domain expertise, and it will also help us implement focused programs towards cost reduction and margin expansion. In my seven months, I have found that Tech Mahindra's delivery talent is very strong, and the staff has an in tense desire to serve our clients and the levels of client satisfaction are high. By combining t his strong talent with significantly improved delivery structure and processes, I believe that Tech Mahindra will further enhance its client service while also increasing our innovation, profitability, and scalability.
The third track is focused on the “Organization”:
We are focused on building the organization for the future. TechM has historically thrived under entrepreneurial growth, and this eventually foster ed an informal culture. While t

he intention was to imbibe agility, over time, lack of frameworks made it difficult to implement changes, and the organization has become slow to act. The organization structure ran the risk of becoming hierarchical and siloe d. We believe that a company of this size needs robust processes and frameworks, and there can be room for freedom and creativity within the set framework. We have made changes to internal policies on these lines and there will be more work in these areas in the coming months. For an organization as big and diverse as TechM, it is important to progress from an entrepreneurial model into an organization with a unifying vision and supporting frameworks.
We also recently concluded our cultural assessment using an independent assessment firm, and the final report identified an encouraging set of cultural strengths. These

include a focus on customer -centricity and a sense of belonging and deep pride in the company, and the Mahindra group's heritage. The study als o, as you would expect, highlighted areas where our organization practice needs to improve. The key opportunities here include elevating the roles of our delivery organization and I believe that we are making progress here by centralizing the delivery orga nization. The report also identified the need to improve the consistency of our associate rewards and the associate feedback process. Based on these inputs, which was based on an extensive focus group discussion and leadership interviews, we have worked to wards establishing a culture of performance, professionalism, learning and merit. We have already started making changes to our incentive schemes and HR policies to reduce bureaucracy and to empower the workforce.

By diligently working on these three prior ity areas, I'm confident that we have what it takes to pull off this plan, our strengths line, our talent pool, our client base, and a very strong heritage from the group.

We are the market leaders in the telecom business and have billion -dollar verticals in Manufacturing and BFSI. We have a fast-growing practice in BPO and distinctive capabilities and IP in AI. We certainly have the foundation, the merit, the talent, the values and the ability to achieve our goals, and I don't see any hurdles that stop us from becoming the best technology services company in the sector.

Building on these trends, along with focused efforts on the areas of improvement, we're embarking on our turnaround effort that will take TechM to the next stage. The primary objective of th is turnaround effort is to maximize TechM's long -term revenue growth and long -term margin. Doing so will require substantial changes, turnaround costs and above normal investments over the next year. To underscore this, especially given the multi -year oppo rtunities we see, we will use this turnaround period as an opportunity to invest significantly to improve our positioning in a set of target markets.

I had spoken previously about the leaders that we onboarded, and the previous quarter was in all senses a quarter of new beginnings. Richard Lobo has joined us as the new Chief Human Resources Officer. Rajshree has joined us as the Chief Growth Officer for the Americas strategic verticals. Peeyush Dubey has joined us as the Chief Marketing Officer. We have alr eady announced the joining of Atul Soneja – our new Chief Operating Officer. Roshan Shetty and Pankaj Kulkarni as BFSI heads in the US and

Europe respectively. We have also strengthened the leadership to scale the BFSI vertical in Asia Pacific and the ANZ region, and I take this opportunity to welcome them to Tech Mahindra. They are significant additions to the team and I'm sure they will bring great value through their rich experience and domain expertise. We already have a great team in place in Tech

Mahi ndra and with these new additions to the TechM family, we should be able to take this organization to new heights from an already strong foundation.

Moving on to Q3 Results:

We reported revenue of US$1,573 million for the quarter ended December 2023, which is a growth of 1.1% for the sequential quarter and a decline of 5.7% on a YoY basis.

Diving further into segments, the growth in the quarter was mainly driven by the Manufacturing sector where we continue to leverage our strengths in automobile and relate d ER&D services. We also see an uptick in the retail segment during the festive season and they've played out this year as well. Outside this, most of the other segments like Telecom, BFSI and Hi -Tech were impacted by furloughs.

We report EBIT margins for the quarter at 5.4%, which is an expansion of 70 basis points. These numbers are the outcome of the actions that we have taken to derisk the portfolio. Adjusted for exceptional items, the operating margin stands at 7%. We report new large deal win TCV at $ 381 million for the quarter. This comprises of deal wins across our key segments.

We were selected as the strategic IT transformation partner by a prominent life and annuities provider in North America. This is a large multi -pillar comprehensive transforma tion engagement that includes the modernization of the core through cloud migration, application, and infrastructure services provisioning.

Tech Mahindra was also selected as a strategic partner by US -based telecoms OEM for building and operating their next -gen state -of-the-art lab in Plano, TX.

We were chosen as a Partner of Choice by an American package and supply chain company. The portfolio transformation deal includes scope of work across application

development and maintenance, enterprise applications, cloud, next -gen data analytics, AI/ML as well as digital design.
TechM has also been selected as a prime services partner by US -based telecom operator. Tech Mahindra will provide transformative design, development, management, and support services for the ILEC stack.
We have been selected by a large Asian bank for a comprehensive digital banking CX deployment, servicing their customers in the region.
We had spoken previously about the progress that we've made on the AI front and we have seen significant progress on the GenAI initiatives.
We launched the Vision amplifAIer, a solution which infuses GenAI in computer vision and provides end -to-end workben ch to substantiate computer vision use cases.
Earlier, we had announced an Email amplifAIer and an Ops amplifAIer. So, this is our third offering in the amplifAIer suite.
We currently have active client conversations related to GenAI and we see early -stage experiments and POCs now starting to move into production pilots. Many of these engagements are in the areas of Conversational AI and Document AI. GenAI not only is an integral feature of large transformation deals, but we have also seen standalone GenAI deals in the areas of enterprise knowledge search, customer engagement and business processes.
In terms of segments:
Healthcare and Life Sciences clearly stand out as earlier adopters of GenAI with specific interest in areas like drug discovery, EMR , and medico audio scripts.
While we are helping hyperscalers and SaaS providers to scale their AI offerings, we also see emergence of complex use cases of GenAI applications in areas like chip design. To maintain our lead in this space, we will continue to train our associates with GenAI -led skills and intend to enable this for 100% of our talent base. Currently, we have trained 16,000 associates in Pair Programming, broader AI coverage is much larger, and this coverage will increase as we move forward.

From an awards and recognitions perspective, I'm

happy to announce that Tech Mahindra is the only Indian IT company to make it to the Dow Jones Sustainability Indices, World Index 2023 as part of the DJSI World Index for the 9th Consecutive Year.
This is a mom ent of great pride for us and shows our focus on sustainability.
We have also been recognized among the Progressive Places to Work 2023 by ET Edge.
I will now hand it over to Atul Soneja, our Chief Operating Officer to share an update on the delivery side.
Atul Soneja: Thank you, Mohit. Hi, good evening, everyone and wish you all a very happy 2024.
Over the past six months at Tech Mahindra, I have had the privilege of leading a team known for its impressive delivery capabilities, client -centric approach, and an immense sense of belonging to the Mahindra and Tech Mahindra brand. Additionally, I am hear tened by the cohesive bond forged among the leadership team contributing to a strong and unified organizational culture.
As Mohit highlighted earlier, we reorganized and centralized our delivery organization about a quarter back. We now have a 6x6 matrix w herein there are six verticalized application development, maintenance and support teams which specialize in each of our key client verticals like communications, manufacturing, BFSI, hi -tech, media and entertainment, healthcare and life sciences and diver sified industry groups, which covers verticals like retail, oil and gas, logistics, etc., These are aligned with the changes in the sales organization, which is now more verticalized.
In addition, we have established six distinct service lines, namely – Cloud and Infrastructure, Enterprise Applications, Design Experience, Next -Generation Services encompassing Data Analytics, AI and GenAI, Cybersecurity and other emerging technology as well as network services and engineering services. The implementation of these modifications took effect earlier this month, with the entire workforce of over 70,000 IT professionals seamlessly transitioning to operate within the framework of the new organizational structure.
This framework enables us to attain three pivotal go als:

➢ First and foremost, it facilitates the development of deep competencies, allowing us to harness these capabilities in delivering industry -specific solutions and offerings to our clients.
➢ Second, it instills agility within our operations, enabling us t o innovate on a larger scale.
➢ And third, it empowers us to drive efficiency and productivity enhancements by leveraging the benefits of scale. With this change, our customers benefit by experiencing the best of Tech Mahindra across all competencies and giv es our own associates an ability to build deep domain and technology competencies.

We are seeing an increasing number of use cases of AI and GenAI adoption with our clients. These cases are moving from the plain vanilla document summarizing, chatbot, etc., to using GenAI for business transformation like using GenAI to optimize cell tower energy consumption, AI for art repair and restoration, which allows GenAI to fill in art wherever it is damaged or changing a massive product catalog and launch a new store within a matter of days to respond to a market even for a large retailer.

Our investments and thought leadership in AI and GenAI have been well recognized in the industry, with Tech Mahindra being identified as a leader across multiple analyst ratings. We plan to train 100% of our IT talent in AI in FY'25.

We have also initiated focused programs to increase efficiency of our operations like pyramid optimization, utilization improvement, subcon reduction and value -based pricing. These programs are meant to weed out inefficiencies in our operations, ensure customer delight by way of delivery excellence and help us improving the operating margins.

We have hired over 2,000 freshers up to December, have optimized our su

bcon
dependency, improved our fixed price offshoring, and we plan to continue these and additional operating levers to drive our margin forward.

I would like to hand it over to Rohit to take you through the financials for Q3.

Rohit Anand: Thank you, Atul. good evening, everyone.

Let me now c over the Company Financials for the Quarter ending December 2023:

We ended our 3rd Quarter with revenue of US$1,573 million, which was up sequentially 1.1% QoQ, down 5.4% YoY. While the enterprise segment grew 2% on a QoQ basis, the communications segment marginally declined by 0.3%.

In terms of INR revenue:

Our revenue was up QoQ by 1.8%. The revenue in Q3 is on the back of certain one - time revenues, which contributed 1.4% sequential growth. We got some positive lift from seasonality business in Comviva an d the retail segment, which was off -setted by the furlough impact that we see typically in this time of the year.

In terms of our EBIT margins:

Our margins was 84 million for the quarter versus 73 million in Q2. The margin percent was 5.4%, which is an exp ansion of 70 basis points QoQ. This is after exceptional items of 160 basis points which we took in this quarter in line with what we discussed last time looking at our portfolio, rationalizing certain areas that we don't think fit from a long -term strateg y perspective. Adjusting for those, our EBIT margins for Q3 stood at 7%, similar to the normalized margins last quarter.

Moving below EBIT:

Our other income for the quarter stood at 11 million, which was down compared to last quarter. FOREX losses were $ 5 million based on the FX currency movements versus marginal $ 0.3 million in Q2. The effective tax rate for the quarter was 22.8% and resultant of that the PAT was 61 million at a profit margin of 3.9%. We had a healthy quarter in terms of cash, our free c ash flow was $ 228 million.

Our DSO days improved by 6 days to 91 days, and we expect the cash conversion in Q4 to normalize a bit because we got certain advanced collections in the quarter. When you look at the hedge book as a part of our accounting hedge policy, we have a hedge book of $ 2.3 billion. And as per the mark -to-market for the quarter, we had a gain of $ 4.7 million, out of which $ 2.8 was taken to the P&L and $ 1.9 to the reserves. When we look at our cash from a balance sheet perspective, our reserves, cash and cash equivalent is at $ 843 million which is Rs. 7,012 crores which is healthy from a balance sheet position perspective. When you look at the year till now, we've had operationally a tough top line based on the macro environment, but o utside of that, we've taken a

set of actions which are exceptional both on top line and on bottom line. While it gives an impact on the P&L in the short term, we are very sure that from a long -term perspective it sets the business in the right course, and this will deliver value in the long term as we make the right portfolio choices.
So, with that I stop the opening dialogues from all of us and open it up for questions for the participants.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Rohit, you talked about 160 basis points impact. There is no impairment that we've called out. So, could you explain what exactly is this 160 basis points impact and is that entirely in the SG&A line?
Rohit Anand: So, one -time exception -led similar to last quarter as we had called out, there are certain portfolios across the organization that we're looking at, there are certain contracts that we look at from a long -term perspective, it doesn't align with the strategic vision we have. So, we've upfront taken actions on those, either terminating those or boxing them

separately. Based on that, we've taken certain impacts which was there last quarter and the same follow th rough. So, we said that between Q2 and Q3, we'll pretty much close those actions and that's what we've done. From an impairment perspective, that's a year -end exercise where we look at all our portfolio investments that we've done historically, and that as sessment will happen in the current quarter as a part of our year -end financial close and basis that we'll keep you updated if there's any charges associated with it.
Ravi Menon: Is there any revenue impact as well, Rohit, due to this closure of contracts?
Rohit Anand: No, not significant this quarter. We had it in last quarter, which we've articulated. I think this quarter the one -time revenue is more around certain product revenues which won’t be repeated, so that's what I highlighted from a top line pers pective.
Ravi Menon: In telecom specifically, how should we think about this -- are we looking at sequential growth from here, do you think this is bottomed out or are there still headwinds ahead?

Mohit Joshi: Ravi, we don't see telecom as having bottomed out. We still see a significant amount of volatility at least for the next couple of quarters. But we do feel that the worst is behind us, right. If you look at the very significant drop that we had in 2023, we don't think we're looking at the same magnitu de of drop in 2024. But it is still a sector that is stressed, and it is still an area where we are seeing volatility in the current quarter and beyond.
Ravi Menon: And one question is on Europe. Really strong performance there. Do you have some color on w hat sort of deals you're winning there; what verticals are being tracked?
Mohit Joshi: Look, I would say that in Europe, our performance in this quarter really is a bounce back from the very poor performance we had in the previous quarter. I would still sa y that from a year -on-year basis, we are still down in Europe. So, I would not prematurely call it a victory or a recovery. There is a lot of work that we are doing in Europe to systematically look at our clients base, to look at the various segments in wh ich we operate. As you know, in Europe, we have a strong telecom business, but also a significant right -to-win in Manufacturing, we are investing to build up a BFSI business. So, in the long run, I'm sure that our Europe business will be very robust. But t he performance in this quarter is just a bounce back from an exceptionally poor Q2 and not really a sign of great recovery.
Rohit Anand: Just to add, some of that one -time revenue is also in Europe. So that is causing a little bit of an increase.
Moderator : The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: My first question is for Mohit. You made a comment around that you embarking on this three track plan and making significant investments and changes. How to think about the duration of these investment cycle -- is it going to be multi -year investment cycle, and when do you think that we'll start reaping the fruits of that?
Mohit J oshi: So look, I think as you know I have been in this position only for about 33, 34 days now. So, we are at the very early stages of detailing our plan for revenue, plan for margins and a plan for the organization. But, if you look at the things that we' re talking about

from an organizational perspective, right, we're talking about taking in fresher talent every year which means that we have to build out a training infrastructure from what

we have. We've got a new CMO, so we're making significant investme nts from a brand perspective. There is some rationalization of policies that I had alluded to that we have done, plus we're building out capabilities in sectors like

BFSI. So, all of this will require investments. I expect that when we come back to you in April and we are looking at extended earnings call in April where we will be able to give you a first sort of flush of how long we reckon this turnaround period will take and what we expect to deliver in the coming quarters, in the coming years. So, please do give us a little bit more time to come back to you with the timelines.

Gaurav Rateria: Second question is around different companies have highlighted different pockets of green shoots they are seeing in the part. So it'll be great if you could flush ou t the detailing in terms of where you are seeing some green shoots from a demand perspective, which other segments that you think will be the ones that will bounce back fast?

Mohit Joshi: So look, like I mentioned, we are still seeing near term volatility in our revenues for this quarter and for the next quarter. I feel that the market environment though is slightly more positive than it was six months ago, but it's too early to call it green shoots or to point to any sustained recovery in any part of the b usiness. We still see significant volatility and so it's too early I think to call for a definitive signs of green shoots or definitive signs of a recovery. In sectors like telecom, like I said, I feel that the worst is behind us, but that is very differen t from saying that we are seeing green shoots, or we are seeing growth.

Gaurav Rateria: Rohit, how to think about margins -- have we bottomed out in our margin profile and from here on we should see sustained improvement even after taking into account the investment plans that we have, if you could just give us some puts and takes on that, that'll be helpful?

Rohit Anand: I think the way to think about it is a normalized number, right now, 7% EBIT, and from here on, I think Q4, as I mentioned, we will go through our annual impairment exercise, which we do for all portfolio companies, leaving t hat, from an operational perspective, we should start looking to see that this as a bottom, and when we make our plan in April, I think as Mohit said, we will share more details of how we see this trajectory to go more around the next year and more importa ntly the long -term, and the long term will be very, very critical for us because the investments we make now will start giving

us return for a longer duration. So, we'll share both next year as well as the long -term plan with you as we come back to you in April, but from a bottoming perspective, yes, operationally, this is the bottom except some of the portfolio company reviews that we'll do from an impairment perspective.

Moderator: The next question is from the line of Kawaljeet Saluja from Kotak Securiti es. Please go ahead.

Kawaljeet Saluja: Mohit, I have three questions for you. The first question, Mohit, is that margin is a function of two things -- one is the price and second is the execution. Now, let's basically assume that you can execute as well as you visualize here in your new structure and the improvements that you have made. The balancing factor remains about price. Now, when you look at Tech Mahindra's pricing, how does that compare versus the industry? And is pricing of contracts going to be a handicap for you in your profitability journey?

Mohit Joshi: I think this is a very valid question. The way we're also thinking about margin expansion is across multiple parameters. So, the way we think about it is there are five levers that we need to pu ll from a margin expansion perspective. The first, as you rightly said, is operational parameters. And these operational parameters have been defined previously, they're pyramid, they're the onsite -offshore mix, subcons, utilizations, things like overhead. Beyond this, we need to move into what are the factors that we use to drive productivity, and

which is around lean, it's around automation, it's around the use of GenAI, it's also about being able to drive reuse across the range. Beyond this, we need to l ook at how we change the nature of contracts itself, can we be moving into more outcome -based engagements, can we be moving into more team and squad -based structure, so really changing the way we price for teams rather than pricing for individuals. We're o bviously looking at margin -dilutive contracts as you know, historically, in TechM. We are looking to build out a discipline around pricing and around contracting, that should give us the benefit. And then there is a point that you mentioned, which is aroun d the price realization itself. Here, I believe that we have to have a focus on high margin services. It's in engineering, it's in enterprise apps, it's in cloud, our services around data and AI, which as we change our mix, we feel that it will help us imp rove our margins. There's also the additional things that we're doing around in our geographies. As you look at it now, the delta with the best -in-class peers is very significant from a margin perspective. So, I do feel that we have room to move

across the se five parameters that I mentioned, but obviously reaching best -in-class margins is something that will take time. I do feel that we can narrow the gap in the shorter -term.
Kawaljeet Saluja: Mohit, do you want to break down that gap between the difference in pricing versus peers versus the execution or that's something -
Mohit Joshi: I would say that the gap is largely in execution and not so much in pricing or the mix.
Kawaljeet Saluja: The second question I had is about the portfolio of a contract and bu siness that you have. Now, there was a fair bit of rationalization and clean up exercise undertaken in the last six to nine months. Are you happy with the current portfolio or is there further surgery required?
Mohit Joshi: I think it's too early to tell. There is some tweaking that will be required in parts of the portfolio and there will be some strategic decisions that we will need to make. And again, this is something that we'll be sharing in April. But there is nothing dramatic or earth shaking that w e're looking to do, it will be more in the nature of streamlining.
Kawaljeet Saluja: The third question, Mohit, is on the telecom portfolio. Now, Telecom portfolio is good in a technology shift cycle but not so good in a sustained kind of a cycle. What's y our perspective on which kind of a cycle are we in telecom? And second is that generally it's assumed that telecom is not a great portfolio to have, it's a handicapped portfolio which will keep on underperforming, given the fact that spends do not go up. S o, do you agree with that assessment? And if yes, then, is there something in the telecom portfolio of existing clients that can be done to stimulate growth?
Mohit Joshi: I just want to mention that telecom practice is very central to TechM and obviously w e have invested over the past few decades very strongly in the practice, and I feel that we have world -beating credentials in the sector, but the reality is that the sector itself is stressed, and client spends have been very tight. Now, it is possible tha t the poor environment will result in a significant amount of consolidation and cost take out deals in the future and we will play in it. We are also looking to build out our platforms from a Comviva perspective that help our clients increase their ARPU, a nd to increase the longevity of their contracts, help them from AI and from a next -best action perspective. So, these are all the things that we're looking to do. But the reality is that telecom for our peer group and for us has been a low spend sector ove r the past 12

months and this sector that profe

ssional services firms, tech services firms have struggled in. So, our experience from a spend perspective is within the range of what our peer group has seen.
Moderator: The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Mohit, just to follow up on the previous question, I think telecom sector, I think you gave a very good comprehensive view of this. I would just like to maybe just extend it and basicall y take your views on specifically the Manufacturing and BFSI capabilities for us. You mentioned these are both a billion -dollar portfolio for us. Manufacturing specifically, I think has been quite stagnant, if I look at the last five years, we haven't gone anywhere in terms of overall size of revenue, whereas BFSI of course I'm sure you would know so much about the industry. So, where do you think are the capabilities of TechM maybe lacking that we've specifically in these domains, organically, the growth h as not been that great, and any specific pockets that you were

able to identify or white spaces which you would probably want to fill in to be able to drive the growth to the levels over the next two years?

Mohit Joshi: So look, Manufacturing, I feel that historically again given the heritage of our parent, we have a very, very strong practice. If I look at it from an industrial Manufacturing perspective, it goes all the way from the product perspective, things like product design where we have a significan t digital capability, but also physical capability given Pininfarina we have done a lot of work from a production perspective, so whether it's factory of the future or the green factory or the work that is going on from a supply chain resiliency perspectiv e. We do a lot of work from a performance perspective, which is the after -sale warranty, spare parts management, there's a lot of BPS work that we do in the sector. And finally, we also work on the experience side. As more and more manufacturers go to dire ct-to-consumer business models and as they look to build on their e -commerce capability, there's a range of capability that we have in TechM across product, production, performance and experience, and we're looking to build on this. What we're also doing i s that we're working very closely with our colleagues on the M&M side and the broader group side because the group does have a range of global relationships, whether it's supplier relationships or co -development or partner relationships, everybody from chi p manufacturers to car brake manufacturers we're looking to see how we can leverage these group relationships to

build our capabilities. The Mahindra group is recognized as an innovator from a Manufacturing perspective, whether it's in energy consumption a nd sustainability or the factory of the future that we have built together in Chakan. So that is all things that we'll be looking to use and credentials we will be looking to use to build out our Manufacturing practice. It is a real area of focus for us. A nd I feel an area where we have a natural right -to-win. As far as the BFSI business is concerned, like I said, we have a billion -dollar business, we have a range of capabilities through some of the acquisitions. So, we have I believe the only digital engin eering capability in financial services, thanks to our CTC acquisition, we have a very high end buy side and custodian consulting capability through Cit isoft, we have a transaction processing capability through Target, and obviously we have our own organic capabilities. So, I feel that we are able to stitch together a compelling narrative using these capabilities. We have put together a very good team and we are working together and myself leading a global vertical interlock to start building solutions to s tart reaching out to clients. I'm very confident that we have a

compelling story to take to banks and insurers across the world. But again, it will take time. Our peers have built out their business over decades, we are just starting out, but I'm confident that this is a story we can build on.

Vibhor Singhal: Just one small question for Rohit. You mentioned that the adjusted margins for this quarter was at around 7% for the 150 basis points exceptional item. Now, I don't want the numerical details per se, b ut if I compare it to the year -on-year margin, last year same quarter we did 12% margins. So, assuming that the 7% margin is the core margin of the company, any specific heads that you would probably want to highlight, whereas that 500 basis points gone th is year because the 7% is excluding the exceptional items, maybe the growth is lower because of that, I think the numbers got impacted, but given that utilization is also at around 88%, where do you believe large chunk of this margin has gone out so that i t's easier for us to build in as to when the recovery margins happen, where are the pockets that we could be probably looking at?

Rohit Anand: I think broadly if you look at it the wage inflation that we saw the annual hikes that we did at the beginning of the year with the market that we saw through the year didn't come up with equal and price increases. That's a big value drop. So, that contributed significant portion of it. And additionally, I would say with the service revenue, that has dropped through the year from where we started, we were at 1,668 last time to where we are now, that service revenue drop has contributed to kind of a deleverage in that context and caused the pressure from a cost perspective, not off at the same pace.

That both has cause d the decline and then outside of that, as Mohit mentioned, I think we're looking at getting that back into the right equation, and once we get that back into the right equation, working on all the operating levers that we've kind of devised for ourselves.

Vibhor Singhal: And as utilization at 87.6%, do you think they peaked out?
Rohit Anand: We still have the opportunities to get value there, but as we chart out a plan in April, we'll share more credentials around it.
Moderator: The next question is from t he line of Sudhier Kundapalli from Kotak Mahindra Asset Management Company. Please go ahead.
Sudhier Kundapalli: The track one and track two you mentioned, which is sales growth and margin improvement, do you think at least over the next one year or so we' ll have to trade off one for the other? If yes, what will be your trade off or do you think we can have a Goldilocks kind of a scenario where both growth and margins can improve in tandem assuming a stable macro?
Mohit Joshi: So, look, I think it is very h ard to tell. I mean, obviously we are hoping for a Goldilocks where we can use and it's obviously much easier to deliver a credible margin improvement story if we also have growth. But at the end of the day, I think as our top team, we are very clear that if we have to make a trade off, we will deliver the margins because we don't want to do substandard growth or get into poor contracts or do marginal deals just for the sake of showing growth. So, we hope we can deliver growth and margins in the long term, but in the near to medium term if we have to do a trade - off, we would focus on not doing suboptimal deals.
Sudhier Kundapalli: Just a quick clarification from Rohit. So, why is Comviva seasonality being called a one - off? Our understanding is that this is s ort of pass -through revenue which is seasonal. Is that understanding incorrect, or this is a pure one off relating to revenue from some discontinued business plan?
Rohit Anand: So, one -off is not Comviva . I said one -offs in certain product deliveries that happened in other side of the business which was additionally supplemented b

y an increased quarter -over -quarter on the Comviva seasonality along with retail offset by the furloughs.

Sudhier Kundapalli: Just one more clarification. Of the 500-bps odd margin contraction that we had seen over the last 12 months, is there any element of the earn out component payments to, let's say, some of the companies which we acquired over the course of calendar '20?
Rohit Anand: Sorry, can you just repeat that question?
Sudhier Kundapalli: So, I was saying the margin fall that we had seen in over the last nine to 12 months of that 500, 600 basis points, is it partially also contributed by any earnout components we wou ld have bagged. So, some of the portfolio companies which were acquired over calendar '21 and calendar '22.
Rohit Anand: No, As I explained, the main drivers are what I mentioned, wage, not accompanying for the pricing increase, and then the service revenu e dropped, while there are certain macro positions that have impacted certain portfolio companies more than the others. But the earnout or any other accounting information there is not in practice.
Moderator: The next question is from the line of Rishi Jhu njhunwala from IIFL institutional Equities. Please go ahead.
R Jhunjhunwala: I have three questions. See, firstly, if we look at our utilization is pretty much at like 10-year high barring one or two quarters in Fiscal '22, and on the flip side, if we look at our subcon expenses, it is a decade low as a percentage of revenues, and still, our overall headcount is declining sequentially and even on a year -on-year basis by 7%. So, just wanted to understand our strategy around managing employee pyramid -- is it clearly a reflection of how we expect revenues to play out over the next two, three quarters where growth could still continue to be challenging or are we stretching it significantly and then if demand comes back not having adequate capacity?
Mohit Joshi: The headcount decline that you've seen quarter -on-quarter is largely because of BPS and that's largely a seasonal issue because of the holiday season and the changes that happen. Overall, we are moving from more of a subcon focus to more of an employee focus, which is why you're seeing a decline in the employee numbers. If you remember last quarter, we were actually asked a question saying, why are you the only company in the industry that is adding headcount when everybody else is dropping headcount, beca use we added freshers in the last quarter? So, I don't think there is any overall better narrative that you can read into these quarterly fluctuations. We are looking to

add freshers, we are looking to build a pyramid, we are hopeful that we will see the market will turnaround, but we recognize the current reality. So, I think apart from the fact that we are shifting from subcons to employees, there really isn't anything broader that you should read into this.
R Jhunjhunwala: The second question is just in terms of TCV. So, on a trailing 12 months, we are down about 40%. If we look at the industry on an aggregate basis, there hasn't been a lot of sharp decline on a year -on-year or a trailing 12 months basis as well. How much of this decline do you attribute to the changes that we are trying to make, and as a result, in how much time do you think we will potentially go back to how industry is able to grow the TCV?
Mohit Joshi: Look, I think part of it is the lumpiness. So, if you recollect, we had a very good quarter, the previous quarter where we did over 600 million in large deals TCV. So, part of it is just the lumpiness within a quarter, but part of it also reflects, again, our sectoral split on our industry exposure, and part of it also reflects the fact t hat we are being more deliberate, I would say, cautious or careful, we're being more d

eliberate around the
contracting that we do. But again, I don't see any broad competitiveness issues in the market or any sort of structural challenges in our client enga gements. So, this is just the natural ebb and flow and the natural lumpiness of large deals.
R Jhunjhunwala: If we look at the last eight quarters or so, our interest expense is almost quadrupled, whereas our debt and lease liabilities have remained largel y flat. So, what is the reason for such a high increase in interest expense?
Rohit Anand : The interest expense, I mean the rates being caught when we started these were almost zero, 1%. So, over a period of time there's been increase in the interest rate, right now is more like 6%, 6.5%. Interest rate expenses has caused the majority of that increase, but the absolute loan amount has not changed.
R Jhunjhunwala: No, I'm just wondering, I mean, we are anyways net cash company in a big way. So, do we really n eed to carry that kind of a debt at that interest anymore?
Rohit Anand : Something that we are evaluating based on the cash balances we have. We'll take an appropriate call as we move forward.

Moderator: Ladies and gentlemen, we will take that as a last que stion. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Rohit Anand: Thank you everybody for joining. Again, want to just recap, I think, as you look through the year, we've done a lot of actions in ter ms of looking at our portfolio, certain choices that help us stand in long -term and what the company strategy is going to be. We will come back to you in April with an extended earnings call where we share our strategic plan in a little bit more detail. We 're working through the detailing around it within the organization with the leadership team and take you through how we'll position the company from a long -term perspective and walk through all the contours of that plan. So, that's where we're working on and we'll share more as we get together in April. So, I thank everybody again for joining and your continued support to the company.
Moderator: On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all for joining us. You may now di sconnect your lines.

Call: May 2024

02nd May, 2024
To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E)
Mumbai - 400 051
NSE Symbol : TECHM
Subject: Transcript of the earnings conference call for the quarter and year ended
31st March , 2024
Dear Sir/Madam,
In terms of Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended 31st March , 2024 conducted after the meeting of the Board of Directors held on 25th April, 2024 for your information and records.
The above information is also available on the website of the Company at
https://www.techmahindra.com/en -in/investors/disclosure -events/
Thanking you,
For Tech Mahindra Limited
Anil Khatri
Company Secretary
Encl.: as above

"Tech Mahindra Limited Q4 FY24 Earnings Conference Call"

April 25, 2024

MANAGEMENT: MR. MOHIT JOSHI – MD & CEO, TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CFO, TECH MAHINDRA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Tech Mahindra's Earning Conference Call for the quarter ended March 31st, 2024.

Please note, all participants line will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the management presentation. Should you need any assistance during the conference call, please raise your hand from the 'Participant' tab on the screen. While asking questio ns, request you to please identify yourself and your company. Please note, this conference is being recorded.

I now hand the conference over to TechM management. Thank you and over to
you, Sir.

Mohit Joshi: Thank you, Vandit, and good evening , everyone. It's a pleasure connecting with you again. In addition to the updates from the recent quarter in the financial year, Rohit and I will share our 3-year strategy with you today. We will also touch upon the actions that we have already taken to achieve our goals. But before we deep dive into our roadmap to FY27, let me brief you on Q4 and our FY24 performance.

Q4 and our FY24 performance:

We report a revenue of $1 ,548 million in the recent quarter, which is mostly in line with our expectations as the one -off revenue in Q 3 was not expected to recur. This is a decline of 6.4% YoY on a constant currency basis. We close the year with a revenue of $6 ,277 million, which is a decline of 4.7% on a constant currency basis as compared to revenue in FY23. This decline is mainly driven by the headwinds in the communications vertical, while the non- communications vertical
remain ed stable year over year. We report an Operating Margin of 7.4% and free cash generation of $ 129 million in Q 4 FY24. For the full year F Y24, we have generated a free cash of $676 million .
In terms of deal wins , we signed large deals with TCV of $500 million in Q 4 taking
 the total deal win TCV in FY24 to around $1.9 billion. This also includes the two large deals that we signed in Q 4 each over $100 million in TCV.

A couple of notable deals include our deal with a large Telco and our long -term partner to transform their business processes across multiple service lines that include customer operations and experience, complex enterprise operations, back office , and support operations through deployment of intelligent automation and new age customer experience technologies.
Another deal is with a European fintech major which selected TechM to enhance their customer experience and provide global support from multilingual hubs while ensuring compliance with local regulations in each of its customer markets across Europe, America and Australia and New Zealand.

In terms of awards, our strength lies in the 145,000 plus strong workforce and a testimony to that is the fact that we have once again been recognized as the best organization for women by ET NOW. We have also been recognized as the ESG Champion of India 2024 Software and IT services by Dun & Bradstreet. We are the only Indian IT company in the top 5% of the global sustainable companies and a member of the S &P Global yearbook 2024 for the ninth consecutive year.

In terms of dividends on a full year basis in F Y24 and in line with our capital allocation policy, the Board has recommended a final dividend of ■28 per share. This will bring the total dividend for F Y24 to ■40 per share .
In terms of FY25 outlook , as we step into the year , we believe that it will be better than the previous one . In a world of heightened geopolitical turmoil coupled with fast evolving AI capabilities, organizations will have to address and adapt their businesses like never before. They are then turning to technology partners like TechM who can help them transform with speed and bring agility , resilience , and efficienc

y to their businesses.

I will now hand it over to Rohit to take you through the financial performance in more detail.

Rohit Anand: Thank you, Mohit. Good evening , everyone. Let me now cover the company financial s in a little bit more detail for the quarter and the year ended March, 2024.

As Mo hit mentioned, we ended the fourth quarter with the revenue of $ 1,548 million versus $ 1,573 the last quarter . On a reported basis , this is down 1.6% QOQ, which we had mentioned, based on one -time revenue in the last quarter. But when we adjust for currency, the decline is only 0.8% sequentially , which is better than our expectation.

Revenue in terms of INR terms is ■12,871 crores versus ■13,101 crores in Q 3. The decline i n revenue is mainly attributable, as I mentioned , to the non - recurring revenue from the previous quarter.

In Q 4, Communication vertical declined by 2.8% adjusted for F orex by 1.7% , Manufacturing decline by 0.9% and BFSI grew by 3.5% QO Q. The last deal TCV, as Mohit mentioned, i s $500 million up from $ 381 million last quarter and the deal wins has been quite broad based across different verticals.

From an EBIT perspective, we report an EBIT of $114 million for the quarter, which was up from $ 84 million last quarter . In rupee terms, ■946 crores up from ■703 crores in Q3. The resulting margin for the quarter is 7.4%. It is an expansion of 200 basis point QOQ, and we had mentioned that we had some one - off items last time and hence our normalized EBIT was 7%. This is ahead of that and basis the normalization rate of 7% we had share d.

Following the periodic portfolio valuation exercise that I had shared last time , we'll go through the impairment assessment for all our portfolio companies. W e had a charge of 37 million in Q 4 which was offset by a corresponding reversal of deferred payout provisions reflecting a high miscellaneous income that you see. So, the net impact of impairment and this reversal is negligible on the P&L .

The effective tax rate for the quarter is 30.7% , which had some one -off items i n one of our subsidiary companies which resulted in the PAT number of $79 million , ■661 crores in rupee terms and a PAT margin of 5.1% ; expansion of 120 basis point versus Q3.

Free cashflow was $ 129 million for the quarter and DSO days came down to 92 days . Total hedge book as of March 31st stood at $2.4 billion versus $2.3 billion last quarter . And based on our hedge accounting , net mark -to-mar ket gain for the quarter was $23 million out of which $7 million was taken to the P&L and $16 million was taken to the reserves.

From a cash perspective , we ended the year with a healthy cash balance of $ 949 million , in rupee terms ■7,912 crores.
Full year performance:

Moving to the full year ’s performance, revenue stood at $ 6,277 million at a constant currency decline of 4.7 %. In rupee terms, revenue was ■ 520 billion ; a decline of 2.4%. When you look at the overall yearly performance, the decline , as Mohit mentioned , mainly came from the C ommunication business driven by the volatility in that segment and other verticals remained flat. Manufacturing and Technology were the two verticals w hich grew for us . Manufacturing by 7.3% and Hi-tech by 1%.

In terms of full year cashflow , our cashflow for the full year came in at $ 676 million. And as Mohit mentioned, basis that the Board has approved a dividend of ■28 per share taking the total dividend for the year at ■ 40.
The TCV wins for the year stood at $ 1.9 billion and some of some of this was also as a result of our selective deal participation, which we ’d mentioned earlier.

In terms of year -ending EBITDA , we ended up at $ 599 million with a margin of 9.6%. And the EBIT for the y

ear was $ 380 million at an EBIT rate of 6.1 %. The

decline year -on-year, as I mentioned before , is broadly driven by a reduction in revenues , one -time client actions and some of the actions of de -risking the portfolio for the long term.

I now hand it back to Mohit to take you through the strategy presentation.

Mohit Joshi: Thank you, Ro hit. So , friends, you know, we've just entered the new financial year and just over the past couple of days our entire global leadership team met here in Bangalore , and we've been talking about our vision for FY 27 and our strategy to get there. We wanted to share our path forward with you.

Vision – Scale At Speed:

You know, from my perspective, I've been associated with the industry now for over two decades but over the past year or so as we speak to our clients, as we speak to investors, as we speak to analysts it is very clear that we are now living in a new era of scale at speed and this is the vision that we wanted to share with you. So, what does scale at speed really mean? I think what it very clearly means is the way large enterprises look at their technology estate, the way that they look at their operations - this has fundamentally changed and this change really historically you were given a choice of scale or speed. So, if you think about it as a large organization, you were either thinking of scale which is really like assembling a large land army or you were thinking in terms of speed, right, w hich is 'How do I get a Ninja team? ', 'How do I get a small special forces type operation? '. And , really , that du ality of scale or speed has now morphed into the need for scale at speed. And this is something that we're really seeing across industries. It's been driven by AI. But before AI, it was driven by the consumerization of technology, it's been driven by demographics, it's been driven by geopolitics, and we are seeing this scale at speed imperative really across industries.
Telecom historically has been the industry that's been at the heart of TechM and as I look at the T elecom business, it's a large and complex global business . So,
 the need for scale is really quite self -evident. You've got complex global networks, you've got complex client segments, right. So, for instance, in the B 2B business you've got everything from large global multinationals to national players to small enterprises, to very small enterprises. You've got the complexity that comes from multiple channels and the legislative complexity that comes from jurisdictions like the EU or the rules of specific markets like Canada or the U.S. At the same time in the Telecom business , you've also got a need for speed, you've got margin compression, you've got a change in technologies , and you've got a change in consumer behavior. For instance, the move towards prepaid. So , you are seeing the twin imperatives of scale at speed .

In Manufacturing , again, a business that is at the heart of the entire group and at the heart of TechM as well . The need for scale in the Auto business, for instance, is very evident, right? . You cannot be a scale player unless you've got, you know, you're churning out hundreds of thousands of car s. You've got the complexities of not just 'Just in time ' but also 'Just in case supply chain' but at the same time you also need speed. When customers buy a car or when they buy a consumer durable, they almost expect it to transform on a daily basis, right. They're looking to consume it as a service and they're looking for impro vements every single day. And , so, the scale and speed imperatives are equally true for the M anufacturing business.

If you look at Banking, banks are large and complex global beasts. H istorically, we've had financial supermarkets because consumer

s, whether they're
corporates or individuals, do expect multiple services from the same organization and all of these separate and complex products need to come together for a single consumer . At the same time, you've got a need for speed . Regulators are completely unforgiving of tardy actions by banks or insurers. We are seeing fintech enter into the most profitable niches. And so, therefore, large banks have been extremely nimble in the way they respond. And so, again, the scale at speed imperative within the financial services business.

I could keep going on and on but we're seeing the same imperatives in Hi -Tech, in Healthcare and in Life Sciences. And so, again, you see this imperative across the Board but here's the really interesting piece, right, that the imperative is true for our clients, but it really hasn't come through when you look at the provision of technology services and of the provision of digital services. T he largest players, you know, you got players with 800,000 to a million employees. These are large and complex bureaucracies, large and complex organizations with complex processes and sort of a complex hierarchy. On the other hand, you've got boutiques which are nimble but beyond a thin veneer of talent at the top, there isn't really a depth to the organization , there is the i nability to provide services globally and there is the risk . There is the risk that comes from not being able to scale up for large programs . If you look at AI for instance, right, a lot of our customers, all our customers are looking for AI to make a difference to their business at scale. They're not looking for pilot programs, they're not looking for individual initiatives and so while the end user industry has changed, while Banking has changed, while T elecom has changed in terms of the tech partners you either have scale or you have speed.

And this essentially is the TechM promise 'Scale at speed'. From a scale perspective, you know, at $6 billion plus in revenue with 145,000 employees and more importantly with a full stack of services, we have the scale to work with the largest global corporations, with the rich heritage o f the M ahindra Group we have an understanding across multiple industries. We have Telecom but we also have Auto and Financial Se rvices and Real Esta te and Hospitality. So , a deep understanding because of the G roup and because of our client base across multiple industries ; a full set of partnerships which gives us scale .

And the promise of speed , that really comes from three essential elements of our DNA.

• It comes from the history of the company and the traditional entrepreneurial approach the companies ha ve. T he very entrepreneurial spirit that TechM has always had.
• The second element of our DNA has been the structure that we have created and a service line structure that gives us immense flexibility and speed.

• And , finally, the third element that promises speed is our huge focus on learning. We have a large g lobal university in Mah indra University. In addition to that, we are investing heavily in training. We've just appointed a new Chief Learning Officer under our C hief Operating Officer to build out a large learning program in addition to what we already have. So, speed comes from the heritage of the company, comes from our structure , and comes from our deep focus on learning.

Client feedback and investor feedback has really validated that this unique strength is held to be true on the ground. We have dozens of examples where we can share with you where the benefits of scale at speed are clearly evident. But , obviously , in the interest of time I'm going to talk about two really interesting examples. And the first is from this really iconic brand, really iconic brand of Cartier. And fo

r hundreds of years the way engagement rings are bought really hasn't changed. You go to the sto re, you pick out a ring until recently . Cartier wanted to take this process online and allow deep personalization through a website and an app. They partnered with us first in Japan and we made it happen in three months. So, that's speed for you. Then over the next 12 months, we scaled it up globally in 12 languages and that's scale for you. That's scale at speed. TechM BORN tied with Apple Vision Pro for the Webby Award this year in the category of Best Design for Web and Mobile. And that is a brilliant ex ample, you know, from us of scale at speed.

The second example that we have is from a North America Tier- 1 Telco leader. We worked very closely with them to complete their pivot to the public Cloud in two years with TechM . Before TechM , the client needed to increase Cloud migration velocity to meet their Data Cent er exit timelines , but it was moving incredibly slowly. They could only migrate six workloads over eight months. With TechM , again, a sea change in the way the program moved ahead . With a Cloud Migration Factory Program over $100 million program , 400 plus IT workloads migrated to Azure , 200 plus apps were retired in a span of 18 months and this enabled them to lower the number of Data Cente rs from over two dozen to six within a three -year period. From six workloads in eight months to over 1.2

workloads per day. Again, a terrific perfect example from our perspective of scale at speed .

So, scale at speed is what enterprises need today. And with our experience with our expertise, with our entrepreneurial DNA and with a focus on learning we are ideally suited to fill this requirement.

So, now I wanted to share with you our vision of how this promise or scale at speed is becoming a deep rallying cry within TechM . Wanted to share our bold vision for what we hope to accomplish in the next three years and really the right place to start is to look back, to look back at the last nine months that I've been in TechM and the last four months that I've been the CEO, about my understanding of the organization and its unique strengths and opportunity areas. So, what I've learned about TechM is really the most important thing is the deep engineering roots of the organization, the immense talent base among the 145,000 strong people that we have within the company, being part of a large group with experience across industries, marquee set of clients with deep relationships, a comprehensive full set of offerings for Global 2000 companies and a deep entrepreneurial energy which g oes to each and every individual in the company . We have historically been a leader from an ESG perspective. So , these are the deep strengths that TechM brings to the table.

However, there are obviously areas where I think we can , and we will do better. The first is in terms of scaling large accounts. We have an incredibly rich marquee list of accounts that come from our two decades of history. We need to be able to scale these. As we have moved to a service line model, I feel that we have the opportunity to win multitower large deals by really integrating our capabilities more effectively. We've historically done a number of acquisitions and now is the time to drive synergies for ourselves and for our customers from these acquisiti ons . We have the opportunity to drive significant improvements to our cost structure. And finally and probably most importantly, we have to drive a degree of predictability and profitable growth in the organization. And that is an area of focus for us.

As we look at our 3 -year roadmap, like I've stated previously, we've made a beginning in the previous quarter by putting together a structure and by a clear definition of strate

gy . And F Y25, right, the current year is the turnaround year for us where we will anchor the new or we're making investments in our key accounts , in our service lines. We're driving the integration of our portfolio companies. I spoke about our focus on our largest clients and we have a focus on cost optimization. FY 26 is the year to continue this journey , to complete the integration of our portfolio companies and by F Y27 we expect to have reached the optimized state with an improved structural mix and a pyramid. Throughout this period, we will focus on accelerating revenue growth and improving margins.

And , so, that brings me to the TechM Flywheel and to this wonderful graphic that hopefully you can see. So , this is our vision for F Y27. A top-line growth that is greater than p eer average , industry standard margins and most importantly a high degree of predictability in our revenue and profitability that has candidly been missing in the past.

How will we drive this vision? Like I said previously, the vision has three elements , right. There are three elements to our vision.

• The Growth strategy .
• The Organization strategy and
• The Operation strategy

that I'll be sharing about. Rohit will dive deeper into the Operation strategy during his presentation.

So, let's start with the Growth strategy. The Growth strategy in terms of focus geo graphie s, we see an opportunity to grow faster in the Americas where candidly we are underweight compared to our peer group. We will continue our focus on Europe where we have a strong position and deep long -term clients and deep
 CXO connects. W e will also focus on prioritized countries in in other markets. In particular, we have a focus on A NZ, on Japan , on Singapore and in Indonesia .

I will also double click on key verticals and service lines in the next few slides. So , the first from a vertical perspective is clearly Telco, right. Telco has been a position of strength for us. We've got over 30 years of global experience. We have deep leadership, we have deep industrial leadership , in this vertical and really an understanding of what it takes to build a world -class Telco and to move it from being a Telco to being a Tec ho. We're investing in client services to grow our wallet share and to be the partner of choice for our clients. We also have uniquely got a combination of services capabilities, network capabilities and software capabilities because of portfolio companies like Comviva. Comviva continues to expand with its blue marble products and simplified telco and customer journeys. We've got a rich DigiTech product suite working across Tier- 1 Telcos across the world and this combination of services capability, network design and management capabilities , and Comviva software capabilities , I feel are unique. This has also been recognized, for instance, by our winning the AWS P artner of the Year award from a telco perspective this year .

Manufacturing and Automotive have been a strength for us. It contributes more than 18% of our business. We have a strong presence across auto O EMs, Tier -1 industrial process manufacturing and aerospace and defense. Obviously , also given the heritage of the Mah indra group , there is a deep ti e in here with common customers, common partners and the co -innovation with M& M is at the next level now with an exchange of talent. I'll talk a little bit more about M&M synergies in the next few slides.

We have deep strength s in Engineering. Engineering Serv ice is a core focus area for us. It differentiates us. Our comprehensive Engineering solution across product lifecycles, we've got a strong IP play because of some of the acquisitions that we've done, and we've got strength because of portfolio companies like CTC, like Pin infarina, the iconic Italian design firm .

 Banking and Financial Se rvices , again, very interesting space where I feel we really have an opportunity to capitalize on a late mover advantage. We are over a billion dollars in this segment with multiple Tier-1 clients. However, we are underweight compared to our peers, right, a nd this is the largest market for IT services despite near term challenges. For us, I see significant opportunities for digital services including Cloud and infrastructure, Cloud and payment s infrastructure. We see an opportunity to scale up in Core Banking, in Wealth Management, in Asset Management and in Payments. We've got capabilities in portfolio companies like C.T. Co. C.T. Co is possibly the only digital engineering company in the world , which is focused, which has deep strengths in financial services. We've got capabilities in G uidewire with T enzing, so which really complements our insurance capabilities. And we are seeing traction in this industry with client wins and with deep client interests.

From a service line perspective, we see tremendous potential in AI. We are making investments in this space. This is the year, from our perspective , of moving Gen AI to production. We're also infusing AI in all parts of our stack, whether it's application development or it's IT operations or it's BPS.

If you look at it from an innovation perspective, we are the only company in our space to have built two foundational LLMs, one for Hindi and one for Ba hasa Indonesia . Going forward , and Rohit will cover this, we will report the percentage of our clients that we've infused with AI and Gen AI offerings. We're also , obviously , looking to drive to use AI as a very powerful tool for internal transformation and productivity. This has taken the shape of reskilling over 50,000 employees on AI but also on software purchases and software buildouts that we're doing for ourselves.

I spoke about the focus from a growth perspective on key accounts. We have launched a Turbocharge Program to accelerate growth from our top 80 accounts. We've also got a very clear sense now of our must have accounts, w hat are the clients that we need to acquire rather than haphazardly building out our portfolio . This program will fuel further growth by strengthening the client partner role. We've got a delivery partner role. We're innovating and building for our large
 clients. We have a huge focus on cross sell opportunities.

We've also taken a close look at our incentive structures, right. So, sales incentives are now designed to drive outcome in each of the above categories mentioned over here. We've spoken about the focus that our new structure has on addressing the complexities that we faced earlier. Our earlier structure did to some degree constrain our ability to win multitower deals because we were operating in geography focused silos. Our new structure allows us to bring together multiple service lines to even complex engagements . And to really turbo charge this, we have formed a new group called Strategic Solutions and Transformation Unit. This is focused on multi tower large deals.

In addition to our internal transformation, we've also strengthened our Advisor Relationships Program with a new g lobal head and an expanded coverage for top tier and for boutique firms. I'm personally involved in this, and this is , I feel already had an impact in higher early -stage conversations in the last quarter of the previous year. We have also built out a specific private equity team and the deep relationships with three or four large private equity groups to identify scale transformation programs within their portfolio. I feel that private equity, if you look at the strategy consulting firms or if you look at some of our peers, this is a very significant portion of their revenue.

And we feel that with the changes that we are driving with the investments we are making, this will drive incremental growth for us.

We will now switch to our operations strategy, which will lead to margin improvement. I'm going to cover this only from a thumbnail perspective. Rohit will be doubling down. We will be double clicking on the details during his session.

So, in previous discussions, I had spoken about our five -pronged approach for margin expansion. This includes your standard operational parameters like our pyramid, like our offshore mix. It includes the productivity gains that we hope to drive for ourselves and for our customers. The focus we have on moving to higher margin services, a focus on delivery excellence to stop the bleed from problem
 programs and finally, driving synergy with portfolio companies, both in terms of margins and in terms of growth opportunities. We have further detailed them. Rohit will also be talking about Project Fortius. We anticipate that project Fortius will give us average annual benefits of $250 million annually. Now in the growth strategy, I had spoken about high growth services like AI and engineering services. I just want to drill down on one of our higher margin services, which is digital enterprise applications . Digital enterprise applications is our package implementation business, which is a leader in established verticals in SAP, in SFDC, in Oracle, in Pega and several other platforms as well, including IFS. We have 360 degree partnerships with key ISVs, a ve ry strong alliance driven pipeline and a number of recent wins. We have the ability to drive large scale global transformation for our clients. We have pre -packaged industry solutions and we will look to work further on integrating the platform ecosystem, the shop floor, to the top floor enabled with GenAI. So, this is an example of our key service line, digital enterprise applications, that we're looking to drive.

In addition to the revenue strategy and the margin strategy, I feel that possibly the most important focus area from our perspective, from a leadership perspective, is

the organization strategy and the organization strategy has a couple of components to i t. One of the most important is the cultural transformation that we are driving at TechM. Our rich culture is what makes us unique. It has helped us to build deep relationships with our clients, but also deep relationships internally.
We will retain the be st elements of the existing culture, like entrepreneurship, like warmth, and build further on them. We have been working with a leading leadership and organizational development firm on culture building initiatives.
They have completed a series of in- depth interviews with our leadership teams, they have spoken with our clients, they have done focus group discussions with employee groups to understand the key tenets of our culture and how we improve it. As a result of this exercise, we have focused on four p illars of a high - performance culture. These are simplify, clarify, innovate and drive a greater performance orientation. We are working very closely on this initiative. This is at the heart of the new TechM. We have identified several low complexities , high impact initiatives to attain quick results. And as a team, we want to win with ideas, we want to win with execution, we want to win as a team. And I believe that this

cultural transformation will help us deliver and all the promises that we're making today.

From a talent management perspective, we benefit from a very strong employer brand in India. Thanks also partly to the immense name recognition and respect the group has, we have the ability to attract the best and brightest in this market.
We're expandin g on this strength and replicating it across markets. We have

recently launched an internal collaboration platform as a backbone to bring together our employees across the world and to improve our internal communication practices. One of the things that I was told when I joined was about the need to empower leaders so they can make instant decisions to inspire their teams. And we are working on providing this freedom within a framework.
We're also working on taking steps to improve diversity and inclusion. One of the most important things that you see on this slide is a huge focus on learning and development. I had spoken about it previously about Mahindra University and about the new organization that our chief learning officer is building. He spoke to our Board about this today and this really is a key priority for us.

We also see a tremendous opportunity to be more synergistic with the group and we have identified three ways in which this synergy will work. The first is very clearly that the Mahindra group itself is driving a very deep tech transformation of their vari ous businesses because tech is a common consistent golden thread running across the entire enterprise. So, we will be a partner for the transformation of the Mahindra group. So, this essentially is TechM being an SI, being a service provider to the Mahindra group. One level above this is TechM's ability to leverage group relationships to expand into the network. So, it's Anand Mahindra, it is Anish, all of us working together to utilize the extremely deep and rich relationships that the group has built over the past 75 years, the huge amount of respect the group has globally, and to leverage these group relationships to drive business for TechM.
But really, one of the most interesting areas from my perspective is the ability to use the group's multi -industry presence to work with partners, with hyperscalers, with technology partners, with chip manufacturing companies to create a co - innovation ecosystem, right? So how do we reimagine the future of auto working with tech companies, working with chip com panies? How do we reimagine the

future of hospitality working with Mahindra Holidays and working with other partners? This is the Holy Grail and I believe that we have a clear plan to drive synergy with the group.

Moving from the group synergy to the focus that we have on marketing, we really have built a world class marketing team led by our enterprising, dashing chief marketing officer P eeyush. We have centralized our marketing function into a single global team. This has been fostering alignment and cohesion in our marketing efforts and will enable us to maximize our global reach and impact across brand building, demand generation, account- based marketing , and influencer relationships. It also improves the efficiency of the marketing function.

And P eeyush has laid out a very clear set of imperatives, a very clear set of results that will be driven almost quarterly for the next three years as a result of our investments in and our interventions in from a marketing perspective.

Historically, TechM has had a huge focus on ESG leadership. I do believe that , and I think the awards, the S&P recognition really reaffirms our position as a leader from a climate perspective. We have at the forefront of our mission is our ambitious goal of being net zero by 2035. Our roadmap for this is a multifaceted approach to i ntegrate renewable energy initiatives, emission reduction strategies and the adoption of circular economy practices. This also ties in very closely with what the group is doing. And if you look at the Mahindra group focus on renewable energy through Susten , it really is all coming together beautifully as part of our initiative. And like I said previously, our focus on ESG hasn't gotten unnoticed. You look at the award just on this page, right, the S&P Global Sustainability Yearbook 24, th

e only Indian compa ny in the top 5% of global sustainable companies are Terra Carter Seal. Our ESG leadership is being recognized across the world, and is increasingly very important to our teams, it is very important to our clients.

I will now pass it on to Rohit to talk about our plan to deliver profitable growth.

Rohit Anand: Thank you Mohit. So, let me just talk about few metrics or output that we are tracking towards FY27. We just talk about growth first. So, you look at growth over
 a period from FY25 to 27, our view is that as we get to FY27 based on the investments and the strategy that Mohit laid out, we will be growing above peer average based on the positioning we would be able to do from a company perspective. Although when you break it down between FY 25, FY26, FY27, our view is that next year is going to be from an industry average, a moderate year and increasing incrementally each year as we move forward. During this period, we will also endeavour, continue to invest because ou r case of growth is based on mostly organic basis, and we will build on our capabilities over this period of time.

Strategic growth plans for each year have a specific focus on market segment and with a detailed action plan that we will execute as we move forward. When you look at margins, we have sufficient levers to improve profitability from here on, both in short term and long term. Several initiatives have already been initiated to improve margins and more actions are planned as Mohit mentioned on the task force, as we call it, Project Fortius, which means stronger. Focus for us, is to exceed 15% EBIT margins by F Y27. And, when you look at resultant of the margin expansion you will see based on the robust cash generation and the returns that we have had over the last few years, and I will talk about our change in capital allocation policy, we are fairly confident that based on these outcomes, the return on capital employed will go ahead of 30% and even more as we move forward towards FY27.

Now, giving a little bit more detail on our Project Fortius, where we're going to work on multiple levers over the next three years. The actions of this ha ve already started. We have a lot of scope in bringing down the average resource cost by consistently inducting freshers; the word here is consistently. We have done it in the past, we have done it in various patches, but now the plan is consistent. Over a period of time, make sure that we induct freshers, follow it up with a huge training program so that the deployment gets more seamless. So that's going to be one of the big levers that we will work on. I think we will continue to work on wage inflation. We know it will continue over the three -year period. We will work on developing a robust supply chain system and make sure the learning and development helps us enable a better internal fulfilment rate. We have taken several initiatives to already strengthen that. Mohit already mentioned, the chief
 learning officer that we have got on board , and we continue to build, not just inducting a great program for freshers, but across the organization, building capability. If you look at our plan which is organic, we have to continuously invest in the business. We have to make sure that we are buildin g the capability in house. So that's very important for us. So, all of this, as we look forward from action on productivity, be it value based pricing, looking at sales productivity across the

region's leadership span, all of this are specific program chan nels within this project which are led by specific reason and rolling it out all under our chief operating officer's domain. And I'm working closely with him to drive outcome based on these specific plans.

Now, in order to achieve growth above peer average, as we move fo

rward and able to drive these savings, we have to invest in the business. We have to make sure that we look at this from a long -term perspective and not just short term. So that we have done a detailed assessment on what we need. We have gone an extensive evaluation of 16 market segments, each one based on market growth prospects, TechM's ability to win, right? We have evaluated mo re than 100 benchmarks to identify the areas where we need to invest so that we are able to prioritize a set of investments, plug the gaps that we have and improve our positioning in these markets. These areas can broadly be categorized into service line o fferings, into sales and marketing investments, into the whole ecosystem - the ecosystem of hyperscalers, niche domain specific players, industry analysts. We need to continue to work with them and invest in this area. So, we will make sure that we setting this business more for long term and to be able to do that, we continue to work on all of these pillars to structurally invest and develop both for growth as well as enabling margin expansion. Example, if you have to expa nd margin over a long -term period, we have to invest in internal tools, we have to invest in people supply chain capabilities, we have to invest in various platforms that help us unlock value over a long -term period. So that's why this is going to be the most important aspect for us, because in the short term, we will have to do above normal investments that help us unlock that value both on margin and growth perspective. As we move forward to FY26, probab ly that will reduce half and then get embedded in the normalized run rate of margins. So, in the initial year, in fact, in FY25, this could be in the quantum of 1 .5% of our margins, going down to half of

that, as I mentioned, and then getting embedded in the margin.

So, this is the roadmap from a margin perspective. As I mentioned, we are at 6% this year on EBIT rate. Cost savings under Project Fortius is going to be the big driver for us to be able to get the savings. As Mohit mentioned, we will continue to work on the portfolio mix, geo wise, service line wise, vertical, which will give us better long term returns in terms of expanding margins. And then wage hikes will happen over a period of time, which as I mentioned, we will offset with some internal fulfilment and o ther levers. And then the investment, right, as we do the investment, more in short term, less than that in medium term, and that gets embedded to give us returns over the long term. And with that we see a roadmap to getting in excess of 15% EBIT over FY27.

So, this is another thing I mentioned earlier. I wanted to highlight our current, I mean, there is a change in our current capital allocation policy that we got an approval from the Board. In the go forward policy, we have an endeavour to distribute at least 85% of our free cash flow generated over a period of five years to shareholders in the form of dividends or buyback. So, that's the change we wanted to drive to make sure that we are generating a great shareholder value, all in terms of getting a top a bove average growth, expanding our margins over a period of next three years, and then returning back significant amount in the nature of dividends.

And, we also wanted to share some metrics on what are the input metrics that will help us get to those outcomes, what helps us get on growth that were looking at, what helps us get on the margin rate and then the organization talent, how are we going on that. So, these are some of the ones that well be internally tracking, and we will share a constant update on how were progressing on this. Some of this we already externally shared and we will add the others as we move forward.
So, example on growth, how d o we grow our top accounts? The turbocharged program that Mohit laid out, the focus

on the top markets, right, increasing our book business and then on margins looking at how do we work on correcting our pyramid over a period of time. This is a long term b enefit, but we have to invest now. So, this is an important metric for us to track. And then the high value service

Page 21 of 39 line, we will invest on that capability build, as I mentioned, organically and that'll help us grow the revenue on those service lines which are better yield and better margin oriented. And that'll help us drive better EBIT over a period of time. And simil arly, our organization and talent, we continue to up skill our people, invest in L&D as I mentioned. Mohit mentioned, we will share the percentage of clients where we are infusing GenAI offering; that's a very important lever that we're tracking internally , and then overall the D EI focus. The D EI focus continues, and we will continue to share these metrics as well on how we progress.

I will hand it back over to Mohit to wrap it up with a recap on our scale and scale narrative.

Mohit Joshi: Thank you, Rohit. So, look, I think that is our strategy across the three pillars of growth of operations and the organization. And obviously, we will keep you posted on this as we move ahead. I do feel that we have an incredible platform.
TechM has an incredible platform. The re's the ability to do so much more. I believe that we have the leadership team in place now that will allow us to make this significant jump to meet the promise that we have laid out for you from an FY27 perspective. But I also want to mention that beyond what we have committed for FY27, because I do recognize that there is much more to do beyond FY27 as well, and what I want to say is that in the longer term, beyond FY27, we want to ensure that TechM is the market leader from a growth perspective, not just above average. We want to make sure that we are in the top three of our peer group from an EBIT profitability perspective, not just the number that we have shared with you. So, our longer- term ambitions and our longer- term aspirations are more aggressive than what we have shared from an FY27 perspective. But we have to make a start. We have to make a start. And so therefore, this is what we feel the roadmap and the trajectory will be for the next three years. As we were preparing this presentation, as we were speaking with our leadership teams, the thought that struck me is over the past year, there has been this narrative, this incredible energy around the India dream, around what can be accomplished, what is being acco mplished in India today, the fact that we have hopes and aspirations for what this country will be over the next many years. And I feel that same ambition, the same aspiration for TechM. Like for India, I believe that the
 moment for TechM has truly arrived and that we will be moving onwards and upwards from here. Thank you so much for your time. And we will now move to Q&A.

Moderator: Thank you. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. Please raise your hand from the participan ts tab on the screen and ask the question.
The first question is from Sudhie r.

Sudhier: Hi Mohit, thanks for the insightful presentation. Just a couple of questions. When you say higher growth than peers and peers average margins, so who is the benchmark here? Which are the firms that we are considering as peers?

Mohit Joshi: Sure. So, look, I think we will lay out the peer definition more clearly, but it is very clear who our peers are. It is the top six or seven players in the industry. From margin perspective, we have given a very clear ambition of reaching 15% EBIT by FY27. So

, there's a fairly clear aspiration where we expect to be from our current levels of profitability.

Sudhier: Got it. And is this 15% a hard sort of a cut off wherein if you go above 15% that will be reinvested back into the business to sort of drive growth and position ourselves as a growth company or anything on top of this 15%, you will let that flow into margi n structure. How to think of it?
Mohit Joshi: So, look, I think we wanted to set a stake in the ground. We wanted to make sure that we have the commitment from our leadership team to hit a certain minimum level of profitability. As we get to that point in time in the next three years, we will obviously have to make a decision about what trade -offs there are to reinvest in the business or to grow further. What I also want to stress is that, like I said, our longer term ambition beyond FY27 is to be among the top three in terms of EBIT profi tability. So, we will also weigh that into account.

 Sudhier: Got it, Mohit. And one last question, if I may. Historically, we have been very acquisitive. And now that you are saying 85% of the free cash flow is to be distributed over a five -year basis, does that mean acquisitions will take a backseat?

Mohit Joshi: In a sense, yes. In a sense, the focus will very much be on organic growth. Never say no to really compelling opportunities. But we are not in the market for a transformational M&A at this time.

Sudhier: Thanks, Mohit. All the very best.
Mohit Joshi: Thank you.
Moderator: Thank you. The next question is from Rod.

Mohit Joshi: Hello Rod, how are you?

Rod: Hey there! I'm doing okay. Good to connect here, guys. So, Mohit, I just want to ask a big picture question. You have laid out an initial set of strategies here for your investors, and you seem to have some investment plans to back up those strategies. Wha t is the main takeaway you are wanting investors to glean from the strategy messages that you are presenting here today?

Mohit Joshi: Thank you, Rod. So, look, I think what we really want investors to take away is that a lot of thought has gone into it over the past six to nine months. And in preparing for today, we have created the organization structure , in honestly, in record time. We have made sure that we have hired top talent from the market. We have made sure that we have got a plan for the internal organization. We have identified key areas and key avenues for growth, and we have set ourselves credible aspirations from a growth perspective. And these goals are well and clearly understood by our leadership team and by the broader organization. We will now focus on doing the right things and executing to the plan that we have built for ourselves. And obviously, we are, a s I very honestly said, we are in the year of turnaround, FY25
 is in the year of turnaround and in the year of turnaround, there will be a degree of volatility. We will reduce, damp down the amount of volatility over the next one year. And so, I want the market to understand that we have built a credible plan. The te am is fully behind this. We have a really competent team. And while there will be some ups and downs, in the long run we are completely convinced that this is a really powerful platform and that we will deliver for our clients, for our employees, and for o ur investors. So, there is a huge amount of confidence in the very detailed plan that we have built and our ability to execute to this plan.

Rod: All right, great! So just to follow up on that, I want to ask about timeframes here. Can you talk about the timing of the growth investments you are going to be making? So, for how long are you planning to make those above normal investments that you menti oned? And I'm assuming there will be a lead time in reaping payoffs from thos

e investments. So, I'd like to ask whether you are aiming for quick payoffs or whether your upcoming investments are really geared towards long term payoffs and fiscal 27 and beyond.

Rohit Anand: Yeah, maybe I'll take that. So, thanks for the question. So, as I mentioned, I think we are not thinking short term here, right? We are thinking long term how we make this franchise high performance driven organization, right. And from that perspective, as Mohit said, we want to make sure that it enables unlock of growth and enables unlock for a margin perspective. And for that, as I mentioned, we went through a detailed exercise, looked at all the avenues and basis that we are prioritizing our investments. Some are short term, but most of them are in long - term nature. For example, we are consistently going to hire freshers in a scenario where others are not. And hence that commitment to build long term improvement from an organization structure perspective is what will drive the outcome. Similarly, from a capability build perspective, we want to make sure based on the alignment or the benchmarking we have done, we invest in all those service offerings. We make sure that we are getting ourselves for future and not just fo r current. So that's very important, and from a time frame perspective, it is

going to be above normal in the next twelve months because we have to set it up
for long term. It will be probably 1 .5% of our margin, given we are not doing any
M&A. We are very clear that we want to make sure we take everything organically.
 So that's going to be the quantum, and then as we move forward and we start
seeing the benefit, it will probably reduce to half of that and then get embedded
over a period of time on FY27.
Rod: Thank you, guys.

Mohit Joshi: Thank you, Rod.

Moderator: Thank you. The next question is from Kawaljeet.
Mohit Joshi: Hello Kawal jeet , how are you?

Kawaljeet: Yeah, I'm good, Mohit. Nice to hear the strategy presentation; quite a detailed
one. A couple of questions or three if Rohit permits me to. The first question is for
Rohit in that measures to improve profitability. I think there were some 15 -20,
maybe 150 measures mentioned. Can you just highlight the top two or three that would drive the bulk of the margin expansion and the timeframes involved?

Rohit Anand: Yeah, sure. I think from a maximum impact perspective, when we look at it, our
making sure that the organization structure, the pyramid of the organization is set
right and in alignment where we should be. I think that's going to be the maximum
impact. And from a timeline perspective, that's going to take time, right? That's
why I'm saying we invest in it right now, we start seeing the benefit probably I
would say anywhere between 12 to 18 months onwards. And it's going to keep on
increasing si gnificantly as we move forward. So, it is long term in nature, but the
impact is going to be maximum. So that's one example. And then short term, I think we will continue to work. We have significant opportunities as we look in our
portfolio companies, as Mohit mentioned, we are going to integrate them. They're
offering their frontend and backend more strongly with us. So that's a short term
one for this year. We will continue to work on our various other operating levers. When we look at our fixed price pr ograms, the comp and benefit structure that we
have, or the number of people we have in these accounts, how do we deploy more
automation tools there. We are working on a huge set of initiatives on automating
a lot of those workloads. So, that's going to give us a benefit this year as we move
 forward. And then, the pricing. I think we are working on another steam of price
improvements, and that again, would be short- term return -oriented, as we keep
on enabli

ng the whole infrastructure better to drive value -based pricing over a
period of time.

Kawaljeet: That's fair. The second question is for Mohit. Mohit, you mentioned speed and
agility as the cornerstone for turn around or rather growth leadership at TechM.
But don't you think that you have a unique disadvantage in which you neither have
speed nor the b enefits of agility, because you have a lopsided portfolio, which is
telecom, in which you have scale, but that does not give you a lot. And then, you
have what I would say, a thin layer of relationships across large verticals, in which you have to go actua lly with a challenger's mindset and may not get you a seat at
the table in many cases.

And the second part of the question inherent in your assumption, is that speed and agility for large companies is something which is missing, which need not be
the case, because you have large companies which have both characteristics.

Mohit Joshi: Look, I think, you know, our proposition is not built around speed alone. Our proposition is built around scale at speed, right? So, it has elements of scale,
which is you have a full -service offering, as also built around speed. Also, it isn't
something that, sort of, we've pulled out of a hat. This has been built based on
deep customer feedback, deep analysis of where there is a gap in the market, and
what people essentially see the TechM promises being. If I look at our vertical mix,
I agree that our largest exposure is to where we have significant scale. But we
have a billion -dollar -plus business in financial services, we have a billion- dollar -

plus business in manufacturing, we've got a sizable business in healthcare and life sciences across life sciences, payers, and providers, we've got an emerging business in retail, transportation, and hospitality. So, I do believe that within these businesses, if you look at these businesses, we really have top -tier clients already, we have permission to hunt in these clients.

What we have not done so far, is a systematic program to tap into these accounts

and to drive growth. So, I do feel that with a measure of tying the entrepreneurial energy of TechM with a degree of operating account discipline, the focus that we have on building out solution capability within the service lines, I do certainly believe i t is something which is achievable. I don't believe it's achievable overnight, which is why we're not giving you a plan for FY25. We're giving you a plan for FY27. But within a three -year period, I absolutely feel that the promise of the platform is realiz able, married obviously to the strengths and capabilities of the broader group. If I didn't think so, I wouldn't be here.

Kawaljeet: Oh, fair enough. That's fair. The final question is that, in that three -year journey, do you have annual milestones that you want to share so that all of us are on the same page?

Mohit Joshi: Look, I think we have shared a broad perspective, in the sense that FY25 will be the year of our turnaround. And as we'd shared a short while ago when we announced the results, that we believe that Q4 marks the low point in our year-on-year growth journey, and that we will start turning around from Q1 onwards, and we expect to hit annual year- on-year growth by the end of the year. So, that is what we have said for FY25.
By FY26, we expect that the new service line structure, the new vertical focus areas will start delivering results from a growth perspective, and that we will also start to see some early results from the investments that Rohit spoke about, and that the p romise of these investments and the promise of the new structure will be fully realized in FY27. So, that's the sort of the sequencing and the steps that we've given from an FY25, FY26, and FY27 perspective.

Kawaljeet: That’s very helpful. Just a final question, Mohit.

You had a number of acquisitions, or you have inherited a lot of acquired companies, and many of them have not been to the mark. Are you retaining the entire portfolio of companies acquired, or are you thinking of divesting ones which are not strategically important? And, I guess, we did have a discussion at some point in time in this aspect.

Mohit Joshi: Yeah, look, I don't think that we have made any decision to divest just now. We have obviously worked to closely integrate all of the portfolio companies much more closely into our service line structure. And because we have said that we are not going to be hugely acquisitive anymore, it gives us the ability to drive synergies, including front -end integration and including back -end integration, a lot more effectively over time. But there is no active disposition plan at this time.

Kawaljeet: Thank you so much, and all the best.

Moderator: Thank you. The next question is from Ankur.

Ankur: Hey, thank you. Thanks, Mohit, and thank you for the very detailed presentation. The business plan is definitely quite comprehensive, but I worry that given you mentioned everything in the textbook for better margins and better growth, is there a risk that at least analysts, if not investors, and the team also gets lost in the breadth for depth in these in itiatives? And if you can maybe highlight, you know, the 3 -4 main ones which the team, especially the middle to lower management team, can get a line behind?

Mohit Joshi: Sure, so I think, look, from a revenue perspective, the way that we have defined the organization, a very clear SBU structure, which is verticals within G eos , and a very clear service line structure. This gives an incredible amount of clarity to the

organization, because the SBUs know exactly which accounts we want them to
grow, they know exactly which accounts we want them to chase, and there is a
very rigoro us process of review, and of goal setting, that gives them a very clear
sense of where we expect them to be headed in the year.

Equally, from a service line perspective, the service lines are very clear about what we want them to do. Number one, we want them to provide resilience and
quality of service to customers. Number two, we expect them to drive
productivity. And number thre e, we expect them to drive innovation.

 So, the sales teams are very clear, and the service lines are very clear. It may
seem like a trivial thing, but having this level of clarity in an organization is very,
very important. So, I would say that is the first and most important change that
we've made .
The second thing goes to changing the institutional, sort of, capabilities of the
company, right? Whether it's changing the capability from an HR perspective with
our new CHRO, changing the capabilities from a marketing , advisor and analyst
relationship perspective with P eeyush, changing the broader delivery capabilities
through Atul, our new Chief Operating Officer, changing the capabilities from a
learning perspective with the new Chief Learning Officer. So, we have made a deliberate effort… a deliberate sort of decision o ver the past six months to focus
on creating the structure, to focus on creating the institutional capabilities, right? And I feel that, while this is a longer- term approach, this will yield greater long -
term results.

Like I'd shared at the start itself, we did a global leadership meet with close to 300 people just earlier this week in Bangalore. And all of you speak to people within the organization, right? There is incredible energy and there is incredible clarity in
the organization about what needs to be done by each and every single person
within the company. So, while obviously, we have a lot of initiatives, right? We
need to be kicking off and executing on a

number of things at a different point in
time. For ever y individual in the company, there's a clear sense of what needs to
be done. And for us as a leadership team, the measurement mechanism, the
review mechanism is extremely robust.
Rohit Anand: Maybe, Mohit, I'll just add one more point. The one other change that we've driven
to get the organization rally around it, is the plans that we've built, right, Is a
bottoms -up plan with stretch that we've discussed and debated, right, and I think
the ownership on that plan is their plan. So, the ownership… I think that's a
cultural change and that's the way, Ankur, that the organization rallies around. It's
much stronger. We're already seeing that impact in the global sales meet that
Moh it ju st did. And as we move forward, I think that ownership will drive better
outcomes as well.

Ankur: Super. Thank you so much for that elaboration. Second question is, the business
environment is very tough, like you mentioned in your initial remarks. How much
of these recoveries, both on the growth and on the margin side, is environment
dependent, and a lso growth dependent? How much of this, especially on the
margin side, can be done irrespective of how bad, if we just keep moving sideways
for two years, it won't impact this journey?

Mohit Joshi: Yeah. So look, I think we have an expectation that we will be able to drive growth,
especially in the second half of the year. But we're also quite sort of clear -eyed
about the market environment, and we do expect… we're not… this plan is not built on a situation where growth suddenly takes off and lasts for a period of time.
We obviously want to use this period of time, this slowness, to strengthen our
capabilities and to build our institutional knowledge. So, I would say, the plan is
built on the world not falling off a cliff, but it is not built on incredible growth, right?
If the current market situation continues, I would still very much expect us to hit our plan numbers.

Ankur: Thank you. Last question. You mentioned somewhere in the presentation, Rohit,
that you expect $250 million of savings a year. Is that a marker for margin
recovery, is about 4% a year, or is that not inclusive of the incremental investment

that you also hig hlighted initially?

Rohit Anand: No. So yeah, so savings is... So this is average for the three years. It could be up,
down each year, but that's outside of the investment. So, this is the saving that we'll drive and then fund some of the investments we'll deliver to be able to get
the m argins walk that period.
Ankur: Okay. Thank you and best of luck.
Moderator: Thank you. The next question is from Kumar Rakesh.

Kumar Rakesh: Thanks for taking us through your strategy over the next three years. My first
 question was more from the near- term growth outlook. So, you are exiting FY24
on a low growth and second half, you went through restructuring of the
businesses as well. So ideally, that should have helped you cyclically to recover
some of those back into g rowth, and hence, start narrowing the growth relative
to peers in this year as well. So is that a fair expectation that we would start seeing a narrowing down of growth and possibly meeting the peer average in
FY25, or even that would be more pushed out to FY26 or FY 27?

Mohit Joshi: No, I think that is a fair expectation. The only caveat is, obviously, we have a certain unique industry mix. In the sense that, we are differentiated from our
peers through the industry mix. But with that sort of narrow caveat, I think your expectation i s completely on point.

Kumar Rakesh: Great. Thanks for that. My second question was for Rohit. So Rohit, when you had
joined, you had also started a margin expansion plan in which you were looking at
many of the parameters that you talk

ed about today as well, value -based pricing,
utilizations upon cost pressure. Rather, you were running war -room sort of a
setup as well to improve margin, and the expectation at that time also was to
reach sort of 14 to 15% margin. And then a lot of things happened. So, what do
you think this time is different and we will be able to achieve this? And many of
the parameters that you have worked on earlier this time around will give different results. You did talk about consistency, but a little more detail would be useful.

Rohit Anand: Yeah, I think the key answer there is the foundation that we've changed. The
organization structure change has created a lot of difference from where we were
to where we are. So, when you look at the delivery, the delivery was embedded
across the 12 -13 SB U structures that we have, and a lot of them were as small as
$100 -$200 million P&Ls. And from there, what Mohit… when he came in and when
we announced the off- structure change, from an operation perspective, we
consolidated everything under a Chief Operating Officer who joined us in August. So that brings a lot of scale, a lot of benefit of that.
And now when you look at the delivery, it's a consolidated organization. And we've
kind of defined that under 6 ADMS verticalized structure and the 6 competency
 layers, and then the BPS additional to that. So, I think, that change and the ability
to then drive all these actions, are much more impactful versus the way we were
initially.

So, I think you're right. I mean, from an industry perspective, if you go to anybody,
I think actions would be similar. The differentiation is going to be execution. I feel the big differentiating sauce for us is the new structure. That's where I'm seeing a
lot of confidence with Atul coming in and the team, the new structure that we
have in driving this plan much better than before.

Mohit Joshi: And if I can just add to that, look, like I said, when we spoke about the new TechM
Flywheel, we're very mindful of the fact that we have not delivered predictability
in the past. And we're very focused on driving that predictability. Now, obviously
in F Y25, as we're in the middle of turnaround, there will be volatility. But every
single thing that we're doing is focused on damping down that volatility over time, so that we're able to provide superior results, obviously, but more predictable
results. That is very important for us because we've heard the feedback from all
of you loud and clear.

Kumar Rakesh: That's really reassuring. Thanks a lot and all the best.
Moderator: Thank you. The next question is from Yogesh Agarwal.
Yogesh Agarwal: Hi guys. Hey, just quick questions. Firstly, clarification. So, the $ 250 million savings per year, they will happen consistently for the next three years, year after year. Is that correct?

Mohit Joshi: Yeah, that's right. That's right.

Yogesh Agarwal: Okay. And just another clarification. So, net of this saving and the 1.5% margin investments, so FY25, you will be better off than the current margins. Is that correct understanding?

 Mohit Joshi: That's right. Yes, it is.

Yogesh Agarwal: Okay, great. So, Mohit, I wanted to ask you something else on the billing rate. So in your sense, how are the billing rates for Tech Mahindra like -to-like for the skills and experience versus competition? And if you guys restructure the pyramid, is there a risk that the average billing rates actually come down?

Mohit Joshi : Yeah. I'll answer that question more broadly. I do feel that the billing rates by and large are comparable. But we do have an outsized fixed price portfolio within TechM. And obviously, within that, as is known, there are a couple of problem projects that we have.

Secondly, while building out the pyramid may pose ch

allenges from a billing rate perspective, as you mentioned, I believe that that tradeoff at the end will still be beneficial to us. The tradeoff will still be beneficial to us. Maybe you will have margina lly lower billing rates, but you will have significantly lower cost. I also believe that it is the only way we can build an organization for the long term, right? So, a focus on the pyramid, but also focus on greater internal fulfillment. While the pyramid will yield us some benefits, I believe we will get a significant amount of benefits from greater internal fulfillment. And we can only have greater internal fulfillment if we're building out the training infrastructure. So, I think a combination of all these factors is what will deliver us the higher profitability.

Yogesh Agarwal: Okay, got it. And just one more question. The new deals which are coming today, which you guys are signing today and is flowing through the business, are they margin accretive?

Mohit Joshi: Yes.

Rohit Anand: Yeah, from an aggregate perspective, that's true, Yogesh. And then as you look at any deal structure, the way the transition happens initially, the first 6 -8 months, 12 months, initially there's always a dilution and then the expansion happens after that. So that's the nature of the deal structure, but generally these are more
 accretive deals that we sign.

Yogesh Agarwal: Sorry, so the initial dilution is on 7% or 15% target? That's all I was trying to understand.

Rohit Anand: No, no, I'm just explaining from a structure perspective, right? So when you look at the deals that we're signing today from an urgent perspective comparable to where we want to get to for FY25 at least and the year after, these are accretive to that, bec ause you can look at it over the life cycle, right? But when you look at short- term, there's always a timeline of investments, right? For that period, they will not give you accretive margins.
Yogesh Agarwal: Got it. That's all I wanted to know. Thanks, guys.

Moderator: Thank you. The next question is from Ravi Menon.

Ravi Menon: Hi, thank you. Thanks for the detailed presentation. I think it would have been better appreciated over a full day analysts' meet rather than a 90 -minute call, but

let's do it. Thanks for laying this out. Just wanted to check on the margin aspiration beyon d FY27. So, we have TCS at the top end at 26% today, Infosys in the 20 -21%
range, and HCL below that around 18 -19%. So are you saying that you'd actually
get to 18 -19% at least, or cross that going into 20%? And is that the aspiration?

Mohit Joshi: Yes, that is absolutely the long -term aspiration, Ravi. There is no reason why this
platform, with the strengths of the group, with a deep engineering heritage, with the sort of client base that we have, should not be delivering in the top three of
the p eer groups.

Ravi Menon: Thanks for that.

Mohit Joshi: In the short run, we have a lot of work to do to build the capabilities, to deliver the
promise of the platform, to restructure the portfolio. But in the long run,
absolutely.

Ravi Menon: And as a follow -up, since you're not planning on much acquisitions, why
shouldn't we actually redefine that cash distribution? Instead of an FCF, why not use a net income hurdle? Perhaps that's lower , when looking at the cash
conversion, but why not use that instead?

Rohit Anand: Yeah, so I think if you look at our history from a PAT to FCF perspective and look
at cumulative, I don't think there's going to be much difference between those.
And in fact, the way we're going to target our improvement in the cash cycles, we
feel that we can get some benefit out of that as well. They're quite aligned,
actually.

Ravi Menon: Thanks. So we should assume that those 85% will actually be… if you lo

ok at a net income percentage, it might even be higher than that. Is that correct?

Rohit Anand: Yeah. I mean, from a long -term period, yes. It varies year on year based on a
particular event or something. But yes, over an aggregate, you're right. It should be similar or higher.

Ravi Menon: Great. Thank you. So understand then, that credit terms will actually probably only getting tighter on the new deals that you're looking at, rather than more
generous.

Rohit Anand: Yes.

Ravi Menon: Great. Thanks so much, gentlemen. Best of luck.

Moderator: The next question is from Sandeep Shah.

Sandeep Shah: Yeah, thanks. Thanks for the chance and congratulations, Mohit, on a detailed
presentation to you as well. The first question, Mohit is, if I look at the CME vertical
contribution, although today it is 46%, and your aspiration to outgrow the market
in FY27 , do you budget CME contribution will come down? My question for asking
 this is, if it comes down, your growth aspiration for the non- communication
business has to be much steeper versus the industrial growth rates, and are we
keeping that angle in mind as well while riding this?

Mohit Joshi: Sure. But if you look at it, Sandeep, over the past couple of years, growth in
communications has been lower than the industry average anyway, right? So that is the reality that we have. Now, very clearly, as I've said before, we are not de -
emphasizing t elecoms, we're not stepping away from telecoms. But as we revert
to, sort of, a mean of our peer group, that will mean faster growth in other sectors.
And so, therefore, rebalancing of the portfolio with a lower overall weight for
telecoms, it is something that has been happening in any case over the past five years. And I do expect the process to continue.

Sandeep Shah: Okay. Second, Rohit, this saving of $250 million per annum for next three years, even in FY25, you expect minimum saving of $250, or it could be lower than $250 as well?

Rohit Anand: Yeah, I mean, this is, Sandeep, an average that I mentioned for three years. As I mentioned, some year it will be higher, some year it will be lower. But an average over a three -year period, that's the per- year average. And I think, as we move forward, as I mentioned to you, we'll be starting on a cycle where we're driving this under a set program. So, we'll continuously keep on updating you as well. As from an investment standpoint, it's an important period for us because it's long -term in nature and both need to go hand in hand. So, we continue to drive savings in excess of that, and at the same time, invest in long -term because capability buil d and expanding in certain areas is very, very important for long -term success.

Sandeep Shah: Yeah. And Mohit, you also said 4Q revenue run rate is at a low point. Are you believing YoY growth may take its own time? But on a QoQ, at least worst is behind on a going forward basis?

Mohit Joshi: Actually, I'm saying the opposite. I'm saying that from a YoY perspective, you should expect to see growth from Q1 onwards, even if there is QoQ volatility.
 Sandeep Shah: Okay. And lastly…

Rohit Anand: On YoY perspective, there'll be improvement from where we are right now, and we get better. That's the clarification. Yes.

Sandeep Shah: And last thing on the goodwill impairment. I s it the worst of the review has been done, or this is just a normal yearly exercise and the goodwill impairment as a pattern which has continued every 4th Quarter in a financial year, and will continue going forward?

Rohit Anand: No, I think, Sandeep, we've done a quite comprehensive review of the portfolio. So we feel that this is the current performance, this is the right representation of where we are. As Mohit said, that we continue to integrate the portfolio comp

anies much mo re stronger in the core business. And as we move forward, we will see how that shapes, and hopefully, that will give us better future projections for these companies.

Sandeep Shah: Okay. Thanks and all the best for your execution.
Moderator: Thank you. The next question is from Vibhor.

Vibhor Singhal: Hi, Mohit. Thanks for taking my question. And congrats on a great presentation, a very thorough one. My question to you, Mohit, was on the banking segment. You've been an expert in this field for so many years. Given the current environment that we see across the world in the banking segment, and given the portfolio that you have driven up till now and the portfolio that TechM has in terms of the banking vertical, what are the key c hallenges that you see at this point of time? And do you see that vertical… I mean, again, not looking at an actual number, but do you think that vertical will take time to recover in FY25, given the current macro that is there?

Mohit Joshi: Yeah. So , I do think that a lot of people have spoken about the recovery that is happening in BFSI in FY25. I do believe that the vertical overall will recover. From
 a TechM perspective, we have certain unique pockets of strength, which is why I think we'll be a competent late -mover.

One of these is in core banking. We do feel that there is going to be a focus on core banking transformation really across the world, given the huge increase in volumes that you've seen and the instability of systems really across the world. We think there is a huge opportunity for us in the asset and wealth management space where we have some really compelling consulting credentials. We have a deep engineering expertise in insurance and a deep package implementation experience in insurance on the back of o ur Guidewire capabilities. So that is what we're going to be using to build out our financial services practice.

We have some really marquee names already in the portfolio that I want to dig
down much deeper. There are new clients that we're opening up on a very regular basis. And then there are certain sectors and pockets of strength that we will
capitalize on. Now , I'm not saying that we will become the market leader in
financial services by FY27, much though I'd hope to be. But I do believe that we
will be a very compelling challenger very soon in the sector.

Vibhor Singhal: Got it. Thank you so much for answering that. Rohit, just one small question from
my side. On the employee pyramid, you talked about rationalization and also
about fresher hiring. Now, if you look at one important metric for the company
over the last many quarters, is the utilization, including and excluding trainees. It
has practically been the same for the past... I mean, you can name it 24 -30
quarters, which probably makes you believe that the trainees are very less in the system. So, I m ean, we probably need to build up a bench strength. Do you think
that is going to be a significant margin headwind the near term as we build those
investments? And, how would that impact your margin expansion program that
you're kind of taking into account?

Rohit Anand: That's a great question. As I mentioned, we've outplayed a critical percentage of our margin into investments. That's very critical. And this is one stream of the
investment. Unless we don't invest in fresher talent, you're absolutely right,
 you've not seen a consistent fresher induction and that's why the percentage has
remained static. In this quarter, in fact, you see a reduction in utilization. Some of
that is attributable to, in fact, adding freshers. And as we go forward, we're going
to be consistently applying that, because I think just focusing short term will not
give us the right outcomes that we need, and this is an investment that's alread

y baked in our plan.

Vibhor Singhal: Got it. Great to hear that. Thank you so much, guys. And wish you all the best.
Moderator: Thank you. That concludes our Q&A session.

Mohit Joshi: No, I just want to say I want to thank everybody for making time for us today. Like
I'd shared previously, I do believe that we have created a very clear set of goals
for the company. We have set ourselves very high standards. We will be
consistently doing the right thing. And with all of these, I'm very confident that the
platform has the capacity to deliver. We have set ourselves and before you, very
clear objectives for what we hope to achieve in FY27 and beyond. And we look
forward to keeping you update d on a very regular basis on our progress. There is
a tremendous amount of energy in this very competent team, and you will start to see results very soon.

Rohit Anand: And we'll have a physical session soon.
Mohit Joshi: And, we will have a physical session very soon. Yes. Thank you.

Moderator: Thank you, ladies and gentlemen. On behalf of Tech Mahindra Limited, that
concludes today's conference. Thank you for joining us. And you may now
disconnect your lines and exit the webinar. Thank you.

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Call: Jul 2024

July 30 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th June 2024 –
Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)

Dear Sir/Madam,

In terms of Regulation s 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, please find enclosed the transcript of the earnings conference call for the quarter ended 30th June, 2024 , conducted on 25th July 2024 after the meeting of the Board of Directors for your information and records.

This intimation is also available on the website of the Company at the weblink:
https://www.techmahindra.com/investors/

Kindly take the above on record.

Thanking you,

For Tech Mahindra Limited

Anil Khatri
Company Secretary

Encl.: as above

“Tech Mahindra Limited Q 1 FY25 Earnings
Conference Call”

July 25 , 2024

MANAGEMENT : MR. MOHIT JOSHI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CFO, TECH MAHINDRA LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Tech Mahindra Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Joshi – M.D. and CEO for Tech Mahindra. Thank you and over to you, sir.

Mohit Joshi: Thank you and good evening, everyone. When we had met in April, we had announced our strategic narrative scale at speed and our overall three -year plan.

I am happy to share with you that in my meetings with clients across the world with employees and with other stakeholders, this strategic narrative has really resonated very well. Clients across the globe have emphasized their need for a partner that can provi de this unique combination of global reach and scale and agility. Q1 FY25 is also the first full quarter since we reconfigured the organization structure and I am very happy with the progress that we have made in aligning into the new service line stru cture.

For Q1 FY25, we report revenue of $1,559 million, which translates into a sequential growth of 70 basis points and a decline of 1.2% year -on-year, both on a constant currency basis.

We are reporting a robust growth momentum in manufacturing about 6.4% YoY , while the healthcare vertical grew about 6.1% YoY .

We see growth in North America and focused APAC markets, resulting in an improved share of revenue from that region, in line with our strategy.

This is a seasonally weak quarter for our communications vertical, partly due to decline in revenues from Comviva, which tend to skew towards the second -half of the year.

• The n ew deal wins TCV for the quarter sums up to 534 million and is well diversified in terms of industry verticals and key regions. Notable deal wins during the quarter were, firstly, a deal with the leading US -based telco to build, modernize and operate vario us front and back -office applications for its wireless network services products portfolio. This application development deal involves developing an application for customer information management, dealer activation portal and point -of-sale systems for the customers in direct channel stores, CXP and API integrations, case management and back -office operations across ETL, database and BI management services.

• Secondly, TechM was also selected by a leading UK Network Service Provider for a country -wide fiber rollout, running customer management programs and digital transformation through implementation of curated solutions predicated on AIML, OCR and hyper automation by leveraging our network services and BPS competencies.

• Thirdly, we were selected by a Japanese automotive manufacturer for the global rollout of its Company -wide SAP implementation as part of its digital transformation program.

• And finally, Sharecare selected Tech Mahindra to design and develop a personalized digital wellness platform for Medicaid members. This user -friendly mobile app platform was launched for health plans, Medicaid members equipping them with essential tools to manage their health and navigate benefits with ease. Demonstrating exceptional collaboration and agility, Tech Mahindra and Sharecare has successfully progressed from ideation and design to product launch in a record time of just seven months.

I also wanted to take this opportunity to update you about our latest launch : “TechM VerifAI”. You may have seen our press release about this exciting new offering earlier today. It addresses what we believe is the missing link that wil

l help companies move from pilots
and experimentation phases to enterprise level adoption of AI. T echM VerifAI addresses the need for a robust validation and assurance framework for AI systems. Without this framework, there is a continued reliance on humans in the loop to validate outputs of AI programs. We feel that this is the missing link hindering the wide scale adoption and is also affecting the productivity gains possible from AI. This is why the leap from pilots to enterprise -wide adoption and commercialization has not fully happened. The recent crowd strike incident has again shown the deep impo rtance of validation and assurance more broadly, and this is one way we are highlighting the importance of this crucial component in building out the AI journey for our clients. TechM VerifAI 's prebuilt 360 deg. validation framework across the GenAI lifecy cle, customizable metrics, micro services -based architecture and seamless integration into existing technology stacks, ensures faster and reliable AI value realization for enterprises. The solution validates data quality in the discovery in pre -development stages to ensure security and accuracy.
Continuing on the AI front :
I am pleased to share that more than 25,000 of our associates have now been enabled with AI -led pair programming skills. We also now offer more than 100 AI -based solutions across AI OPS, computer vision, workplace automation and More.
Next, let me give you some more flavor on specific aspects of our business :
Telecom :

As you know, we are the leader in this segment and worked with seven out of the top ten largest operators in the world. Our enviable position in this sector positions us well to be the preferred partner for their AI investments. Accordingly, we are investi ng in AI and niche skill certifications. Tech Mahindra will soon have the largest TM Forum Certified Talent Pool in the CSP IT Service Provider Ecosystem.
Also, given our leadership and deep expertise in the sector, we anticipate benefiting from the cost rationalization related consolidation activity across regions. By leveraging our strong partnerships with Hyperscalers and ISVs to create and incubate a wid e variety of AI part solutions across Nox, IT OPS, field visit optimization and customer experience to reduce TCO.
Banking and Financial Services :
We are seeing some new opportunities in existing accounts and also we have won new logos. We have won managed services contract from a tier -one global bank, and they have further awarded us the preferred vendor status which sets us up well for the future. Select partnerships like Temenos and Guidewire are beginning to gather stream across the portfolio.
In the US, we are seeing improved spending across asset and wealth management cards and payments, retirement risk and compliance, insurance. On the other hand, investment banking and lending businesses are seeing some softness.
Overall, though, given our relatively small size and the early stage of our transformation journey, I do expect to see some volatility in revenues here while we implement our plans to upgrade our BFSI offerings and client service.
One of our important differentiators in BFSI is the expertise we derive from our portfolio companies like CTCo, Tenzing and Comviva. For example, Yabx is a leading fintech Company operating in emerging markets, that is part of the Comviva portfolio. It is revolutionizing the digital lending and micro financing domain by partnering with local banks. Yabx leverages advanced data and AI models to offer embedded credit products in part nership with mobile wallets, payment gateways, consumer and merchant aggregat ors and other payment network.
The operating margin for the quarter stood at 8.5%, an expansion of 110 basis points compared to last quarter. This was mainly due to cost saving efforts under project Fortius and co

ntinued
focus on operational efficiencies. Rohit will share more details o n this. Again, the margin was 8.5% for the quarter.
We also see encouraging results from our efforts towards improved market positioning as we rise in ranking quadrants across industry analysts and advisors during the quarter.
We were rated as leader in Rising Star for ADMS in the ServiceNow Ecosystem Partners 2024 ISG Provider Lens Study.

TechM was rated as the leader in Rising Star for Life Sciences Digital Services 2024 by ISG.
We were rated as the leader for AI in the applied AI Services 2024 RadarView by Avasant.
A major contender for Insurance in the Everest Guidewire Peak Matrix 2024 Assessment.
And finally, a major contender for Healthcare Industry Cloud Services, Peak Matrix Assessment 2024 by Everest.

We are recognized not only for our capabilities, but also for our leading sustainability practices.
Tech Mahindra has been recognized as one of the world 's most sustainable companies of 2024 by Time Magazine and Statista.
We achieved the prestigious #1 position among all Indian companies and the 111th position globally.
Another feather in our cap was the launch of project, Indus, which as most of you know, is the first and one of the only large language model for indigenous Indian languages. This makes us the first among our peers to have built a large language model from scratch, with 1.2 billion parameters, 22 billion tokens, and a team of just 15 people, it was trained on over 100 gig of data.
With this positive start to the year, we are more confident that this will be a better year compared to the previous one. We will continue to focus on the planned actions for building a long -term sustainable foundation for TechM.
With that, I will pass you over to Rohit Anand – our CFO, for a rundown on the Financial Metrics.
Rohit Anand: Thank you, Mohit. Good evening, everyone.
Let me begin with an overview of the Company' s Financial Performance for the Quarter :
We ended the quarter with revenues of US$1,559 million, which is a sequential growth of 0.7% and a year -on-year decline of 2.6%. Our constant currency basis sequential growth is similar to reported and decline of 1.2% on a YoY basis. Translating this in INR terms, we registered a 1% sequential growth in revenue at 13,005 crores, which is also a decline of 1.2% on a YoY basis.
As Mohit mentioned, this quarter the growth is largely broad -based except for communications where we see Comviva seasonality for the quarter.
Our EBIT came at US$132 million, in rupee terms 1,102 crores, a sequential increase of 16.2% and 22% YoY increase. Resulting margin is at 8.5%, which is an expansion of 110 basis points

QoQ and 170 basis points on a YoY basis. The margin in Q1 were impacted by decline in revenue in Comviva and inching up of VisiCalc that we see in Q1 of the year, which was mitigated by operational efficiency and savings due to project, Fortius.
We have also seen moderation in our subcontractor cost, which in the last quarter we had mentioned has increased because of certain deal ramp ups, and other SG&A areas which were partially offsetted by the long -term investment that we had mentioned in a st rategic narrative that were committed to growth of the business for long -term growth.
The effective tax rate for the quarter was 26.6% and the resulted PAT stood at US$102 million in rupee terms, 851 crores, which is 6.5% of revenue and an expansion of 140 basis points sequentially and 130 basis points on a year -on-year basis.
Our cash generation remains healthy as a free cash flow for the quarter was US$106 million which translates to 104% of PAT. The total hedge book for us stood at 2.2 billion versus 2.4 billion last quarter. Based on hedge accounting net mark -to-market gain for the quarter was $27 mill

ion, out of which gain taken to the P&L is $2 million and the balance taken to reserves of $25.6 million.
The DSO, including unbilled was at 93 days, which is an increase of one day on a sequential basis, but an improvement of five days on a year -on-year basis.
Our balance sheet continues to be strengthened. Cash and cash equivalent as of the quarter close stood at US$966 million at rupee terms 8,055 crores.
Our deal wins for the quarter was at 534 million which is an increase of 6.8% on a quarter -on-quarter basis and also an increase on a YoY basis.
The key highlights about our deal win are that most of these are as Mohit mentioned broad -based ,and in focused prioritized markets of US, Europe and selected pockets of APJ.
And also from a service line perspective, deal wins represent the mix for digital enterprise applications, cloud and infra and next gen services. The detailed tailwind of these deals are mentioned in an earning presentation as well as in the earning press release.
If you recall from our previous quarter strategy presentation, we had mentioned about making investments about strengthening our sales and marketing practice and one of the pillars under that was to strengthen our advisor and analyst relationship. Followin g up on that, we held an Advisor Day in Pune, India. The event was impactful as research houses, advisors and analysts were left with a much better understanding about TechM, service lines and competencies, and a strategic thought behind the scale and spee d imperative.

We also continue to invest in building our employee pyramid as we onboarded close to 1,000 freshers in the talent pool for the quarter. Invest in building employee pyramid is going to be one of our largest margin expansion driver from medium as well as lon g term. We will continue to do this as we move forward.

Beginning this quarter, we also have started reporting interns for our BPS division, as a part of overall headcount as a practice , which was around 2,100. If you normalize for that on a quarter -on-quarter basis, our headcount is flat.

We have also made progress on our portfolio Company integration front. We have completed full integration of two of our portfolio companies with a core corresponding service line at TechM during the quarter.

So, in summary :

We believe the Q1 Results are a positive start for the current turnaround year as well as for our medium to long term strategy. As we continue to prioritize the strategic areas, we will continue to invest in the business for long -term sustainable performance.

With that, I will take a pause now and moderator, back to you for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company . Please go ahead.

S Guntupalli: So, my question is , outside the COVID high growth period, possib ly is the first time in the last several years where we are seeing sequential organic growth in June quarter. So, has the Comviva seasonality come down over this time and will it be possible to call out the drag to Comviva at both revenue growth and margin level during the quarter?

Mohit Joshi: Yes, I think, the Comviva drag from Q4 to Q1 is roughly about 0.5% . I don 't know if that answers your question.

S Guntupalli: This is both at the growth and margin as well?

Mohit Joshi: That's correct.

S Guntupalli: Most of the companies reported so far have shown good growth in BFSI and they are positive that it will continue into the subsequent quarters. So, I understand that you mentioned that there will be some volatility at our portfolio level, but broadly, if you can highlight few trends in your key verticals, including communications, that will be helpful.

Mohit Joshi: Because you asked about BFSI, first, let me cover that first. See, our BFSI

vertical is relatively
small compared to our peer group and we are in the process of crafting out a new strategy. As I

mentioned previously, we have a new team as well. What we are focused on is a couple of things, right. The first is building out a new team to dig deeper into our existing accounts, so a huge focus on mining of the existing portfolios that we have. There 's also a lot of effort going in for client logo additions. In this regard, the one thing I mentioned the large global bank that onboarded us as a preferred supplier this quarter is a positive movement. There 's a lot of work going on from a solution developm ent perspective, especially in areas where we have strength like core banking, wealth and asset management, insurance and payments. And finally, we are looking to fully integrate the capabilities of our portfolio companies like CTCo, BORN, Citisoft and Softgen. So, with all these, I feel very confident and comfortable about the long -term outlook of our financial services business. But again, given the small size, right, from a quarter -to-quarter, just a couple of million dollars movement can inject a degree of volatility. But we are comfortable about the long -term outlook of the business. And again, I feel that if you leave one of our peers outside, I think our growth on a quarter -to-quarter, on a year -on-year basis actually is quite good. We grew marginally quarter -on-quarter and de clined only slightly on a year -on-year basis. From a telecom perspective, look, I feel that again, the telecom sector continues to be challenged. But if you look at it from an FY24 perspective for the full year, our telecom busine ss declined by about 12.4%, for Q4 it declined by about 16.5%, but in the most recent quarter, the decline has come down to single digits now. So, I expect to see some level of year -on-year improvement in the telecom business over time. I believe that our sort of position in telecom from a comparative position remains very strong. We are present in seven of the top -10 operators. And as I look at the priorities that operators have, these are broadly in three areas. The first is on the cost side, whether it 's a vendor consolidation or it is autonomous operations and autonomous networks, we are active in that space. The second is revenue generation both on the B2B side and on the B2C side, and on the wholesale network side, again, working on a number of initiat ives with clients there. And finally, working with our clients to help them become AI -native telcos. So, while the telecom sector overall remains stressed and the spends are there to see across our peer group as well. I do feel comfortable that as the sect or improves as one of the largest players in the sector, we should benefit from an uptrend. I don 't see it happening immediately, but surely this is a large enough sector, it should happen over time.

S Guntupalli: Lastly, you spoke about development of a large language model. If you can elaborate a bit on it, because our understanding so far is that only few companies that do the product or US internet companies have been very strong on this. So, if you can elabora te a bit on what are the use cases, who are expected to be the clients and what is our expected monetization model, that will be very helpful?

Mohit Joshi: Look, we started off more as a research project within our makers lab in TechM. We were motivated to build out a large language model in the various dialects of Hindi, because we didn ’t see one being commercially available and we thought it would be an interesting and exciting challenge for our teams. It is one thing to work on large language models that other people have created. It ’s a different level of understanding of the complexity and comfort with the technology if you can build your own model from scratch. And so we started out by collecting multiple

data

sources. We had a project called “Bhashathan” which was actually to collect raw language, primary data as well in the various language dialects. And we built this model over time. As I mentioned, it ’s got 1.2 billion parameters, 22 billion tokens and was built with a fairly small team. It is now hosted on Intel and Dell hardware. We are still working out a commercialization model with various clients and various third -party providers including within the group. Beyond Indus, we also built out a large langua ge model in Bahasa Indonesia working with Indosat and working on NVIDIA chipset. So again , I feel that it really demonstrates the differentiated technology capabilities, the AI capabilities of TechM – that our teams are able to build complex models from scratch. Candidly, the commercialization models are not very well developed now and I do not expect this to be a significant contributor to our revenues. It is more of a technology demonstrator from our perspecti ve.

Moderator : The next question is from the line of Rod Bourgeois from Deep Dive Research. Please go ahead.

Rod Bourgeois: Hey, I want to ask about your internal progress in making turnaround changes and also tracking your turnaround -related metrics. You ’re still relatively early in your turnaround efforts overall and I ’d like to know if you can give us a sense of the internal metrics that are essentially allowing you to gauge the leading indicators of your turnaround progress?

Mohit Joshi: So, Rod, when we presented our strategic narrative and the turnaround plan in April when we spoke about the scale at speed sort of a journey, we mentioned that to drive long -term sustainable performance of the Company , we were going to look at three pillars for transformation perspective. The first pillar was linked to growth and growth was about being able to grow our priority accounts. Our peak and prime accounts are 20 million plus accounts sustainably. We have our program called Turbocharge . We have dedicated client and delivery partners for our top accounts to drive more focus and we see an improvement in this overtime. We also spoke about from a growth perspective competency build, right, the investments that we are making in our focused s ervice lines. Just Rohit spoke about the Analyst Day we did in Pune to drive more understanding of our competency and the value sharing that with the analysts. And finally, for the growth piece we spoke about the need to invest in markets in the US, in Eur ope, prioritized markets in APJ, which is also reflective of our deal wins this quarter and the numbers overall. Beyond this, there was the desire to build on our leadership position in telecom and manufacturing. You ’ve seen the results from manufacturing perspective and also to be a credible challenger in healthcare and BFSI. Again, both sectors where we have delivered a good set of numbers for this quarter. Beyond growth, there was a focus on margins and we gave some metrics from margins perspective. For instance, what is the entry level as a percentage of the total workforce. As you know, we are one of the few companies that continue to imbibe fresh talent in our industry, and we have added about 5,400 - 5,500 people in the past four quarters and we will continue to build on this. From a margin perspective, we also spoke about CN B as a percentage of our revenues, including sub cons. In this, we improved YoY by about 80 basis points here. As we continue to reduce subcon significantly and focus on other area s like offshoring. And finally beyond growth in margins, we spoke about the organization and talent

transformation, right? And from a talent transformation perspective, the number one focus for us was employee upskilling. We have made progress year -on-year and quarter -on-quarter. We spoke abo

ut the 25,000 plus people that w e have trained in AI pair programming. Beyond this, we have gotten a chief learning officer with a very ambitious and a very robust plan for training overall, including investments to build out training facilities. We spoke about the percentage of clients who we did infuse with the GenA I offerings and again you see progress over here. You see a new offering VerifAI that we spoke about today, which is focused on the assurance and validation space. We also spoke about group synergy, where there 's focused effort on working with M&M on the factory of the future and take into clients, work across more group companies and leveraging the M&M vendor ecosystem, right? So, again, across these three areas of growth, margins . organization and talent metrics, we are making good progress. We do have a plan to report this on an annual basis in terms of the progress that we make on the metrics, but I want to assure you with something we are tracking very closely. And again, sorry, a fairly long answer to your question, but this is very, very critical for us.

Rod Bourgeois: In terms of a follow -up, you mentioned some positive developments in the BFSI business and the long -term growth confidence there. I wonder how much of these positive developments in BFSI are due to an improved demand environment versus Tech Mahindra impro ving its positioning in the market? One point on that. As we look at our research on enterprise buying factors, we are seeing enterprises often demanding more specialist skills from its IT services vendors and I wonder if that 's part of your positioning in the BFSI vertical and if you 're seeing that as a demand opportunity out there?

Mohit Joshi: So, I would say that the demand environment in BFSI is reasonably stable. Again, peer companies have given very different interpretations; some have spoken about green shoots, others have been more cautious. I think from my perspective, the demand environment is reasonably stable, not really growing dramatically. I think we are benefiting from the fact that we have a new team, we have a significant amount of focus on the vertical and that we are able to both open new clients like the large glob al bank that I mentioned and dig deeper into our existing clients to build out our solution sets to gain from the synergy of the portfolio companies. So, I would say that the game set that we are seeing are mostly based on our internal efforts and our improved market positioning. Your second part of the question was about the demand for more experienced talent in the BFSI sector. And yes, I think for us, th is is certainly a differentiator for us. We do have the most experienced talent pool in the industry, significantly higher levels of experienced talent and we position this to clients as being able to provide a diamond rather than a traditional pyramid. Obviously, we are working to improve or to increase the level of fresh talent that we have. But even wit h those additions, I do expect that we will continue to have the most experienced talent pool in the industry both within TechM and obviously certainly within the portfolio companies like a CTCo , like a SoftGen , BORN that have very domain rich and deep ind ustry talent.

Moderator: The next question comes from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: A couple of questions, Mohit. One is that if you look at the current quarter, growth has been driven by BPO which has added close to $25 million to your revenue incrementally. Now I also notice that there was an acquisition announced, Orchid Cybertech. So, what was the contribution of that to the revenue? And more generally what has driven such a strong growth in BPO? And the related question to it is that when I look at a BPO portfolio, it 's quite heavy on contact center service

s or call center services. Does that worry you given that that business would be the first one to be impacted by GenAI.

Mohit Joshi: Yes. So, look, I think the BPO numbers are not really correct, they 're not comparable, and Rohit will address this, because there is a recast that we did as well of our portfolio. And so it is shared in his narrative. Some of the revenue has shifted from IT services to BPO, that 's probably giving you that sense. The Orchid Cybertech acquisition is over two quarters old. So, it doesn 't really have an impact from a QoQ perspective.

Rohit Anand: Just on IT and BPO, it had some segmental change. So, when you compare it to the relative performance the 11 million growth for the quarter from last to this you can attribute half of that the BPO perspective and half to IT. It 's kind of mixed the change is what 's driving the differential that you see on an absolute basis last year.

Mohit Joshi: And then on your BPS question more broadly, right, look, I feel that our BPS business actually has been very, very innovative. And for instance, in the AI space, the BPS business actually has made great inroads in a couple of areas. One is obviously worki ng with the hyperscalers and working with a lot of the AI native companies. As they get humans into the loop in several of the AI platforms, that 's been a significant growth opportunity for us. We have also been infusing AI into a lot of our co ntact center solutions and into a lot of our platform capabilities and finally, we are using GenAI to become a lot more productive internally. So, I think this is an example of how our BPS business really has been very innovative around areas like AI, whic h is helping drive growth. A lot of our client base now is the Silicon Valley companies, the cloud companies. Our contact center dependence as a Company itself is very low, would be under 5% for TechM overall. So, I am not too worried about any significant disruption from that perspective. It is

small and the portion that is there is very AI infused now.
Kawaljeet Saluja: Second part of the question, Mohit, is that the market has been fairly active in terms of consolidation deals in telecom, in fact, there have been many mega deals in consolidation, deals announced in North America, in Australia and even in Europe. I mean this market is of course fairly competitive as well. So, would you be playing into this market and consolidation deals or would you stay away from it giving profitability consideration?

Mohit Joshi: Look, that 's a very good question, right? And it 's a question about as we had shared in the Analyst Day session as well that obviously we want to get growth and margin, right, but if we have to prioritize, we will choose margin. Now, we did not want to get into a situation where we are competing for deals which are hugely cash -negative and hugely sort of margin -dilutive, right. Having said that, given the capabilities of the Company , we are winning several deals. So, for instance, the large dea ls that we announced from a last quarter perspective includes several telecom deals, including with the American operators, with European -based operators, just this quarter, for instance, we have won a significant deal from an autonomous network operations perspective. So, we continue to be competitive, we continue to win telco deals, but again these have to be deals on our terms, right. I don 't want to do the sort of deals that we have to then come back and make plans for magical margin improvements . Given this stage, we are in our turnaround . We want to be very, very focused on the sort of growth that we want and the sort of margin structures that we will accept.
Moderator: Thank you. The next question comes from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: Maybe to Rohit , Rohit you had indicated pl

ans to reduce our cost annually by $250 million and also spend 1 .5% of th e revenue in first year of turn around which translates to around $ 100 million. Just wanted to gauge our progress against this target , looks like good cost reduction this quarter, but there were some business -as-usual benefits that you indicated. So, how are we now placed against that target? And if we can give any indication of the cadence of this cost reduction or investment to the rest of FY25? Thank you.
Rohit Anand: Sure, Abhishek. So, as I mentioned, when you look at the margin for the quarter, we have expanded from 7.4% to 8.5 %, right, the way to decompose that is we have headwinds from Comviva revenue which flows to the margin impact broadly half a percent plus we have impact on visa cost in some other direct costs associated with that around 30 basis points, right. So, that's the headwind we started off with. Post that, all the efforts that we did on cost optimization as a part of P roject Fortius net o f investments, right. And we had clearly articulated to your point that we will continue to invest high for first year and then gradually ease it down because that's where we need a long term sustainable business to grow. So, when you look at the savings net of investments , we see an improvement in contribution to margin around 1.2% driven by that and then SG &A excluding Fortius, we see some seasonal reduction in cost that over the year will come back quarterly sequentially. So, those are the broad walk fro m a margin expansion standpoint, and we will continue to report our progress of Project Fortius each quarter net of investments and the buckets that we just to reiterate the buckets on investment that we clearly articulated is continued focus on expansion of pyramid. We said we will continue to drive learning and development investments, sales and marketing effor ts, competency, build internal productivity t ools for automation . So, those are the broad buckets tha t we will continue to prioritize.

Abhishek Kumar: Just one quick follow up on growth. Just wanted to understand is the demand environment similar to what we had envisaged at the beginning of the year and if things improve, does that present an upside opportunity to our margin target? Thanks.
Rohit Anand: Well, look, I think the demand environment is pretty much the same as when we had spoken in April. I don't think there is any significant improvement, nor has there been a deterioration candidly. So, it's still pretty much the same . Compared to a year ago is probably a little bit better. That's what we see. And obviously if the demand environment should pick up significantly in the second half of the year, then it will be helpful from a margin perspective, everything else remaining the same, ri ght? I mean, assuming that the attrition levels and all don't spike up massively, it should be positive from a margin perspective.
Moderator: Thank you. The next question comes from the line of Sandeep Shah from Equi rus Securities. Please go ahead.
Sandeep Shah: Thanks for the opportunity and c ongrats on a good start to the year. Just first question Mohit, I

think one of the growth strategy which you want to look at is to drive the multi services deals as
well. So, any progress on that? I do agree it's too early to ask this question, but any pipeline
which is shaping up which can improve the order intake going forward ?
Mohit Joshi: Yes. I think that's a very good question. Look, multi -tower deals are very critical for us. We have
set up a specialist group within the company, the Solutions and Transformation Group, whic h
specifically focuses on multi -tower deals that are over $25 million in revenue, right. So, this
team will collect the inputs, build estimation models, create high quality solutions and through
deal advisors and consultants and d

eal architects actually shape their deals on the ground as well.
For our larges t accounts , we have put in a team of delivery partners over the past 6 months and
the delivery partners also help consolidate the capabilities from multiple service lines to give us
seamless and a uniform experience to customers. So, it is very important for us. It is something
that we track very closely. We look at the average number of service lines that our largest clients
consume and we are very focused on increasing that . Obviously in verticals and sectors where
we have been present for a long time like our telecom or manufacturing, that number is higher,
while i n our newer verticals like Life sciences and BFSI, the number is lower. So, there is a focus
strategy to improve these service line penetration within our newer clients and newer verticals
as well. So, it's a very comprehensive strategy consisting of structural changes like building out
the SS DT of talent infusion , like putting in the delivery partner into the accounts and finally
through a mixture of incentives an d measurements like the measurement of service line
penetration in each and every individual account.
Sandeep Shah: Thanks for the detailed answer. Any thought on wage increase or wage hikes in the coming year?
Mohit Josi: Yes. So, as of now, we have been fairly transparent with our employees that we do not see an
opportunity for a wage hike at this time and we will revisit it in the second half of the year

depending on our financial situation. We were the first company last year to announce wage
hikes. So, I think our employees , we have that credibility and trust with our em dployees where
they understand what we are , what we are focused on and the fact that we will revisit it in the
second half of the year if appropriate .
Sandeep Shah : And just a last question as a bookkeeping. I think offshore efforts, one of the lowest which as a
large cap Tech Mahindra has and I did not hear that as a margin lever in most of the commentary
by you and Rohit. So, is it fair to say because of the a cquired subsidiary which are on site driven,
there is a hurdle to move the offshore effort materially going forward or are we also strategizing
for as a material margin lever going forward?
Rohit Anand : No, Sandeep, I think that's a good question. So, from our perspective, one of the strategic pillar s
that we have shared with you three months back was better integration of portfolio companies,
right? So, we said that our priority for the next 18 to 24 months is going to be prioritizing the
integration into systems , into policies, procedure, middle o ffice, back office. So, that's a focus
effort that we will drive over that period and continue to work on enhanced offshoring, which to
your point will get more accelerated as we do go through that journey.
Moderator : Thank you. The next question comes from the line of Ravi Menon from Macquarie. Please go
ahead.
Ravi Menon : Last year, we took a significant provision for onerous contracting altogether through the year
6.7 billion. So, are we continuing to do any of that , it still seems a bit elevated ?
Rohit Anand : Ravi, I think last year, as you know, as you saw in the business results, there was some volatility
and we mentioned clearly that we were reassessing portfolio. We were reassessing areas we
wanted to operate as a part of that strategy in areas where we could exit commercially in
contracts we did wherever we didn't want to continue , we box that as a separate runoff portfolio
to execute and close. So, as a part of that, these provisions were heightened last year to represent
our commercial positi on on those contracts . This year as we move forward, we have more
business as usual and as an ongoing part of our governance and project and contract reviews, we
continue to assess our risk and as per the fina

ncial principle, if we see any risk, we will take
cognizance of that and record in the financial books, but that will be now busi ness as usual versus
last year.
Ravi Menon : Thanks, Rohit . Mohit, just broadly how should we think about any areas that you're thinking
about improving your win rate substantially because given the size of your portfolio, you need
to improve in a large segment or say material market segment , right. So, which segments would
you be looking at given that digital, it's not really early stage, right? And we are still probably
an early cycle, but credentials have been set already. Do you see any gaps for Tech Mahindra
possibly that given some tuck-in acquisitions can solve?

Mohit Joshi : Sure. So, look, I think we are very focused on our win rate, especially for large deals. It is something that we track very religiously, and the win rate is really a combination of what I keep telling our teams is that our solutions have to be comprehensive , they need to cover the full gamut of TechM capabilities. They need to be competitive from a pricing perspective, but most importantly they need to be compelling, right? They need to tell a really powerful story like for instance, the fact that we are the only lar ge SI or we are the only SI to build a large language model from an AI perspective. So, we are thinking about the win rate in exactly the same way that you mentioned. I do feel very comfortable that we have a full range of service line capabilities. We have a great set of clients in the sense if you look at the old MBT clients or the old Satyam clients , we have a really good coverage of clients and we have a very good track record with clients, right . The delivery capabilities and the delivery track record of TechM truly has an exceptional overtime. We have a great talent pool as I mentioned in the question that Rohit had been asked about the very experienced talent pool that we have. So, we have no reason why we should not have an improved win rate. We are just being very systematic about it. We are being very focused about it. We are very clear about the segment of the market that we want to serve, which is the global 2000 companies . We are very clear about the service lines that we have. We are very clear about the geographies where you want to play and we feel we have a compelling strategic narrative and scale at speed. So, given all these, I fully expect our win rate to tick up over time and a combination of an increased funnel and sort of an increased pipe and an improved win rate should give us significant benefits over time.

Ravi Menon : Thank you. One last thing, you talked about 1000 freshers being added, but when I look at the utilization, both including and excluding freshers, the train ees seem to be the same. So, have these trainees already been on boarded an d deployed in the same quarter?

Rohit Anand : They typically join at different points to quarter. The recent additions more towards the fag end. So, that's wh y you probably don't see it.

Moderator : Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh : Yes, just two questions . From vertical perspective , one look at it, retail and logistics did fail partly because of last quarter weakness. But if you can help us underlying trend perspective, any changes you are witnessing because some of the peer indicated inflation related impact on the sector and demand perspective, if you can give some sense a round it ? Second question is data related about effective tax rate . If I look at the nature if you can give some color about how one should expect it to tr end. Thank yo u.

Rohit Anand : Yes, maybe I'll take the tax rate first. And Mohit, you can talk about the retail , transport and logistics vertical trend that we are seeing. So, on the tax rate, the effective tax

rate for the quarter was 26.6% and we clearly articulated our tax rate for the year should be in the range of 26 % to 27% based on the structure we are in. So, there are quarterly variations based on different items, but that's the normalized rate we should be in to expect.

Mohit Joshi : And on the sort of retail CPG, travel, transportation, logistics vertical. Look, I think that this is again a relatively small vertical for us, but we do have a good set of capabilities. So, I am quite confident that this number will pick up over the coming quarters. There is no significant underlying weakness in this vertical, but again it's a relatively small vertical for us.

Moderator : Thank you. The next question comes from the line of Girish Pai from B OB Capital Markets. Please go ahead.

Girish Pai : The CrowdS trike incident, which happened recently, do you think that could lead to some kind of shift with spending away from normal activity to maybe something focused on cybersecurity, that's question number one. Second one of your peers, smaller peer talked about unexpected furloughs in a certain sector Hi-Tech . Are you seeing something similar? The third question is regarding segmental margins . IT segment seems to have seen a 600-basis point Q-o-Q improvement in margin. So, can you just expl ain that?

Mohit Joshi : So, I'll answer the first one and then I'll pass it back to Rohit, for the question on segmental margins. So, look, I think as far as the CrowdS trike incident is concerned, cybersecurity has always been a key focus area for our clients, and I don't see that changing. This was though, not really a cyber security issue , this was an issue of a failure of the validation process and that is why when I spoke about Verify , I mentioned that we feel strong validation and assurance framework from an AI pe rspective is very important. The only impact that CrowdS trike really had on us was a lot of our clients obviously had to spend money on remediation. There was a lot of effort involved in reaching individual machines and making changes and wherever we were providing these end user services or desktop services , clients were quite reliant on us and they

were very happy with the support that we had provided . To some degree it has helped us
strengthen and cement existing relationships. We were not using CrowdS trike ourselves, so we
were not impacted as a company. So, that's the first piece . On the Hi-Tech piece , yes, there are
one or two clients where there is a n unseas onal f urlough request , it is not material I think at this
stage and it is not widespread so I really won't call it out from our perspective. And then on the
margin question, let me pass you back to Rohit.
Rohit Anand : This time we, as I mentioned, we have done a segmental change between IT and BPO. So, if you
look at the real performance on an IT perspective, we have increased quarter to quarter close to
the company level improvement and when you look at the numbers that you see on the segmental
financials are without the unallocated cost which is predominantly pertaining to IT and hence
when you contribute that you'll get a similar improvement and it's at a c ompany level av erage
and not 600 basis points.
Moderator : Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain : Yes, I think you were trying to address the question that was to ask. So, if you could clarify,
what exactly you were mentioning in terms of the reassignment because I see the reported IT

Solutions to be almost lowest level since 9 quarter. So, what could be the other attributes other
than the realignment that you just spoke about?
Rohit Anand : Yes. So, as I mentioned, we were realigned certain portion of the business to BPS which better
drives

the synergies between the business, right. So, that's why the baseline has changed. When
you look at our earnings and press release, we have shown the performance Q oQ and YoY more
aligned to the re -casted numbers as comparatives. So, from that perspective, that's the way to
look at it. And as we go forward, this will be the baseline to com pare from a performance
standpoint, so that's a change we have had. As I mentioned, if you look at Q oQ, the overall
absolute increase in revenue is 11,000,0 00 and half of it is driven by B PS on a comparable basis
and the other half by IT.
Rahul Jain: Right. And just on this marginal recovery kind of thought process that we have. Is there a certain
base growth assumption that is required for us to be in that zone because the clarity on the macro
is not as obvious as one would like to have.
Rohit Anand: I think look on the margin side, what we have said and I mentioned this in my response to cover
just now as well that we will prioritize margin over revenue. So, to that degree we are quite
focused. We do feel we have a significant number of levers to pull even in a flat demand
environment and also the margin goal that we have given is a three -year goal right from an F Y27
perspective, we have not given a goal specifically for FY 25. Having said that, we are quite
comfortable that we have enough levers to push in our existing portfolio to show an improvement
in margin and we have already demonstrated it this quarter.
Moderator: Thank you. The next question is from the line of Manik Taneja from A xis Capital. Please go
ahead.
Manik Taneja: While you've alluded to the focus in terms of deprioritizing some certain low margin or low
margin parts of the business, but if you could help us understand with regards to the client
metrics , we have seen a decline in terms of number of active clients and number of $1 million
plus customers over the course of last several quarters. How much of this reprioritization
essentially is reflecting in terms of the revenue drop that we see in the business ?
Rohit Anand: The reprioritization of the deprioritization of customers has almost no revenue impact. Wherever
we have deprioritized accounts , it is because either from a geographic perspective or from a size
and attractiveness perspective, which really refers to the IT spend, they're not attractive to us,
but most of these are very marginal customers. So, we do not expect our pruning and shaping of
our portfolio to result in a revenue attrition.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now
like to hand the conference over to the management for closing comments. Over to you.

Rohit Anand: Thank you again, thank you all for making time for us today. We feel happy with the good start
that we have had to the quarter. This is still very early stages in our transformation and our
renewal journey. But I feel very confident that with the team that we have and with the support
that we have from all of you , our clients and our teams that we will make good progress. Thank
you again.
Moderator: Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all
for joining us. You may now disconnect your lines.

Call: Oct 2024

23rd October, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 30th September 2024 – Regulation s 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")
Ref: Intimation of earnings conference call vide letter dated 30th September 2024 and audio recording of earnings conference call vide letter dated 19th October 2024

Dear Sir/Madam,
In terms of Regulations 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, please find enclosed the transcript of the quarterly earnings conference call of the Company for the quarter ended 30
th September , 2024, held on Saturday, 19th October,
2024 after the meeting of the Board of Directors for your information and records.
The text transcript is uploaded on the website of the Company at the weblink:
https://insights.techmahindra.com/investors/tml -q2-fy-25-earnings -transcript.pdf

This intimation is also available on the website of the Company at the weblink:
https://www.techmahindra.com/investors/
Kindly take the above on record.
Thanking you, For Tech Mahindra Limited

Ruchie Khanna
Company Secretary

Encl.: as above

"Tech Mahindra Limited Q2 FY '25 Earnings Conference Call"

October 19, 2024

MANAGEMENT : MR. MOHIT JOSHI – M.D. & CEO, TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CFO, TECH MAHINDRA LIMITED

Tech Mahindra Limited
October 19 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q2 FY ’25 Earnings Conference Call.
We have with us today Mr. Mohit Joshi – Chief Executive Officer and Managing Director, Tech Mahindra and Mr. Rohit Anand – Chief Financial Officer, Tech Mahindra.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*”then "0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Joshi – M.D. & CEO for Tech Mahindra. Thank you and over to you, s ir.
Mohit Joshi: Hello , everyone and thank you for joining us for our Q2 FY ’25 Earnings Conference Call and we are delighted to speak to you again as we discuss our Financial Performance and Strategic Achievements of the Past Quarter.
We continue to progress on our strategic improvement efforts even as the overall IT services industry has remained soft. We are focused on strengthening client relationships and expanding the partner ecosystem. All this with the sharp focus on operational e xcellence through P roject Fortius w hich has resulted in an expansion of margins for the third sequential quarter. For Q2 FY ’25, our revenue increased by 2.2% year-over -year and by 1.9% quarter -over-quarter.
By region, Europe achieved a 4.1% year -over -year growth and the rest of the world achieved 9.7% year-over -year growth. The Americas growth was soft at a 2% year -over -year decline. We see weaknesses in the communications vertical, which posted a decline of 1.7% year -over -year as our key telecom clients continue to prioritize cost savings and their spending on discretionary projects is constrained. The manufacturing vertical had a soft quarter with a moderate growth of 0.6% YoY a s
the outlook for discretionary spending in this vertical continues to be conservative.
Among our focus verticals, BFS I reported 4.5% year -over -year growth, in this vertical, helping partnerships with our existing clients and continuing to see new logos s igning on . We are focused on better utilization of existing capabilities, including those of portfolio companies, which is helping to build the foundations for longer -term growth in the sub segments of insurance, asset management and payments among others. All the other verticals have also seen positive momentum with the tech , media and entert ainment reporting 2.4 % YoY growth, healthcare and life sciences reporting 4.5% YoY growth and the retail segment growing by 4.7% YoY .

The new deal win TCV for the quarter was US$ 603 million and was broad -based across our key markets.
We opened a new logo with one of the largest US -based cards and payment services providers for an AI-Ops based production management for the bank’s applications in addition to a tech modernization program across application development and maintenance services, data and cloud and infrastructure engineering, making T echM the “Change the Bank ” partner for the client as well.
We were chosen as a partner to a European bank for Temenos T 24 implementation program to modernize the current core banking platform and provide ongoing support of core banking systems post implementation by leveraging our strong c apabilities in core banking transformation.
Tech Mahindra was selected by a leading European communication s services provider for an autonomous operations program, enabling them to provide the best customer experience and transform into a highly digitally mature and innovative operator by leveraging T echM’s network services, application development and maintenance services and AI capabilities f or its business, IT and workforce transformation

.
We were also selected by a leading telecommunications Company in Australia to deliver customer experience services and to support their journey to achieve industry-leading digital and customer service.
We are excited to announce several new partnerships that will enable us to broaden our service portfolio and deliver enhanced value to clients. For example, we launched a collaboration with Microsoft to modernize modern workplaces with C opilot for Microsoft 365 for our customers and employees across 15 location s. The collaboration positions Tech Mahindra as a leading global systems integrator, adopting C opilot for Microsoft 365.
We are partnering with Temenos to provide a core banking offering on their SaaS platform specifically designed for Europe for E lectronic Money Institutions in the UK and Continental Europe.
Tech Mahindra and Google Cloud announced a partnership to host G enAI adoption and digital transformation for Mahindra Group entities.
In close partnership with the International Chess Federation (FIDE) , we successfully concluded the second season of the Global Chess League in London. This collaboration significantly strengthens our brand, aligning it with the qualities of intellect, rigor, and strategic thinking, which are central to

both chess and our broader vision.

Operationally, we made further progress in our efforts towards cost savings and efficiency. We posted an EBIT margin of 9.6% for the quarter , an expansion of 110 basis points sequentially, enabled by savings achieved under Project Fortius and with support from currency t ailwinds .
The free cash flow for the quarter is US$ 157 million , and in line with our committed capital allocation policy, the b oard has approved an interim dividend of Rs. 15 per share.
Earlier this year, we had called out areas where we would make above -normal investments to drive improvements to achieve our FY ’27 targets. We will report progress on our key investment areas annually but would like to share updates on some o f them today. We have invested in strengthening the capabilities in the focused service lines by broadening the leadership , investing in technical specializations.
We continue to invest in strengthening our fresh graduate hiring program, building the right mindset in future s killing our associates b y building capabilities in AI F irst and Cloud First skill sets .
We have created a Next -Gen Skill Framework for all of our IT associates which would fuel career mobility among our workforce.
We will continue to invest in creating and sustaining an outcome -driven learning organization and cultivating a high-performance culture based on the pillars of “ Simplif y, Clarify, Innovate and Drive a Performance Orientation .”
It’s also heartening that our commitment to excellence and purpose has been recognized. For instance, Nav istar honored us with the 2024 Supplier Excellence Award for the 5th Consecutive Year . Tech Mahindra received this award for its performance, strategic alignment and innovative ideas in sustainable mobility.
We won the prestigious Diamond Supplier Award 2024 from Bombardier for the third time. This award is a testament to TechM successfully achieving Bombardier ’s operational performance standards and quality and delivery.
We are proud to have won the 2024 Oracle Best in Class Innovation Partner Award for App Services Partners.
Tech Mahindra has also been recognized as one of the World ’s Top 50 most Sustainable Businesses at SEAL 2023 Business Sustainability Awards .
And we are among the Financial Times Asia Pacific Climate L eaders 2024.

I am proud that Tech Mahindra is also one of the Most Preferred Workplaces for Women 2024- 25 recognized by T eam Marksmen .
And we are ranked as a leader in Av asant Telecom Digital Services 2024 and were placed i n the Leadership Zone i n D

igital Engineering and ER&D S ervices overall by Zinnov .
We were placed as a leader in Contact Center Customer Experience Services 2024 by ISG and as a Challenger in Gartner ’s 2024 Magic Quadrant for Public Cloud IT Transformation Services among other analyst recognitions .
We were ranked among the top five providers in the 2024 IT Sourcing Study by White lane Research.
Underscoring our commitment to sustainability, Tech Mahindra was recognized among the World ’s Most Sustainable Companies by Time Magazine. R emarkably, we achieved the prestigious #1 position among all Indian companies.
I believe that we are on the right path for a long-term sustainable transformation. Our leading indicators are moving in the right direction and our scale at speed narrative is resonating in the market .
This year as I have mentioned in the past c ould be volatile as we are in the turnaround phase, I am confident that the platform is being set u p for a l ong-term valuable franchise, thanks to a high caliber and united leadership team and a clearly articulated strategic plan. We look forward to diving deeper into these topics and answering any questions you may have during the Q&A session.
I now hand over to Rohit to e laborate on the Financial Performance and thank you again for joining us today.
Rohit Anand: Thank you, Mohit. Good evening, everyone i n India, elsewhere in US g ood morning.
Let me begin with an overview of the Company’s Financial Performance for the Quarter :
We ended the quarter with revenue of US $1,589 million, a growth of 1.9% quarter -on-quarter and 2.2% on a year -on-year basis . On constant currency, it is growth of 0.7% Q oQ and 1.2% Y oY.
Translating this in rupee terms, revenue was 13,313 crores, a growth of 2.4% Qo Q and 3.5% YoY.
This quarter, if you see , the growth was led by communications vertical was growing at 2.7%, while Mohit mentioned, it was a YoY decline of 1.7 %, but sequentially the communication s vertical grew for us after five quarters followed by T ME business at 5.7% and BFSI at 2.4%, manufacturing declined by 4% as we see softness in the auto sector.

We posted EBIT of US$ 153 million o r 1,280 crores, which is 16.2% increase over our previous quarter and the result ant EBIT margins is 9.6 %. O f the 110 basis point s QoQ expansion in operating margins, about 40 bps is contributed by FOREX movements and the balance 70 bps improvement is due to operating efficiencies and savings as pointed out by Mohit under Project Fortius.
Other income was US $62 million or 521 crores i ncluding gain on sale of land of approximately US$54 million. The effective tax rate for the quarter was 26.6% a nd we posted a profit after tax of US$149 million which is in INR terms 1, 250 crores , the PAT margin for the quarter is 9.4 %.
The free cash flow generated during the quarter was 157 million e xcluding the land sale, which translates to 105.4% of PAT . Cash and cash equivalents at the end of the quarter was 784 million or 6,566 crores.
Based on the cash flow generation and our capital allocation policy, the board has approved an interim dividend of Rs.15 per share.
DSO including unbilled was at 94 which is an increase of one day on a sequential basis, but improvement of three days on a YoY basis .
The total hedge book stood at US$ 2.3 billion versus US$2.2 billion last quarter , and based on o ur hedge accounting, our net mark- to-market loss for the quarter was US$3.6 million.
The new deal win TCV for the quarter was US$ 603 million and as Mohit mentioned, the highlight of the deal wins this quarter was the strategic wins in the communication s space coupled with an expansion of our B FSI portfolio, the onboarding of two new logos, one each from the US and Europe.
While we continue to expand margins , we have also made significant investments for long-term sustainable growth. Some areas o

f investment include opening a new center in the Baltic region,
bolstering our presence and service offering in Europe, expansion of partnerships in the AI, BFSI and manufacturing segments to strengthen domain-specific capabilities , and investments towards strengthening our capabilities in high growth service lines.
We have also invested in modernizing learning and upskilling infrastructure to enable advanced skill development for our associates.
The total number of employees at the end of the quarter was 1 54,273 including 2 ,000 plus freshers that we onboarded for the quarter, which is a part of our strategy, and we are on line to get more than 6,000 for the year.

So, to summarize this quarter , we see consistent performance around increasing deal wins, revenue growth, cost optimization and steady free cash flow generation, as we continue our journey towards FY27 stated targets.
With that, I will take a pause now , and hand back to the moderator for Q&A. Thank you.
Moderator: We will now begin the question -and-answer session. Our first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: I had a couple of questions. So, the first is in terms of Project Fortius, of the 150-bps kind of investments that we were seeking to do in the first year, how much would have been baked in, i n the first half ? The second , wanted your thoughts on how you're seeing f urloughs and the demand environment going forward? And any thoughts on wage increases broadly?
Rohit Anand: Maybe I will take the Project Fortius investment question first, on the demand environment, I will pass i t to Mohit, including the wage hike question. So, on the "Project Fortius ", as we rightly mentioned, we have said that we will broadly invest percent and a half of our margins for long-term investments and we are k ind of accelerating that moving into Q1 to Q2 a s we screened all these investments and the benefit that we will get out of that. So, I think from a pacing perspective, you should see second- half being slightly heavier than the first half, but every quarter we are getting towards all the investments as I gave examples to you on some of those to make sure that we set the right platform for our FY2 7 goals because it 's important that while we drive short-term metrics which you see in the financial subcon reduction, you see improvements around C &B as a percentage of revenue , but at the same time, we also got to make sure that we are making these investments for long-term mix change of business, long-term change in terms of the composition of the organization, you want to drive . So, I think just coming back to your answer, it 's equally spread out through the year, the second half might be slightly more but not materially different.
Mohit Joshi: Nitin, on your question on the furloughs and the demand environment first, look, I think we all know that Q3 is a seasonally weaker quarter because of lower working days and because of the furloughs as well . We see the same pressures of furloughs as we have in the past , but I also reckon it 's a little bit early and we will probably get better visibility on the furloughs over the next four to six weeks as the customer expectations start to flow in. As far as the demand environment is concerned, I would say, it's largely unchanged from what we had said the last time. We don 't see any significant
difference. The one thing that we have mentioned which you see in our results as well is a slight softness from a M

anufacturing perspective, especially for auto where we do have significant exposure in Europe and in the US. But overall, I would say, the demand environment is broadly similar to what we saw coming into Q2. On the wage increases a gain, this is something that we have kept in mind a s we have shared in the previous quarter as well . After

the conclusion of the Q2 results,

we are going to assemble together as a leadership team and discuss both the expectations from a salary hike perspective as well as the affordability question and we expect to close it out over the next few months. So, that is what we are thinking about from a wage hike perspective. Hopefully that answers your question, Nitin.

Nitin Padmanabhan: Yes, it does. That ’s very helpful. F rom a offshore mix standpoint, I think there ’s been a pretty good sort of improvement on a year -on-year and sequential basis. How are you thinking about your targets on that where you think you’ d be pretty comfortable longer term ?

Mohit Joshi: Look, I think it should be stable and obviously both from our perspective as well as from a clients perspective, there are certain benefits towards going offshore. But I don ’t think there is any major trend shift that we are expecting over the next couple of quarters at least.

Moderator: The next question is from the line of Rod Bourgeois from DeepDive Equity Research . Please go ahead.

Rod Bourgeois : Hey, so as you execute your transformation plans and investments, I wanted to ask if you’re seeing additional early signs that you’re making underlying progress towards your fiscal ‘27 target ? So, I guess I am asking are you seeing any underlying signs of improvement or progress either in the organization or also in Tech Mahindra ’s positioning with its clients?

Mohit Joshi: Thank you, R od. So, look, Rod, as we had shared in April, right, and we went through a fairly elaborate process to figure out what our long-term metrics should be and how we are thinking about transformation . And if you will recollect, we had stated that the transformation would be on the three pillars of our strategy which is Growth, Margins and Organizational Transformation a nd we have also defined the long-term metrics that we expect to use to measure our progress, right. So, while we are not formally sh aring the progress across all the metrics, maybe we can give you a little bit of a flavor about the change that has already happened. So, first on growth. On accounts with revenues greater than US$ 20 million, we have grown 1.5X the pace that the rest of the Company . And this is the result of the focus that we have on our top accounts under the Turbocharge Program. And as we shared previously, we are investing in dedicated client and delivery partners for our top accounts. We have a significant program of work to develop account -based marketing for our top accounts. There is training for our top teams and an infusion of deep technical and architectural talent for these accounts, and we are seeing the early results of this investment in terms of accelerated growth for our top accounts. So, that’s the key metric from a growth perspective. From the margins perspective, we are working on both short -term and long-term measures . On the short -term you can see a reduction in C&B including subcon costs as a percentage of revenues and at the same time we are also adding more freshers to the Company and investing the long-term right. So, from a short -term perspective there is the reduction that you’re seeing including in subcons and from a longer -term perspective, it ’s

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the infusion of fresh graduate trainees and the investments that we are making in training to make sure that they can be absorbed into the workforce at a rapid pace. From an organization perspective, one of the key things that we are working on was the area of cultural transformation, right. So, keeping the intrinsic strengths of TechM, but initially simplifying, clarifying, innovating and driving performance management . On the innovation track , for instance, we are tracking our progress on GenAI skilling and how we are embedding that into our deals. So, for instance , 1/3 of ou

r IT services workforce is now using GitHub Copilot right, which we think is ahead of our peer groups , and in addition, obviously there are people using the AWS and the Google Solutions as well. We are also seeing the percentage of G enAI infused deals go up every quarter. So, I do feel that across the three elements of our strategic plan -- growth, margins and organization -- we are seeing progress on the long-term metrics that we had shared with all of you in April. Hopefully , that answers your question , Rod.

Rod Bourgeois: No, that ’s great. And just a quick follow up on the transformation plan. But to what extent are you prioritizing large deal wins in your plan? I guess I am asking because large deals can definitely boost your bookings results, but they can also sometimes require margin sacrifices and contract risk , right , to win those large deals. So, I’d like to ask how you’re thinking about large deals in the overall plan?

Mohit Joshi: Yes. So, Rod, look, we had clearly identified large deals as a key factor that would drive our growth, right , and we have invested in creating significant large deal capability within the organization. The way I think about large deal TC V in any given quarter, right, is that it’s a function of the size of the pipe that you can build and your conversion rates . Now to build the pipe for large deals and we do get invited to almost all the deals in the market. We have invested in c reating a sales f orce that is focused on must -have accounts. The investments that I have already referenced earlier that we are making in our top accounts from our Turbocharge Program . We have also under our Chief Marketing Officer build out extensive program of work to build on the relationships that we have with the deal advisor and the analyst community. And so we see a constantly b roadening pipe from a invite perspective. And then equally we are working on improving our conversion rates which we track very closely . And for that we are ensuring that the quality of our technical solution and our commercial solution is very robust. So, we have invested in deal architects, technical architects as well as negotiators. We are also constantly working on the commercial elements of our offer, and we are seeing the results coming through , you saw a healthy clip of deal wins for this quarter as well and a predictable quarter -on-quarter improvement. However, we have also been very clear about the fact that we will prioritize margins over large deals at this point of time. And we want to be very clear , right , that in this environment, obviously, it is very tempting to do the sort of deals that can potentia lly come back to bite you later by making what I would say are heroic assumptions about productivity or making heroic assumptions about what can be accomplished, and we are shying away from that, right. So, it is as you can imagine as t he sales team a little bit difficult, but we do feel that we are being incredibly disciplined, but at the same time, there is a huge will to win and to make sure that

we are getting our fair share of large deals. I also feel that we are creating institutional capabilities that will help us broaden the pipe and improve our conversion rates going ahead.

Moderator: The next question is from the line of Abhishek Kumar from J M Financial Limited. Please go ahead.

Abhishek Kumar : Mohit , my question is given your relationship and your leadership teams relationship opening new logos , while it’s the right step, probably the easier one given the competitive intensity in this sector. Two questions. One, how should we look at scaling these accounts given the competitive nature ? And secon d, what kind of contracts have we got? Are these broader MSAs that we have signed, or these are smaller S OW kind of work to start with.

Mohit Joshi: Thank you for that question. Look, I thi

nk we have identified financial services as a focused vertical for us . Just given simply the fact that this is where the largest spend pool is right from a tech services perspective. Now , I would slightly differ from you in terms of the ease of opening logos in my own experience, right, and I would qualify that by saying that we are focused on serving the largest financial institutions across the globe. I do feel that it is harder to get in . Once you get in because the doors are closed fairly tightly , once you get into the preferred supplier, landing and expanding is relatively easier, right . It is harder to get in as opposed to other verticals where it may be easier to be selected as a preferred supplier, but then harder to win business. So, that’s the first piece. The second piece is we have clearly identified that we cannot be a me-too player, right not a cut price player from a BFSI perspective. And so therefore we have identified clear areas of differentiated strength from a Tech Mahindra perspecti ve that are coming from our own experience as well as the experience of our portfolio companies and some of these areas are for instance in insurance w here we have industry-leading capabilities in Guidewire, among other things. It is coming from the focus that we have on asset and wealth management where because of city soft and our own experience, we believe we have a depth of subject matter e xpertise. It is coming from payments where we have experience working with issuers and with the networks . It is com ing from core banking where we have strong partnerships with a variety of leading software providers. And so we are focused on the must -have accounts and looking to open the must -have accounts t hrough areas where we have differentiated capabili ties rather than being a cut price player . Now, with regard to the wins, it is a mix, right . So, for instance, we shared the details of one deal, which is a large maintenance and development deal with the card services provider. But equally there are other clients where we have gotten permission to enter as a preferred supplier and that has opened up all sorts of doors for opportunities in diverse areas of the b usiness. There is a bit of a mix. I do recognize that financial services is a hugely competitive industry and it is a space where all the players are very, very focused. But I do believe that we have the makings of being a credible challenger in this space and we have a very well thought through strategy and really a depth of t alent that understands the industry , understands the key players and is able to build the compelling solutions that allow us to be in the consideration set for our clients.

Abhishek Kumar: One, maybe a related question on demand in B FSI. Some players are calling out some discretionary spend especially c apital markets , etc., H ave we seen any change in the customer behavior in BFSI?

Mohit Joshi: So, I will just mention two things. One is, it does seem that BFSI sector the spend levels seem to be slightly elevated compared to about a year ago. Briefly as mentioned that because the sector is so heavily concentrated, right, and a downturn in a single client ca n wipe away the benefits that you’re seeing elsewhere. And finally, BFSI is also the sector that is most exposed to f urlough pressures , right along with manufacturing. So, there is that e lement to consider as well . But on the whole , I

would agree that there appears to be a slight improvement in sentiment, but it 's not a dramatic 180-degree shift.
Moderator: The next question is from the line of Gaurav Rater ia from Morgan Stanley. Please go ahead.
Gaurav Rateria: My questions are on top five clients , continues to see weakness for the last few quarters. Where do you see this bottoming out? Secondly, is your current deal win trajectory enough to get you to an industry growth rate

next year ? If not, then what should be the target quarterly win rate one should look at ? And the puts and takes for margins in second-half ?
Mohit Joshi: So, I will answer the first part of the question and then pass it on to Rohit for the puts and takes from margin perspective. Now if I look at our top five clients, right, candidly there is a preponderance of telecom clients among our top five , right. While the top 30 is more d iversified, but for the top five clients, we do have a significant number of telco clients in that space. And over here specifically, for a couple of clients, we are seeing significant budget pressures that they 're facing as a result of their own challenges as a result of high interest rates, and we have dug in quite deeply into these accounts to make sure that we are not losing market s hare. And so I am quite comfortable based on the conversations that we have had with the clients that we are retaining market share and any reductions that we are seeing are the results of their own budget cut s and in some cases a degree of insourcing that is happening, but I do feel quite comfortable that for a n overall top account portfolio, we remain a strategic partner and a credible long-term partner, right. So, I am quite comfortable that there is no loss of competitive positioning from a TechM perspective there.
Rohit Anand: Also from a deal quantum perspective, your question, how do we kind of look at the range for us to drive industry average growth for next year. I think we said that earlier as well, somewhere around 600 to 800 is a kind of a range for us to look at from an industry average. It obviously varies given the tenure of the deal, so there's variation around it, but that's broadly the range we should look at. The last couple of quarters were below that, now we have crossed that threshold. I think as we move forward, that will be a lever for us to be in from a next year perspective, right, so that's kind of the way to think about it. In terms of margins, I would say short term, you know, we are working on everything possible. You can see in the subcon reduction, the percentage of revenue that's come down

sequentially over the last few quarters. We will continue to drive that even further. We mentioned that we feel we can get a single digit on those. That will continue. Our governance around project management and execution is a big focus for us to drive change requests, automation, deliver the benefit t hat we can drive on the fixed price program. So, that will be a big, big focus area for us as we move forward. We are focusing a lot on pricing as well. I think there's a lot of tools and analytics that we are driving internally under a dedicated program w hich is rolling up from a governance standpoint to Mohit just to ensure that we are getting the right entitlement from a pricing perspective. So, I think it's spread -out across various factors to give us the balance that we need from a short -term perspective. And as I mentioned, we are also investing in the business. It's very easy to look at short -term gains and forget about them. That's been very clear on our strateg y from April that we articulated. So, we are continuously focusing on that investment beca use that's what's going to give us benefit in year three, right, year three, year four, year five. So, that's the way we think about it. Thank you.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus. Please go ahead.
Sandeep Shah: Mohit, just wanted to understand that your recent talks with the communication clients, the rate cut creates some hope in terms of recovery in the demand, may not be immediate, but next year in CY25 and if more rate cut comes, this could be also a growth driver for Tech Mahindra going forward.
Mohit Joshi: Yes, so clearly rate cuts will offer a degree of relief to many of ou

r telecom clients because they're carrying heavy debt loads and will therefore allow them to maybe spend more from a tech perspective, right . I also think that as you look at this quarter itself, if you look at our performance from a Q2 perspective, you will see that we have had QoQ growth from a comms perspective. And that is coming from the fact that we have actually seen stabilization and gr owth in our Asia Pacific Telecom portfolio and in our Europe portfolio. We continue to see stresses in the US portfolio. But again, we are also hopeful that this will turn around next year. When I think about our telecoms practice from a longer -term perspective, I do feel that we have a significant range of capabilities that we offer to these clients, that's broadly under three buckets. The first is under the Simplify bucket where there's an opportunity for OPEX cost transformation by really impactin g operations. And one of the deals that we spoke about in this particular quar ter for instance has been about autonomous operations for a leading European telco. We also feel that we have a great set of solutions around modernizing the tech stack which really impacts our telecom clients in reducing their time to market and improving their customer experience. And over here, working with ecosystem partners like a Salesforce or like a S ervicenow , we believe that we have a great set of solutions. And finally, in the longer term, we feel that we have the opportunity to help our clients m onetize their assets and to drive their revenue growth. So, when I take it all together, right, our opportunity is to work with clients on the cost perspective and the modernization perspective and on the revenue growth perspective. As and when the industry does come back to growth, we will be very well positioned given our expertise

and a very clear strategic vision for how we expect to help the industry leap forward into its next phase.

Sandeep Shah: And last two question in terms of BPO being 16% of your topline. Mohit, are you worried because GenAI may disrupt BPO higher than most of the other horizontal?

Mohit Joshi: Well, I would be worried if we were standing still, right . But we are not standing still. I believe that we have among the most forward -looking and agile teams from a BPO perspective. And our teams have really worked to reshape the portfolio over time. If you look at our portfolio, maybe a few years ago, it was h eavily weighted towards contact center. But we have now replaced that with a huge amount of analytics work, for instance, that is being done with the high-tech companies. It's been replaced by specific vertical solutions that have been built. It has been r eplaced by crowd sourcing platforms, for instance that have been built. So, I do feel that we are reshaping and moving up the value chain from our BPO business perspective. And so, I remain very optimistic about the future of the business, given the strategic direction and the leadership team that we have within the organization. Obviously we will always be paranoid, we are always mindful of the impact that GenAI could have on contact centers for instance. But I do feel that we are well positioned compared to our peer group. And the opportunities continue to expand. We feel that there is a whole host of opportunities for instance in the high-tech sector and financial services and healthcare that we have not fully exploited so far.

Rohit Anand : Just going to add, while the pivot has really helped us balance off the risk there. But even in the contact center, we see more and more deals surprisingly come through. And the team has been quite nimble and agile to get a fair share of that. So, I think it's a good thing.

Mohit Joshi: The AI enabled contact center is really a winning story for us, and really differentiates us from maybe the pure play contact center players who do not have

that deep AI capability that we have built as an organization with really a preponderance of techn ology talent.

Sandeep Shah: Just the last question on the offshore headcount mix for the IT services. It is up by 300 bps on a YoY basis. So, does that also mean the offshore revenue mix is increasing and if yes, why are we not calling out as an immediate margin tailwind as well?

Rohit Anand : I think that's been a consistent effort YoY. So, yes, it is a factor as we really called out, right . We called out that we will be continuously driving more offshoring, and that's a function of every quarter effort that we are doing. So, yes, there is a continuous improvement that we are having, and we will continue to drive that, Sandeep. So, every quarter, you will see a movement there. And it's a little bit of a new deal as we keep on getting what's the on -site offshore ratio and with that the transition happens over the period of two to three quarters, so it's a result of that. And obviously, inherently we

had some opportunity to work with, so as we continue to work around it, this will be a factor for us as well.

Sandeep Shah: And does it imply higher volume growth versus reported revenue growth because we are moving more work to offshore ?

Mohit Joshi: Yes, marginally. Marginally it does impact. But I think we have, when we look at our overall revenue and volume, the differential with the movements is not that significant right now.

Moderator: Thank you. The next question is from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: Couple of questions for you, Mohit. First is that if you look at C omms for Tech Mahindra, there have been market share losses through FY24 due to aggressive competition and maybe possibly a state of flux at TechM. Do you think we have made sufficient interventions to clearly call for the turning off the corner in the telecom vertical? And related to this is the comment that you made on possibly challenges in the US communications market. Is that something whi ch is competition -induced or is just basically the grind themselves under stress? So, that's the first question. The second question is that you made a comment on large deals that you don't want to make headway assumptions on execution. Now is that the TechM being conservative or are you seeing a lot of headway s from your competition on large deals assumptions here?

Mohit Joshi: I think on your first question, right, I am quite comfortable based on my detailed discussions with our top clients that there is no market share erosion. We have a unique and differentiated set of capabilities as I have shared in the previous answer, whether it is from a simplified, modernized, or monetized perspective that we bring to the telco industry. And a unique set of capabilities, both from an IT perspective and from a network perspective. Also as you look at our portfolio in the curre nt quarter, but really over the past couple of quarters, we are seeing a degree of stabilization in the Asia Pacific business and in the Europe business. And I am quite confident that over time stabilization and growth will come back to the US portfolio as well. As regard to the specific large deal losses, again I will go back to the answer that I have given to Rod on a large deals , is that we have to be at this current state of transformation , we have to be laser focused on what we are looking to do and what we have promised the market, right, which is a significant and predictable expansion of margins to FY27. And so therefore, we have to be mindful about in telecom, but also in other verticals, about the d eals that we are playing for and winning. I do believe that we have the right to win deals that make sense for us. And I am confident that as the sector itself comes back to a healthier spend level that we will gain from that. Also

keep in mind that we are the only IT ser vices player that has unique software capability as well for Telecoms' business. And so , when I marry the Comviva software capabilities with our tech capabilities and our BPS capabilities, no other player has the same offering

set as us. But again, please be assured that we have been in detailed discussions with our clients and our client relationships are strong. We continue to infuse talent on a regular basis to our comms business, just to give you a couple of examples. We hired a very experienced senior technologist who's been a CIO for multiple telcos to our APJ business to supplement our existing team. We hired a senior network talent for our US business to supplement our network services capabilities. And we are in the proc ess of hiring senior talent for our European operations as well. So, it's a continuous add of capabilities to add to the already deep bench that we have in TechM. We have a question on large deals. I really don't know how our competitors are thinking about this, but I do know that for us discipline and focus is very, very i mportant. When I speak about various assumptions, the fact of the matter is there is a level of productivity that we can see coming from GenAI . But from what I understand, and it is quite evident in the pricing, that when people are making assumptions about deals that could be, have a five -year type tenure, they are assuming productivity in the out -years, which is not visible to me just now. So, I can only assume that they are making assumptions ahead of the capabilities, and it could be a reasonable assumption, right? At the end of the day, this is how the chip business works. This is how a lot of business works. But you assume productivity comi ng in from things that you can't see. We are just not in a place where I am comfortable making those bets because we have a margin target that we have committed and that we have to meet.

Kawaljeet Saluja: Now if I can ask you a final question that I had is more on the auto segment. And I just wanted to understand the composition of that business, the nature of programs between let's say engineering and IT services spread between tier one and OEM and anythin g happening in the vertical, given the kind of state of flux, which is there in the auto OEM segment, anything that raises a red flag for you?

Mohit Joshi : I think auto has obviously been a significant portion. So, if I look at our manufacturing business, for instance, there are a couple of areas there. Auto is clearly one, but we also have Aerospace and Industrial, and then we do a lot of work on the process side and the chemical and the extraction related business. If I look at our automotive footprint, our automotive footprint is largely actually in the, has a bias towards the Americas. But we do have a presence in Europe and the ROW pieces as well. That gives you a sense of how we should have auto exposure because of our Pininfarina business. And the business is almost equally spread between the work that we do for the tier 1 suppliers and the work that we do for the auto companies directly. We have been working extensively on creating out, we do feel that if I look at the auto business, we have a set of capabilities that we are creating across the entire chain. And by that I mean we are creating these capabilities from an engineering perspective that you referenced. But also supply chain is a very significant portion of the business for us, again, given our SAP capabilities, for instance, and capabilities in other packages. Manufacturing and quality, again, given the heritage of the group, the work that we are doing to build out the factory of the future. But again, a lot of the AI driven interventions are coming through, whether it is a pin -defect retention or vision- based quality or digital twin construction or AI -based dynamic buffer ma

nagement, on the manufacturing quality side, we have a unique set of capabilities.

And then beyond that, in sales and marketing, through a bond and through a set of IPs that we have created and in the after sales market, it's a very comprehensive offering that we have in auto with 75 plus solutions brought under the auto portfolio. So, it is comprehensive across engineering, IT and maybe some amount of IP related work as well. And as far as the auto business composition is concerned, I give you a sense it is largely the auto manufacturers, some work with tier 1 suppliers, and with a bias towards the Americas. So, hopefully that gives you a sense of where we are.

Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: So, I was just trying to say to understand the moving parts when I look at your segmental margin performance, it seems that the IT services margins have expanded significantly over the course of recent quarters, practically the highest that we have seen in several quarters. While there is some reduction in terms of the B PO margin. So, it would be great to understand what is driving this segmental margin performance?

Rohit Anand : So, I think from a margin perspective, when you look at BPS, we did mention earlier also we have done some portfolio reallocation which rightly fit in the BPS segment, example Target, that is one business which is dilutive from a margin perspective. So, that's impacting of course the BPS performance. And then beyond that for the quarter, there's some large deal ramp ups that are going on which have negatively impacted the quarter but as they move forward we see that trajectory to improve significantly going for ward, so I think we will see an expansion there. From an IT perspective you know the improvements we have been talking about, so we will be consistently working on that organically.

Manik Taneja: Just one clarification on that part, historically our segmental margins on BPO have been higher than IT services. Is that going to change on a go-forward basis because that's a trend from first half performance?

Rohit Anand : I think both of them will have an expansion mode. I think clearly BPO is 15%-16% of our revenue. As Mohit mentioned, it's an area where we see significant demand even though we are working on portfolio shifts, we are working on how GenAI impacts the business. So, as we are shifting the portfolio even within that the growth opportunities are dramatic. As we get that, it's important that the BPS business continues to expand margins in line with our portfolio expectations. So, we see a path for us to deliver on that, and some of the portfolio companies that we reorganize under BPO, we see an expansion happening there also over time. So, I think BPO will expand margins and will flow through along with the portfolio average. I don't see a dilution coming from there. And IT as we have rightly mentioned, given the majority of the business, 85% is IT. I think that has to drive expansion across the organization because that's what will reflect in the total company performance as well.

Moderator: Thank you. Our next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Mohit, we talked about how your large deal capability has been strengthened. But when we look at it year-on-year, it just seems that deal wins have reduced. If you were to think about the environment, I would think we are actually in a little bit of a better environment compared to where we were last year this time , SVB collapse, and things were a bit difficult. And similar, when I look at your 20 million plus customer tier as well, that's flat year -on-year and your 50 million plus customer count is down year -on-year. And Rohit, just the land sales you mentioned ,

could you talk a bit about the rationale for this? Who was the sale made to? And why is it structured in a way where the payouts actually happening right only after four years or so when you're getting a n interest of just 8% plus on this amount?

Rohit Anand: Maybe I will take the land question first, and Mohit you can answer about that. I think the intent always was to get a university, Mahindra University, to work as an autonomous body, right , and built, we developed and functioning like any other big university. And when we look at that model, in that structuring we made that transition from an ownership to get more autonomous. So, that's the reason why the transaction happened. And it's at arm's length from a value perspective, the consideration while it's deferred over a period of time, it has an arm's length interest associated with that, which will be paid along with a deficit consideration. So, we have recognized the gain in the current quarter in the differential between our book value and the market value that we have got, and that's reflected in the P&L.

Mohit Joshi: And then on your question on the large deals, I think there really isn't, if I look at the past six quarters for instance from a large deals perspective, right? I am just going to read out the numbers to you in million dollars from Q1FY24 to Q2FY25; 359, 640, 381, 500, 534, 603. So, there isn't a pattern of reduction in large deals if you look at it. We are certainly trending way above the six -quarter average. But having said that, I am also mindful of the fact that as a leadership team we have made a determination that we are going to focus on margins, that we are going to be very selective about the clients we go after, and that we have established a very clear must -have priority list of customers that we are working with, and sort of a discipline about pricing and about the deals that we take on. So, you're seeing some of that being reflected in our results. Large deals continue to be a very important area for us, but I candidly do not agree that there has been deterioration over the past six quarters. It's certainly not monotonous numbers.

Rohit Anand: Maybe I will add one more point, Ravi. As you think about our large deal number, it's greater than 5 million incremental deal wins, which gives you an indication of how the growth is going to flow through. And I'd given an earlier range that we want to be in, right . So, I think from that perspective, we are looking in the right direction. Also, a lot of expansion that we do into the BSFI space, which is where our strategy is, as Mohit mentioned, and I mentioned in my commentary that we have gotten

into two large logos and it's like landing and expanding there. So, the growth that we see in those accounts are not really reflecting in the large data because those are volumes that grow organically over a period of time. So, I think as we do more of that, you would see a better organic growth pattern also over and above the deal wins that you see.

Moderator: Thank you. The next question is from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: I think the first phase of the transformation, which was essentially the turnaround phase, seems to be admirably on track. So, congrats on that. My question was, as we move to the stabilization phase, FY26 might coincide with a slightly liberal spend environment. Just like in your case, everybody has again reported probably a bottom out attrition. We saw slight inch up in attrition across the board. In FY26, as attrition levels inch up, the cost of backfilling employees again goes up, how easy or how difficult does it become to fix the pyramid, and get the average resource cost down? And what are the challenges that arise in that margin expansion journey as you move to the next phase in context of the changing demand en

vironment? Thank you.

Mohit Joshi: Good question. I think if there is an overall pickup in demand, that I think that will really help us because obviously resetting the pyramid is easier if you're looking at a significant amount of growth. As far as the attrition rates are concerned, we ar e also mindful of the fact that attrition will start to pick up slowly. We benefit hugely from the very strong Mahindra brand name that we have in India that helps us from a recruitment and from a retention perspective and we are organically bu ilding deeper relationships and linkages with the group to benefit from the aura of the group. I also feel that we are working along with our chief HR officer on creating a strong employee value proposition. And we have already articulated a lot of the work that we are doing from a cultural transformation perspective including simplification. Part of the simplification is things like expense reimbursements, for instance, that really make life simpler for our teams. So, there is a multi -pronged attempt to ensure retention. And growth will help us, you know, fix our pyramid to a greater degree than we can now. I also want to stress the fact that we have the most experienced workforce in the industry at this point of time, candidly. We have a diamond -shaped str ucture just now. And that also gives us unique strengths, right? And one of the things that our Chief Operating Officer has been very focused on, Atul, is working to make sure that we are able to get the sort of realizations that we should for such an expe rienced workforce. So, a number of steps are in place to make sure that we can fully derive value from the experienced workforce that we have. And then to reshape it over time, part of it is also investments that we are making from a technology perspective. We have just implemented a new platform that allows us to fully capture the skill set requirements of our teams. There is a lot of work that is going on in sort of defining skills and capabilities and defining the sor t of detailed architecture for that that can be used both fr om a matching perspective as well as from a training

perspective. So, a comprehensive set of interventions in place to make sure that we have a robust and nimble workforce.

Moderator: Thank you. Our next question is from the line of Ashwin Mehta from Ambit Capital Private Limited. Please go ahead.

Ashwin Mehta: Just a follow up to an early comment made, that the volume of revenue growth for us is not materially different despite almost 5.5% shift towards offshore in terms of headcount. So, was it underlying underutilization, fixed price flexibility that's helped us or there are other factors at play?

Rohit Anand : Yes, as I mentioned earlier, there are various factors we are working through. So, as I mentioned, there is better price realization that we are going after the program. Mohit also mentioned how do we better utilize the skills that we have, the diamond -shaped organization while we keep on driving towards more freshers. At the same time, I think how do we realize the true value from a pricing perspective. So, that's all in motion, so that's seeing some benefit. And we continue to realize that benefit over the second half. As we look at the fixed price contracts, I clearly articulated that will be a big focus for us. Atul and I drive a very systemic program around fixed price programs which is driving more discipline around governance, the automat ion interventions that we drive on those programs. I think that's also helping us realize better value. I think we are in a very early stage of that program from a value realization perspective. As we look at the next year and a half, there will be a key f ocus of our margin driver. So, I think all those are helping us offset some of the shifts that you see from the head -count perspective.

Moderator: Thank you. Ladies and g

entlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Rohit Anand: Yes, so as we look at the second half, and Mohit, I will let you summarize it, but I just want to mention that getting into the second half, we are fairly confident this is the foundation we have set on the turnaround phase. So, we will continue to capture that both on margins and growth perspective. I think specifically for Q3 last year we had one timers of 22 million that we had called out around some of our product specific revenues, which of course over year -on-year comparatives won't be repeated. But as we look at the second half, looking at foundational inputs that we have given both in margins, we are fairly confident that we will continue the trajectory we have had in the first half as well. Mohit, I hand it over to you for the wrapping comments.

Mohit Joshi: Thank you, Rohit. So, again, just to reiterate, we are delighted by our performance within the quarter. And I also feel that more importantly, we are living up to the strategy that we had laid out for all of our investors in April. We are on the path to a sustainable long- term transformation. And I feel very confident with the intrinsic strengths of Tech Mahindra, the high caliber leadership team that we have

assembled together and the solutions that we are creating and the client base that we have, that we are well set to meet the expectations that we have set earlier in April. Look forward to connecting with all of you on a regular basis and thank you for your time today.

Moderator: On behalf of Tech Mahindra Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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21st January, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the earnings conference call for the quarter ended 31st December,
2024 – Regulation s 30 and 46 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")
Ref: Intimation of earnings conference call vide letter dated 07
th January, 2025 and
audio recording of earnings conference call vide letter dated 17th January, 2025

Dear Sir/Madam,

In terms of Regulation s 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, please find enclosed the transcript of the quarterly earnings conference call of the Company for the quarter and nine months ended 31st December, 2024, held on Friday, 17th January, 2025 after the meeting of the Board of Directors for your information and records.

The text transcript is uploaded on the website of the Company and can be accessed at the weblink:
https://insights.techmahindra.com/investors/tml -q3-fy-25-earnings -transcript.pdf
This intimation is also available on the website of the Company at the weblink:
https://www.techmahindra.com/investors/
Kindly take the above on record.
Thanking you, For Tech Mahindra Limited
Ruchie Khanna
Company Secretary
Encl.: as above

"Tech Mahindra Limited Q 3 FY'25 Earnings Conference Call"

January 17 , 202 5

MANAGEMENT : MR. MOHIT JOSHI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER , TECH
MAHINDRA LIMITED
MR. ATUL SONEJA – CHIEF OPERATING OFFICER , TECH
MAHINDRA LIMITED
MR. RICHARD LOBO – CHRO, TECH MAHINDRA LIMITED

Tech Mahindra Limited
January 17, 202 5

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q 3 FY'25 Earnings Conference Call.
We have with us today Mr. Mohit Joshi – Chief Executive Officer and Managing Director, Tech Mahindra ; and Mr. Rohit Anand – Chief Financial Officer, Tech Mahindra.
As a reminder, all participant lines will be in listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "* " then "0 " on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Joshi – M.D. & CEO for Tech Mahindra. Thank you and over to you, sir.
Mohit Joshi: Thank you, operator. I am joined here today by our CFO, but also by our Chief Operating Officer, Atul Soneja ; and by our CHRO, Richard Lobo.
Good evening, everyone . And I hope your year is off to a great start. Thank you for joining us today as we discuss the company's performance for the quarter ended December 2024. With the turn of the year, we hope that the New Year will bring additional opportunities for all of us. It is not just the turn of the calendar year though, but it's also the completion of a year since I took over as the CEO of Tech Mahindra . And as I reflect on the previous year, I am reminded of our commitment to delivering value to our clients and stakeholders, a nd how the more than 150,000 T echmighties have rallied to deliver to that commitment.
So, if you ask me, where are we on the journey? To think of the ground, we have covered in 2024, I was reminded of the words of Daniel Ek, the CEO of Spotify, because I feel that this is very similar to my sense of where we are. And Daniel had said, where we set out to be, if not a little bit further
and on the steady path towards achieving our long term goals. We are particularly focused on improving our growth capabilities and our revenue mix in order to meet our growth aspirations by FY27, and we are mak ing concerted efforts to improve our organization and to drive productivity gains and price optimization to achieve a 15% EBIT margin by F Y27.
For Q3 FY25, we report revenues of $1.567 billion, w hich translates to a constant currency growth of 1.3% on a year -on-year basis and a constant currency growth of 1.2% for the sequential quarter.
The steep currency movements through the quarter have impacted the reported numbers. Adjusted for these fluctuations, we saw healthy revenue growth in Communications, BFSI and H ealthcare and
Life Sciences. In terms of regions, we see pockets of demand across our prioritized markets of North America, Europe and APJ .
Tech Mahindra Limited
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We report new deal wins of $745 million for Q3 FY25 on the back of several large and multi tower deals in the T elecom and Manufacturing sectors. On an LTM basis , our deal wins have improved to $2.4 billion in Q3 FY25.
Among t he key deal wins is a global mandate for network transformation and delivering N etwork-as-a-Service to one of the world's largest chemical manufacturers. The project involves service delivery from our capability centers across various countries. This deal will lead to a very innovative managed Network -as-a-Service project , leveraging the power of netO ps.AI and multi -country delivery capabilities .
We have onboarded a new logo in Europe where we have been chosen by a large telco as their strategic partner for consolidation and accelerated transformation of their digital , IT and network ecosystem. TechM has an unmatched depth of expertise and IP in the telecom vertical. While we are expanding other verticals for a balanced revenue mix, we are committed to maintaining our leadership in the telecom vertical and serving new and existing clients.
TechM was selected by one of the largest communi

cation service providers in North America to
provide frontline customer experience services and to help clients achieve operational efficiencies , while providing enhanced services for its customers by leveraging our BPS capabilities.
Another large European telco has chosen TechM to simplify and modernize their network, IT and service operations, including driving autonomous operations using GenAI. This deal is a tangible example of tailoring automation and GenAI solutions to vertical specific needs.
We have also been selected by a leading European automaker to support their core applications and infrastructure operations. De spite challenges in the automotive sector, we see opportunities to support clients by leveraging our unique capabilities. In addition to the above, we have seen healthy deal wins in the Technology, Media and E ntertainment space , and encouraging progress in the BFSI and
Healthcare and Life Sciences verticals.
While these new deal wins will help us scale our priority verticals, we have made sure to chase quality over quantity. I am really proud to announce that we have on boarded 40-plus new clients from a must -have account so far in the current fiscal year, of which 12 were onboarded in the December quarter itself. Over two dozen accounts from this must -have list have now crossed a revenue run rate

above $1 million annually. And we have won six large deals from the must -have accounts in the current year. We will continue building a high quality and a scalable client base that can contribute to our long-term growth.

We have also reported EBIT margins of 10.2%, which is about a 60 basis points expansion from the last quarter despite the steep currency headwinds and the ongoing investments . We attribute this gain to efficient delivery, pricing excellence and cost optimization under project Fortius .

As we progress on the transformation journey that we have embarked on, we also attract the best talent in the industry. Last quarter, we welcomed Sumit Popli as the H ead of Technology, Media and Entertainment as H arshul Asnani transitions to lead the European b usiness. Sumit comes with a track record of success for over two decades in transforming international businesses across various industries.

We also welcome the senior industry leader as the head of client delivery and operations in Europe , and other industry veteran as the global head of cloud c onsulting. We are on boarded two experienced CIOs in the US and Australia , respectively , to bolster our consultation practice in the telecom space .

We have expanded the leadership teams for our cybersecurity and risk management practice, our Salesforce practice, and our Microsoft applications practice. We have created a large deal solution ing team comprising of superstar deal makers who will identify and oversee complex multi- tower deals throughout the deal life cycle.

And just as we build a team of the best -in-class talent, we also invest in strengthening our partner ecosystem. We have forged several new partnerships to enhance our capabilities and to expand our service offerings. We announced the establishment of a C enter of E xcellence powered by NVIDIA platforms to drive advancements in sovereign large language model frameworks , Agentic AI and physical AI. Based on TechM's optimized framework, the CO E leverages the NVIDIA AI e nterprise software platform to offer customized enterprise grade AI applications to help cl ients adopt agentic AI in their businesses. The CO E also uses the NVIDIA Omniverse platform to develop connected industrial AI digital twins , and physical AI applications across various sectors including Manufacturing, automotive, telecom, healthcare, banking and financial services .

TechM has also entered into a partnership with ServiceNow for the integration of the One E2E platform. This will enable businesses

to enhance operational efficiency and competitiveness by integrating Gen AI capabilities in critical processes and modernizing the infrastructure using

TechM's global capabilities. We are seeing momentum in our ServiceNow practice bolstered by our investments in this ecosystem and by the client adoption of the ServiceNow platform, which in turn is partly driven by our clients ' deep interest in AI.

We have collaborated with Universal Scientific Industrial, a global leader in electronic design and Manufacturing; a nd in S iP – 'System in P ackaged' technology to establish their first engineering offshore development center in India to accelerate innovation in smart device engineering. The collaboration will provide scalable solutions, accelerate time -to-market and deliver innovative

advancements to drive the future of connected devices , additive manufacturing , connected vehicles , and augmented and virtual reality.

We assigned a multi -year strategic collaboration agreement with Amazon Web Services to develop an autonomous network operations platform built by TechM on AI ML and GenAI services powered by AWS. The platform enables customers to transition the network operations from an on-premise infrastructure to a real time proactive and preventive model operating on a hybrid cloud. This enhances speed and efficiency by accelerating the implementation of network services on the one hand, and reducing the time required for infrastructure maintenance and repairs on the other. TechM's offerings in this hybrid cloud space can enable clients to make the foundational moves needed to achieve tangible returns from ML and GenAI.

We recently announced the launch of TechM agentX , a comprehensive suite of GenAI powered solutions designed to drive intelligent automation and enhance efficiency for enterprises globally. Through these solutions, enterprises can automate complex business, IT and data tasks , improving productivity by up to 70%.

I think a testament to our capability building efforts is the recognition that we received from industry analysts. I am happy to announce that we have improved our position in analyst s rating top quadrants from 81% to 88% for the same period this year. Some notable recognitions recently are , for instance , TechM is positioned as a Leader in multi -public cloud services 2024, consulting and transformation services for the UK, the Nordics and the US by ISG . We are positioned as a Leader in advanced analytics an d AI services 2024 data modernization services by ISG. And as a L eader in Everest Group Quality Engineering Services for AI applications and systems PEAK Matrix 2024 .

In the 3rd Quarter, TechM garnered encouraging accolades and recognitions, including the three that

I will mention over here. TechM has been recognized for the best mobile banking app under the vendor category by the Digital Banker Global Retail Banking Innovation Awards 2024, highlighting Tech M's outstanding contributions in the digital transformation of lending and collections businesses in both consumer and commercial loans . We have been ranked number one in India and number two globally in the Dow Jones Sustainability Index , DJSI 2024. I am really proud of this because this also goes to show the huge focus that TechM and the Mahindra Group has on sustainability.

Before I pass it on to Rohit, I would like to express my gratitude to our employees, to our clients, to our partners and to our shareholders for their continued support and trust in our company. Together, our efforts are bearing fruit, and together we will seize the opportunities that lie ahead.

I now invite Rohit to take you through the financial performance in more detail.

Rohit Anand: Thanks , Mohit. Good evening , everyone . I wish you a very happy New Year.
Let me begin with an overview of the

Company's Financial Performance for the quarter.

We ended the quarter with revenue of $1, 567 million, which is a growth of 1.2% quarter -over -quarter and a growth of 1.3% on a Y -o-Y basis on constant currency. Q3 was a quarter where we encountered major cross -currency headwinds due to which the reported revenue was down 1.3% Q-o-Q and 0.4% Y-o-Y. T ranslating this in rupee terms, the revenue was Rs. 13,286 crore s, which on a reported basis is a decline of 0.2% and an increase of 1 .3% on a constant currency basis . And similarly on a Y -o-Y basis, in rupee terms, the growth is 1.4% on a reported basis.

This quarter, the growth in revenue was led by BFSI vertical at a 2.7% Q-o-Q sequential growth, followed by healthcare and life sciences at a 4.5% constant currency growth. Communication business grew marginally positive at 0.4% in constant currency terms. Manufacturing vertical declined by 2.5%, mainly due to the pressures that we are seeing in the automotive segment, including Pininfarina . We reported an EBIT of $159 million, or in rupee terms , Rs. 1 ,350 crores , which is an increase of 4% over the previous quarter and a resultant EBIT margin of 10.2%, an expansion of 60 basis poi nts despite the currency headwinds.

The margin expansion is driven by operating leverage from the continued savings that we worked towards the project Fortius. The other income in Q3 , and you compare that to the previous quarter, there is a reduction which is driven by one time item exceptional of the land sale proceeds that we had announced in the last quarter of $54 million .

When you look at the tax rate, the effective tax rate for the quarter was 23.8% , while low for the quarter, the YTD number is 26% as the range that we had mentioned for our expected ETR to be 26% to 27%. When you look at the profitability number at a PAT level, it's $116 million , which in INR terms is Rs. 983 crores. T he profitability margin for the quarter is 7.4%, which on a sequential basis went up by 80 basis point adjusted for the land sale proceeds last quarter. And from a dollar operating PAT perspective it grew by 9.9%.

When you look at the free cash flow, we had a robust free cash flow of $199 million , which translates to 172% of PAT conversion. C ash and cash equivalents at the end of the quarter was $799 million , or in rupee t erms , Rs. 6 ,841 crores. We look at the DSO including unbilled, w e were at 88 days, which is a reduction of six days on a sequential basis and an improvement of three days on a Y -o-Y basis. Some of the improvement is attributable to the exchange rate movement, but operationally, the reduction is sign ificant from a Q -o-Q perspective. A nd this is , I am happy to report , this is one of the lowest DSOs we have seen as we continue to generate operating cash flow in the business, but by improving our processes across the company .

When you look at the total hedge book, we stood at $2.1 billion f or the quarter, as against $2.3 billion last quarter . And b asis on our hedge accounting , the mark -to-market loss for the quarter was $4.7 million , out of which $0.7 million was taken to the P&L as gain , and the rest was carried as losses of $5.4 million towards balance sheet.

The net n ew deal wins as Mohit mentioned was $745 million , which was an increment on a quarter -over-quarter basis. And the good part for the deal wins was , it was originating from our priortised verticals and the regional markets.

While we continued to expand margins, we have also made significant investments as I mentioned earlier, driving long term sustainable growth, right , and margin expansion. Some of these I would like to summarize are in the areas of generative AI capability build in terms of training tools partnerships. Recent example is TechM agentX, which is a comprehensive suite of GenAI powered solutions , designed to drive intell

igent automation and enhance efficiency for enterprises.

We continue to consistently induct freshers to address long term pyramid change from an organization perspective , and also supplement that with a learning and development platform, both

physical as well as from a software perspective.
We also are investing in building service line capabilities in modernizing tools and platforms for delivery excellence . This all is in addition to the efforts we are making towards investment and shift of revenue mix through our investment in prioritized verticals and markets.
So, to summarize, this quarter we delivered growth in EBIT margins and operating PAT, both on a sequential and Y-to-Y basis, r esulting from targeted actions under Project Fortius . Along with a steady increase in new deal wins and getting operating focus on the working capital , right.
With that, I will take a pause and pass it on back to you for Q&A. Thank you.
Moderator : Thank you very much. We will now begin the question- and-answer session. We have the first question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company.
Please go ahead.
Sudheer Guntupalli: Hi, Mohit. Congrats on a good all -round performance. We have seen a steady buildup of net new deal momentum over the last couple of quarters. This, combined with the change in strategy, does that give you confidence of meeting industry average growth in the near term on a sequential basis
maybe, given that Y -o-Y numbers may take some time to reflect?
Mohit Joshi: Look, again , on the large deals space, I think this is an important metric because we have also been very focused from a quality perspective to make sure that we are only getting the kind of deals that

we want to do. But even with that qualification, if I look at the numbers , we moved from 381 in Q3 to 500 to 534 to 603 and now to 745. So, I do feel that this build up that we are seeing in large deals, obviously there will be a ramp up time and there will be sort of a transition period. But I do feel confident that it will allow us to first catch up with , and then to deliver higher than peer average growth which we have committed to in F Y27. So, it is certainly a step in that direction.
Sudheer Guntupalli: And your deal wins reflect and also one of your larger competitors called it out that there is a renewed interest among global telecos in upping discretionary spends . So, finally, can we call out an inflection point in the comms vertical?
Mohit Joshi: Look, I think the comms vertical is a little bit complicated , right . So, if I think of it from a n Asia Pacific perspective where we also have a large comms business, I do feel that we are seeing growing momentum in that portion of the business. From a Europe perspective again, the space is highly competitive, but I would say it is stable to improving. In North America, especially for some of our largest clients. We continue to see challenges from a discretionary perspective. So, I would really not want to declare victory so quickly. But I do feel that the opportunities for further deterioration are limited, and we have reached a point from which we can see improvement .
Sudheer Guntupalli : And lastly in terms of the broader demand outlook, let's say compared to where we were 3 to 6 months ago, so any characterization that you want to do for the coming for this quarter? That's it from me.
Mohit Joshi: So, look I think you know because we think quite deeply about this point because so much of our revenue is dependent on the macro situation and what the overall enterprise tech spend is. I would not say that there has been any sort of major shift from a 3-month period or from a 6-month period also. But I would say on the whole if you look at it from a calendar year perspective, 2023 was probably the worst, 2024 was an improvement over 2023 and we

feel that 2025 will be an
improvement over 2024. But it is an incremental improvement. It i s not sort of a V shaped recovery but we do see that 2025 should be better than 2024. It’s a calendar year characterization, yes.
Moderator: The next question comes from the line of Rod Bourgeois from Deep Dive Equity Research.
Rod Bourgeois: Thank you for your commentary so far about the GenAI activities that you're pursuing. I wanted to ask, do you have GenAI related offerings or capabilities that you currently see as being particularly differentiated and actually actively having impact in the market and with clients?
Mohit Joshi: Obviously GenAI but AI more broadly is possibly the hottest topic for the past year and change. And let me answer that question in two ways. First, how are we thinking about GenAI? And the way we are thinking about GenAI is obviously first from a client perspective, how do we create the horizontal

and the vertical solutions that help answer the challenges our clients are facing? So, the horizontal solutions are obviously in terms of developer productivity, in terms of HR and talent, in terms of cyber security, in terms of contact center transformati on. And then there are obviously vertical solutions created for each industry. Now these solutions obviously rely on a significant network of partner solutions whether it's the hyperscalers or the you know the chip manufacturers that we are
working on. So, that's one piece of it. And the second piece is our own R&D. So, that's how we are thinking about the GenAI environment more broadly. What is differentiated from a TechM perspective, I would point out to a couple of things. I think the first is that were the first player and really the only player to start building out among our SI counterparts to start building out sovereign large language models. And I think it's very important that we are the only player that has the
capability to build large language models from scratch that is not relying on existing model

frameworks. I think that's a really powerful capacity that has given confidence to our teams and confidence to the markets. We have since moved from these LLMs to creating small language models and t iny language models. Customers really find the relevance of these models in small use cases. They allow customers to solve fairly specific problems without using up too much of compute or carbon. And we have started winning deals over here. So, let's say you want to figure out maybe a search functionality on an executive's desktop without relying on an external maybe a ChatGPT type agent. So, that's an example of a small language model or a tiny language model. We are also obviously creating domain industry specific SLM. So, that's the first piece. I think the second piece is our push on GenAI also includes the movement towards chips and ensuring the models that we build, they run well on the chips as well and we have got amazing partnerships with chip compa nies to take these propositions to our customers. Agentic AI is a huge focus area just now and we have released our Agent X frameworks which uses a multi agent workflow suite to take care of these agentic based AI needs. So, that's I would say is the third observation I want to make. And the fourth piece is from an innovation and from an R&D perspective. We have been working to make sure that AI is more explainable because neural networks obviously still don't provide reasoning and causal references. So, we are researching this and developing points of view and use cases on Neuro-
symbolic AI to bridge this gap. And again, hopefully this gives you a sense of the intense R&D efforts that is going in our Lab space. Finally, I'll mention that AI is now infused into everything that we do. So, for this board meeting, for instance we are in our Chennai center, and we just opened up a Manufacturing cent

er of excellence over here and hopefully some of you on the call will have an opportunity to come and visit this. And when you see our demos and our solutions, whether it's for process manufacturing or for industrial manufacturing or for aerospace and defense or for auto, these solutions really whether it's at the shop floor or for customers, all of these solutions have AI embedded and infused into them. So, it really is getting into each and every one of our solutions and I believe that this is providing the differentiation from our peer group. Sorry a bit long worded answer. But just want to give you a deeper sense of the framework that we are thinking of and the point solutions that we are developing.

Rod Bourgeois: And I want to ask as a follow up, just a big picture about your transformation journey. You're now a few quarters into that journey and in pursuing your Fiscal ‘27 targets. So, there's progress on that journey that we can actually see so far in your growth and margin results. But at the same time there's still considerable progress that you need in order to reach those targets. So, I want to ask if you can give us a sense of underlying progress that you're making internally that we may not be able to see from the outside. And it would be great to know any particular remaining opportunities that are especially important in reaching those Fiscal ‘27 targets.

Mohit Joshi: So, look I think when we think about the transformation journey that we announced in April of last year, first we came up with an overall strategic narrative which is S cale at S peed. We announced a new organization structure which essentially meant that we were moving to a global service line model. And we announced a plan to the markets which was a plan for revenue which is about the focus on our largest clients, the focus on must have accounts, the focus on balancing our portfolio from a geo perspective a nd from an industry perspective, the focus on large deals. We announced a plan for margins which is about fixing our pyramid, getting better rate realizations and other interventions including automation and a plan for the organization which is about the c ulture shift of the organization of focus on talent development and we said that this plan will deliver certain outcomes. And the outcomes were in terms of margins in terms of growth and in terms of return on capital and we said we would do this all organi cally. So, if you think about it the organization structure is now in place. It has started to get bedded down. Almost every quarter we have been talking about some of the top talent that we are attracting, and this talent is really meshing together, aligning well because the goals are so clearly articulated. And I feel that that will give us a significant lift in the future. The plan for the revenues that we have has meant that there has been an intense focus on our largest customers. And you're seeing thi s in the fact that our growth of our largest customer portfolio is exceeding the growth for the company despite the challenges that we have in some large telco clients, the must have focus as I shared in the earnings sort of pre -statement earlier today, shows that we have added more than two dozen clients that have given us more than a million dollars in revenues and these are must have clients typically organizations with over $5 billion in revenues. But obviously you will see a lot more of this in the fut ure. You have seen the large deal momentum sort of proceed at a steady pace from a 300 million-odd number to a 500 million to a 600 million and now to a $745 million number. You're seeing the progress that we are making in terms of our BFSI growth. And I expect that over time all of these factors, portfolio rebalancing, by vertical portfolio rebalancing, by geography, the growth in our sort of focused service lines like engineering,
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ke data and AI, like digital enterprise applications will start to gather steam. You have seen the sort of the steady movement in revenues that we have declared over the past three quarters, the steady expansion in margins, the very clear focus that we have as a well aligned executive team. And I expect that these will pick up over time. These are still early days in our transformation journey but like I said, we are very happy with the progress that we have made. I feel it's a little bit like an iceberg. You can thankfully see the tip of the iceberg, you can see the top 10%, th e 90% below it is the one

that gives me a huge amount of confidence that we are building momentum towards achieving the FY27 goals. We are completely focused on that, and we want to make sure that we do it consistently and not a single sort of blip in FY27. We will see continued and consistent progress towards the FY27 goals as we move ahead.

Rohit Anand: Maybe Mohit I can add a few points which drive a little bit more sustainability in our goals that we are trying to drive which is very important, improve investment in the tools on the delivery side, investment in the tools on the people supply chain side, investment in learning and development. These are all long -term sustainable investments that we are put ting in to make sure that it's not just an FY27 story and goes beyond that. So, that's very important. Similarly, to couple that operationa l plan Rod, we are also combining that closely with the finance transformation. As you can see our closure cycles from a result perspective have moved from somewhere around 25 th to now 17th. We keep on pulling that better including incorporating and integrating the portfolio companies. Our plan was integrating the portfolio companies to the core organization. The front -end commercial integration is mostly done. Now the system and the back-end integration is in progress. It's all those infrastructural investments that we are doing is also very important which as Mohit mentioned, probably not visible but some flavor that we can provide you.

Moderator: The next question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: I had a couple of questions. First, we heard 3 of the 6 deals that you discussed are from telecom vertical. Do you see uptick in telecom deal activity as an enduring one trend when you look your pipeline or client conversation?

Mohit Joshi: Yes. So, look I think again there are always headwinds and tailwinds. But yes, you know client deal activity in telecom is growing. But I would again stress that a lot of it remains sort of consolidation and cost focused rather than incremental discretiona ry spend at this time.

Ruchi Mukhija: We saw now for two quarters; your other vertical is showing traction. Could you specify what is driving growth here?

Mohit Joshi: So, look I think you know as we shared as I shared in my answer to Rod's question is, we have a very clear focus on the fact that we want to retain our leadership position in telecom and Manufacturing but also become a very credible challenger from a BFSI, from a healthcare and from a Retail, Energy, Utilities perspective. And so, we have created a global vertical structure in our service line organization and we have vertically focused geography teams. We are also creating a significant number of industry specific solutions. And I think this combination of the new structure and the focus on balancing the portfolio is giving us good growth and good momentum. Again, it's still very early days in our transformati on journey. So, we are very far from declaring victory. But I feel very

confident that with the team that we have assembled together, the structure that we have created, the solutions that we are creating, the new clients that we are opening and the headroom for g rowth in existing clients that we will succeed in our efforts to have a more balanced portfolio over time. And proof of that is also coming up in not just only in client wins but also in some of the other accolades that we are receiving in the market. Just recently actually only a couple of days ago were selected by Temenos as their best partner. I think this is a remarkable achievement with a key ecosystem participant for us in the Financial Services space. So, we are seeing you know these recognitions have come thick and fast over the past 6 to 9 months.

Rohit Anand: And Ruchi specifically to your vertical question, the other vertical as it's defined in the external reporting is a very small base. The improvement there was driven by a certain ramp up of projects that we had in the global public sector accounts which is an important focus for us as we move forward. So, that's some ramp up that gave that increment that you see for the last two quarters. But that's a very small portion of our business.

Ruchi Mukhija: Coming to your P&L, the FOREX losses have been sizable for last two quarter. Will these forex losses interrupt assuming the current INR exchange rate prevail through the quarter, is that right way to look?

Rohit Anand: I mean from a FX perspective you look there are 2 -3 dynamics. If INR continues to depreciate against the US dollar, then from that aspect the hedges work the opposite way, and cross currencies are the bigger one. So, cross currencies while we have the hedging that flows in the other income but it's not given the steep decline that you see on a reported currency basis not enough to offset that. So, hence

I think that's a fair assumption to have from the other income perspective, Ruchi.
Ruchi Mukhija: As I glanced through the accounts, I see provision reversal to the tune of roughly Rs. 470 million , is it right really?
Rohit Anand: Yes. So, I think the way to think about that is as we mentioned on our margin expansion journey and the “Project Fortius ”, one of the big focus for us is going to be improvement in fixed price projects and you can see that reflection in the headcount. So, if you see the headcount from an IT perspective that's gone down through the year despite us adding freshers . That we have done through the year.
So, that's part of contract optimization reviews, productivity, automation that we have driven in fixed price projects as a result of and hence when we look at these contracts and certain tough one that we had on different geographies, once we optimize the cos t and release the people the future outlooks better. Hence that helps us operationally drive improvements in those projects and hence helping us reverse certain adverse positions that we have.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: The first question is kudos for a consistent increase in a new business deal, TCV wins despite being selective. So, based on the investment, the pipeline of the orders , and improvement in client sentiment as highlighted some of your peers, one can expect this journey of uptick on a Q -on-Q basis may continue which helps us to commit FY27 being a better year.
Mohit Joshi: FY27, yes. Look I think we have made very clear commitments about FY27. I do feel that the momentum is positive but again like I keep saying, it's too short a timeframe to declare victory. We are still in the early stages of our turnaround journey. Again, we have shown consistent improvement now for the past six quarters in terms of large deals and I do feel that capability and the muscle is building up in the organization and I feel that there is a greater credibility with clients and with partners as well. So, we are feeling good about the momentum. At the same time, we recognize that it is still very early days, and we need to continue on this journe

y for many more quarters to come
before we can declare victory.
Sandeep Shah: And just a related question, this increase of TCV wins in this quarter, can you throw some highlight in terms of nature of deal wins? Is it more cost take out vendor consolidation or some small size discretionary transformational deals are also coming into the bag?
Mohit Joshi: That's a good question. So, I think you know the telco deals like I mentioned are largely consolidation and cost takeout type deals, from a life sciences perspective and from a Retail perspective, we are seeing S/4 HANA and broadly SAP ecosystem deals and data analytics deals as well. So, it's a little bit of a mix but the sort of the mix is still largely I would say cost and consolidation focused.
Sandeep Shah: And question to Rohit, any decision on wage hike timing and the quantification and second what margin lever headroom you have still in terms of continuing this journey of a Q -on-Q increase in margins?
Rohit Anand: So, from a wage hike perspective we have announced that to be in the current quarter Jan-Feb -March. So, that's the decision we have taken , I think that definitely will impact margins to the tune of 1% - 1.5%. And as we look at our journey towards operating improvement like we have delivered in the last quarter, we are enthused with the programs that we are running throughout the organization for continued expansion, even in the future quarters too, m ake sure that we deliver on various aspects.
To name a few, as I mentioned our track on pricing and delivery led growth has yielded very good benefits. I think that the pipeline we see continue to be positive. So, that will continue to drive improvements for us. As I mentioned a little while back, the improvement on fixed price projects will continue as we improve our productivity, automation , drive various tools across the organization
on those projects to be able to take cost out. I think there we again have significant actions to show continuous movement. I think those are some of the things and then we have some seasonality, where
we see some return from a furlough perspective on toplines as well as margin and there is some

marginal seasonality, which has reduced overtime on Com viva business , so that helps from a Q4 perspective . So, those are various actions, Sandeep that we are focusing on and making sure that as we look at the increments that operating actions work towards offsetting the impact there.
Sandeep Shah: So, just the last question with 1%-1.5% headwind on the wa ge and the levers which you explained, you still believe most of this can be recouped in the fourth quarter?
Rohit Anand: That is our endeavor, Sandeep that is the journey. So, as you think about it, your clear target for FY27, which is 15% and from a n improvement perspective, the ideas as we get towards that goal, we have to continually expand our journey from a margin perspective, right. So, I think the end eavor is to make sure that we work towards setting that impact that we have .
Mohit Joshi: And from a margin perspective, maybe I woul d like to ask Atul also to wane from a Fortius program and from a delivery perspective, some of the actions that we have been taking?
Atul Soneja : Thanks, Mohit for that. And again, as Rohit and Mohit were talking about earlier , I think there is this

journey, we obviously look at the operating levers that are continuously in focus to improve our margins quarter -on-quarter and offset some of the challenges that we will see based on the increments that we have decided for Q4. But again, if I look at it, there are obviously the operating levers that we look at. There is the use of technology, AI, automation, lean, etc., to o ffset some of the challenges that is an ongoing exercise and then as we were talking earlier as well as part of the strategy the operating effi

ciencies that we get by integrating the companies, the portfolio companies that we have planned for. So, that is a journey. We are obviously optimistic about the fact that we will be able to offset some of the seasonal challenges and continue on this journey of FY27, 15% EBIT that we have committed to.

Moderator : Thank you. The next question is from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.

Abhishek Kumar : My question is on deal wins , if I understand correctly, we disclose d net new deals. I j ust wanted to understand the trends on the renewal portion of the deals, are we seeing healthy renewals? Are there any asks from clients for productivity pass through pricing, etc .?

Rohit Anand: So, maybe I will talk about renewals and Mohit, you can mention about the net -new as well , some flavor to Abhishek. So, from the renewals perspective, Abhishek, I think we are seeing consistent trends. I think healthy renewal rate. There is o bviously challenge at every renewal opportunity to pass on new technology benefits, right . So, I think that continues to be a discussion at each and every renewal that we do and I think some of the deal wins that we have announced , a part of that is a big renewal as well as incremental business that we got. So, that is a sign of excellent delivery capability

that we delivered on some of those clients, right . So, I think coming back to the point, the discussions on renewals are paying in the new technology benefits, but I think we are seeing a decent renewal rate from a trend perspective.

Mohit Joshi: Yes, I think I just want to secon d what Rohit mentioned for instance, we announced a large deal win with a North America based auto manufacturer. Now, we have announced we included about 20% or 25% of that deal, which was net new, but obviously a significant portion of the deal which is not included in the $745 million number was a multi- year renewal as well . So, I think we are seeing good traction in renewals . We have an excellent delivery track record and as I mentioned in the past as well, we really have the most experienced team in the industry with an average experience of 9-10 years, which really gives an immense amount of confidence to customers, especially since our customers view , our deep domain and technology and client relevant experience is very important. I think that is a key factor that allows us to be successful from a renewal perspective.

Abhishek Kumar : Next question is on margin j ourney, Rohit, I think when we started this transformation journey, we said that in the first year there will be $250 million of saving which is roughly 4% of the revenue offset by 1.5% of investment. In the 3 quarters since then, the margin has already expanded by almost 300 basis points. So, is it fair to say that we are probably little ahead of what we set out on at the beginning of this journey and does that increase or improve the line of sight or the 15% target that we have ?

Rohit Anand: So, Abhishek, the way to think about it is from this year perspective, if you compare to last year to this year, there is some normalization also. We had certain one -time impacts which you normalize and get to a number and from there we have expanded more close r to the vision we had, which is net of investments. So, I think , if you think of the improvement from a saving perspective , broadly within line, what we thought, and the good part is the investments are also aligned to what our vision wa s. I think it is broadly there and as we look forward I think as Mohit mentioned, we are on track on what we envisioned in April, so to be honest, not ahead or not behind. So, as we move forward, we will continue to look at opportunities to get ahead of that plan, but as of now, we think we are on track.

Moderator : Thank you. The next question is from the line of

Gaurav Ra teria from Morgan Stanley. Please go ahead.

Gaurav Rateria : My first question is on net new d eal wins. We have seen a very steady improvement. How would you characterize your pipeline now and your confidence to sustain th is kind of numbers over the coming quarters?

Mohit Joshi: So, look, I think the improvement that we have had is a combination of two things, right. The first is we have expanded the size of the overall funnel . We have increased the size of the pipe and we have done that through investing in ecosystem, deal advisor partnerships, improving our relationships with advisory firms and also the sort of the new talent that we have bought in that is allowing us to reach a lot more of these deals, right . The second factor is i mportant as well that we have improved our win rates. We have improved our contracting discipline . And I think the combination of these two factors is what is helping us to show this steady improvement in numbers. I think as of now, I am very confident with the capabilities that we have built up will allow us to continue being successful from a large deals perspective, but also I recognize that this is a lumpy business, right . This is a lumpy business. You will have quarter- on-quarter fluctuations, and it is not like we can go on for 3 or 4 years without any bump in the road, b ut as of now, I am very confident to the ca pabilities th at we have created organically are long-lasting and they will continue to give us expansion. We do have visibility obviously in this business for the near term and I feel quite comfortable with where we are.

Gaurav Rateria : My second question is on partnerships , you have renewed your focus on expanding them , would there be any metric of what percentage of our revenues are attributable to a partner ecosystem and how would you compare this to where it should be on an optimal basis?

Mohit Joshi: Look, I think the headroom for expansion with all of our key partners is huge, right . For instance, we are one of the largest partners for SAP from a n implementation perspective and that business has been growing at a healthy clip. But when I compare ourselves with an Accenture for instance, right, there is a significant opportunity for us to expand further . Similarly , beyond the IS V space , if I look at the hyperscaler space , we have a very healthy partnership with Amazon, with Google and with Microsoft , but there is significant room for expansion over here. So, across the board, we do see significant headroom. We are in the top tier of partnerships with almost all of our partners and there is a degree of confidence that they have in the company, in the leadership team and the investments we are making. So, I do feel that increasingly a lot of our growth will be partner driven because it will be driven either by the hyperscalers or by the I SVs. This is a great business. This is a high margin, high-skill business and w e really want to focus on growing this.

Gaurav Rateria : Last question on your margin progress, one of the key levers has been cost optimization . So, where are we in the journey of lowering our cost to serve and how has the client response been on those initiatives?

Rohit Anand: We had Atul to wane from a client response standpoint as an endeavor to get the cost reduction.

Atul Soneja : Yes, I think the way we are looking at it is obviously when while we are reducing the overall cost , our delivery excellence is paramount , right. And as we mentioned, we are seeing very good response from our clients with respect to the deep domain and technology competencies that we are

continuously bringing to the table. So, I think there is a good positive sentiment which obviously reflects in the deal w ins that we have also announced this quarter. Overall , delivery excellence is paramoun

t and that doesn't go because of the cost control. So, if you look at the operating levers that we have been speaking about, it is about improving our efficiency in utilization. It is about bringing in automation, l ean, AI to the various fixed price programs that we were doing. It i s about reducing our dependence on contractors . It is about bringing in pricing as a core discipline. So, if you look at all of t hese, these are actually almost h elping our clients , are helping our overall delivery capabilities as well. And I believe we are in a healthy state where some of these operating levers we can continuously try to use as we look forward to the next few quarters and we will continuously try and optimize that.

Moderator : Thank you. We have the next question from the line of Vibhor Singhal from Nuva ma Equities. Please go ahead.

Vibhor Singhal : So, Mohit again, harping on the very solid deal win number in this quarter. So, as we talked about a lot already on this call, three of the six large deals that we have won in this TCV suppose telecom segment , given that you mentioned the other pipeline as well, how sustainable do you think this deal win number is? Or do you believe there is still in fact more room for this number to grow given that we haven't had some other verticals which could potentially come in the coming quarters? So, just to understand where we are in the journey on this TCV and the potential numbers that we could probably look at in coming quarters ?

Mohit Joshi: So, look, I think if you look at the large deal space right, I would say that while we have given the narrative of the story around some of the deals and these are telco focused because we also wanted to make sure that people understood that the telcos in area where Tech M has remarkable strengths and we are looking to dig deeper into this sector . At the same time, the first deal for which we provided the details was the global chemicals manufacturer, right . In the context of this call , I spoke about on North America deal win that we had in the automotive sector . We also referred to deal wins that we had in Financial Services for instance including at least one core banking win, we have had wins in the healthcare sector , in the North America payer space. So, I would say that our deal wins are sort of quite widespread across regions and across verticals. The narrative around the deals, maybe just has come across as being telco focused and there is no doubt that telco is the largest sector , so that is where we hav e gotten to the most volume deal wins from. But the portfolio wins out of the 745 is very widespread both across geography and verticals.

Vibhor Singhal : So, it is not that we are looking at just the deal win numbers or let us say a concentration of some maybe inching up, you do believe there is a good enough pipeline for this number too continue for this?

Mohit Joshi: No, absolutely, l ook, I think like I mentioned, right , our endeavor is to make sure that we are able to show consistently improving trajectory of performance, right . The reality , though, is that from a large deals perspective, deals are a little bit lumpy. We do have decent visibility for the next 3-6 months and we believe that we have created capabilities that will allow us to deliver consistently , but for large deals, there will be a degree of lumpiness and a degree of volatility. But as of now, we feel very comfortable with our pipeline, with our win rates and with our capabilities.
Rohit Anand: And this is considering the fact our filtering mechanism will continue to be strong, and we will continue to be selective , the iteration that Mohit that made on our deal choices , so that continues.
Vibhor Singhal : Just one last question from my side , you alluded to weakness in the Pininfarina business in Manufacturing vertical, how deep do you thi

nk the problem in the auto business is because some of
your competitors have been calling out , the auto sector companies, especially in Germany are facing headwinds and the tech spends are likely to be modest , do you see this thing also in our business excluding Pininfarina as well? And do you see that continuing for some time to come?
Mohit Joshi: So, bulk of the weakness that you saw in Manufacturing for this quarter, f rom a year -on-year comparison perspect ive really relates to Pininfarina , right . The Pin infarina business is a little bit lumpy because there is a Manufacturing operation there as well, right . So, part of the lumpiness is because of that. Actually , if you look at it as a company, aside from Pininfarina, m ost of our auto exposure is in the US and the US has been relatively sort of more shielded compared to European auto, so m ost of our exposure non-Pininfarina is to US auto and not to Europe auto. I feel that we have also over the past one year had a huge focus on bui lding out the engineering side of our auto operations rather than only the IT side and we have seen some good progress there, including more recently with Japanese automakers as well, right . As you know, with Japanese automaker, it is a very long approval and a validation and a selection process. But we have made the leap for some of the largest Japanese automakers, and I am confident that we will be able to drive growth there as well. While the auto sector is pressured, it is a very significant portion of our Manufacturing revenue , the fact that we are looking to diversify our exposure across geographies and the fact that our exposure non-Pininfarina to European auto manufacturers is somewhat limited will hopefully give you a degree of comfort in that space.
Vibhor Singhal : If I may just harp upon that slight more and pick up the point that you mentioned, given that the weakness in the European auto is quite visible at this point of time, is there a fundamental difference between the European and American automakers that makes you believe that the weaknesses that you see in European auto won't spill over to the US or the Japanese automakers at some point of time
in the coming quarter?

Mohit Joshi: Anything is possible. I am just telling you what we are seeing just on, but we do feel that look, if we have a diversified base rather than over dependence on a single geography, I think the long run it will stand us in good stead. If I include Pininfarina as well, w e also have a good European auto presence we obviously have a strongest presence in North America and a growing presence in Japan . So, I do feel that a diversified base will help us because it is unlikely that we will see a simultan eous and equal hit across all the geographies, right .
Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for any closing comments. Over to you, gentlemen.
Mohit Joshi: Thank you, operator. So, I think in summary, we see the ingredients coming together in place that should make 2025 a period of further progress for Tech Mahindra. The compan y's positioning is further improving due to the dedication and expertise of our talent combined with our capability investments and the organization change efforts of the past year. In addition, the overall demand in
the services industry has shown stabilizati on with some areas showing possibilities for improved spending. Additionally, the acceleration of GenAI deployments across various industries and actually the AI deployment across various industries is likely to open up a plethora of possibilities for us and for our clients. Organizations of all sizes will eventually invest in technology to enhance their operations, improve customer experience and drive innovation. We are at the forefront of

these
innovations, constantly exploring new ways to integrate these technologies into our offerings and to tailor our offerings to deliver unparalleled value to our clie nts. In 2025, we will continue to invest to stay ahead of the curve and drive technology advances. We believe that by fostering a culture of collaboration and excellence, we can develop solutions that address the evolving needs of our customers and set new industry standards. Thank you all again and wish you all a wonderful 2025.
Moderator : Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all for

joining us , you m ay now disconnect your lines.

Call: Apr 2025

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30th April, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM

Subject Transcript of the quarterly earnings meet for the fourth quarter and financial year
ended 31st March, 2025 – Regulations 30 and 46 of the Securities and Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings meet vide letter dated 11
th April, 2025 and video
recording of quarterly earnings meet vide letter dated 24th April, 2025

Dear Sir/Madam,
In terms of Regulations 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations and in f urtherance t o the outcome and video recordings of the Quarterly
Earnings Meet filed on 24
th April, 2025, please find enclosed the transcript of the said quarterly
earnings meet of the Company for the fourth quarter and financial year ended 31st March, 2025,
held on Thursday, 24th April, 2025 after the meeting of the Board of Directors for your information
and records.
The text transcript is a lso uploaded on the website of the Company and can be accessed at the
weblink:
https://insights.techmahindra.com/investors/tml -q4-fy-25-earnings -transcript.pdf

Please note that the Company has referred to publicly available documents for discussions and no
unpublished price sensitive information has been shared during the aforesaid Meet.

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This intimation is also available on the website of the Company at the weblink:
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Kindly take the above on record.
Thanking you, For Tech Mahindra Limited
Ruchie Khanna
Company Secretary
Encl.: as above

"Tech Mahindra Limited Q4 FY25 Earnings Meet"

April 24, 2025

MANAGEMENT : MR. MOHIT JOSHI – MD & CEO , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CFO, TECH MAHINDRA LIMITED
MR. ATUL SONEJA – COO , TECH MAHINDRA LIMITED
MR. RICHARD LOBO – CPO, TECH MAHINDRA LIMITED

Leah Jena : Hello everyone, I welcome you all to Tech Mahindra's Q4 '25 and FY25 Earnings Meet. I'm Leah Jena from the Marketing Team. We have with us today: Mohit Joshi - Chief Executive Officer and Managing Director, Rohit Anand - Chief Financial Officer, Atul Soneja - Chief Operating Officer and Richard Lobo - Chief People Officer.
As a reminder, all participants who have joined us virtually will be in listen -only mode and there will be an opportunity for you to ask questions once the presentations conclude , through the chat window. Please note that this webcast is being recorded.
We would also like to reiterate and state that certain statements in today's presentation may contain forward -looking statements identified by the use of
forward -looking words or phrases and statements relating to our future performance and prospects for g rowth in FY26 and beyond, our ability to achieve our financial, strategic and business goals and our planned investments. Our actual actions or results may differ from those expected or anticipated in the forward - looking statements due to both known and unknown risks and uncertainties.
Without any further delay, over to you Mohit.
Mohit Joshi: Thank you, Leah and thank you all for being here today. Welcome to our Investor Day. I really appreciate you making the time.
In terms of sequence, first we'll just walk you through the details for our quarterly performance, and then Rohit will go through the financials in some detail. After that, we'll have a brief presentation where we'll be covering the progress that we've made towards the three-year roadmap that we've identified. But first we'll just go through the details of the Q4 performance and the FY25 consolidated numbers.
So let me just get started here. First of all, look, I'm really glad that we have this opportunity today to share the numbers and the results. And like I said, in addition to the updates from the recent quarter, Rohit and I will also be sharing the updates

for our strategic roadmap, giving you an update on where we are about the FY27
plan. We'll talk about the progress that we made over the last year and how we see
the next two years shaping up. Let me just start with the performance for the quarter
and for the full year.
So Q4 and our FY25 performance, we closed the year with a revenue of $6,264
million, with 0.3 percent growth on a constant currency basis. This year's stable
revenue performance comes after absorbing more than 1 percent of top-line
reduction. This is because of the strategic decision that we'd made to scale down
our non-core and our loss -making businesses. And also, this contrasts with about
a 5 percent decline that we had the previous year. If you recollect, and all of you
obviously know our numbers, Q4 la st year we actually exited at a minus 7 percent
year-on-year revenue growth rate.
Importantly, this year I think we achieved the goal that we'd set for ourselves, to
stabilize the organization, to stabilize key accounts, and I think this is a key milestone in our transformation journey. Our operating profit for the full year stood
at ab out $607 million. This is 60 percent year-on-year growth. We expanded the
margins by about 360 basis points to 9.7 percent . This is primarily due to the
operational efficiencies and the savings from Project Fortius, and Atul will be
sharing details about how we performed and how we expect to perform over the
next two years.
Also just want to give you a flavor on our vertical wise performance for the full
year. This is on a constant currency basis. So first and foremost, from a BFSI perspective, the BFSI vertical grew by about 5.2 percent . We continue to scale up
the new logos that we have, and also obviously expanding on the engagements
with the existing accounts. I feel confident that we're making steady progre

ss on
our journey to drive better growth and to diversify our mix across segme nts.
The Retail vertical grew by about 4.5 percent . This is led mainly by volume
expansion and new client acquisitions.

Healthcare, again, remains a critical vertical for us. We grew by about 3.4 percent
backed by deal wins across the board.
Manufacturing declined by about 1 percent . We had good year -on-year growth in
the first half of the year, but then we saw weakness, especially in the second half
in the auto sector. On the whole, though, I'm quite confident that we're making efforts to expand our client base in this vertical and our geography reach, which I
think will stand us in good stead from a long-term perspective.
Communications, the vertical declined by about 4.2 percent , as the industry has
continued to face headwinds because of downturn in the sector. We are now seeing
signs of stability returning, especially in Europe and Asia Pacific. The evidence
for this is there in our bookings and in our pipeline.
Hi-tech has remained flattish for the year. The momentum tapered off in the second
half of the year, with the outlook turning cautious, particularly in Q4, due to macroeconomic pressures.
In terms of geography, in Americas, we saw a decline of 2 percent on a constant
currency basis. Europe remained flat for the year, and ROW grew by about 5.9 percent , led by growth in our prioritized markets in APJ on a constant currency
basis.
Our deal wins for the year stood at about $ 2.7 billion. This is a growth of 42.5
percent year-on-year. Deal wins are broad -based across our key industries and our
prioritized markets. Our focus is on achieving profitable growth by offering proven
solutions to clients to produce deals that are healthy for both clients and for TechM,
and not ta king on speculative deal risk.
For the quarter, we reported revenues of $ 1,549 million. It's a growth of 0.3 percent
year-on-year on a constant currency basis. This performance was primarily
impacted by delays in customer renewal decisions for a US hi -tech client, along
with seasonal trends in the retail vertical. So, this is for the BPS segment

specifically. We expect the client's renewal decision to be finalized in short order,
and this will help our BPS business.
The Comms business grew by 1 percent sequentially, supported by Com viva
seasonality, and as stated previously, signs of stabilizing of the telecoms spend in Europe and in APAC.

BFSI growth is underpinned by early recovery signals and discretionary spending. TechM is making further progress in engaging BFSI clients in a more consultative way.
Manufacturing remains soft, as I had mentioned previously, especially in the automobile sector. However, we continue to address industry challenges such as high operational costs, process inefficiencies, and supply chain disruptions with the launch of an a dvanced Manufacturing Experience Center at our campus in Chennai. This center will help customers quickly prototype and scale AI -driven innovations in a low -risk environment before implementing them on a larger scale, thereby accelerating development cycles by allowing businesses to assess their return on investment and improve operations in a controlled setting. I would really welcome all of you to visit the center and to experience our capabilities in the manufacturing vertical firsthand.
Despite these headwinds, our operating margin for the quarter stood at 10.5 percent , an expansion of 310 basis points on a year -on-year basis and 40 basis points sequentially.
You would also recall that during the release of our strategic roadmap last year, we announced that one of our focused areas of investments was the expansion of our service offerings and in-house capability building. Pursuant to that, we are excited to ann ounce the launch of our latest servic

e line, TechM Consulting.
Through this offering, we aspire to be a trusted advisor and a growth partner for our clients based on our ability to support their evolution and transformation.

TechM has highly experienced staff that really stands out in the services industry, given that many other players have increasingly emphasized more junior staffing models. The strong experience and tenure of TechM staff is a differentiator that gives us a ripe opportunity to increasingly serve customers in consulting and advisory roles. Our experienced staff gives us the right to play more consultative roles, and we are leaning into this by formally launching TechM Consulting. Arjun Saxena, who is actually here, has joined us as the head of TechM Consulting, a seasoned veteran with 28 -plus years' experience in business and technology consulting.
We are also pleased to welcome Scott Sorokin, who has joined us to spearhead our company's Digital Transformation and Experience Design initiatives. During the year, we invested in building a strong leadership foundation through key hires across our prioritized markets and service lines. With this, we are well positioned to drive the next phase of our strategic roadmap.
As you may have seen in the press release earlier today, we have also launched our comprehensive suite of AI offerings with a renewed strategy of AI Delivered Right. I'll cover the details in my presentation and walk you through the core pillars.
Our large deal TCV for the quarter stood at $798 million, taking the LTM TCV wins to $2.7 billion, so 42.5 percent year-on-year growth. This also includes two large deals that we signed in Q4, each over $100 million in TCV.
Some of the notable deal wins this quarter include :
• A large deal with a US based Tier 1 Telco. This deal positions us as one of the largest one -stop device test and certification labs for the U.S. market, with the ability to support global smartphone OEMs, IoT module makers, and chipset manufacturers focused on launching 5G, next -gen wireless-enabled devices.

• TechM was also selected by a leading Americas-based Telco to enhance customer experience, reduce churn, and improve efficiencies across the wireless and wireline service offerings.
• We won a deal with a global leader in enterprise applications to provide managed tech ops services for the end customers of their flagship enterprise platform, handling end-to -end journey of build, migrate, operate, and decommissioning of the private cloud infrastructure.
• We were selected by a US -based healthcare technology provider, providing public health solutions to the Medicaid population for a CMS interoperability mandate. We will be the reseller, implementation, and support partner of the SaaS interoperability solution, helping the client

onboard their customers seamlessly.
• We won a deal with a leading U.S. -based aerospace company in the compute infrastructure space that involves managing compute instances using advanced technologies like Containers as a S ervice (CaaS) and Platform as a Service (PaaS) .
• TechM was selected by a leading retailer in the U.S. to serve as a strategic extension of their technology team. This involves establishing a global engineering center for data and insights. This will act as a hub to implement advanced analytics and AI -driven programs for the client.
I think these are some examples of deals that feature TechM in roles where we are serving clients as a strategic partner rather than merely as an outsourcing vendor.
We also continue to expand our partnerships and alliances with the ecosystem partners. Just wanted to highlight a few notable strategic partnerships:
• We built a pharma co -vigilance solution with NVIDIA’s AI software and powered by TechM's TENO framework to advance drug safety management by leveraging Agentic AI an

d automation to enhance the accuracy, speed, and efficiency of pharma co -vigilance processes.

• We expanded our long-term partnership with Google Cloud to boost the adoption of AI and to lead digital transformation globally, combining TechM's deep domain expertise with Google Cloud's AI capabilities, AI development platform, and agentic AI technology.
• We announced a strategic AI collaboration with Qualcomm through the successful integration of our proprietary AI model, IndusQ LLM, into Qualcomm's AI hub. It's a dedicated platform for on -device AI model deployment, placing us as the only GSI to achieve this integration.
• We announced a membership in the AI -RAN Alliance, a global initiative committed to fostering the development and deployment of AI -driven solutions within radio access networks, enabling us to help our customers, enterprises, and partners navigate the evolv ing telecom landscape.
• Rakuten Symphony signed MOUs with Tech Mahindra, Cisco Systems, and Airspan, enabling Airspan and TechM to resell Rakuten Symphony’s open RAN software licenses to telcos and enterprises globally. Tech M will also serve as the preferred systems integrator for Rakuten Symphony.
• We secured the first -ever licensing agreement for Cricket Wireless, an AT&T -owned leading prepaid wireless provider point -of-sale system, “Aktivate”, enabling TechM to integrate it into its comprehensive suite for wireless solution providers globally.
We have gathered encouraging accolades and recognitions for our people policy and sustainability policies. I think a few notable recognitions I want to mention over here:
• We were selected with Gold Award for the Best Tech Team of the Year, organization using HR Tech, at the BW People Tech Futures Awards 2025.
• We won three awards for exceptional efforts in ESG, including validation by the Science-Based Targets Initiative for Net Zero Goals.
• We are the only Indian company in the top 5 percent of the global sustainable companies, and

• We are placed on the A-list for CDP climate change and for CDP water stewardship.
We generated a free cash flow of $150 million in Q4'25. In line with our capital allocation policy, the Board has recommended a final dividend of Rs. 30 per share. This brings the total dividend of FY25 to INR 45 per share, a dividend payout ratio of 104 percent . I think this represents an increase of INR 5 per share over the previous year, marking a 12.5 percent growth in the dividend per share.
As we enter FY26, we remain steadfast in achieving our stated goals. While the global economic conditions continue to present challenges, we believe the foundational work we have put in will help us navigate the evolving landscape. We remain mindful of the volatility, but our focus on disciplined execution and resilience across our core strategies keeps us well grounded.
With this, I hand it over to Rohit for the detailed financial performance. Sorry for the flub on the teleprompter, but thankfully, I

had a paper backup copy.
Rohit Anand: Thank you, Mohit. I'll just walk you through the quarter and the year's financial a little bit more in detail.
Let me cover the company financial s for the quarter ending Mar ch'25. We ended the quarter with a revenue of $1,549 million versus $1,568 million in the previous quarter. On a reported basis, revenue declined by 1.2 percent sequentially and remained flat on a YoY basis. On a constant currency basis, we declined 1.5 percent sequentially and growth of 0.3 percent on a YoY basis. The sequential decline in revenue is primarily driven by delay in closure of a renewal deal, as Mohit mentioned, in the hi- tech segment in the BPS space, which we think will get regularized in the next few months, so we should see that come back.
From an INR term perspective, revenue stood at Rs 13,384 crore

s versus Rs 13,285 crores in Q3, a growth of 0.7 percent on a sequential basis and a 4 percent growth on a YoY basis, on the back of favorable exchange rate movements.

In Q4, the Communication vertical grew 1 percent sequentially, supported by Comviva seasonality. BFSI, one of our focus verticals, grew 2.4 percent sequentially and a 6 percent growth on a YOY basis, on the back of recent deal wins and project ramp -ups. Manufacturing declined by 0.2 percent QoQ on account of weakness in the automobile segment. Hi -tech verticals saw a decline of 8.2 percent for the stated reason earlier, while reporting a 4 percent decline on a YoY basis.
On deal wins this quarter, we ended at $798 million, which is a 60 percent jump on a YoY basis. This marks a continued acceleration of our deal win trajectory.
Our deal wins have been broad -based across verticals and geographies.
Coming to profitability, we reported an EBIT of $163 million. This is an increase of 2.8 percent from a QoQ basis and a 43.6 percent on a YoY basis. The EBIT in INR terms is Rs 1,405 crores and the margin stood at 10.5 percent , which is an expansion of 40 basis point QoQ.
Moving to the margin walk, the key items for the quarter was, as we mentioned, we did wage hikes for all the employee base for the company, which broadly impacted the margin negatively by 1 percent , which was offsetted by the operating actions we drove under Project Fortius, which you have seen through the year continuously, and in the detailed presentation Atul is going to talk more about it, plus also supported by Comviva seasonality as well as favorable FX movement, which both together helped the margin QoQ.
This quarter, effective tax rate came in at 22 percent due to certain one -time refunds versus our normalized run rate that we mentioned of 26 percent to 27 percent . On a full year basis, the tax rate was 24.8 percent .
Our PAT stood at $ 136 million, an increase of 17 percent and a 71 percent on QoQ and a YoY basis respectively. In INR terms, PAT was Rs 1,167 crores, which made the PAT margin at 8.7 percent , an expansion of 130 basis point sequentially and 350 basis point on a YoY basis.

Coming to cash flow, we generated $150 million of free cash for the quarter, equaling the DSO days we had last quarter of 88 days. When you compare that to the last year, same quarter, we were at 92 days. So, it is an improvement of four days from that time. We continue to drive strong working capital execution within the business and we l ook to similar opportunities for us to drive in future as well.
From a hedge book perspective, on March 31st, our hedge book was at $1.96 billion versus US$2.1 billion last quarter. Based on hedge accounting, the mark-to-market gain for the quarter was $ 5.9 million, out of which $ 0.8 million loss was taken to P&L and the gain of $ 6.7 million went to reserves.
Now moving to full year performance, revenue was at $6,264 million at a constant currency growth of 0.3 percent and a decline of 0.2 percent on a reported basis. In rupee terms, the revenue was Rs. 52,988 crores, which is a growth of 1.9 percent .
On a full year and reported basis, BFSI delivered a strong 4.3 percent growth supported by new logo wins and indicating steady performance in the industry.
HLS and Retail growth 3.7 percent and 4.4 percent respectively, reflect ing sustained client demand and strong execution. Hi -tech has been flat and we have seen more pressure, as Mohit mentioned, in the second half. Similarly, in manufacturing, there was a decline for the year for 1.6 percent , mainly driven by softness in the auto segment, again in the second half of the year. Comms verticals

saw a decline of 5 percent as the industry is still focused on cost optimization and reduced discretionary spending, while we do see

some positive light in Europe and APJ. We remain focused on long -term value across all these verticals.

The TCV for the year, in line with our sustained deal momentum, resulted in $2.7 billion for the year with a 42.5 percent growth on a YoY basis. More importantly, significant portions of these wins are multi -year, strategic as well as across the geography, t hat helps us in good stead from a diversification perspective.

EBIT stood at $ 607 million for the year, which is an increase of 60 percent in USD terms. In rupee terms, EBIT was Rs 5,138 crores and the margin was at 9.7 percent for the year, which is an expansion of 360 basis points on a reported basis.

The free cash flow for the year was $ 613 million and cash and cash equivalent was $896 million.

In line with our stated capital allocation policy, the Board has recommended a final dividend of Rs 30 per share, taking the total dividend announced to Rs 45 per share for the full year. The resulting payout ratio as a percentage of PAT is 104 percent , and as a percentage of FCF is 122 percent .

I now hand it over to Mohit to present an update on the strategic roadmap.

Mohit Joshi: Thank you Rohit. Let me just first of all start by thanking everybody in this room. It is just about a year since we first outlined our strategic roadmap for the first three years. And I must thank everybody in this room, all the analysts, all the investor s that we got a lot of support from all of you. We got a fantastic reaction to the three - year plan that we shared, and that really gave us a lot of confidence as we went through the year.

I believe you have seen the numbers already. I believe we had a good year in terms of the fact that we were laying out the foundations. FY25 was really about laying the foundations for the organisation for the future. And if I look at our journey for FY27, FY27 is about realizing those aspirations. So FY27 we have made commitments to you in terms of growth, in terms of profitability, in terms of return on capital, and I believe that we have established strong foundations in FY25.

FY26 is again a very important year. It is a year about showing significant sustained acceleration towards meeting the FY27 goals. I think what I wanted to emphasise is that we have, to our mind, a fairly straightforward plan. We have an intense amount of focus in making sure that the plan is met. And, as you will see today, we are going about our plan in a fairly disciplined manner in terms of

execution. You will see very little that is new today, quite honestly from us. It is all about making sure that the plan that we shared with you, how we are progressing against that and how we want to make sure that we double down and show continued progre ss in FY26 so that we meet the FY27 commitments that we have made. We will also be covering sort of our renewed AI strategy and providing an update like I said on the FY27 plan.

So let me just share here a little bit of the details. Obviously, we have shared the metrics in terms of the full year performance. But the metrics only give you some perspective on what we have accomplished through the year, the earnings numbers that is.

Over here if you look at these sets of metrics, these again are exceptional achievements for the year. We now as a company have about 162 Fortune 500 clients. If I take a look, if I slice and dice it a little bit further, if I exclude let's say the Chinese SOEs that we really don't do much business with, effectively we’re left with about 420 Global 2000 companies that we could do business with. And so, we have a high degree of penetration among the customers that we want to do business with.

1 in 3 of Global BFSI clients are those that we work with. We added three more in the top 15 of the Top 15 banks in the world to our portfolio this year.

Manufacturing, we have about 50 percent of the penetration of the consideration set of customers, whether it's in auto, aerospace or defence or process manufacturing that we want to work with. So, this is a significant number.

We've continued to add clients through the year, so we've added 45 must -have clients in the course of the year. As we'd shared with you earlier, we have a very disciplined and rigorous process about the clients you want to work with and each of these 45 logos, I believe, offer us significant headroom for growth.

I'm actually probably the happiest with the NPS numbers that we've been able to deliver this year. As you know, last year we started using an external firm, a global firm that does this for literally all the IT services and the software companies. We started using them to calculate NPS for our top clients. The NPS results only came out, actually yesterday, and I'm very happy to share that we have seen a significant improvement in our NPS scores just in the first year of the transformation. We have moved from being somewhere in the median to being in the top quartile in a single year. What is even more sort of heartening from our perspective, is that the growth in terms of customer satisfaction is the highest for senior and for CXO levels, which I think bodes really well for the sort of acceptance and visibility that we're getting at that level.
At the same time, as our NPS scores are improving significantly, we've also seen an improvement in our employee satisfaction scores. This is something that is done group-wide through a process called MCares, and we are at a three year high in terms of our employee satisfaction scores. We have continued to focus on our employees through also speeding up a lot of the internal processes so that employees feel that they’re also seeing the benefits of speed within the organisation. One of the key things in any organization is about how quickly can
you process expense reimbursements and this is one thing we identified would be an important, you know, an important proof point to employees that the company
is moving in the direction of speed and we have seen a 50 percent improvement in expense settlements, clearly other areas as well like fulfilment where we're focused on improvement in speed that we will share later.
And finally, from an external sort of using the customer feedback from our NPS scores, the analyst feedback is equally heartening, right . 90 percent of all the quadrants in which we compete, we are now either in the top two quadrants, right . And this is an improvement from about 79 percent a year ago. So again, 11 percent improvement in a single year.

So, beyond the earnings matrix, beyond the profitability matrix, I felt that these were critical matrix for us to share with you that really, to my mind, show the sizeable progress that has been made over the past year.
Last year, we had also announced or we had stated our Scale at Speed narrative, the fact that we believe that with 150,000 people, you know, six and a quarter billion dollars in revenues, multiple service lines, we have the scale to work with the largest companies in the world. But again, given the entrepreneurial DNA of the company, given the fact that we have made significant investments in learning, given the way we have organized ourselves, we also have the benefit of speed and agility. And I feel this narrative is really playing out well in terms of, you know, our people, the industries in which we operate, and the service lines which we have. I feel that we have a really comprehensive and well -defined architecture with which to approach the largest cli ents in the world. And increasingly, we are seeing each of our service lines, all of our client industries, and all of our people being transformed by the use of AI.
And so a

gain, AI is a key area of focus for us. What we are hearing from most of our clients is that they see, you know, they see that there is a gap in terms of the value that they are able to realize from AI at this time. I have no doubt that AI will be a very significant tailwind for the industry as clients continue to use us increasingly to be able to extract the full value from AI beyond just, you know, beyond just the pilot.
And really, this is where there is an issue just now, right . This is a recent BCG study, 74 percent of enterprises are struggling to achieve and scale value. And as you speak to many clients, they talk about the fact that what seems to work in the sandbox isn't really working in real life. And this is the opportunity for us to help
clients truly extract value from AI.
And so therefore, driven by that, driven by that, this is our narrative, right . Our strategic narrative for AI is AI Delivered Right. Because we feel that

implementation is as important as invention. And the next phase of the AI

transformation journey, the opportunities will be for partners who can help our clients really fulfill and realize this promise. And obviously, AI delivered right is broken into its various component parts. We feel that it is wonderful to be creating sort of innovative and magical AI solutions. And to be fair, we have done that bit also through the launch of Indus, for instance, with the only GSI to launch a large language model from scratch. But really, the opportunity is to help our clients harness the fu ll value of AI, you know, with precision, with speed and with effectiveness.

When we talk about AI delivered right, we have broken it into its foundational pillars. We feel the first pillar of AI Delivered Right is Productivity Delivered
Right. At the end of the day, one very important component of AI is the work that we are doing, both in operations and technology, to deliver significant
productivity. This is obviously the most important use case, whether it be from a contact center perspective or from a developer productivity perspective.

There's also the opportunity to help clients to deliver transformation outcomes for them. And we will talk about, you know, a significant example over here.

Innovation continues to be a key focus for our clients. How do they make sure that they're able to get the value from AI -powered experience, from advanced customer analytics, from you know, the transformation and redesign of their, you know, of their entire technology estate . So, this is the innovation -delivered piece of AI Delivered Right.

And finally, how do we make sure that AI is delivered in a safe manner, right? This goes both to the cyber security elements of it, where we are using, let's say, agentic AI to help track and therefore defeat, you know, intrusion efforts or whether it's the efforts to make sure that bias is not injected into AI models or the fact that we're building appropriate guardrails to help our clients in their AI journey.

So, for us, AI Delivered Right is a combination of these four elements -- of productivity, of transformation, of innovation, and assurance.

This is a great case study, to my mind, of the work that we have done on AI, helping deliver AI right for BT. As you know, we've had a long history with BT through a joint venture with them way back in the 1980s and we have been working with them as a transformational partner on the AI journey. The involvement of TechM with BT on the AI side has taken a number of, it's been in a number of forms in a very diverse fashion. Firstly, how do we help them optimize IT opera tions through AI using auto-healing techniques . This goes towards the productivity-delivered aspect that I've spoken about. We're also working on optimizing engineer productivity. This specifically has been with Amazon Q. So,

for both brownfield
and greenf ield development efforts, how do we make sure that we are able to deliver productivity . We also worked with Openreach. We worked with Openreach
on the field services operations to make sure that we're helping the field service agents become more productive. We worked on back -office processes, specifically
on invoice management and on auto-reconciliation. And all of this, all of this while
making sure that we are working within guardrails, all of this while we are making sure that we are able to deliver secu re outcomes for BT. So again, a great example
of work done across multiple streams, across field services, across technology, across operations, across the back office in delivering transformational change using AI. So, we are very excited about our AI -Delivered Right strategy. I think this is resonating well with our clients. And we have got a short video that, again, gives you the highlights of our offer and the traction it's having in the marketplace.

*Video from 37.32 – 38.50 *

So again, like Scale at Speed , we feel that this is a narrative which is both
meaningful to customers because at the end of the day, our clients are looking for really extracting value from AI and equally it’s a narrative that’s credible because
we have a deep understanding of our cl ient’s landscape, of their operating models, of their businesses and so I feel again, li ke Scale at Speed , this is a narrative that

combines meaningfulness and credibility and I have no doubt that it will be very successful.
So now, moving on to our FY27 journey. So again, when we set out our journey, we were very clear about the fact that FY25 was going to be about laying a solid foundation for growth. And for those of you who have been involved in civil construction, you wil l know that the foundation building period is the one where it looks the slowest. It just takes the longest, but it is very important to set secure foundations and then after that, hopefully, the growth appears to be more effortless.
We have spent an incredible amount of effort in FY25. If you remember, less than a year ago, actually, on the 26th or 27th of April, we'd really spoken about the fact that we had got a brand-new organization structure into place. The fact that we were moving into a service line-orientated structure. The fact that we identified clear verticals and clear geographies, you know, for growth. And really, we did establish, you know, Project Fortius for the first time to help us get the margin lift.
And through the course of the year, l ike I said, moving from exit revenue, exit rate of minus 7 percent , you know, to slight growth, moving from, you know, a margin which is expanded by over 300 basis points over the course of the year. I do feel that we have set ourselves very strong foundations for growth. And I will speak a little bit about the team that has made this happen. This current year is very important because this is the year where there is stabilization but also significant progress towards the goals that we have made for FY27. F Y27 is the year for accomplishing the goals. FY26 is the year where you will see significant improvements and significant efforts towards realizing these goals.
We did also speak about the flywheel, right, the TechM flywheel that we did establish, which would help us achieve the goals of, you know, growth greater than peer average in FY27, an EBIT margin of 15 percent and you know, a return on capital expectation threshold that we had set. What we had said is that this plan had three components to it. There was a plan for revenue, which is a lot about, you know, a lot about focus on the largest accounts and critical ge ographies and key service lines. And so, I will talk about that, and then I will talk about the plan for

the organization. I will pass it on to

Atul to talk about, you know, the productivity and the margin-related efforts that we are making.
But first and foremost, from a revenue perspective, right, from a revenue perspective, we'd spoken about the fact that we wanted to make sure that our industry mix, our geography mix, our service line mix was more towards the more attractive portions of th e industry. We wanted to make sure that we were laser -focused on our largest accounts and actually exited a lot of the accounts that we did not feel we had headroom to grow or that did not meet our criteria in terms of tech spend. We wanted to make sure th at we established a large deals program that was, you know, that was focused on profitable growth, right . And again, you know, very happy with the progress that we have made across the board.
We had spoken about the balance industry mix being critical. We obviously want to make sure that we retain our leadership position in telecom and manufacturing but equally that we're able to grow in areas like Banking and H ealthcare because this is where a lot of the spend is, right . Now if you look at BFSI for instance, it has been the fastest -growing vertical for us in the previous 12 months. We have also, like I said, added on significant new logos. But beyond that, we have been chosen, for instance, as the Partner of the Year by Temenos, which is the leading core banking provider in the market. We have done significant deals and opened, like I said, three Fortune 15 accounts in this space. We have significantly stepped -up analyst ratings and rankings and built a very strong presence from a domain consulting perspective. We have clearly identified areas in BFSI, in insurance, in asset and wealth management, in payments, in core banking, where we feel that we have truly diff erentiated capabilities and we wi ll grow on this basis.
Telecom continues to be the key area of focus for the organization. This is the area where we have very significant penetration and we have focused on building out a deep suite of solutions. So, we have built out, based on the experience that we have with operators and with equipment manufacturers across the world, we have built out a suite of 12 solutions. Each of these solutions are incredibly detailed, like

autonomous operations and incorporate frameworks, partnerships, elements of gen AI and agentic AI. We will be taking these solutions to the market. We are also working to make sure that we leverage fully the deep software capabilities that we have in the t elecom space with Comviva. Comviva has done incredibly well this year. Double digit growth for FY25, the highest growth since it was acquired in 2012. Again, sets us up with a really deep amount of credibility with telco operators because we are a services vendor but if w e also have the software, the BSS software, the marketing analytics software, the financial services software for the telco business, it really sets us apart in telco.

Manufacturing, like I said, we have a significant right to win, again, because of the heritage of the parent and a deep penetration with more than 50 percent of our must -have accounts of the Fortune 500 accounts already in our kitty. So, we have been working to build a set of solutions over here. We have expanded the domain consulting teams by over 30 percent. We have set up a wonderful manufacturing experience center in Chennai with the support of a number of partners and a number of sol utions from partners like Athon AI, from AWS, from Pega, from Microsoft are shown in this center. We have already had, this center was only opened in January by the way, by Anand. We already had 40 plus client visits in the center. So again, manufacturing remains a key area of focus for us, and we are building significant industry muscle, right. What I should point out is till last year, we were not organized in a vertical line. So, a

lot of the domain capabilities were really spread out across the organization. We have really bought a lot of focus into it and the focus is bearing fruit.

In addition to these three sectors that I chose to highlight today, we're also building out capabilities from a Healthcare and L ife Sciences perspective, from a Hi-tech perspective and from a Retail perspective. Retail is interesting. We actually have a, you know, a reasonably small retail footprint but there is such a desire for change in that sector and combining the capabilities that we have, you know, as a company in packages like SAP and al so the design capabilities that we have with Pininfarina and BO RN, it's actually been a very winning combination for us.

Beyond the balance industry mix, just want to talk about the focus on prioritized markets. We've spoken about the fact that we wanted to grow in the Americas, we wanted to grow in Europe. We'd identified certain priority markets for us in APJ, specifically the ANZ region, Singapore, Indonesia and Japan and we have now also identified specific markets where we want to grow in India, Middle East, and Africa. For each of these markets, we are first and foremost, we made sure that we were verticalized so that w e had specific teams who really understood the sector and the industry dynamics to help us grow.

We worked to build up an ecosystem, so making sure that we are much more visible and some of the statistics are here about the analyst and the advisor relationships that we have built up in the pipeline. To build a marketing team that was focused, you know , by vertical and by geography. We made sure that we have made significant sales investments in the geographies where we want to focus, so 75 percent of our sales headcount is now focused on priority markets where previously it was diffused across the worl d. We have also now doubled our specialist sales headcount in the service lines where we want to grow in these markets. And finally, as we have shared with you through the year, we have added significant leadership bench in the markets where we want to focus. The most recent examples obviously being, you know, Arjun and Scott that I spoke about, but we also hired Sham Arora who was the previous CTO of Standard Chartered, you know, to help us in, again, our growth both from a domain perspective and from a ge ography perspective. We have identified GCCs as a key area of growth and hired a new set of leaders there under Sahil.

So again, the focus on prioritized markets also has taken specific steps that we have taken from an ecosystem perspective, from a leadership perspective, from a talent perspective that has enabled us to grow. We've identified the fact that we want to grow in our largest accounts and actually one of the strengths of TechM has always been that, both from the sort of MBT days as well as because of the Satyam acquisition and the other acquisitions, we already have a lot of clients that we want to do business wi th. We have just brought an intense amount of focus into these

clients so that we are able to grow. So, it has taken the shape of bolstering our leadership teams. Some of this, as you have seen, is already taking, you know, is already bearing fruit in terms of the NPS improvements that we have seen from, you know, somewhere in the median to being in the top quartile in a single year. We have enhanced the depths of the team.
We are also investing heavily from a training and learning perspective, right . So, all of our top client leaders, we have set up a program in collaboration with INSEAD and ISB for our top leaders and the impact is showing, right . The impact is showing our accounts over $ 20 million have delivered a 470-basis point sort of delta in growth compared to the last year, which I think is again very good from a foundational perspec

tive. We continue to have significant headroom to grow in these accounts. Like I said, for our top 100 accounts, huge improvement in NPS overall but especially for the CXO and the senior levels, very significant improvements. 40 percent of our top 100 clients actually gave us perfect scores, right, which is to my mind quite remarkable. Building out a large deals program was the other piece that we were focused on. We wanted to make sure that we expanded the size of the funnel but also that we significantly improved our win rates. And this took the shape of making sure that we had the deal architects, the deal advisors, the deal pricing specialists in place, that we are bu ilding higher quality solutions. To my mind, we always had great technical solutions. What was really missing was the ability to identify the problem the client was trying to solve and then to explain very clearly how we could help the client realize value faster. So, these are the two elements that we have strengthened in our solutions.
And I am very happy to say that again, the proof of the pudding is in the eating of 42.5 percent year-on-year improvement in large deal wins and especially backloaded, right, in the second half of the year. These are all deals that we are winning with our must -have accounts, with the largest accounts. The quality of the wins is very good. And again, I'm really happy that we have made a good start. We will not compromise on sort of contract risk and margin risk. So, we have also built a very strong contract management framework and a contract management team

to make sure that we don't end up doing deals that we regret later. And that discipline, I can assure you, will continue in the future as well.
I want to give an example again of a top -tier client where we've seen growth this year, right . KPN, for those of you who know this, is the largest telco in the Benelux region. It is the number one telco in the Netherlands. And really, beyond just the size, it's seen as a reference telco in that market, right . It's seen as a reference telco in the market. KPN had announced its Connect, Activate, and Grow strategy. Obviously, like all telco players, they have a complex legacy estate. They have manual processes. And we are working with them on their plan for autonomous operations. This is autonomous operations across network, across IT, field operations and customer operations. It's a very well -defined program. It's a very well-defined program about driving the m to level five, which is defined as near autonomy by the TMForum. And this will have significant impacts by 2030. It'll drive 80 percent automation, 50 percent call volume reduction. So, a very significant reference program in a reference telco in a fiel d which is truly cutting edge, right . We will work to take this solution to clients across the world. And I feel this is a great example, again, of growth and relevance in an existing account in a sector which is really critical to TechM.
Moving on from the revenue sort of plan that we had, to the plan for the organization. The plan for the organization is about really building muscle for the long term, right. This is actually even beyond FY27. How do we make sure that we're able to build talent? How do we make sure we're transforming the culture of the organization? How do we make sure we're branding and positioning ourselves for the future? How do we make sur e we meet and exceed the ESG aspirations we've set for ourselves? And how do we make sure that we get the full benefits of the group? We are part of the Mahindra Group. So, we have worked on all five of these sort of elements of the plan through the year.

I'll talk about the Mahindra Synergy first. We had spoken about the fact that the Mahindra synergy really takes three parts. The first is the work that we do for the group. And here we worked with the group across the industry. Industry 4.0 solutions, for the auto and farm equipment business, a very successful program. We are working with Mahindra Finance as they transform their customer operations and customer experiences. We are leveraging the relationships that the group has. The group is like any m anufacturing company and especially like a leading manufacturing company, has a ton of relationships and the Mahindra Group really has had outstanding relationships. It's seen as a high integrity, trusted partner across the world. And we're getting the ben efits of those relationships when we're bidding for deals across the world. We are going together with the group, whether it's in the aerospace and defense space or it's in the auto space or the financial services space. And this gives us instant credibili ty and instant recognition as a partner. We're leveraging the benefits of that. And at least a significant fraction of the 45 must -have accounts that we've opened have been held by the fact that there are pre-existing relationships with the group that we have tapped. And finally, we are co -creating solutions with the group, right . So, for instance, the very successful launch of the EVs. There is a car configurator that you can use to choose the car you buy. That was built by TechM. So again, the early stages of fully exploiting the synergy of the group and helping the group in their te ch transformation journey. But I feel we've made a good start.

I'd spoken about the fact that culture is really a critical ingredient for our success, and we have tried to define cultural transformation in a very specific way. We want to make sure that we keep the best of TechM in terms of the warmth of the relationships, in terms of the fact that it feels like a family. But equally, there are four elem ents that we want to transform. The first of it was simplify. How do we simplify the processes for our customers, for our employees? I spoke about the expense management process that we had changed. But we have also equally transformed our fulfillment processes, righ t. Under Atul's leadership, we've implemented a next -gen AI -enabled search and match platform that allows us to improve internal fulfillment by at least 10 percent . So, this is, again, part of our

simplification journey. We've worked at clarifying roles and responsibilities, making sure that everybody understands the mission that we're on for FY27 and beyond. So, this has taken the shape of numerous outreach programs so that each and every person in the organization understands what it is that we're trying to do, because I feel that's a critical element of success and we have to communicate our purpose. From an innovate perspective, we have launched among other things, a grassroots innovation program called InnoQuest. So, this took the shape of every project team of every individual submitting ideas about the ways they think they can help improve a customer's processes and improve outcomes for customers. We had over 150 entries in the first iteration of this and five of these were selected for awards. So really injecting innovation into the core of the organization. And finally, making sure that we're driving a performance -oriented culture, right . So, changing sales compensation philosophies, changing delivery compensation philosophies, making sure that the service lines and the sales teams are really collaborating to win, right. So, making sure that we're putting together a one -team, one-goal -type approach, rather than having a, you know, sort of a, rather than, as happens in any large company, you know, people really competing with each other, rather than competing with the outside world. So again, an example of the cultural transformation that we're driving and this is a never -ending journey, right . But we feel that we have identified the key pillars that we're working on and Richard, our CHRO and all the leadership team are working towards making sure that we make this possible.

Our CMO, P eeyush, who's here, has helped us completely redefine our marketing and branding approach. He has a sort of a very poetic sounding , a very rhyming sort of idea about how marketing will be transformed. So, brand, demand, expand and grand . Brand is about making sure that we're building the brand for the future, about making sure that, you know, with things like Global Chess League, we're associated at the cutting edge with, you know, sort of the cognitive intensity that a game like chess r equires, m aking sure that we stand at the intersection of high -tech manufacturing and sustainability through Formula E, making sure that we're working to expand, you know, our footprint in key events, whether it's a WEF or it's a Hannover M asse or it's a MWC. How do we make sure we're running an integrated marketing function that builds together, you know, the sales team, the events team, the digital marketing team, the field marketing team, so that there's a seamless interconnect between all of these. And Gran d is about making sure that we realize our aspirations towards doing the mega deals through advisor relationships and through the private equity channel. At the same time, as we're doing all of this, we are also expand ing, significantly improving our own MarTech stack, so whether it's Marketo, whether it's Google AI, whether it's Factor.ai, whether it's Orbit Shift, making sure that we are weaving all of this into our marketing ecosystem, so that it really is a world -class marketing engine that we have built for our team.

Finally, on the ESG side, right, ESG remains a clear area of focus for us and under the leadership of Sandeep Chan dana, we have continued to move forward, really proud of the fact that, you know, we are among the first companies in the country to be accepted for S cience-Based Targets, to make sure that we are net zero by 2035, being the top performer in the D JSI Sustainability Index in India and number two globally for the sector. So again, ESG remains a continued area of focus for us.

So, with that, I will now pass it on to my friend Atul So neja to talk about the transformational journey we are on from an operational perspective because I know how important margins are to all of us. So, Atul, no pressure!

Atul Soneja: So, hi, good evening, everyone and once again, thank you Mohit for setting the context and refreshing our memories on the TechM flywheel. So, over the last one year, as Mohit highlighted in his earlier presentation the focus around growth, organization and operations is what has been driving the organization and the key focus around the delivery and operations strategy is something which is not very new, it's not something which is very unique, right. It's about creating a resilient, efficient, agile delivery and operations organization. How do we realize the vision that we have set forward for FY27? We have obviously seen the progress that we

have made in the last one year through doing a few of the areas that we wanted to focus on.

And now, as we enter into the stabilization year of FY26 so that we can reap the benefits in FY27, there are a series of steps that we are taking as an organization that can help us become more resilient with respect to our margin aspirations as well. Our operations strategy is not about just improving the margins, it's about also building a world-class delivery organization where we have the right kind of scaling, upscaling, retraining based on the evolving customer needs as well, right . And this is what I am really going to cover as part of my 5 -10 minutes kind of a speech. So, as we look forward, what we have really done in FY25 is look at the

parameters that can have an impact for us when we look at our margin aspirations. One of the key areas that we focused on is how do we look at our fixed price engagements and bring better productivity into those engagements, right. Obviously, we have Lean, AI, automation, and the technology is evolving at such a fast pace that our abili ty to infuse that into our fixed price programs and take out and extract some headcount, which basically can be used for other programs, is really about how we have been able to drive the FP productivity. Now, this program has been structured in a way wher e we look at how we have gone around bidding for a particular deal, what have we committed, how can we leverage technology, AI, Gen AI, now Agentic into multiple of these FP programs and drive that optimization. That is one area which has given us some imp rovement and we will continuously focus on this.

The other area that we focused on was around pricing, which is around really finding out the right rate for the right role. Now, we obviously did some kind of industry benchmarks and Mohit spoke about also the fact that we are an organization which have a very rich experience. How do we really monetize that experience with our clients taking those capabilities that we have built over the years and be able to charge a premium for the premium and the niche skills that we are developing. For the entire pricing strategy, which has actually yielded results for us in the last year, when we will continuously look at how we take it forward as well, and this will be also aided by the platform that Mohit mentioned, which is thi s intelligent skills platform that we have developed where the skills of every single individual in the organization is ready for us with their proficiencies and our ability to have those meaningful conversations with the customers in terms of why do we re ally need a differential rate becomes so much more meaningful for us.

Last year, we started our process of integrating some of the portfolio companies. We made some good progress there and this is a year that we will continue on this journey as well. So, the entire portfolio integration is a key part of our strategy for FY26 as we look into this year of our stabilization. One area that we continuously look at and there are a lot of these hygiene parameters which goes into any margin program, right. And as Mohit mentioned, this is not something which is new to all of you but i t's about the rigor and the discipline of doing it. It's about how do we do rotation, how do we really tackle the utilization, how do we make sure that our onsite -offshore percentages are properly aligned, and I think that is really the focus of Project Fortius. So, as we look forward to FY26, we obviously have our margin aspirations as to how we want to exit the year with and clearly these are the same parameters t hat we will be following with the intensity and the rigor that we have done in FY25 to give us the results that we want to achieve for FY26 and FY27.

One of the big areas that we wanted to focus on was how do we really become an organization where learning and development and upscaling and rescaling people is at the core of the organization, right. Obviously, we as a services organization, it's all abou t the people. And hence, multiple initiatives which came in, Rapid is a platform that I just spoke about, which is a platform where the skills and the taxonomy of the skills along with the proficiency level of every individual is captured, which obviously helps us to go and have a pricing discussion with the customer and not just that, it helps our fulfillment team to be able to fulfill much faster as well. So, the acceptability of these people back to the delivery

organization and the customers improve significantly as a result of the right skills capture tha

t we have done.

It's not just about the delivery organization, right? The upscaling and the rescaling that is required by the sales organization, not just the SBU sales but the practice salespeople on the ground through focused intervention so that we can uplift their capabilities to have meaningful discussions with the customer was part of the Velocity program as well. And one of the key things that we really realized is that as we are entering into this, the customer needs is not just about deliver what has been committed by you. It is about understanding the needs, it's about understanding their uncalled for needs, it's about understanding the value that you can drive through adjacencies that we have identified in other areas. And we went into an intense program of training our project and program managers to really understand not just what how to deliver projects but also how to identify opportunities and take it in a meaningful way to the customers. How do we start leveraging AI? How do we get our project and program managers certified on AI as well, became an integral part of this.

Now, as we look forward in FY26, we continue on this journey, right. We had spoken about how we are going to continuously invest back into the business as part of our FY27 roadmap. And investing in learning and development is also one of the key pillars th at we are focused on. This year there's a whole lot of focus on basically making sure that every single individual has an individual career and learning roadmap that is being defined. There is a personalized coaching which has been identified for a lot of the high performers and then this journey of the sales enablement obviously continues as well. So, learning and development at its core will continue.

Obviously, there has been this huge focus around certification. So, we have our own certification programs, be it on AI or be it on different technology stacks or be it on domain as well. But also, the external certifications that we do as part of

our overall process, right. So, I think that focus continues for us for the coming

year as well.
As part of our FY27 roadmap, in addition to calling out what are our strategic verticals, industrial verticals, what are the markets that we want to operate in, we had also called out certain service lines or capabilities that we believe we are strong in, and we have the right to win and will continuously develop and take it forward
to the customers. The four that you see here are the ones that there has been a significant focus on. The one on the enterprise apps, which really talks about what the work tha t we do with the SAPs, the Oracle, the Salesforce, the ServiceNow of the world, that's seen a significant progress both in terms of the traction that we are seeing from the customers as well as the wins that we have seen. We have had significant accolades and wins in enterprise applications over the last 2 years, right.
We got the 'Partner of the Year' Award for Oracle and Salesforce. We were recognized by ISG as leaders in digital engineering and e -mobility when we look at our engineering services. Next -Gen Services, which is all about the work that we do on data and analytics, AI, cyber, etc., has been at the forefront of most of the large deal wins, right. If you look at most of the large deal wins, they are embedded with the solutions on cyber security, on AI and data, and that continues to be a significant focus for us and as you can see, a significant number of accolades that we have received there as well.
And on Cloud, I think if you look at
most of the large deal wins, again, that we are speaking about, they have Cloud embedded, I mean, most of the deals are happening on the Cloud as well. And we continuously see our movement in the analyst leader's quadrant. So, Mohit spoke about the 90 percent that we are seeing there and that's exactly what w

e are seeing
as part of our Cloud movement as well.
Now, over this year, our focus really is to industrialize these capabilities, right.
Industrialize these capabilities and take it in a meaningful way to our largest clients, to our largest deals, convert these capabilities into wins and then really use these wins and capabilities as a competitive advantage. And that's the journey that we are in when we look at our focus service lines. While it's very heartening for us

to see the progress that we have made with respect to NPS that Mohit spoke about, this is really a result of the focused interventions that have also happened as part of the delivery excellence program. So, the delivery excellence was all about how do we ensure that the right talent is allocated for the clients at the right time, bringing in the right capabilities so that the client's needs can be serviced. So, this entire talent planning and acquisition, both in terms of restructuring as to how we think ab out People Supply Chain, using the platforms which are AI enabled, as has happened in a meaningful way. There is this whole program which we run as part of our large deal review with Rohit and myself, which is making sure that we are getting into the right deals, deals that we want to win. And anything that we think is a high risk or is going to be a margin dilutive, there are enough checkpoints so that we can have those calls so that we don't really enter into those kinds of risky contracts.
And as we have looked forward, the building the right industry solutions to take to our customers in a meaningful way. The good part of our service line construct, when we look at our service lines, we have the verticalized service lines which are really f ocused on building deep domain solutions and capabilities that can be taken to the customers. We have our horizontal service lines, like Cloud & Infrastructure services, Next -Gen services, E nterprise Apps, Design, etc., which are really focused on building these horizontal capabilities. Now, marrying these 2 and taking these solutions and accelerators in a meaningful way to the customers is really resonating very well. So, when we look at our large deal wins, it's also backed by the solutions and accelerators that we have been able to build which show that the productivity and efficiency that we can drive. So NPS is definitely one way to look at it but there's really no bet ter proof point than what we look at when the customer talks about it.
So, we speak about building a delivery organization which brings in innovation, which brings in agility, which brings in resilience. And this quote from Kate, who is the CEO of Brighter Speed, actually speaks about what we have been able to drive as a business transformation for them itself. This is really what the core and

the heartbeat of any organization is, which is a delivery organization, which is
being transformed through learning and development, through the process and
quality controls and checks that we have brought in, through the P eople Supply
Chain processes that are getting completely revived to make sure that they become
tuned to the latest needs of the industry. And this is how we are really making sure
that we deliver to the margin and the delivery excellence goals that we have set for
ourse lves for FY27.
So, with this, I will take a pause and invite Rohit to walk us through how we are
building a more sustainable financial organization as well.

Rohit Anand: Thank you, Atul, Mohit. So, with the view on the 3-pillars that we had shared , the
strategy with you guys a year earlier and the progress we have seen, I just want to reflect that in charts, so that we bring all of this together and what the future looks
like for us, right.
So, if you look at deal wins, we have gradually ramped up from the

Q4 of last year,
each quarter from $ 500 million to $798 million in the recent quarter. I think the
more important point is the diversity of the deals, right, between geography,
vertical, type of clients we are servicing, right, that diversity is very important. And second, the rigor we have as Atul mentioned on the deal review qualification
process, right. We have a whole contract management team that we have set up
which looks at each and e very aspect of this deal and makes sure that the diligence
is very strong, so that the customer choice as well as the project choice is rightly made. And we are very diligent in that process, so we want to reiterate the
qualification of projects is a very important aspect as we grow this deal in pipeline.
So, pipeline as well as deal wins growth with the quality is very important.
When you look at revenue, we were negative last year as Mohit mentioned, we
have come to a flattish view this year. I think our goal is, be ahead of the peer
average by FY27. That's what we mentioned in FY27, and we are slated to go in

that path as we move forward. We obviously have some macro headwinds that you
all know of in the current stream, but we are continuing monitoring that. But our
long-term goal of FY27 still continues to be in that path from a revenue standpoint.
When you look at earnings, EBIT percent, we started with 7.4 percent in the quarter
ending last year and that was without any unusuals. Through the year, we had some unusuals and I will ta ke you to the full year walk in the next page. But 7.4 percent
to 8.5 percent , 9.6 percent , 10.2 percent , and 10.5 percent despite a wage hike that
we announced in the recent quarter. So, we have had sustained momentum each
quarter that you have seen progress in the margins and various aspects, as Atul mentioned, it's not just one area. There's multiple efforts that are going through
Proje ct Fortius that we are working on and I will do a margin walk to you that
where do we see the maximum improvement and where do we see a vision from a
future standpoint.
And we stay committed on our ROC E goals. We have got to the 22 percent in this
quarter. I think long-term commitment, again, to you as a function of profitability and growth is get ahead of the 30 percent mark and we are committing ourselves
towards that goal as we move towards our financial journey, which we had clearly
laid out to you guys' last year.
And these are some of the metrics that we also shared beyond the key numbers to see some of the inputs between growth metric, margin, and organization , talent,
and how we are progressing on that. I think Mohit already mentioned the growth in accounts which are greater than $ 20 million revenue for us. It's grown by 2.3
percent against a flattish organization growth, which is year -on-year also a change
of 400 basis point plus. So that's a big positive for us with the peak and prime program that we have launch ed. The focus that we are doing in top accounts, that's
very important.
Contribution from the key geographies that we defined for ourselves, I think that's
gone up year -on-year. Had it been not the pressure we saw recently in Americas
due to which you saw a growth drop off, I think this number would have been

much better, but I think this will anyways take time. This is a long -term makeshift
that we are trying to drive. So, it's a long -term trajectory that we will keep on

getting better on.
Net new deal wins I already spoke about. In terms of enterprise, there's a segment that's improved year -on-year at 66.9 percent now, improvement of 1.6 percent from our last -year perspective. So, growth, you have seen improvement in pretty much all the metrics we shared with you.
And similarly, margin, entry -level workforce, we continue to drive the program this year as we have committed. So, we

get better there. C&B is a reflection of all the efforts we have done on the fixed- price program, as well as overall margin actions. And then percentage revenue from service line, what Atul just shared with you. The growth there is very important for us because these are high -growth service lines. These are differentiating service lines which put us ahead of the customer in all large deal wi ns, as well as they're better in margin. So, we want to continue to drive focus investment here.
Organization talent, very core of the foundation or the organization we are trying to build, as Atul shared in his page s, learning and development, ensuring that everybody gets reskilled, everybody gets upskilled. We want to encourage that culture within the organization. We have invested a lot already on learning and development. We will continue to invest a lot more in th e next few years. So, this is going to be a big focus for us, and you can see the improvement of upskilling that has happened across the organization. I mean, we want to drive diverse and inclusive organization. There's multiple diversity metrics that we drive for. But one of the ones which we shared last time with you was gender. We have improved in that year -on-year also.
And then the clients that we continue to drive, Gen AI, Generative AI is a big focus. Mohit mentioned about it. That will continue to be an investment area and we will continue to track our progress on this as we move forward as well.

So, this is the roadmap for last, the year that just ended. We had reported 6.1 percent margin and we said there were certain one-timers that won't be repeated. So naturally, the baseline gets a little better. From that comparison, we have had the year at 9.7 percent, and these were the buckets we shared with you. We will continue to drive cost -saving through Project Fortius each year. And the bucket has to be similar each year, so it's kind of linear. Then we will get some positive portfolio mix based on the choices we are making between certain geographies, certain verticals, certain project types. And then wage hikes that we announced in January, including investment. Investment, as I said, when we sp oke about it as a team, when we sat around it, we made a plan re-em phasizing that for long term we have to invest in the business and not think about an extra percent margin expansion right now. This investment of a percent plus which we had articulated is very important for us to drive service line capability, to drive i nvestment in tools that give us long term margin improvement, invest in the pyramid of the organization. So, it's an area where it's a long -term vision and very important and we continue to push ourselves to commit to this and we will continue to drive tha t next year as well. In fact, in a tough macro environment we are even more committed to get better talent, better leadership as we move forward to make sure that we drive from a long-term organization change perspective. So, this is what we delivered last year and same path we have for the next two years. That's exactly detailed into each and every lever that we are going to get into to make sure there's a linear improvement in margin that you will see over the next 2 years.
And these are some of the other working capital and capital return metrics. So, you can see DSO is consistently down over the last few years from 97, 96, 92, to 88. We still feel we will continue to push this further through various improvement on terms, through various improvements in the way we drive operational project execution s o that our unbilled days gets down and hence we can drive more productivity even in future.
From a free cash flow perspective, we generated 122 percent of free cash flow as a percentage of PAT. Last year also we were exceeding as a percentage of PAT

there. We will continue to drive this metric in a positive direction. And then, as committed, more than 85 percent of FCF returned as dividend. That's what we have done for this year. And that's an increase year on year and we will continue to push that envelope as we move forward.

Portfolio integration, Atul spoke about it. It's an important part of our margin as well as growth journey both. Because the capabilities that we had acquired historically, we had kept it isolated in different pockets and ownership. We have now integrated everything in this year in the front office. So, everything is integrated between a sales and a service line structure. Similarly, from a middle office perspective, capabilities are all with Atul and his service line leaders. So, it makes a better portfolio when we go to customer to offer. The differentiated capability is much better. And then we already had spoken to some of you on our back -end integration. We are expanding our ERP system to all portfolio companies. That process is on. We are 60 percent there. I think the next year, we will continue to drive more - 100 percent closure, which will drive more G&A optimization, better simplification, governance, compliance, as we move forward. So, it's a big part of our integration process and we have already seen the benefit. We have seen the benefit in BORN , which, as you all know, is a lead ing service line for us to get into customers, differentiate ourselves with that capability and win large deals. So that's playing out very well. And similarly, in HCI, we were able to pull in, with that capability and relationship, the other service line to get much bigger share of revenue than what HCI themselves got as a delivery unit. So, I think very, very early stages but I feel this is going to grow much more as we move forward and as the integration goes more deeper into back office as well as middle office.

And investment, I mean, this is exactly the same page we showed. We are still committed to these areas. We are going to invest in service line capabilities. We will continue to invest in the ecosystem on our productivity efforts. As Atul mentioned, talent is a big focus for us and then from a sales and key vertical perspective we are doubling down in regions where we have verticalized the

regional structure and we have gotten talent, as I had mentioned. Even in this year, with a tough macro, this is a perfect opportunity for us to get the right talent and we will be very aggressive on that as well.

And just as a key takeaway, I want to leave it with a few points, I mean, it is a tough macro situation right now, but we are confident with the transformation we have made that with the macroeconomic challenges, we will continue to progress in our journey. And we will continue to watch the environment very closely along with that. So, margin growth has been sustained. I think we are very confident with the process and all the pillars of levers of margin improvement that we have laid. It's an engine that wi ll continue to drive on a long-term basis. We will also ensure that the deal wins are more sustainable as we move forward. Obviously, there's some lumpiness on deals over quarter on quarter. But on a long-term basis with the pipeline we have, with the qual ification process we have, with the selection we have, we are very confident that this will move in the right direction. I think Gen AI, as I mentioned in consulting you can talk to Arjun through the dinner. I think we have areas of investment for us along with various service line capabilities. We will continue to double down here. And our reinforcement in our policy to return back capital to the shareholders, that continues to be predominant, and we will stick to that.

So, I just want to leave with these commitments and the progress as we see it today. I will hand it over back to Atul to

wrap up and open it up for Q&A. Oh, sorry, Mohit. Apologize.

Mohit Joshi: Thank you, Rohit. You know we are at the end of the session like I said, really grateful to all of you.... We are really grateful to all of you for the support that we had last year as we were rolling out the plan. Clearly, a lot of things could have fallen through the cracks. But I am really happy that this is a fairly straightforward business. I think we had a fairly simple plan that we presented to you. I am really

happy that it has started to come together really well. And I wanted to thank the team that we have. We just have an incredible team.

Many of them are here today our SBU leaders, Harsh, who leads our APJ business, Harshul, who leads our Europe business, Sumit, and CTL from our US portfolio. We have a number of our service line leaders here including Sahil, who used to head up our D igital Enterprise Applications business. We have our finance team here. And I feel that in the past one year, the team has really come together well. It is incredibly aligned. We have a very clear sense of the mission of what we have promised to accomplish by FY 27, and we are not deviating from what we have promised. My own sense is, and again, it sounds like a bit of a truism, but if the one lesson in life for me is that people and companies who know what they want to accomplish usually find a way to get there and that is where we are.

Thank you all again for your time today. Look forward to our discussions over dinner. And thank you all for your support. That really gave a lot of confidence and credibility to our plan. The positive reception by the market really gave a lot of confidence and credibility to the plan through the past one year and hopefully you have seen that we have built a foundation to deliver on our commitments.

Thank you.

Leah Jena : Thank you, Mohit, Rohit, and Atul. We will now begin the Q&A session. We will first take questions from our guests present here followed by guests who have joined us virtually. For in -person guests, we would request you to please identify your name and organization before asking your questions.

Ravi Menon : So, I had a few questions. One, if you could talk about the margin tailwind from the 1 percent top line reduction from scaling down non-core businesses. Then the Forex margin tailwind in Q4. And the benefit to margin from support functions consolidation of portfolio companies. And how many global Fortune 500 customers did we have in FY24? I know yo u talked about what we have now but

just for context, how many did we have last year? And how do you define the entry -level workforce, is it 0 -3 years or something else? And what's your current offer acceptance ratio for lateral hi res?

Mohit Josh i: Thankfully, most of them are for Rohit.

Rohit Anand: So, sorry, I didn't get the name. Can you just...can you hand over the mic, please? Yeah, Ravi, can you repeat on the margin walk your question was on mix? If you can just repeat that, please.

Ravi Menon : The tailwind from the 1 percent top line reduction from scaling down non-core businesses.

Rohit Anand: Yes, so that's a 1 percent impact on growth that is there in FY25, where as stated, we said we will not focus on non-core portfolio. And it was a conscious effort in certain geographies and areas where we didn't see long -term strategic alignment that we wanted to make sure that we scale it down. I mean, we had already done a lot of that in FY24, and we said a tail of that is left in FY25. That is the portion of the business that we scaled down. That's the impact of 1 percent on growth for last year.

Ravi Menon : But that will have a margin benefit, right, that's what I was asking?

Rohit Anand: Yeah, yeah of course, that's the margin benefit that we are getting in this year as well continues as a full year benefit next year absolutely, that's right.

Ravi Menon : But you can't quantify that though.

Rohit Anand: I mean it is a part of the effort and the project Fortius, so you can look at everything accumulating as one stream of benefit, and this is one of the streams that we have. So, I mean I would say it is 20 basis, 20 to 30 basis point within the whole scheme of improvement you have seen. But very important because the risk it carried was much more, so it is more a risk and reward de cision than really the margin impact.

Ravi Menon : Thank you so much. And FX margin tailwind in Q4?

Rohit Anand: So, FX is minor, it is around 30 to 40 basis points that we have seen in this quarter, that's the benefit that we had.

Ravi Menon : Okay. And the benefit of margin from support functions consolidation of the portfolio companies?

Rohit Anand: Not yet, so we have not yet done that so it is FY26 plan. We have already started executing on it and it is a part of the roadmap for this year's margin.

Ravi Menon : And, Mohit, how many Global Fortune 500 customers did we add this year?

Mohit Joshi: Look, when we mentioned in the deck that we have added about 45 must -have accounts, now for the must -have account definition it's…obviously the Fortune 500 clients are within there. But it also includes other clients which may not be Fortune 500, which may be let's say you know a certain minimum threshold let's

say over $ 2 billion but where we feel there is significant headroom for growth,
right. Now if I look at the 45 clients that we added I would say roughly about a
quarter of th em would be Fortune 500, so to that degree you can say that 10 percent
or so thereabouts of the Fortune 500 clients that we have are added in the past one year.
Ravi Menon : Thank you. And how do you define that entry level workforce?
Atul Soneja : Entry level workforce that we define is 0 -3 years as you rightly pointed out, that's
the definition that we do. So, we have our internal bands that we use, yeah, 0 -3
years.
Ravi Menon : And what's your current offer acceptance ratio for lateral hires because you talked
about how ESAT has improved but at least it is trending up a little bit, so just worried a bit about the lateral hiring.

Atul Soneja : I think it really varies significantly based on the capabilities that we are having.
Our generic skills it is above 70 percent , for some of the niche and premium skills
it comes down less than 50 percent , so it hovers from around 45 percent to close
to 80 percent depending on which skills we are targeting there.
Leah Jena : In the interest of time, we will only restrict to one question please.
Sudheer Guntupalli: Yeah, thanks. This is Sudheer from Kotak Mutual Fund. So, we have around 42
percent year-on-year growth in deal wins which probably no other, none of our
competitors whom we are benchmarking against have at this stage. Secondly, we
also have very high exposure to telecom which may be relatively insulated from
this tariff situation unlike a retail so on and so forth. So, given these two advantage
factors that we are carrying into FY26, can that target of doing better than industry average growth, can that fructify in FY26
itself, number one. And second is on
margins given that you seem to be little bit ahead in terms of the target 15 percent
rate, if you actually go there faster than what you are baking in at this stage, will
you recoup that back into business or will you let it flow in

to the P&L?
Mohit Joshi: I think as I had shared with Kawal because he had asked the exact same question
and I told him the secret of happiness is low expectations. Look, I think we are
very happy with the deal wins that we have had. But clearly, you've also got to
account for the fact that in the past three months I'd say almost from January
onwards, right, we have started to see a softness in certain sectors, we have started
to see a softness in manufacturing, autos specifically, we have started a soft ness in
hi-tech. So, we have to weigh that against the fact that the large deal wins are very
significant and will contribute and will deliver growth in FY26. From a Telco
perspective, Telco has not been impacted by tariffs yet because there is still an
exemption for tariffs but on the other hand Telco economics continue to be you
know, stressed, right. A lot of the expectations from a Telco perspective was driven based on expected declines in interest
rates and they have been slower than
expected. There is also concern about the consumers slowing down especially in
the US and the impact there has customers switch to cheaper plans. So, I do feel

that capex spending from a Telco perspective continues to be very low. So, I don't
feel that Telco is really in an expansionary mode as far as enterprise tech spend is
concerned. The opportunity for Telco for us candidly is going to be consolidation,
right . There is going to be consolidation in the sector, we are already seeing signs
of that in Europe and in Asia Pacific where we have delivered a better set of
numbers. So, I feel that the opportunity in Telco will be more consolidation driven
and for us com -lever driven rather than driven by an increase in spend.
Sudheer Guntupalli: Margin?
Mohit Joshi: On the margin s front, look I feel , that as Rohit mentioned , we are moving into a
tough macro environment, look I think we had candidly stated when we had
presented the t hree-year plan, this t hree-y ear plan is not based on explosive growth
or Covid era growth coming back but it is based on normal growth coming back to
the industry. Now clearly growth in FY25 was stressed not just for us but for the
entire industry. Growth in FY26 also looks like it is goi ng to be stressed. We have
to make sure that we will be able to deliver against that headwind, so I am really
not, you know, at the end of the day a level of margin growth also requires revenue
growth and as of now the overall you know, macroenvironment does look stressed.
I feel that we have a lot that we want to invest in the business from a growth
perspective so, we will have to take that call as and when it happens. But as of now
I would just account for the fact that there are more headwinds from macro

perspective than tailwinds.
Rohit Anand: And maybe the reason for one question was also that we will be carrying for dinner so we can have more opportunity to talk.
Surendra Goyal: Surendra from Citi. A couple of questions, firstly you alluded to macro uncertainty a few times, did it actually have an impact on your business towards the end of quarter? And anything that you are seeing for say in the immediate near term?
Mohit Joshi: I think it did have an impact, so clearly, we saw discretionary spend in auto being cut during the quarter. We also saw some headwinds in…we called out one of them

from our hi -tech perspective that impacted our BPS business in the quarter. There were also some, you know, BPS ramp ups that we were expecting that have gotten slightly pushed out, they haven't been cancelled but there is some push out that is happening. So, clearly there is you know 2 or 3 examples about macro impact that we are seeing in the US specifically.
Surend

ra Goyal: And going forward anything that you are expecting …
Mohit Joshi: Well, we did see, look, I think BPS did see you know some recovery in March, so we are hoping that you know that's a sign but no, on the whole , look it is very hard to tell, it is very hard to tell. The good news is that we have a very diversified portfolio, right, which really is now our strength because we have very significant footprint in Europe, our APAC business has been growing gangbusters and we also have a strong presence in certain attractive markets in India, Middle Ea st, and Africa. And so, I feel that while obviously there's a lot of focus in the US the fact that we are running a globally diversified business and the fact that we are running a vertically diversified business does provide us with a level of cover as opposed to you know if you were getting 90 percent of our revenue from a single market.
Surendra Goyal: And on the deal TCV while the growth is quite impressive, but Tech Mahindra has done more in FY22 and FY23. So, is there an aspirational number you have in mind which can give you the industry leading growth that you are targeting in FY27 for the deal flow number for FY26.
Mohit Joshi: No, look, I think as far as deals are concerned as we have said you know we are very happy with the momentum that we have. We also want to make sure that there's a lot of discipline that we have in the deals. If you look at not just Tech M
in the past but a lot of companies have challenges is where in the sort of… deals are obviously very attractive, we all love deals, we love talking about deals, but we have established fairly strong guardrails. So, to that degree we will always be prudent about the deals that we sign up to because we are very focused on delivering on our margin commitment.

Surendra Goyal: Thank you.
Rohit Anand: Just, Suren dra, to add there the range $ 600 to $ 800 million with that we have been articulating for the view we have right now is the range bound sufficient to Mohit's point of the environment the situation gets better we will obviously up it given the growth that we have to deliver.
Surendra Goyal: Thank you.
Abhishek Kumar : Hi, this is Abhishek Kumar from JM Financial. Two questions on deals, one is you know, we have been winning deals despite being little prudent on the margin profile. In an environment where the budgets are constrained and the competition
is little more aggressive, do you think that's a risk --- as a strategy is that a risk going into FY26. And second related question, did we see any change in the deal closure momentum towards the end of March or in April. Thank you.
Mohit Joshi: Yes, I think what we have been ---- the reason why we have been winning deals despite the greater prudence, I mean you would say you are being more prudent, but you are winning more deals. I think the thing is that we realize there are certain strengths that we had as a company, and we are able to articulate that quite effectively. And this environment the fact that for instance that our pyramid is less broad based than our peers, the fact we are effectively running almost a diamond in terms of the talent structure is very attractive to clients. We just have not been able to articulate that story you know maybe in the past. We have been articulating the story of the fact that there is a deep engineering strength in the company, the fact that our average years of experience are much higher than our peers. The fact that we have differentiated software capabilities from a telecom perspective, the fact that we have deep relationships because of Mahindra Group. So, beyond being

price compa rative I think these factors are helping us maintain that deal momentum. There's always a balance that we need to

draw between being
aggressive in a marketplace. I feel that where we are being especially prudent is being on the contracting side where we are not taking on open ended liabilities, where we are very clear about defining the scope of what needs to be done, and

making sure that the solutions are fleshed out to a level of detail where there are fewer suppliers. So, that's been the focus not just prudence in terms of price but also prudence in terms of contracting.
Atul Soneja : And just to add as well, Abhishek, it is also around the capabilities that we have built as part of our strategi c solutions team which we spoke about - deal architects and solution architects. I mean combining the capabilities from consulting to engineering to BPS to IT and solutioning it well enough so that it is valuable to the customers, right. Using the focus dri ve that we have built in building the deep capabilities on AI, automation, etc., using its part of the deal constru ct. I think the focus that we have is not just being going away from deals which are large, it is about making sure that the deals that we are getting into we can actually execute it and better during the deal execution phase. So, that's the approach that we are taking.
Rohit Anand: Maybe one more point I want to add, maybe, Mohit, with something that I have a personally observed in my four years here, I think the individual involvement of each and every S BU leader on deals that we are seeing is much than higher than we have seen before so that's something. And maybe it is driven by what Mohit comes back with a background and he has been personally involved in deals I think everybody is getting in that depth probably that is also differentiating, and obviously we have added sales talen t across the geographies you know that's an investment we did. So, those are supplemental factors that are very important, right, there's no substitute to the depth that you want to go into each deal and know the solution yourself as leaders. And momentum -- to your question I think this is significant we saw towards the quarter end of the deal closure of the momentum.
Mohit Joshi: No, I think look we have not seen any deals being cancelled or being delayed, if anything you know there is pressure on clients from a cost perspective. So, we feel that will be helpful for us you know we have our BPS leader, Biren, here as well and we are seeing traction in deal activity in that segment also apart from IT services that we referenced previously.

Leah Jena : In the interest of time, we will take one last question offline.
Vibhor Singhal: Thanks, hi. Vibhor here from Nuvama. So, Mohit, my question was on the manufacturing vertical I think you mentioned that's what the vertical, which is probably likely to face, we have heard commentary from the peers also. And in the last couple of days most of the E R&D companies have also been basically talking about that. How are or what are we seeing in that vertical at this point in time, do you see that as a potential headwind which kind of mitigates the growth that we could get from telecom or large deals.
Mohit Joshi: Sure. I think Manufacturing is an interesting run rate because our exposure, for instance, to European auto with the exception of Pininfarina is somewhat limited so our exposure there is somewhat limited. We do have exposure to US auto, but we have also one other deals that we referred to in ou r commentary was a large aerospace win, right. So, we are also diversifying across beyond auto into aerospace as well. We have a large process manufacturing footprint, and we won a very larg e deal with a German chemical company on that side. I do feel that our portfolio is balanced enough. So, while we are calling out

the auto exposure, I also want to point out that our manufacturing is not just auto, we are seeing good traction in Japan, where historically it's been a very difficult market. One client for instance did 22 site visits before they signed us up for an ODC but again they told us that look it is going to take a long time but then this is a relationship for life, so we expect to ram p that up.
Our engineering team under RV's leadership and our manufacturing team under Mani's leadership and obviously the market leadership that we have with Krishna and with you know Mukul and the others, we are building out very deep solutions.

So, for instance we have built out a vehicle recall and safety solutions. We have built out warranty management solutions, we have built out F actory of F uture solutions that we had we spoke about at Industry 4.0 solutions for the g roup itself. So, I feel that depth of the so lutions with diversified manufacturing portfolio should protect us even in the phase of a slowdown and there clearly is a slowdown,

right. H1, we had grown in manufacturing, in H2 we shrank. But maybe less exposed enough appears to Europe auto.

Vibhor Singhal: Got it, thanks.

Leah Jena : We will now take questions virtually.

The first question is from Rodd Bourgeois at Deep Dive Research. Are there certain types of services that are best resonating with clients amid today's heightened macro uncertainty? Are you more actively emphasizing certain offerings to clients in order to help them respond to their macro challenges?

Mohit Joshi: Yes, thank you, Rodd . So, I think , look one is obviously there is a focus on consolidation and cost, right, and the fact that we have been seen as a credible player historically, the fact that we have a diamond shaped talent structure is very attractive to clients because while they want to take out costs, they don't want to take risks either. So, clearly consolidation and cost take out opportunities are going to be significant. The one other area I'll call out is GCCs, as you know we announced GCC strategy about a month or so ago even though we have been working it for a long time. But we have created at the end of the day TechM itself came out of a GCC, right. We were initially a JV with BT, so it is a space we understand very wel l. So, building out specific solutions for GCCs, hiring new GCC leadership under Sahil and working on solutions that go all the way from build, operate and transfer to a build out option to you know supplementing them on their variable capacity. These are all solutions that we are working on, and we have had some interesting recent wins in the GCC space. Apart from that you know across the board for all of our vertical sectors whether it is L ifesciences, whether it is M anufacturing or F inancial Services, we continue to see pockets of opportunity.

Leah Jena : The next question is from Ankur Rudra – JP Morgan. Your revenue growth chart did highlight an acceleration versus deceleration perhaps for the industry. Where do you see industry growth heading to give the pushes and pulls this year? If

normal industry growth doesn't come through in FY26 or FY27 which of your margin levers to lift margins to 15 percent would be at risk? What level of quarterly or annual deals do you need to get , to say, mid to high single digits growth in a year?

Mohit Joshi: Hi, Ankur. Lots of questions, let me answer some of them and maybe I will pass it on to Rohit for some of the others. Look as far as the industry growth rate is concerned candidly you know, we have been studying your estimates as I am sure you are studying our estimates. We have seen from industry growth expectations in November where we have single digits, moderated in January mid -single digits moderat

ed again now to I think the average has come down to low single digits. So, I think it is a discovery process, there is still not enough clarity about where the industry growth rate will be. Obviously, we are working on our own plans, clearly, we have got some deal wins but clearly equally we see some headwinds as well. We are trying to make sure that despite wherever the industry is that our focus remains very clear on making sure that we are winning market share and that we are focused on our Fortius transformation journey. As Rohit mentioned we continue to believe that the $ 600-800 million range is a good range for us to be in, again large deals are lumpy so we may fall out of this for a particular set of quarters. But we feel that is a reasonable aspiration for us to have, to meet the expectations that we have from our revenue growth and margin perspective.

Rohit Anand: And I think nothing to add more, Mohit, all I would say is that the environment is obviously evolving and I think we are very close to our customers and I think the team who is here, people who are here should interact with what you are hearing from them, from the field that's why we have called everybody here, that's a good opportunity. Rather it is evolving, and we are very close to our clients to make sure that we are creating our plans which are accomplishing the goals we hav e set for ourselves. So, I think it is an evolution and we have Plan A and Plan B, so we are very committed to what we set for ourselves towards the FY27 goals. And revenue wise the way you should look at it is our

aspiration is to closing in the gap, right,
historically organic growth of us was always trailing the peers, I mean this is a

chart one of the analysts had shown to us as well that we've always lagged the peer growth with this fair degree of range. I think our aspiration is to close that range over this year, and FY27 as we have already stated be ahead of the peer growth average.

Leah Jena : We will now take the last question from Yog gesh Agarwal from HSBC Securities . What percentage of loss- making businesses have already been pruned? Is there more to go or mostly done last year? Can you provide some color on the BPO business composition percentage of voice and non- voice? What could be the potential impact on Gen AI on this business as BPO is usually the first target area for Gen AI optimization?

Mohit Joshi: Yeah, so look I think from a BP S perspective the business has really evolved over a period of time, right, and you know I feel that Biren and his team have put together a great strategy making sure that we are building out vertical capabilities but also end to end horizontal capabilities rather than purely voice and contact center capabilities. I feel the shift has been from a business which was historically almost 70 percent voice and contact center to a business that maybe is slightly over a third voice and contact center so that's a transformation we have driven. I also want to point out that in the even in the contact center space we have created a huge set of agent assist and you know agentic AI solutions that is now able to offer clients a package which consists of you know agents plus human effort. So, it is not purely a b ums on seats model anymore. I do feel that the BP O business has been through multiple rounds of automation, multiple rounds of technology interventions, but the demand is still there, and I do feel that we are doing a good job in winning market share because clearly, we are seen as a technology enabled player. So, I continue to remain optimistic about our potential as we transform the BPO business to be more of a agentic AI plus human exercise rather than purely a sort of a FT E driven model.

Rohit Anand: You know, from a loss-making business perspective we h

ave done I think some
actions in FY24 that you know, we had few actions that I mentioned this year

around 1 percent that we have not taken or walked away from. I think as we move forward these are all mostly now recovery portfolios for us. I think we have given examples about some of the portfolio companies which were underperforming and had strong alignment with BPS, we have given it to Biren. We are working with a strong margin improvement plan. And I think we are midway already in that journey through the year I think we will see improvement in their profitability as well. So, I think it is still ther e, but it is more a correction of what the entitlement is for them versus just giving away that revenue now.

Leah Jena : Thank you, Mohit, and Rohit. If you have any additional questions, please reach out to our IR team, we will now conclude this stream for those who have joined us virtually . For our guests present here we invite you to please have dinner with us. Thank you.

Mohit Joshi: Thank you.

Rohit Anand: Thank you.

Call: Jul 2025

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21st July, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM
Subject : Transcript of the quarterly earnings conference call for the quarter ended 30
th June,
2025 – Regulations 30 and 46 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings conference call vide letter dated 4
th July, 2025 and
audio recording of quarterly earnings conference call vide letter dated 16th July, 2025.

Dear Sir/Madam,

In terms of Regulations 30 and 46 read with clause 15 of para A of Part A of Schedule III of the SEBI Listing Regulations and in furtherance to the outcome and audio recording of the Quarterly Earnings Conference Call filed on 16th July, 2025, please find enclosed the transcript of the said Quarterly Earnings Conference Call of the Company for the quarter ended 30th June, 2025, held on Wednesday, 16th July, 2025 after the meeting of the Board of Directors for your information and records.
The text transcript is also uploaded on the website of the Company and can be accessed at the weblink:
https://insights.techmahindra.com/investors/tml-q1- fy-26-earnings -transcript.pdf

Please note that the Company has referred to publicly available documents for discussions and no unpublished price sensitive information has been shared during the aforesaid conference call .

This intimation is also available on the website of the Company at the weblink:
https://www.techmahindra.com/investors/
Kindly take the above on record.

Thanking you,

For Tech Mahindra Limited
Ruchie Khanna
Company Secretary
Encl.: as above

Tech Mahindra Limited Q1 FY 26 Earnings Conference
Call

July 16, 2025

M
ANAGEMENT : MR. MOHIT JOSHI – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER ,
TECH MAHINDRA LIMITED
MR. ATUL SONEJA – CHIEF OPERATING OFFICER ,
TECH MAHINDRA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q1 FY '26 Earnings Conference Call .

We have with us today Mr. Mohit Joshi – Chief Executive Officer and Managing Director, Tech Mahindra , and Mr. Rohit Anand – Chief Financial Officer, Tech Mahindra.

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Joshi – MD and CEO for Tech Mahindra. Thank you and over to you, sir.

Mohit Joshi: Thank you. Good morning, good evening, and thank you all for joining us.

We are pleased to share that Q1 reflects progress aligned with our stated plans. While the environment remains dynamic and uncertain, our continued execution is building confidence that we are on the right path. For the quarter, we reported revenues of $1 ,564 million, reflecting a 0.4% growth year -on-year and a 1 .0% decline on a constant currency basis. The performance was driven by growth in the Communications, Retail and BFSI verticals.

The year -on-year headwinds were primarily due to our Field Service business, which we are right -sizing. We also saw spend reductions in the Automotive sector, which impacted year -on-year revenue performance. Importantly, this marks our seventh consecutive quarter of margin expansion. This is a significant milestone and speaks of the rigor of our operating model and our continued focus on cost efficiency and the quality of our revenue mix.

Let me now delve deeper into our performance:

Our Communications vertical posted a year -on-year growth of 2.5% on a reported basis, supported by stabilization and spending in our top clients.

Looking ahead, our strategy is to leverage the strength of our long -standing relationships with global communications service providers and leverage our unique capabilities in IT, networks, and the Comviva software suite.

We have a unique right to win in this vertical and are actively investing to scale our capabilities in digital platforms, API monetization and vertical-specific services to create adjacent revenue opportunities.

The Manufacturing vertical declined by 4%, impacted by softness and discretionary spend within the Automotive segment. To elevate our growth position in this vertical, we continue to engage

closely with key manufacturing clients, and our Manufacturing Experience Center, which was inaugurated in January this year, has already hosted over 60 client visits. It is becoming a true showcase of our manufacturing capability, innovative mindset, and our distinctively experienced staff.

Our BFSI vertical reported a year -on-year growth of 4.7% and continues to be one of our fastest growing verticals. The marquee Fortune 500 and Global 2000 customers in financial services and insurance have engaged with us, enabled by our key differentiation in asset and wealth management, payments and core capabilities in platforms like Guidewire and Temenos. We remain confident about our long-term potential in this vertical across all of our geographies.

Our Hi-Tech vertical declined by 3.3% on a year -on-year basis, on a reported basis. The decline was driven by ongoing restructuring in the semiconductor industry, including steep budget cuts

and workforce rationalization at a key client. While these headwinds are playing out, we are strengthening our capabilities in silicon design, embedded systems and digital product engineering. Our client engagement remains strong and anticipates a gradual recovery in the
second half of the year.
On a year -on-yea

r basis :
America has declined by 5.9%, Europe grew by 11.7% and the rest of the world increased by 2.9%, with both regions aided by favorable currency tailwinds. In our client metrics, we have added 2 clients in the $50 million bucket over last year. This clearly demonstrates our ability to scale engagements and deepen relationships within key accounts.
On large deals :
TCV for the quarter stood at $809 million, a 44% increase year -on-year on an LTM basis. Our centralized solutions team and contract management group have yielded positive results, particularly in securing multi-t ower high-value deals. Additionally, large deals over $25 million now make up a higher proportion of the total TCV.
The deal wins are broad -based across Com ms, Hi-Tech , BFSI , and other verticals. A few of our key wins include –
We were selected as a key growth partner by one of America's leading consumer wireless operators for its customer operations transformation. The designation as a growth partner unlocks the doors to all future opportunities as per the client's new sourcing strategy.
We were engaged by a leading global Hi -Tech company to help them deliver truly immersive user experience powered by their LLM platform. TechM will ensure enriched experience for more than 2 billion users while ensuring the platform remains safe and secure.

TechM was chosen as a prime partner with a leading UK -based telco for a multi -service line deal to deliver and manage applications across its fixed and mobile networks. The scope includes delivering services across application services, network services, next -gen services, engineering services , and digital enterprise applications.
We were engaged by a railroad customer in the Americas for the development and support of a portfolio of applications across multiple corporate functions of the company and across multiple technologies including SAP, Salesforce, and data analytics.
We were selected by a leading global fashion apparel brand for a multi -year strategic engagement to provide digital and data transformation and support services. The scope includes SAP Fashion, Cloud and Data and AI, digital commerce platforms with a dedicated Global Capability Center or GCC, to drive innovation, cost efficiency and business agility.
Overall, for our financial progress, we are beginning to see early results of the structural changes and the strategic choices we have made. Our deals win momentum remains strong and we expect this to strengthen , reflecting in our growth in the next quarter.
In sum, our margin trajectory is steadily strengthening, and we are confident in our ability to build revenue momentum.
One of the key differentiators in our transformation journey is our formidable team. Let me highlight some important developments on the talent front. Amol Phadke has joined us as Chief Transformation Officer and will be extending our progress with go-to -market initiatives. He brings over 25 years of experience in T echnology and Business leadership in areas such as AI, cloud, software networks and IT in firms like Google, Telenor and BT.
Additionally, we have seen the internal elevation of leaders into key roles , including the H ead of our Telecom business in the Americas , and the H ead of our India, Middle East and Africa business.
These appointments underscore our strong internal talent bench and reflect our ongoing commitment to building a high- performance organization. We continue to focus on leadership development, succession planning and creating a culture of accountability. Our people remain at the heart of our transformation story. During the quarter, we launched Tech M Zenith, our flagship leadership development program in partnership with INSEAD.
Our AI delivered right strategy which we unveiled last quarter , has been resonating well with our clients. Ou

r value lies in helping clients transition from proof of concept to production, from the sandbox to production systems.
The strategy is being executed on 4 foundational pillars, Transformation Delivered , Productivity Delivered , Innovation Delivered and Assurance Delivered . These pillars are also contributing

meaningfully to our AI deal wins. We now have a portfolio of 200 plus enterprise -grade AI agents across industry segments. Several of these are already in use at scale with our clients. Our agentic AI offerings also include a hybrid human and agent workforce.
TechM's AI consulting practice enables clients to validate ROI and prioritize AI use cases in a systematic and efficient manner as they evaluate their AI roadmap. TechM is well -positioned to support clients effectively, enabled by a more experienced workforce that serves as a strong enabler and key differentiator for the offering. Our 77,000 plus employees across the company trained in AI and Gen -AI, including a critical mass with advanced training and certifications.
We hosted our first -ever Innovation Day, INNOVERSE 2025, during the quarter. This is an internal platform to showcase and strengthen our innovation culture. It brought together teams to solve real -world challenges with speed, scale and creativity. It reaffirms that innovation is a core component of our DNA.
We organized TechM Synergy ’25, a partner appreciation event this month in London at the legendary Arsenal Stadium. It was great to connect with over 125 plus partners and clients. This year's theme, Winning Together with AI, captured our shared ambition and showcased our AI - driven leadership. It also laid the groundwork for collaborative frameworks that will shape the future of our partnerships.
We also strengthened our ecosystem this quarter through key partnerships. Let me highlight a few notable partnerships this quarter –
A partnership with NUIX, a global leader in AI -powered investigative analytics and intelligence software to provide innovative, scalable solutions for cyber and fraud detection ;
A partnership with ServiceNow to deliver next -gen broadband solutions tailored for CSPs, offering a comprehensive vertical solution stack ;
The launch of a new managed service offering for Cisco multi -cloud defense , a component of Cisco's hybrid mesh firewall. The new offering provides enterprises a robust cloud security solution.
On the awards front, we are proud to share that we have been included as a constituent of the FTSE 4Good Index for the ninth consecutive year. Our performance was rigorously evaluated in key areas including corporate governance, health and safety, anti -corruption, and climate change. This independent assessment is a testament to our leadership in implementing robust governance practices and upholding high ESG standards.
We were recognized as one of the Best Organizations to Work For, and as One of the Most Innovative Organizations by ETNow. These recognitions underscore the investments we have made in culture, innovation, corporate governance, and capability building.

In June, I completed my 2 years with Tech Mahindra, and I deeply value the warmth, energy, and openness that define our culture. It is what has made and what makes this journey so meaningful. We look to reclaim the essence of this culture, while driving continuous improvement across the organization.
Many of the improvements we are driving may seem small in isolation, in systems, in processes, in ways of working, and in driving focus and operating discipline. As the theory of marginal gains teaches us, consistent progress across multiple fronts will generate transformational outcomes. We are beginning to see this play out and we are confident this momentum will compound meaningfully in the quarters ah

ead.
With that, I now hand over to Rohit who will take you through our financial performance in more detail.
Rohit Anand: Thank you, Mohit. Good morning, good evening, everyone, and thank you all for joining. Let me start by walking you through the company financials for the 1st Quarter of FY ’26, covering the period June 30. We ended the quarter with revenue of $1,564 million, compared to $1,549 million last quarter. On a reported basis, revenue grew by 1% sequentially and 0.5% on a Y-o-Y basis.
However, in constant currency terms, we recorded a sequential decline of 1.4% on a Q -o-Q basis, and a decline of 1% on a Y -o-Y basis. From an INR perspective, revenue stood at INR 13,351 crores , compared to INR 13,384 crores in the previous quarter , a decline of 0.2% on a sequential basis on account of INR appreciation against the US D ollar and 2.7% growth on a Y -o-Y basis. Our EBIT dollars grew by 30% in USD terms and 34% in INR terms on a Y -o-Y basis. EBIT margin was at 11.1% versus 10.5% last quarter. Headwinds during the quarter on margin included the seasonality that we see in the Comviva business, the higher visa cost, and lower utilization.
These were offset by savings from Project Fortius, operational levers such as favorable offshore mix, G&A optimization including continued progress made on the integration of portfolio

companies, and other levers contributing to cost efficiencies.
Our effective tax rate for the quarter came in at 30%. And as you must recall, the previous quarter we had a one -time refund which got normalized this time. We expect our tax rate as stated before to be in the range of 27% for FY26. Our profit after tax for the quarter was $ 133 million, a Y -o-Y increase of 30%. In INR terms, PAT is at INR 1,141 crores with a PAT margin of 8.5%, an expansion of 200 basis points on a Y -o-Y basis.
Our return on capital employed stood at 23.8% for the quarter, reflecting a sequential improvement of 120 basis points. On a Y -o-Y basis, ROC improved by 600 basis points, driven

by enhanced profitability and disciplined capital allocation. We remain focused on sustaining capital efficiency as we work towards the stated F Y27 target.
We generated $ 86 million of free cash flow during the quarter, which wa s lower, reflecting the usual seasonality that we see in the 1st Quarter of the financial year. This was impacted by an increase in DSO, primarily driven by certain timing -related collection delays, which we see to get normalized towards the next quarter.
Our hedge book for June 3 0th stood at $ 1.64 billion compared to $1.96 billion in the previous quarter. We have adopted a more prudent approach, particularly with respect to entering long - term hedges, reflecting the current volatility in the global currency market. Based on hedge accounting, our mark-to -mark loss for the quarter was $ 9.3 million, out of which $ 3.9 was taken to the P&L, and $5.4 million went to reserves.
Our total deal wins for the quarter stood at $ 809 million, reflecting a growth of 44% on an LTM basis. As Mohit highlighted earlier, we continue to improve our deal -win ratio, which is a testament to the trust our clients place in us and the relevance of our value proposition. More importantly, these wins are broad -based and across multiple verticals.
We have made a good progress over the past few quarters as a part of our margin improvement program. This is driven by a resolute operational strategy , focused on profitable growth and disciplined execution. As we shared during our last quarterly update, we remain on track to achieve the margin improvement in line with our stated F Y27 target.
With this, I now hand it back to the operator for Q&A segment .
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of

Ankur Rudra from J .P. Morgan. Please go ahead.
Ankur Rudra: Hi, thank you for taking my question. The first question is on your demand environment you are seeing. Have you seen any signs of weakness over the course of the quarter because of trade deals or uncertainty there, number one?
Number 2 related question is , signing momentum has improved the last couple of quarters, but we haven't seen revenue momentum improve yet. Any comments in terms of when you see that improving? Thanks.
Mohit Joshi : Thanks, Ankur. Thanks for the question. So, look on the demand momentum, first of all, it's a little bit of a mixed picture, right. As we had shared previously as well, we have seen a slowdown in the A uto sector and in M anufacturing more broadly, an industry that has been impacted the most from a tariff perspective. And there we have seen a cutback in discretionary spending by our clients.

We have also seen some slowdown in the Hi -Tech vertical. This is largely because I feel that Hi-Tech clients react very quickly to downturn or to risks from a recession perspective. And we had, I would say, a client -specific issue from a semiconductor perspective, where semi -clients, this one in specific, had fairly sharp cuts , both in terms of full -time employees as well as from a discretionary spend perspective, right . Apart from that, we have not seen a significant change in demand momentum across the bo ard.
Telco has actually stabilized, as you have seen this quarter and grown this quarter. No significant changes to report from either a BF SI perspective or elsewhere. So, that's the demand environment, weaker in m anufacturing and Hi -Tech , I would say.
From a large-deal perspective, you are right that we have, over the past 3 or 4 quarters, continued to show a steady increase in our large-deal booking rates. But at the same time, we have also had to deal with tougher macro and some run- offs that we have been grappling with.
We do expect that from Q2 onwards and certainly from the second half onwards that the large - deal wins will have completed transition and will start accruing to revenue, provided that the business environment remains at the current level, right . So, you would expect them to start accruing to revenue from the current quarter onwards, given no fresh surprises.

I hope that answers your question.
Ankur Rudra: Thank you, Mohit. It does. Just a follow- up, if I can. You know, you highlighted demand environment has been a bit mixed overall. Some of your peers have highlighted demand environment is not particularly strong, and we have seen some unexpected margin weakness in your peers as well. Do you think it's tougher for you to meet your margin and growth aspiration targets for both fiscal ‘26 and ‘ 27 in the light of this? It makes it tougher to achieve the same target you set in a period where the env ironment might have been better?
Mohit Joshi : So, I think that's a fair question, and as we have shared, when we had originally made the plans for FY ‘27, the expectation was that FY ‘26 would see a return to normality from a growth perspective, right . We knew that FY ‘25 would be hit, because we had set the plans at the start of FY ’2 5, but we expected a comeback to maybe slightly muted growth, but close to industry average growth in FY '26 and a return to standard industry growth rates in FY '27, right . That promise has not been met. Having said that, we are still holding on to our margin commitments for FY '27.
I think one of the key things is that we have been very, very, I would say, prudent or cautious in terms of our large deal sort of structure, very prudent from a contracting perspective and also prudent from a pricing perspective and not wanting to sort of win revenue at any price. I think that has stood us in good stead in this environment compared to our pee

rs who may have been too aggressive.

Moderator: Our next question comes from the line of Sudheer GV from Kotak Mahindra AMC. Please go ahead.
Sudheer GV: Hi, Mohit. Thanks for the opportunity. The first question is on Telecom . So, you mentioned the science of stabilization and demand in Telecom . So, are you also referring to the U.S. telcos, North American telcos? Or is it just the ROW and Europe telcos, which is where you called out stabilization in the earlier quarter session?
Mohit Joshi: So, let me actually give you a more sort of granular picture from a APJ perspective, right . We have seen stabilization and steady growth from a telco perspective. From a India, Middle East and Africa perspective, you know, there is a lot more volatility that we have seen, but we have now got new leadership in place.
We have also reorganized our India, Middle East and Africa business, which historically used to be a geographically structured business, into our standard global vertical model. So, going forward, that should help in growth and relevance in that market.
From a Europe perspective, we are seeing a very significant pipeline from a consolidation perspective, right . There is consolidation in the market overall in terms of the reduction in the number of telcos. But we are also seeing a consolidation of IT services providers and BPO providers for each of our clients. So, that, I think, does present us with an opportunity in that market.
Also, from a Comviva perspective, we have made significant breakthroughs from a Comviva software suite perspective in Europe. And I think that combination of software and services in that market gives me a lot of hope from a long -term perspective. Again, b ecause these are consolidation opportunities, and I am hopeful that we will be on the winning side of these consolidations, that should give us a boost in the future if we win these deals, right .
The Americas, as you know, historically has been a challenge for us because we did see a sharp reduction in spend from our largest clients. We feel that that level of spend has now stabilized, and we should be looking back, we should be coming back to growth in that market. But again, as of now, I would just say that we are seeing a level of stabilization. S o, that is a sort of broader global region by region picture for you.
Sudheer GV: Thanks, Mohit. Very insightful. The second question is on U.S. geography. Surprisingly, you have seen a decent growth of around 2.6% sequentially in U.S. contrast to the trade -related tensions and the declines supported by some of your peers. So, what is driving, on a sequential basis, what has driven this growth in a U.S. market?
Mohit Joshi: Sorry, you can just give me one minute as I pull out the earlier number. So, look, I think the growth in the Americas has largely been driven by our strong performance in the telco and the communications vertical. I think the more relevant number is reall y the year -on-year number,

right . And year -on-year, the slowdown that we have seen in Manufacturing has really impacted us in that market, even though the quarter -on-quarter is showing a positive, largely driven by strength in the communications business in the region.
Sudheer GV: And your commentary came to suggest that the momentum will only strengthen going ahead,

both on growth and deal wins. So, what gives you that confidence despite the fact that macro is still a bit on the shaky ground, and we have not necessarily reached a conclusion on the direct
trend ?
Mohit Joshi: So, if you look at the expectations that we have set for ourselves for FY '27, we have said that we will be higher than our peer group average in terms of growth and that we will hit a certain margin target. I do feel that all the work that has happened, which is why I spoke abou

t the
changes that we have done, the micro improvements that we have driven in the company, all of these, right . Whether it's focus on key clients, focus on, okay, must have accounts, the focus from a service line persp ective, the vertical alignment that we have driven within our geographies, the new talent that we have added, right . I think all of this gives us significant additional strength. And we are saying, we always knew that we had headroom for growth in our top clients. We have now started to realize the promise of that headroom for growth. And I feel that puts us in a good position from a future perspective. So, it is a combination. It is not just one thing. It is not one silver bullet. It is a combination of all the things that we have done over the past year and a half that I think are now starting to bear fruit.
Sudheer Jeevi: Thanks, Mohit. All the very best for the future.
Moderator: Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Thanks for the opportunity and congrats on good execution, especially on margins. Just, Mohit, in terms of the earlier reply, you said this year we may be at industry average growth. So, if I just do the math, it looks like for closure to around 2% to 3% growth in a constant currency. 1% to 2% kind of a growth, we may require 2% to 3% compounded Q -on-Q growth in the next 3 quarters. So, are we believing this kind of a momentum may start immediately or it is based on some hope and converting pi peline into deal wins and it could be back -ended growth?
Mohit Joshi: No, it is not based on hope, Sandeep. So, look, I think what we said, what I said was that we will be higher than our peers' average from a FY '27 perspective, right . So, if you, you know, as you will doubtless remember the three-year plan that we shared, the first year was really the first year of the turnaround. The second year is the year when we would start to bridge that historical growth gap that we have had with our peers. And the third year was when we would beat the average, right .

So, this is very much a year of bridging the growth gap with our peers rather than overtaking our peers in this year. Obviously, we hope we can do it, but that is certainly not what we have promised or committed.
Sandeep Shah: So, Mohit, do you expect this year could be a positive growth or a flattish growth? I agree, we don't give guidance. But are we aspiring to have a positive growth?
Mohit Joshi: Well, I think like what we had said at the start of the year, Sandeep, is that we expect FY '26 will be better than FY '25 and that is the extent of the commitment we had given, right . As you understand, this is an extremely volatile situation. The consensus estimates for the whole peer group have seen a huge, huge divergence from the time when we had met even last quarter, right .
So, it is very hard in this volatility to give an exact number, but we do expect it to be better than FY '25 from a Tech Mahindra perspective.
Sandeep Shah: And last question. In terms of margin improvement further going ahead, what are the levers we are banking upon? And is it fair to assume we may also give a wage hike for FY '26 in the coming quarters? So, just wanted to understand the target of achieving a 15% margin is more dependent in terms of revenue growth pick up or still we have levers to cut the flab and improve the margins.
Rohit Anand: Yes, Sandeep, this is Rohit. I think two things, right . First, maybe I will address the wage increases. As you know, we just did the wage increase last quarter for the organization. So, the cycle is going to be more January calendar year next year, last quarter of the financial year. And it is subject to how the market pans out in this next 6 to 9 months, right . It is subject to that. So, I think we have some time to make that decision.

In terms of margin, as we said, this refers to the growth correlation, right, to your question. I think growth has more articulated well that a historical gap to peers in organic growth was more than 4%- 5%, right . And we have narrowed that in F'25. We will continue to narrow that in F'26 and then exceed the peer average in F'27. So, our plan on margin is based on that growth theory, right, growth plans, right, that we have articulated. So, in that context, we are pretty well grounded.
Now if the growth situation turns out worse than that based on the macro, then of course there will be a re -look at that plan. But if that assumption comes through, which is very realistic given where we are, I think we should be able to get to our margin guidance, right, for F'27.
In terms of levers, as I mentioned before, right, from our perspective, the levers are similar. Last

quarter, we had given a walk. Over the last 12 months, when we improved margin, a lot of improvements had gone in subcontracting costs . A lot of improvement gone on continuously offshoring fixed-tariff programs that we improved and further integration that we started a portfolio company. We also tightened our governance on contractual reviews that we had

mentioned on new as well as existing deals, right . So, those are all part of the improvements that we have given.

Now, when you look forward, I would say that our improvement levers remain the same. I think one of the big portions of the improvement lever will be driving productivity actions around the fixed -price program, right . We continue to drive improvements there. And improving right now the gap on that versus the entitlement is significant. And we feel we have a lot of headroom to get better there both on improving execution and driving various levers from price to governance to improve the offshoring and produc tivity tools that we have lined up for ourselves. That's what we have invested, right . We clearly articulated we will invest in growth and margin actions in year one and year two. And those are the investments that we are very confident will help us expand the margin as we move forward.

The other big area of the bucket is the integration of the portfolio companies, which we started the journey last year. We did the front end and delivery integration. That's all done. I think we are now progressing on the support or the functional integration which will continue to give us improvements thr ough now till F'27 as we complete the process.

Sandeep Shah: And just to follow up to this as book- keeping, the sales and support staff has declined materially both on Q -on-Q and Y -o-Y. Is it also to what you said, are we rationalizing sales and support in our acquired subsidiary?

Rohit Anand : Yes, so I think sales is relatively lesser. It is more support. I think as we look at support, the functional cost, we have clearly articulated two or three plans. We are integrating everything on SAP platform. We are centralizing support, COE structures on shared services. So, it is a functional cost out based on all those efforts that we are driving, which is yielding a reduction there. There is less so much in sales. Sales is more driven by performance management that will continue to drive, but not like a significant net reduction.

Mohit Joshi : If I can just expand on that a little bit, right. See, the way the company was structured historically is you had sales and delivery, you had almost like 14 different teams, right . So, you had sales teams and they used to run their own delivery organizations. Now we have one consolidated delivery organization under the Chief Operating Officer. And the sales teams are organized by vertical. So, that dramatically, because you have one centralized global delivery organization, that dramatically reduces the need to have complex orchestration.

So, that is, I would s

ay, the biggest single lever that we have used to cut down on your sales support base. We are absolutely very focused on sales. So, there is no intention of reducing sales headcount. Indeed, if you have seen over the past couple of quarters, with the senior level hires that we have announced in the markets, it is very much to drive revenue momentum and sales momentum and greater thought leadership closer to our customers.

Moderator: Our next question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Hi. Thanks for taking my question. Mohit, just to delve a bit deeper into the uncertainty that you mentioned about, especially in the manufacturing and the auto vertical, I mean, we have seen this uncertainty impacting us. The 9th July deadline has come and gone by. Now we are looking at the August 1st deadline. So, in your recent conversation with the client, have you seen a further deterioration of the overall environment in the uncertainty increasing and clients who are holding back their spends? Or do you believe it is pretty much the same as we were when we spoke in April?

Mohit Joshi: Yes, so I think, look, candidly, nobody knows from one day to the other how the tariff impacts may play out. I think there are a couple of things from our perspective that are important. One is that our manufacturing, specifically our auto exposure, is much larger in the U.S. market, as opposed to the European market. So, we are shielded to that degree.

Our significant auto exposure in Europe is only through Pininfarina, which is a specialist manufacturer there. I would say that there hasn't really been any sort of clarity. Obviously, with more time, clients have developed their own plans maybe in more d etail. I think the picture around the USMCA for sure is clearer. And a lot of the American manufacturers, for instance, are much more dependent on Canada and Mexico than they are on European manufacturing. So,

to that degree, I would say the picture is imp roved, but it is still not very clear. I would say it is
not a whole lot clearer than it was in April.
Vibhor Singhal: Yes, sure. I think that's the commentary that we are hearing from other guys as well. Just a couple
of quick clarifications. Our headcount in BPO continues to increase. I think this quarter also we
saw a Q -on-Q increase in the headcount. Any color on that that you can provide? I think we have
all been hearing about a lot of GenAI impacting the BPO business. But this headcount addition
signals otherwise. So, any color that you can give on how we are looking at the BPO business
and do we expec t that to continue to basically grow in light of the, even despite the impact of
the GenAI rollouts?
Mohit Joshi: So, I think a couple of things. One is the BPO business has a degree of seasonality to it, right?
So, it is partly that and partly it is to plan for expected ramp ups because of deal wins. I would
just caution though that in BPO, you know, ramp ups and ra mp downs are quite reasonable
because we contract the ratio, sometimes are smaller, sometimes a lot of the programs are linked
to fixed outcomes that we have to deliver. So, I really won't read too much into it, but the current
headcount additi ons largely have to do partly with seasonality and partly to meet expected ramp
ups in the current quarter.
Vibhor Singhal: And this is the last question from my side. The offshore percentage is quite, I mean, has increased
very smartly. Over the last one year, we increased by 33 basis points to around 17.5 now. Do

you think we are getting closer to maybe getting that as a ceiling and there will be very little
room to expand it further or do you think there is still some juice left on that metric?
Mohit Joshi: Well, I would really ask Atul who is our Chief Operating Off

icer to weigh in on this --
Atul Soneja: Thanks, Mohit. So, I think we have made some progress in terms of moving projects offshore
wherever it makes sense for us along with our clients buying into it. So, I think we don't have a
fixed percentage that we want to go towards. It is obviously aligned towards what kind of engagement we are doing with our customers. And as we start ramping up towards some of the
deal wins that Mohit was alluding to earlier, we might see a temporary shift of some of the on -
site numbers going up as well. But I think on a progressive basis, you will see that we are
continuously hovering around the same mark and improving from where we are.
Moderator: Our next question comes from the line of Rod Bourgeois from DeepDive Equity Research.
Please go ahead.
Rod Bourgeois: So, Mohit, it is encouraging that you guys are showing continuing steady progress on margins
toward your Fiscal '27 target. So, I want to ask more about your path towards improving Tech
Mahindra's growth position. Specifically, are there tangible leading indicators that suggest that
your growth position is going to be on the rise? It would be great if you could specify any main leading indicator that's making you see the revenue momentum that you mentioned in your
comments.
Mohit Joshi: Sure, Rod. Thank you for that. So, I would maybe, off the top of my head, point to three areas,
right, which are part of our strategy and where we are seeing tangible outcomes. The first has to
do with the fact that last year when we articulated our strat egy, we very clearly said that we want
to drive a much deeper focus on our largest clients, right .
So, we had a specific program called "Turbocharge" that looked at our peak and prime accounts.
These are the accounts that really give us the bulk of our revenue. And as we had shared previous
quarter, and this is a statistic that we will be sharing on an annual basis, we are seeing faster than
company average growth for our top accounts, which for me is a very positive sign. Our largest
clients have a significant amount of headroom for us to grow, because these are typically Fortune
500 and Global 2000 customers. And even in the most recent quarter, we have seen a significantly faster growth rate from our largest accounts than from the company average, right .
So, that's the first part of the strategy which is working , largest accounts growing faster than the
company average.
The second piece has to do with our focus on adding the sort of customers who we want to do business with in the future, which is the must have accounts, right . So, in the current quarter
itself, for instance, we added 15 new must -have accounts. These are typically Global 2000,
Fortune 500 accounts. And I feel that the addition of these clients to our roster will again enable

significant growth, because once we have permission to hunt and permission to be a partner for
these customers, I believe opportunities will open up. So, this is the second part of our strategy,
which is focused on the strongest players and the largest players in the industry segment.
The third part of our strategy was about making sure that we focus on profitable large deals, right? And again, as you have

seen over the past couple of quarters, we have shown a steady
increase in large deal volume. These are all net new large deals only. And as I said, we expect the revenue impact from these deals to kick in.
So, three things I would say, focus on top accounts, must have account acquisition, and large deals. All three levers that we'd identified in April, I believe are starting to kick in. All of this is obviously sort of undergirded by a very strong delivery organization from an IT perspective and from a BPS perspective, and the increased strength that we are building from a vertical perspective through focus and also through some of the new hire

s that we have made. So, the
comparative capability is being buttr essed by the verticalization and the industrialization of our IT services and our BPS offerings. I hope that answers your question Rod.
Rod Bourgeois : Very clear. Very helpful. Thank you.
Moderator: Thank you. Our next question comes from the line of Surendra Goyal from Citigroup. Please go ahead.
Surendra Goyal: Yes. Good evening, everyone. And Mohit, the last 5 -quarter constant currency year -over -year growth, which obviously takes out the seasonality is minus 1.2% , plus 1.2 %, plus 1.3 %, plus 0.3%, and now minus 1% . So, deal flow has been picking up. Commentary has generally been positive. So, I am just trying to understand why is the revenue momentum not commensurate with that? Is there revenue leakage which has surprised you or anything else which you would want to call out?
Mohit Joshi: Sure. So, I think a couple of things. One is, I think if you were to look at the earnings for our peer group also, they would look reasonably similar, maybe slightly different, but reasonably similar, the trend line, because we are in a very volatile envir onment. I think that's the first piece.
The second piece is that we had specifically called out the first year that we will see a significant amount of volatility in our performance, given the fact that we are on a turnaround basis. So, we
were shutting down certain businesses, we were de-emphasizing certain businesses, and candidly, we were dealing runoffs from the portfolio. I think this is common knowledge, as well
as the deep stress in the T elco vertical. Now, fast forward to the current quarter, I believe that, as you've seen, the T elco busi ness has stabilized, and I believe, at least in pockets, is poised for growth. We also believe that we have dealt with most of the runoffs, or indeed, the majority of the runoffs, the known runoffs. And so, pending any further surprises or any sudden cuts in discretionary spending, we should be looking at sort of steadier growth from here on onwards.

But again, this growth will only go towards narrowing the gap with the peers, and FY '27 is the year, as we promised, where we expect to be higher than the group average , right . So, three -part answer. The first part is not very different from the peers, given the macro. The second part is that the fact that we had clearly called out last year as the first year of the turnaround for us. And the third part of the answer is that, yes, we do expect improved growth this year pending, the only caveat is, no new surprises.
Surendra Goyal : Thanks, Mohit. Very clear. And just one question for Rohit. Other expenses had a meaningful reduction sequentially. So, is this some kind of a new level that we should be thinking about, or is there room for other expenses to come down further going forward?
Rohit Anand: Yes. So, there's a couple of items there. One is, there is obviously normalization from a year -
end spend perspective that normalizes in one case. So, there's some seasonality around it, right,
that typically towards Q2 partially will come back. So, there's some return there from a rather expensive perspective. The rest, I think, generally, I think all the actions that we are driving,
right, from a project Fortius perspective are quite sustainable for us to drive improvement as we move forward. I think there will be a certain normalization as you look forward, but that is more driven to seasonality.
Surendra Goyal : Understood. And just one last clarification, Rohit. The segmental margins for IT and BPO should we be looking at that number at all? Because, like, IT looks to be down sequentially. So, is that the way you look at it, or we should ignore it?
Rohit Anand: No, I think you can look at it directionally, and we'll give you more nuance. But IT includes the Comv iva quarter -on-quarter sequential

ly, right, and that flows in under that number. So, that's
causing a predominant reason of decline. And then, obviously , the reduction Q -o-Q, right, on a Q-o-Q basis on revenue is flowing through there as well. So, that's causing the utilization. You can see the utilization has gone down, and these are another impact, right. All that is factored there, which is getting offsetted by all the project Fortius actions that are spread across the organization. So, that's pretty much the trend that we see in IT alone .
Surendra Goyal : Sure, sure, Rohit. Thanks a lot. Very clear.
Moderator: Thank you. Our next question comes from the line of Abhishek Kumar from J M Financial Limited. Please go ahead.
Abhishek Kumar: Yes, hi, good evening. Thanks for taking my question. The performance of M anufacturing

sequentially has been very different from what was expected. And it's not just for Tech
Mahindra, but some of the larger peers who have reported so far. So, just wanted to understand, is there some push or pull forward of spend the client did and the real impact of tariff and
manufacturing will show up in subsequent quarters?

Mohit Joshi: Yes, I think that's broadly correct. I think the longer -term impact of tariffs would show up in the future. But also, if you look at the year -on-year numbers, right, if you look at our own year -on-year manufacturing, we are down 4%, even though we are up for the quarter. And I think what we sort of saw the slowdown in auto was for us made up by a ramp-up that we saw in the aerospace business. But I do believe that the longer -term drag is there for manufacturing.
Abhishek Kumar: Okay, quick follow -up on this, and then I have the second one. In the auto sector, you mentioned our exposure is largely to the US market. Within the US market, are we more exposed to the OEMs or to Tier 1s?
Mohit Joshi: Largely to the OEMs.
Abhishek Kumar: Okay, okay. Now, my second question is on hi -tech. Rohit, you had mentioned last quarter that one of the BPM deals in high-tech had slipped, and because of which there was a sharp decline in hi -tech. Any update on that deal? Is it back or are we still expecting it to come back later? Thank you.
Rohit Anand: Yes, I think it's coming back in the flow through. So, I think in Q2, you should see some of that being shown in revenues, yes.
Abhishek Kumar: Okay, thank you and all the best .
Moderator: Thank you. Our next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Hi, thank you for the opportunity. The first question was with regards to the way we have seen our subcontracting expenses come off and the relative gap that we used to have compared to peers and you have on this front. Now, since you expect a lot of your new deals to essentially start ramping up, do you think we once again see some increase in subcontracting on a go-forward basis? That's question number one. The second question was with regards to the point that you've been making about winni ng must -have accounts as well as making further inroads into some of your existing top clients. When should we start to see some of this reflect in terms of your client metrics because we see very limited progress across client buckets over the course of the last 5 to 6 quarters ?
Rohit Anand: So, Manik, can you repeat the second question while we understood the subco n? Can you repeat the second question? The line was a little muffled.
Manik Taneja: Sure, Rohit. I will just repeat that. My question was that we won almost 45 must -have accounts in FY '25. And even in the current quarter, Mohit has spoken about further gains over there. And you've also been talking about making further progress with regards to your existing top accounts. So, when should we see this percolate in terms of the progress on client metrics across

buckets? Because practically over the course of the last 5 to 6 quarters, there's been limited change there.
Rohit Anand: Yes, so maybe we'll answer the second one first and M ohit. I think if you look at the top client buckets, like we said, we have added two $50 million clients over the past 1 year. So, I would see that as a sign of progress. Look, clearly, I think when we said this is a multi -year journey, right . These are large companies. Turning things around in terms of changing the revenue mix by vertically, by geography, by client type, it takes time. But I am enthused by the fact that we are seeing growth and stabilization on our key accounts. If you go back to the 8 quarters before that, the top client metrics had seen a significant deterioration. We have arrested it now and are seeing growth. But like any other compounding exercise, it will take time for it to show up in a meaningful way. But I am very confident that we are in the right direction. And the early metrics are very promising.
Atul Soneja : Hey, Manik, this is Atul Soneja here. If I might just answer your first part of the question with respect to the sub -con, so I think as you would have noticed, our utilization has gone down in the current quarter. And this is obviously building up a pool of talent that is being trained to get deployed for the pipeline and the wins that we have had in the past as well. And in the near term, if we have to go about getting a few more sub-cons, we would potentially do that. But directly what you wi ll see in the long term, we will be between 8 % to 10 %. That is what we are guiding towards. So, I think we will continuously be in that band. But on a quarter -to-quarter basis, you might just see an in crease or coming down. But year -on-year basis, you will see us following that pattern.

Manik Taneja: Sure. Thank you and all the best for the future.
Moderator: Thank you. Our next question comes from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thanks for taking my question. First question, Mohit, you said F '26 likely to be better than F'25. My first question is on Fiscal '26 commentary better than Fiscal ' 25. Sheer arithmetic shows that it requires you to grow revenues sequentially over the next 3 quarters. So, do you expect this to happen from 2Q onwards based on the conversion of the deals?
Mohit Joshi: Yes. Yes, we do. We do expect that we will be able to deliver that based on revenue accretion from deals won previously showing up from Q2 onwards.
Gaurav Rateria: Got it. And any key verticals that drive the growth or leads the growth?
Mohit Joshi: Well, look, in this volatility, it's hard to say. Obviously, Telco is the single biggest industry vertical for us, and that did show a negative trajectory through the year. Now that we have started off the year on a positive trajectory, I am very hopeful that it will contribute to growth . Our Comviva business specifically has been doing really well and has been a growth contributor to

us. Beyond that, we have stated our long-term ambitions for growing our financial services business. Manufacturing was difficult to be candid. We had shown our ambition to grow our financial services business, and I remain optimistic about the long -term outlook there. Retail has been a business where, especially in the Americas, our team has done a wonderful job in client wins and client conversi ons. One of those deals with a U.S. fashion apparel manufacturer pointed out in my sort of opening comments as well. So, we feel quite positive about that. So, I would say that, certainly from my perspective, I'd be watching BFSI, Retail, and Telco very carefully.
Gaurav Rateria: Thank you. That's very helpful. Second question on generative AI. Have you seen any specific new use cases whic

h you could say that would be a net new spend for industry and for Tech Mahindra? And are these use cases leading to increase in the size of contracts? Any evidence of that would be helpful.
Mohit Joshi: Yes. So, I will give you one example. From a Telco perspective, we see autonomous networks and network optimization and AI within the networks as a very powerful spend area. As you know, for one of our European clients, we have committed to getting them to L5 level from a TM Forum certification perspective. And that would mean a significant reduction in contact center volume, would mean a significant reduction in IT and overal l network expense. So, that is a very powerful Telco specific use case that we have seen. From a Com viva perspective, we have been using AI to help sort of reduce, churn, and increase ARPU, again, from a Telco customer perspective. But there's no reason why the use case cannot be used for retail also. So, these are two relatively new use cases that I can think of. Besides that, you have the traditional use cases from a developer productivity perspective, from a contract management perspective, from a contact center perspective, and we continue to focus on that. I feel that our new set of offerings, whi ch are an agentic AI platform that we should hopefully announce soon enough, with 200 plus agents already developed, that will provide a very useful platform for our Fortune 500 customers to really think about agentic AI in terms of a set of cartridges, ri ght. So, the horizontal cartridges for F&A, for HR, for contact center, and then there'll be the vertical specific cartridges, which are maybe insurance focused, Telco focused, right . So, I think that combination of agents being available to clients to use for multiple use cases will be a great sort of powerful tool for them and a powerful revenue generator for us.
Gaurav Rateria: Got it. Last book -keeping question for Rohit. What's the number of freshers that we onboarded in 1Q and what's the likely target for Fiscal ' 26? Thank you.
Rohit Anand: Yes. I think it's 250, it's marginal, given the demand scenario that we saw. And as you know, we'd hired close to 6,000 last year, right . So, we are working through the learning development platform absorption of that pool, right, within the ecosystem. So, that's the focus right now. And as we continue to drive more visibility and progress through the macro through the year, we'll drive that action more. And I think also there's a little bit of new, and we'll update that in our AI sessions, Mohit mentioned, there's a new dynamics around how do we look at our employee base collectively from a AI perspective as well, which is an advantage for us given the experience

profile we have. So, we'll be evaluating that in a mix of AI, but generally we will hire more as we progress towards the year.
Gaurav Rateria: Thank you. All the best.
Rohit Anand: Thanks.
Moderator: Thank you. Our next question comes from the line of Ashwin Mehta from Ambit Capital Private

Limited. Please go ahead.
Ashwin Mehta: Yes, thanks for the opportunity. So, Mohit, you earlier mentioned that your average experience is almost double of your peer group. So, from a pyramiding perspective, when do we start to see the movements? Because even from your annual report perspective, you r less than 30- year age bracket has gone down in terms of proportions. So, one question is, when do we start to see that? And secondly, how growth dependent that is in terms of both layering of experience and secondly, the pressure inducti on?
Mohit Joshi: Yes, so look, I think as you know, the pyramid, we feel is a great source of strength for us, especially in this current environment where clients are looking for experience profiles. And this specifically has to do with AI, because if you're looking at compl ex AI use cases, if you're

looking at the applicability of AI to client landscapes, it requires a deeper understanding than maybe sort of a fresher workforce, right? So, we do feel it is an asset for us. Obviously, we have to reshape the py ramid over a period of time, which is why we hired 6, 000 plus fresh graduates last year. I am hopeful that when the industry comes back to some semblance of normal growth, that absorption capability will be significantly increased. But candidly, the dramatic reshaping of the pyramid is not an FY '27 exercise, there will probably be a longer -term exercise in really reshaping the pyramid. And I don't think we will ever get to where our peers are in terms of the pyramid. But I feel a halfway house between where we are now and where they are, it could be something for us to push for over the next couple of years.
Ashwin Mehta: Okay, fair enough, Mohit . And just one question in terms of receivables bump up this quarter, what was the driver of that? And is it a single segment driven or this is much more broad based?
Rohit Anand : No, it's a couple of regions that we had timing delays, which we already got through in July. So, I would say it'll get better as we move forward. And some of it is seasonality, I mean, 1Q typically every year, if you see has a 4Q versus 1Q increase, some of it is that and some was timing, which we have recovered. So, I think it'll get averaged out as we move towards Q2 from a Q1 perspective.
Ashwin Mehta: All right. Thank you and all the best.
Mohit Joshi: Thanks, Ashwin.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to the management for closing comments.
Mohit Joshi: Well, thank you all. Thank you all for participating in our quarterly conference call. Again, like I said, we are pleased with the progress that we have made so far in our transformation journey. And I do believe that our numbers show a steadily strengthening performance and a really capable team. We look forward to reporting further on our progress in the quarters to come. Thank you.
Moderator: Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Oct 2025

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17th October , 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (E ast),
Mumbai - 400 051
NSE Symbol : TECHM
Subject : Transcript of the quarterly earnings conference call for the quarter ended 30
th
September , 2025 – Regulations 30 and 46 of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings conference call vide letter dated 03
rd October , 2025
and audio recording of quarterly earnings conference call vide letter dated 1 4th
October , 2025.

Dear Sir/Madam,
In terms of Regulations 30 and 46 read with clause 15 of para A of Part A of Schedule III of the SEBI Listing Regulations and in furtherance to the outcome and audio recording of the Quarterly Earnings Conference Call filed on 14
th October , 2025, please find enclosed the transcript of the said Quarterly
Earnings Conference Call of the Company for the quarter ended 30th September , 2025, held on Tues day, 14th October , 2025 after the meeting of the Board of Directors for your information and records.

The text transcript is also uploaded on the website of the Company and can be accessed at the weblink:
https://insights.techmahindra.com/investors/tml -q2-fy-26-earnings -transcript.pdf

Please note that the Company has referred to publicly available documents for discussions and no unpublished price sensitive information has been shared during the aforesaid conference call .

This intimation is also available on the website of the Company at the weblink:
https://www.techmahindra.com/investors/

Kindly take the above on record.
Thanking you,

For Tech Mahindra Limited

Ruchie Khanna
Company Secretary
Encl.: as above

“Tech Mahindra Limited Q2 FY ‘26 Earnings
Conference Call”

October 14, 2025

MANAGEMENT : MR. MOHIT JOSHI – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER , TECH MAHINDRA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q2 FY '26 Earnings Conference Call.

We have with us today Mr. Mohit Joshi – Chief Executive Officer and Managing Director, Tech Mahindra , and Mr. Rohit Anand – Chief Financial Officer, Tech Mahindra.

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Joshi – MD and CEO for Tech Mahindra. Thank you and over to you, sir.

Mohit Joshi: Thank you , and g ood morning, good afternoon, and good evening, everyone. Thank you for joining us for our Earnings Call today as we walk you through our 2nd Quarter performance .

You know, Rohit and I and the entire Leadership Team and our Board are in London today and very happy to speak to you. And as we stand today, exactly midway through our three -year strategy, I am happy to report consistent and steady progress towards our FY '27 goals.

The first half of our journey has been about strengthening our foundation, building resilience, and creating an organization capable of sustained performance . The second half is where we believe this foundation will turn into further decisive action and further comparative gains as per our strategic plan.

I will take a moment to share some overall perspective on Tech M's enhanced industry positioning :

At the outset of our transformation journey about 18 months ago, it was my considered view that Tech M possessed underlying advantages , which could be better leveraged to achieve stronger growth relative to peers, and that these advantages, coupled with improved operational discipline, would drive substantial margin expansion. Some of our enabling advantages are our well above average tenure staff, strong existing client relationships, vertical specific expertise, Mahindra Group's synergies and relative agil ity.

Today, a year and a half into our transformational efforts, I have stronger conviction based on evidence from our actual progress, some of which can be seen externally. Most notably, we have been delivering steady margin improvement. We have improved our l arge-deal wins and our pipeline quality. We have expanded our relationships with a number of large clients, and we have also added a strong list of new clients.

On top of these externally reported results, I am seeing underlying progress internally and positive leading indicators of our comparative progress. Importantly, our client teams are

fostering more partnership -oriented dialog and collaboration with clients. Our growth -oriented investments are extending our advanced solution offerings that have strong depth and breadth along with vertical specific tailoring, and I am seeing more and more evidence that industry changes and AI trends are increasingly favoring our more experienced workforce .

Let me now turn to our 2nd Quarter performance :
For the quarter, we reported revenue of US$1,586 million, reflecting a 1.6% sequential constant currency growth and remaining largely stable on a year -on-year basis. This marks our strongest quarterly constant currency growth in the past 10 quarters. The growth has been broad -based across manufacturing, BFSI, retail, travel and logistics and healthcare.
On the margin front :
We have been focused on delivering profitable growth and have been able to consistently expand our margins every quarter since we presented our FY '2 7 plans. In fact, our EBIT margin in Q2 stands at 12.1%, which is significantly higher than where we were at the be

ginning of this
journey. That is a testament to the discipline we instituted under Project Fortius to bring in operational efficiency , disciplined execution and cost optimization along with early initial progress in value -based price optimization.
Let me now delve deeper into the industry specific performance :
In the Communications vertical, we saw a year -on-year decline of 2.2%. Yet the segment remains largely stable. Our largest client has stabilized their spend and delivered growth above the company growth this quarter.
We continue to invest in key client partnerships. A key European client is set to launch their large telecom model, LTM, to bolster their service experience center. They are revolutionizing operations across network, IT and customer domains, promoting serv ice-centricity and building a truly data -driven ecosystem, scaling AI and enhancing automation to drive meaningful outcomes. We are investing in our advanced solutions and partnering with them on this journey.
The Manufacturing vertical posted a 5.2% year -on-year growth. The Aero and Industrial segments showed good traction, buoyed by demand for smart manufacturing, predictive maintenance and digital twins.
Automotive has been broadly stable this quarter. However, we remain cautious, particularly in the Commercial segment, which continues to face headwinds, while the Passenger Vehicle segment shows early signs of stabilization.
In Banking and Financial Services , we have seen growth of 6.2% on a year -on-year basis, reflecting the focused areas we have prioritized for growth . Supporting these priorities, we have

forged partnerships, for instance, with JP Morgan Payment Systems as part of their integrator program, to co -innovate and deliver differentiated value through the deployment of next -gen payment solutions.
These alliances deepen our domain capabilities. We have a long way still in terms of client acquisition and growth in this vertical. And there will be volatility. But we have established a firm foundation to build on.
In Retail, Transport and Logistics , the business delivered a 7.2% year -on-year growth. We are witnessing strong tailwinds in the logistics domain driven by e -commerce expansion, automation and warehousing, last mile delivery optimization and seeing strong traction overall in the logistics sector .
Europe delivered a good performance of up 5.5% on a year -on-year basis. Americas has shown a decline of 2.7% on a year -on-year basis primarily due to challenging macroeconomic conditions. The ROW has declined marginally 0.5% on a year -on-year basis.
In terms of clients :
This quarter , our 20 million plus average annual revenue client bucket continues to deliver growth above the company's average with contributions from this segment surpassing $1 billion this quarter. As you may recall, this has been one of the key focus areas in our strategic plan and our success on this front reflects the effectiveness of our sustained efforts in driving scale and value .
In addition, we added 57 must -have accounts in Fiscal Year 2025, plus we secured an additional 21 accounts in the first two quarters of the current fiscal year. Of these, 17 have already generated over $1 million in revenue each, demonstrating both the scale and speed derived from our early growth efforts.
In terms of an AI update :
We are honored to have been recognized by the Government of India as a key player in the prestigious India AI mission, aligning with the country's objectives to bolster leadership in AI, foster technological self -reliance, and ensure the ethical and responsib le use of AI.
As part of this mission, we are partnering to develop an indigenous sovereign large language model with 1 trillion parameters, a significant technical milestone that places it amongst the largest AI models under development globally. This vision align

s seamlessly with the
commitment to unlock transformation, drive productivity, accelerate innovation and ensure assurance through our AI delivered right strategy.

I am prou d to announce that we launched TechM Orion , our next generation agentic AI platform built on Nvidia accelerated computing that enables intelligent, autonomous execution of complex business workflows. TechM Orion enables global enterprises to deploy AI solutions faster, whether in assisted or fully autonomous environments , while maintaining control and transparency throughout the AI lifecycle. Our solution integrates AI agents across platforms, simplifies orchestration and enables scalability with our embedded assurance guardrails.

Tech Mahindra also unveiled TechM Orion Marketplace, an agentic AI marketplace that offers a robust ecosystem of intelligent, autonomous, and action -oriented AI agents that collaborate, evolve, adapt, and scale.

It is always good to get recognition from the industry analysts, and Tech Mahindra has been recognized as the leader in the Gartner Emerging Market Quadrant for Gen AI Consulting and Implementation Services. We are especially proud to be recognized as number o ne globally on the future potential axis which underscores the trust in our ability to shape what's next in AI .

In terms of GCCs :

As we extend on our strengths in global capability center services, Tech Mahindra is uniquely positioned to offer an integrated value proposition to global enterprises. Our d eep technology expertise and digital transformation capabilities are complemented by broader strengths within the Ma hindra ecosystem from world class infrastructure through Mahindra Life spaces and Origins to renewable energy solutions from Mahindra Susten and financial and advisory support via Mahindra Finance.

This combination enables us to offer customers a seamless end -to-end pathway to establish and scale their GCC operations in India with speed, reliability and sustainability , it is this blend of technological depth and ecosystem advance that truly differentiates Tech Mahindra and positions us as a partner of choice for global organizations.

In terms of deal wins :

This quarter we closed a net new total deal revenue of US$816 million , representing a 57% increase on a last 12 months ' basis. The deals span key verticals including communications, manufacturing, BFSI, retail, transport and logistics, reflecting the broad -based nature of these wins.

We partnered with a leading US -based telecom operator to advance its network testing and certification automation and optimization initiatives under its long -term transformation vision. This engagement focuses on accelerating network testing and certificat ion through a homegrown automation platform, leveraging our delivery excellence and agility to deliver greater efficiency, scalability and innovation across operations.

We were selected by a global logistics leader as a strategic partner with a multi -year framework agreement to drive AI -led efficiency and transition to a productized IT organization , effectively transitioning from manual high -touch operations to an AI -driven, automated and self -service - enabled global desk.

We were selected by a leading European telecom operator as a strategic partner to accelerate its enterprise -wide autonomous operations journey. Through this engagement, Tech Mahindra will consolidate and transform the customer's ecosystem, delivering an AI and automation -led landscape that accelerates the realization of their vision for autonomous operations.

We were selected by a leading life and health insurer in the Asia -Pacific region for a multi -year application management services engagement. This will result in modernizing core and digital platforms through AI -led automation and cloud -f

irst transformatio n to enhance operational
efficiency and stability.

Finally, we were selected by a leading semiconductor equipment manufacturer to spearhead the enterprise application transformation across SAP data and analytics, AI and application development and maintenance services , again, advancing automation, resilience and scalability across core business platforms.

Furthermore, as you would recall, one of the key pillars of our three -year transformation roadmap is a renewed focus on our brand. In this regard, I am pleased to share that on October 24, as Tech Mahindra marks 39 years of innovation and impact, we will u nveil our refresh brand, a powerful evolution that honors our heritage and redefines our vision for the future.

This refresh is enabled by our ambition to make the Tech Mahindra brand as progressive and contemporary as the transformation we deliver for our clients. In a world reshaped by rapid technological change, our identity must reflect who we are today, agile, bold, collaborative, and discerning .

Beyond a strikingly modern visual identity that brings our entrepreneurial spirit to life and ensures a consistent expression across every touchpoint, this comprehensive refresh establishes a unified brand platform, defines a thoughtful approach to integrating ou r portfolio companies, and strengthens our position as a globally preferred employer through a renewed employee value proposition. This refresh honors our present while shaping our future, supporting our growth ambitions and reaffirming Tech Mahindra's pos ition as a trusted partner in digital transformation worldwide.

In terms of recognition :

We are thrilled to share that Tech Mahindra has won ‘5 Gold Medals at the Brandon Hall HCM Excellence Awards 2025 ’. These awards recognize our achievement across talent, management, human resources , learning and development and diversity, equity, inclusion, and belonging. This

recognition reinforces our commitment to building a high -performing culture with a strong focus on learning and development, inclusivity, and process -oriented excellence.

We have also been awarded the ‘HYSEA Sustainable Development Award 2025 ’, reaffirming TechM's innovative and meaningful initiatives in the category of environment protection.

This quarter has delivered a broad -based performance with good deal momentum, continued margin expansion, and steady contribution across our key focus areas. The progress we have made demonstrates the strength of our strategy and the resilience of our orga nization.

With that, I hand over to Rohit Anand for the detailed overview of our Q2 financials.

Rohit Anand: Thank you, Mohit. Morning, afternoon, evening to everyone joining us from different parts of the world.

As Mohit rightly mentioned, we are now at the mid -way point of our strategic plan, a journey that has been both rewarding and challenging. What we have achieved so far is a result of the team focus, discipline and shared objectives towards our strategic go als for FY‘27.

Let me share our financial performance for the 2nd Quarter of the Fiscal 2026 :

Our revenue stood at US$1,586 million, an increase of 1.4% Q -o-Q, and a decline of 0.2% Y -o-Y on a reported basis.

On a constant currency basis, revenue grew by 1.6% Q-o-Q, and a decline of 0.3% Y-o-Y. The growth this quarter was broad -based, driven by performance in manufacturing, retail, BFSI, travel and logistics.

From an INR perspective, revenue was at INR 13,995 crores compared to INR 13,351 crores in the previous quarter, a growth of 4.8% on a sequential basis and 5.1% on a Y-o-Y basis, aided by the INR depreciation.

Our operating margins increased by 108 basis point to 12.1%, marking the 8th consecutive quarter of margin expansion. This consistent improvement reflects our ongoing focus on operating efficiency, cost optimization and value -driven

execution.

Margin expansion this quarter was primarily driven by improvement in fixed -price project productivity, volume growth and savings from SG&A optimization. Additionally, we benefit from a currency tailfall of approximately 40 basis points.

Other income declined to $4.6 million this quarter on account of losses on foreign exchange.

As of September 30th, our hedge book stood at $1.33 billion compared to $1.64 billion in the previous quarter. Based on hedge accounting, the mark -to-market loss for the quarter was $32.2 million, out of which $7 million was taken to the P&L and the loss of $26 million went to the reserves.

Our effective tax rate for the quarter stood at 27.6% in line with expectations. The normalized ETR for the full year is close to 27%.

Our PA T for the quarter is $135 million, an increase of 28.2% Y-o-Y outside of exceptional item of land sale during Q2 F’25. In INR terms, PAT was at INR 1,194 crores with margin rate of 8.5%.

Our return on capital employed stands at 24.4% this quarter. This demonstrates the significant progress we have made in improving financial efficiency and return since the beginning of the plan. Our year -till-date free cash flow to PAT ratio stands at 120. 8%. During the quarter , free cash flow was $237 million, driven by strong collection efficiency and continued improvement in our working capital management.

While our DSO decreased by one day on a quarter -to-quarter basis, the reduction appears modest compared to the higher collection flows, which was largely offset by FX impact, muting the overall benefit of the reported DSO.
The total deal wins for the quarter stood at $816 million, reflecting a growth of 57% on LTM -to-LTM basis versus last year. The deal wins have been broad based across multiple verticals, and the improved deal win rate underscores the trusts our clients are placing in us.
The Board has also recommended a dividend of Rs . 15 per share, reaffirming our commitment to the laid-out capital allocation policy of returning 85% and above of free cash flow back to shareholders.
As we move ahead, we remain focused on sustaining our operating rigor, strengthening cash flow generation, and driving profitable growth. Our continued execution discipline positions us well to deliver long -term value to all stakeholders.
With this, I now hand it back to the operator for Q&A session .
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Sudh eer Guntupalli from Kotak Mahindra Asset Management Company. Please go ahead.
Sudheer Guntupalli: Hi, Mohit and team. Congratulations on the good set of numbe rs. A couple of questions. Firstly, if we look at the margin expansion from the trough , the last 7-8 quarters witnessed almost 750 basis points of EBIT margin expansion, nearly 2/3rd of the heavy lifting you were envisaging at

the beginning. So, my question really is, if we hit our margin goal of 15% earlier than what we had stated, will you let that flow through the P&L or would you use that flexibility to sort of make some incremental investments on top of what you had already budgeted for in yo ur strategy roadmap?
Mohit Joshi: Sudheer, thanks for that. I think we had shared our margin goals, as you mentioned, at the start of the journey. And when we had planned the journey, we had envisaged a certain set of investments that we were going to be making in our solutions, in our capabilities, in terms of our talent. And that to some degree is already baked in. What we had not baked in at the s tart was obviously the very slow macro environment that we are seeing. For now, candidly, while we will wait for another quarter o r two to see how it goes, we really don't see dramatic growth coming back nex

t year. So, I do feel that I am personally a little bit skeptical about whether we will have that much of flexibility to have that much of sort of abnormal profit to invest back in the business. But obviously, as the business continues to perform, we will always calibrate between the in vestments needed in the business and the margins that are due back to the investors in terms of our commitment.
Sudheer Guntupalli: Thanks, Mohit. So, my second question is, unlike most of our services peers, we are also participating in the AI LLM layer. So, when you take a panoramic view of our portfoli o and assess how AI may augment/ impact different service lines, how do you characterize the delta due to AI at the overall company level, deflationary, expansionary, or initially deflationary and then expansionary?
Mohit Joshi: Yes, so I feel that in the long run, my view, and thankfully, this is a view that has become more common over the past couple of months, is that while there is productivity expectation from customers, I think customers' expectations are becoming more realistic over time. When this AI journey first started out, you would have thought that by now, 100% of the code would have written itself. I think customers' expectations about productivity are now higher than they were with, let's say, pure auto mation and pure simplification. But it is in the same sort of ballpark. Nobody's expecting, and if people are giving it, I know how they're giving it, 80% productivity over the next five yea rs. I feel that those expectations have been set back to a more realistic level. I feel there is the understanding that to really get the benefit of AI, you need to be able to simplify, to modernize, to build a common and consistent data stack, which would again be a tailwind for the industry. And I feel there's an emer ging differentiation that is coming from the tooling and the capabilities of an organization, and also from the market recognition.
For the f irst time, we see industry analysts starting to rate vendors based on AI capabilities. And the other work that we have been doing, as you mentioned, in terms of building large language models and building out our capabilities is really one of the few SIs to have the research capability to innovate at the frontier in terms of building out frontier models. I feel all of these should be very helpful for us.

At this point of time, I just want to make a mention of our Tech M Orion platform. We see that enterprise -grade agents are available to our clients to solve complex problems. And what Orion does is that this allows you to do either autonomous or assisted flows for the operations. We have grown our agent base now to 300 -plus agents, and t hese are now able to solve not just simpler problems, but actually fairly complex IT problems and also complex business problems like KYC. So, to give a slightly longer answe r to your question, market expectations of productivity are settling down. Client expectations about the investments that they need to make in their underlying technology to get the benefit of AI are happening. We are being recognized by the markets and by the investors and the industry analysts for the investments that we have made in AI. And we have now built, I believe, a world -class platform that allows us to give a solid foundation to the efforts and for clients to recognize that AI is not just a black box, or AI productivity is being delivered through a platform. I think the final piece that we will be unveiling hopefully soon is a new commercial model, which is a new commercial model of how AI plus services will be delivered to our clients. And I think once that is done, I feel that we will have all the pieces of the puzzle that will hopefully allow us to grow faster.

Sudheer Guntupalli: Thanks, Mohit . All the very best.

Mohit Joshi: Thank yo

u, Sudheer.

Moderator: Thank you. Our next question comes from the line of Surendra Goyal from Citi. Please go ahead.

Surendra Goyal: Hi. Good evening. A few questions on margins for you. Firstly, the gross margin improved by around 40 -50 basis points sequentially, which would be almost entirely currency -led, would you just help us reconcile that in terms of percentage?

Rohit Anand : Not really, Surendra, because the currency benefit happens at a G &A level also, right? The INR costs get converted at a lower rate, right, to USD. That benefit is split. So, it's not really truly FX-driven. There are improvements happened also on operating efficiency as we looked at various aspects as well. And when you look at Project Fortius overall, right, our actions are driven across the board, not just on the gross margins, but also on the G &A, SG &A level, on various areas that we have been deployed. For example, portfolio companies, we said that's a big focus for us to rationalize economies of scale when we put them together, right, from an integration perspective. That predominantly flows through at a G &A line item, but some impact also happens as a gross margin. So, impacts like those are split across the line-item level. So, you are going to look at collectively and FX and G&A split equally between both.

Surendra Goyal: Okay. And secondly, if I look at the last two quarters, your gross margins have remained constant while the entire margin improvement is driven by SG &A, which is down 150 basis points of the percentage of revenue. And this is the lowest level since you guys took over. So, firstly, SG &A, should we expect more reductions going forward? Like what will drive the margins from here?

Rohit Anand: So, margins will be driven by both. But I think the improvement from a weightage standpoint, you will see more coming through in the gross margin versus the SG &A as you look at the next six quarter journey. And contribution from SG &A would be range bound, right? We still have a lot of integration still to go on portfolio companies that are still to integrate with us. So, those efforts will continue. There are other specific initiatives going on, on areas which are in the G& A line item on produc tivity and efficiency standpoint. But predominantly, if you look at the benefit, I mentioned that also in our discussions earlier in our meetings and earnings calls that a big part of our margin driver from a gross margin standpoint continues to be the improvement on the fixed price projects. I think that's 55% to 60% of our portfolio. And we continue to drive productivity actions there. And that's what's going to contribute as we move forward in terms of contribution from here to the 15% target.

Surendra Goyal: Sure. And very quickly on H -1B visas, could you share details of what percentage of your US workforce is on H -1B? And do you see any margin implications going forward due to the regulation changes and any localization that you may need to do? Thank you.

Mohit Joshi: So, look, Surendra, this is Mohit here. Under 1% of our global workforce is on H -1Bs. And our visa dependence in the US is under 30%. Obviously, we are working on a multi -pronged strategy to make sure that even though our exposure is relatively low, that we are well prepared. That strategy really takes three shapes. The first is obviously to identify and firewall our key and core talent in the US. Because essentially, a lot of the onsite piece hangs off this core workforce, which I would assume would be about 25% of our workforce. So, that's the first piece. The second piece is to work even further on a US offer to the employees, whether it's in terms of savings or healthcare plans or training or learning to diversify further the sources that we use for US recrui tment. And the third piece

is to strengthen our existing capabilities. As you know, we have a large capability to deliver from the Americas locally, whether it's from Canada, Mexico, or Brazil. So, how do we look about strengthening these operations in case some of the work could be done from there? So, we feel that this combination of three strategies, making sure that our core is protected, making sure that we are improving our US offer and our ability to hire much more locally, and finally, looking at ne ar shore options. I think the three together would be useful. It's very hard to actually give a handle on where the impact of H -1Bs will land. Because as of now, as you know, there is no impact for one year. It's very hard to forecast how many H -1Bs we may need one year later, or what the prevailing wage rates may be, or what the compensation levels may be, and depending on which part of the coun try we may need them. So, it's hard to make that assessment just now. But we are thinking sort of medium and long term about this solution. And I do feel that it is a manageable problem for us. As you are also aware, for us, our US revenue exposure is only about 45% of our overall revenues. And our H -1B dependence is less than a third. So, we do feel that this is a manageable problem.

Rohit Anand: And from our perspective, this year, we don't see anything. Next year, as Mohit mentioned, a multitude of action going on to further reduce the dependency, as he mentioned, less than one

third. And over the period of time, the team has demonstrate d actions to bring it down year -on-year. So, we are fairly confident that we will be able to drive that as well in the future.

Surendra Goyal: Sure. Thank you. Thanks a lot.

Mohit Joshi: Thank you, Surendra.

Moderator: Thank you. Our next question comes from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi. Good evening. Congrats on a good quarter. I think, as you mentioned, we are in the midpoint of our strategy plan. And if we look at where we are today in the context of just the client 6 to 10 and 10 to 20, that seems to have been a meaningful advent for us at the momen t. Just want your thoughts on what are the pain points in the portfolio that sort of hurting growth and what needs to change. And apart from that, I think even this time from a communications perspective, when we had as sumed stability, it's been a little softer. And you also mentioned some vendor consolidation deals in Europe which could sort of aid growth. Any update there? And finally, on manufacturing, the growth there was a surprise. So, how do you see things sort of evolving there as well? And finally, from a margin perspective, considering we are at the midpoint of the journey, do you think it gets harder from here in terms of incremental expansion or there are things that are already laid out, and it should go as p er plan?

Mohit Joshi: So, Nitin, I will answer your questions. But the first question you had on the headwinds, I really couldn't follow that. Maybe the first question you had, I missed.

Nitin Padmanabhan: So, what I was asking was if I look at the client 6 to 10 and 10 to 20, it's been a meaningful headwind . And for the quarter itself, it has not been really showing signs of sort of improving. So, just your thoughts on what the headwinds are from a portfolio perspective, which we need to sort of fix to really get growth acceleration in with the deals that we already have.

Mohit Joshi: Sure. So, first of all, I think if I zoom out a little bit and you look at the clients where we have over $20 million of revenue, because at the end of the day, these are the clients that give us the vast majority of our revenue. This is where the focus has been. And within these clients, we have been able to show a steadily improving trajectory of growth, which is very different

from the

growth we had earlier. If you go back just a couple of years, you will see a lot of our growth was coming f rom sub $20 million clients. So, I feel that the focus is yielding efforts. Obviously, within any sort of client bucket, you may have one client where sort of spend just goes dramatically off a cliff or a major project comes to an end in a particular quarter. And so that has an impact. But I don't feel that any client relationship s are unhealthy or damaged in that sense or there is anything structurally wrong. Last quarter, for instance, you will remember, we had mentioned that a semiconductor client of our s, pretty obvious, was scaling down its operations in a very significant way. It was a very big client of ou rs and so we had a massive ramp down

of our teams. So, things like that may happen. But overall, I am quite comfortable that for our $20 million plus clients, where we have focused efforts, the portfolio overall is doing well and has continued to do well over the past couple of quarte rs. In terms of your question on communications, yes, the overall communications portfolio is down this quarter. But again, if I break that up into the various regions, I think we have done well from an Asia -Pacific and India - Middle East and Africa perspective. Ou r U.S. business also has done well, which includes our largest customer. Our U.S. business has grown. In Europe, we had a challenge where, again, I don't want to talk about any client -specific issues, but Europe, the problem was localized within Europe. An d again, I do feel it's a temporary piece. I expect to get back to stability and growth in the overall comms portfolio in the second half of the year, obviously accounting for things like furloughs within Q3. Our Comviva business, which is again part of ou r Telco portfolio, continues to do very well and should have a second record year of growth this year also. As far as the manufacturing business is concerned, as we mentioned, our aerospace business has done very well, driven by a couple of significant client acquisitions over the past one year. So, that has been a big growth driver for us. Our auto business, like we said, we are seeing some stabilization in the passenger segment but see some concerns from a commercial vehicle segment. And we also saw some strength in Pininfarina in the quarter. That has also helped because that's also counted as automotive. So, that hopefully answers the questions you had about the growth piece, the top clients, the manufacturing and the comms business . As far as the margin piece is concerned, I will ask Rohit to add to that, but look, when we started the journey, we had a very comprehensive plan that was prepared based on the levers that we saw and Atul has been leading this under our Project Fortius initiative, which is about the levers that we s ee, and where we needed to work on our talent, where we needed to work on automation and productivity, and where we needed to work on pricing. That is all work in progress, but like any plan that was based on certain assumptions, and obviously we have some assumptions about at least modest growth next year. As long as that is on track, I think we should be fine. Clearly, it always gets harder the closer you get to your targets, but it is something that, as you mentioned, we had a comprehensive plan when we started.

Rohit Anand: I will just add on to that point, Mohit, that as you rightly mentioned, the team led by Atul and his office are consistently re -evaluating their plans based on the macro environment. When we started last year, which we had mentio ned, our plan was based on year -1 being very modest, year-2 on growth getting better, and year -3 getting towards the industry average. Now, we all know that is not the way it panned out, right? We are in year -2 midpoint, and the growth still continu

es to be similar to what we saw last yea r, and the view for next year is definitely not industry average as of now, unless things change quite dramatically. Hence, we also revise our plans, actions, intensity on some cases, doubling down on others. So, we constantly keep on re - looking at that and o f course, as Mohit mentioned, as we keep on getting closer to the number, the intensity of improvement and the effort has to go up for that outcome that we need to get to. But we are well prepared. There is enough strength behind this and the might that we have to get there. So, we are quite committed to that plan of increasing margins every quarter and getting towards that target.

Nitin Padmanabhan : Perfect. That is very helpful. I think one you missed is on the vendor consolidation opportunities in Europe for cost, which you had mentioned last quarter ?

Mohit Joshi : Yes. So, vendor consolidation opportunities, I think it is going well. Some initiatives are coming closer to our decision, and we are watching this carefully. As you can imagine, some decisions have been deferred by little while and some are sort of mid -process. But hopefully, over the next couple of quarters, we should come back to the portal net. We continue to be very confident about our deep telecom strengths and a s you know, we have been buttressing those strengths, specifically in Europe, with the addition of Amol Phadke, most recently, who was the CTO for Telenor. So, we continue to be working on that. I think we have an exceptionally strong team in the region. And hopefully, we should have more to report in the coming quarters.

Nitin Padmanabhan : Thank you so much, Mohit and Rohit. All the very best.

Mohit Joshi: Thank you, Nitin .

Moderator : Thank you. Our next question comes from the line of Rod Bourgeois from Deep Dive Equity Research. Please go ahead.

Rod Bourgeois : My question is a big picture one. At the midpoint of your 3-year transformation effort, I wanted to see if you can just comment on how you feel about your execution and progress, not just on the outcome metrics and the results that we can see externally, but also if you could share your perspective on how you are progressing on your input metrics and some of the foundational capabilities that you have been investing in over the last year and a half. Thank you.

Mohit Joshi: Thank you, Rod. Look, I think it is a good question because we often go back and reflect on the fundamentals of the FY '27 transformation. And when we laid out the vision for FY '27, we had a plan for revenue, a plan for margins, and a plan for the organization. And if you think about it, the plan for revenue was really about focus. It was really about focusing on our top segments, our top service lines, our top clients, and focusing on, for instance, must -have acquisitions within the clients t hat met our qualification criteria. So, if I look at it from a focus perspective, we have managed to, I believe, strengthen and increase our dominance within Telco and manufacturing and make good strides as are reflected in the results this quarter of the progress that we made in healthcare and retail and financial services. The new client acquisition that we have had also, the 50 -plus clients that we have added, over 16 -17 of them have scaled up to over a million dollars in revenues. So, I feel that the fo cus from a client perspective and from a vertical perspective is working well. From a service line perspective, we have identified service lines like Data and AI, like Cloud, like Engineering that we wanted to focus on, and I believe that these service lines are seeing above -average growth. So, I believe the focus element of our strategy is paying off. The margin or the productivity part of our plan was really about operational rigor. How do we drive greater operational rigor in business ?

How do we drive,
whether it is the metrics in terms of fixed price profitability or it is in terms of the usage of our

tools internally or whether it is in terms of looking at talent from a pyramid perspective ? I believe that the operational rigor that we have given to our business, apart from the improved numbers, has also given us much greater visibility of the business on a day -to-day basis. So, there is much greater confidence when we report to you in terms of either our margin expansion plan or our revenue visibility.

I believe the operational rigor has done wonders for us. But today, the most important part of the plan was the third , which is building the organization for the future. And building the organization for the future is actually where I am proudest of the achievements that we have delivered as a team. For one, I believe we have built an exceptional leadership talent bench. This is a combination of the deep technical and business skills that Tech Mahindra already had, plus the new talent additions that we have had over the past 18 months. I believe we have a world -class team. We have spoken about the investments that we plan to do from a training and learning perspective, whether it is our new Zenith program that we have launched for our leadership team in collaboration with INSEAD, or whether it is a collaboration with Mahindra University or the work that our Chief Learning Officer is doing in building out extensive AI training programs for our team. That piece is work ing well and as part of our plan to build t he organization , we had spoken about the cultural transformation of the company that is a formal program driven by the entire leadership team, but overseen by our CHRO, Richard. We have spoken about the plan to build a better and more visible brand, and we have spoken today about the work that our CMO, Peeyush, and others ar e doing to build out that brand. We had spoken about improving the group relationship, and we spoke today about the fact that for GCCs, we are able to utilize a range of Mahindra Group c ompanies as well to assist our clients. And so I feel the leadership piece, all the service line leaders, the regional presidents that we have, some of whom are new, like Sumit, and some of whom have been here for a long time, like Sahil or Harsh I feel that the leadership team is coming together very well. So, across the 3 areas of focus for us, across 3 areas of transformation for us, the focus, the operational rigor, and building the organization for the future. All 3 parts, I believe, are moving well an d we will, it is like any wheel, right , hopefully, it will start to spin faster and faster in the next 6 quarters of our transformation journey.

Rod Bourgeois : Got it. Just real quick. Is your view the same on acquisition interest and capital allocation overall?

Mohit Joshi: Yes, so look, I think we are committed to our capital allocation policy over the next 6 quarters. We have started to think about and discuss with our Board on what shape a programmatic M&A may take in the future and how we look at identifying service lines, regions, and verticals, where we have an interest in sort of tuck -in acquisitions or transformation acquisitions. But again, nothing will change for the next 6 quarters where any acquisitions will be tuck -in only. And as we start to be more ambitious and aggressive in this regard, we will always keep in mind that we need to ensure sort of both growth and profitability for TechM. So, you will not see any 180 -degree shift in this regard any time soon.

Rod Bourgeois : Got it. Thank you.

Mohit Joshi: Thanks, Ro d.

Moderator : Thank you. Our next question is from the line of Sandeep Shah from E quirus Securities. Please go ahead.

Sandeep Shah : Thanks. Thanks for th

e opportunity and congrats on a good show. Mohit, just reply to the first question. Correct me if I am wrong in understanding. You are saying even in FY '27, the industry growth rate cannot bounce back and in that scenario, are we changing our goalpost where we also may not be able to outgrow which was our earlier target versus industry growth rate?

Mohit Joshi: Sorry, I either must have misspoken, or I must have misunderstood because I got another message on the same question as well. We are not saying that at all. All we are saying is

compared to where we were whe n we started the journey, right, when we started the journey in April ’24, at that time, the growth expectation for the 3-year period was very different from where we find ourselves today. So, to be clear, we fully expect FY '27 for the industry and for Tech Mahindra to be better than FY '26. But if at the start of our transformation journe y, we were expecting sort of maybe not exactly COVID , but a return to standard industry growth rates, we expect slightly more muted growth now because look, we are just 6 months away from the start of FY '27, but we are not expecting next year to be the same as this year. We are expecting higher growth for the industry and for ourselves next year.
Sandeep Shah : Great. Thanks for that clarification. And in that journey, do you believe the current new business TCV which is improving Q-on-Q, but hovering around closure to $750 -$850 million needs to substantially pick up or you believe this is enough for us to achieve the goalpost ?
Mohit Joshi: So, ideally, I think Rohit had shared this calculation in one of the previous calls. Ideally, we want to get closer to the billion -dollar mark and I believe that we are slowly and steadily getting there, right? Look, when we started our journey, we were at the 400 million mark. I think we have now delivered 800 plus for 3 quarters running and we do see a very rich pipeline which we will hopefully convert and get closer to that number in the coming quarters. But again, I just want to stress that our large deals that we report are only net new revenue and go through a very rigorous process of both internal and external reviews. And so we feel it should give you sort of confidence and transparency on how much of that will go into future growth.
Rohit Anand : And Sandeep, this is Rohit . I think it also is a function of this is great in 5 million now, right? And the function of the deals that we get which are smaller, right , which are faster to convert, and it is a lot dependent on the d iscretionary environment, right. So, as discretionary environment gets better, while the deal reported might still be 800, right or in the ballpark. But if that gets better, then generally the uptake to revenues is automatically improved without their visibility, whic h you see. So, we will always call out if we see that portion of the business which

has muted for a while now, picking up, right . And with that pickup, it is a different answer that you might get on 800 versus a billion with a muted outcome, right , on the discretionary spend. So, that flavor, I will make sure that I keep on reiterating. As of now, I think as M ohit mentioned, if the environment stays muted and this, and if you do get to that rate, then this definitely 800 has to go up. But if discretionary picks up as we move forward, then even this number should be good for us to be in the range bound.
Sandeep Shah : Fair enough. All the best.
Mohit Joshi: Thanks, Sandeep.
Moderator : Thank you. Our next question is from the line of Manik Taneja from A xis Capital. Please go ahead.
Manik Taneja : Thank you for the opportunity. We made very good progress on our margin journey. Just wanted to understand over the next 6 quarters, how should we be thinking about the interplay between our gross margin improvement a

nd some of the SG& A efficiencies , given that we did see some progress with regards to our onsite offshore mix change, we have seen progress on subcontracting happen over the course of recent quarters, as well as some focus around the fixed rate engagements. Would be great to get your thoughts o n that ?
Rohit Anand : Yes, sure. So, I think, as I mentioned earlier also, I think SG& A will continue to drive actions, whereas the percentage of contribution of the impact will be relatively lower. You will definitely see a leverage impact as revenue goes up next year. As a percentage, we will see the benefit because we will not add in the same proportion as we move forward. We will continue to optimize it. That should give a leverage. From a gross margin perspective, you will see the majority of the productivity c ome there b ecause when you think about the big actions we ha ve articulated in the past, we said our T&M portfolio is quite aligned with market -leading returns. We have some marginal opportunities, which we will keep on going after. But from a contribution perspective, what will contribute is the productivity in the fixed price program. So, that will be the major contributor, along with the value that we want to derive from the portfolio companies. So, today, when we started the journey, we said we will star t integrating them. We started the integration both on the back end as well as middle and the front -end office. From the middle office and delivery, everything got aligned to Atul's organization. And as we move in that mid -path of the journey, now we are starting to realize value, and that will flow through also in the gross margin. So, you will see portfolio company contributions , you will see fixed price productivity that will be a majority of that, and that should flow into gross margin while you see some leverage flow through in the SG& A side.
Manik Taneja : And the last question was in sales and support headcount. This number has been coming off through several quarters now. Any sense on how should we be thinking about this? Is there more optimization around as we consolidate some of our support functions?

Rohit Anand : Yes. If you think about it, portfolio integration is obviously a big part of it. As we take over the back -end operations, centralize the shared services, we have done that across functions. We are working with Biren's team in the BPS org to consolidate that for us a nd use the right Agentic platforms to automate the way we run the back -end operations. So, that is obviously yielding to, as we integrate, yielding to a benefit around the reduction in cost and productivity. And we are able to redepl oy where we are applicable people on the billable road. So, I think that is what we are trying to drive, and that process will continue as we move forward.

Manik Taneja : And the last one, while Mohit will tell you the fact that we managed to scale some of your must -have accounts to contribution of greater than $1 million plus. But if I look at your client metrics, at least with regard to the lower revenue buckets, we continue to see a very tardy process. So, when do we essentially start to see some improvement on that front?

Rohit Anand : Manik, it is a little bit of a mix, right? So, when Mohit said that we have improved in must -have accounts of greater than $1 million revenue contribution has gone up to almost 17 more accounts we have added. That is the mix we want to have, right ? And that is where we will grow. But at the same time, there are accounts which are greater than $1 million, not long -term sustainable, right and there are accounts which are less than $1 million, which are long -term not sustainable , similarly, even g reater than $1 million, which are not strategic, not sustainable that we are letting go and reducing, right . S

o, that action on the tail continues less than $1 million, and even in the greater than $1 million, where it is not the right mix for us. So, we are improving the mix of the accounts we want to have, and that is the impact that you see. What we said is the way we articulated our input metrics to look at growth which is long -term sustainable is the top accounts. And the top accounts, the way we defin ed, because the top 5, 10, 15, 20 buckets is too small, right? We said greater than 20 million annualized revenue customers, which is close to about 60-65 accounts for us, that should grow more than the portfolio average, and that is where the investment is happening. And that is the relationship that Mohit is talking about is very stable, and we see that progressively grow better. Maybe Mohit, you want to add?

Mohit Joshi: I just want to mention that, look, this is a journey where clients that are not really strategic for us, or where we don't really have a strategic position, or there isn't really a headroom for growth, it is in a geography that doesn't make sense for us, there we will be looking at sort of the tail consolidation. But equally, for our must -have accounts, they have to start somewhere, and they will obviously start in the 0 to $1 million bucket. Those clients are very keen to scale up, right? So, you will see some additions to the 0 to $1 million bucket, which are strategic additions, and you will see some removal from the bucket, that is the tail trimming. So, both of them will happen at the same time, right?

Manik Taneja : And one last clarification question. During the last quarterly call, you had mentioned that some of the deal wins that you have seen should support pick -up in growth momentum in a stead ier manner through second half. Does that outlook still hold true?

Mohit Joshi: Yes, very much so. We are expecting that the second half of the year will reflect the improved performance, based on our strategic actions that we have taken in the first 6 quarters of the year. Obviously, you have to overlay the seasonality on that, and you have to overlay what happens in the broader economic context. But on the whole, I think we are optimistic that the second half of the year will be better than the first half, which is also good.

Manik Taneja : Sure. Thank you and wish you all the best.

Mohit Joshi: Thanks, Manik.

Moderator : Thank you, Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Mohit Joshi: Well, thank you all. Thank you all for joining us today. And as I mentioned in the call, as we look ahead, we expect the second half of the year to reflect the improved performance driven by our ongoing operational efficiencies and improved demand visibili ty. At the same time, we remain mindful of the macro environment and are taking a disciplined approach to execution. As I close this call, I, on behalf of the entire Tech Mahindra family, would like to wish you and your families an early and very Happy Diw ali. Thank you.

Moderator : Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

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Regd. Office: Gateway Building, Apollo Bunder, Mumbai 400 001 India | CIN: L64200MH1986PLCO41370 1 20th January, 2026

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Subject: Transcript of the quarterly earnings conference call for the quarter ended 31st December, 2025 – Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings conference call vide letter dated 06th January, 2026 and audio recording of quarterly earnings conference call vide letter dated 16th January, 2026.

Dear Sir/Madam,
In terms of Regulations 30 and 46 read with clause 15 of para A of Part A of Schedule III of the SEBI Listing Regulations and in furtherance to the outcome and audio recording of the Quarterly Earnings Conference Call filed on 16
th January, 2026, please find enclosed the transcript of the said Quarterly
Earnings Conference Call of the Company for the quarter ended 31st December, 2025, held on Friday,
16th January, 2026 after the meeting of the Board of Directors for your information and records.
The text transcript is also uploaded on the website of the Company and can be accessed at the weblink:
https://insights.techmahindra.com/investors/tml- q3-fy-26-earnings -transcript.pdf
Please note that the Company has referred to publicly available documents for discussions and no unpublished price sensitive information has been shared during the aforesaid conference call .
This intimation is also available on the website of the Company at the weblink: https://www.techmahindra.com/investors/
Kindly take the above on record.
Thanking you, For Tech Mahindra Limited
Ruchie Khanna
Company Secretary
Encl.: as above

“Tech Mahindra Limited Q3 FY‘26 Earnings
Conference Call”

January 16, 2026

MANAGEMENT : MR. MOHIT JOSHI – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR , TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER ,
TECH MAHINDRA LIMITED

Moderator : Ladies and Gentlemen, Good Day and Welcome to the Tech Mahind a Limited Q 3 FY'26 Earnings Conference Call.

We have with us today, Mr. Mohit Joshi – Chief Executive Officer and Managing Director, Tech Mahindra, and Mr. Rohit Anand – Chief Financial Officer, Tech Mahindra.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Joshi – M.D. and CEO for Tech Mahindra. Thank you and over to you, sir.

Mohit Joshi: Thank you. Good morning and good evening. I welcome all of you to our Earnings Call for the Third Quarter of FY2026.

We are starting the calendar year on a very positive note ; the 3rd Quarter has delivered a strong performance with most of our targeted market segments contributing meaningfully to our results. Most importantly, deal momentum has remained robust during the quarter. We recorded our highest quarterly deal bookings in the last five years, our highest deal wins on a last 12 -month basis in the last five years, and our largest deal win in Europe in the comms industry. This underscores the strength of our client relationships, the relevance of our capabilities, and our ability to delive r long -term value at scale.

Before moving to our 3rd Quarter business performance, I just wanted to touch briefly on this mega deal win in Europe. This is a strategic engagement with a leading European telco, one of the largest wins in the company's history, with a total contract value exceeding $500 million over f ive years. This multi -year partnership is about a comprehensive modernization of the client's application across both the CIO and the CTO domains, aimed at accelerating innovation, strengthening digital resilience, and achie ving AI -led operational efficiencies enabled by our deep domain expertise and proven transformation capabilities. This win further strengthens our leadership position within the telecom vertical.

Let me now turn to our "Business Performance for the Quarter. " Revenue grew 2.7% year -on-year and 1.5% Q oQ on a reported basis, and 1.3% Y oY and 1.7% Q oQ on a constant currency basis, marking our fastest quarterly growth in the last three years. This performance was driven by a broad -based growth across comms, manufacturing, hi -tech, retail, and healthcare. Operating margins expanded by 290 basis points year -on-year to 13.1%, underscoring the progress enabled by our improved operating disciplines and the quality of our revenue growth as we have maintained pricing discipline and enhanced our revenue mix.

The communications vertical grew 4.7% year -on-year during the quarter. We are seeing signs of stability across the U.S., coupled with the stabilization of top client spending . Europe is expected to move from a phase of stability into a growth phase supported by the large deal win. We believe the comms vertical is well -positioned to be one of our growth verticals as we move into 2027 .

BFSI declined 0.8% year -on-year, primarily due to higher than normal furloughs during the quarter and the passing of annual productivity gains to the large infrastructure contract in the rest of the world, which impacted revenues. BFSI demand remain favora ble. We continue to make inroads in engaging clients with tailored solution offerings, and we continue to see strong demand across transformation, experience, data analytics, cybersecurity, coupled with AI adoption. We expect BFSI growth to follow a more s teady trajectory in the coming quarters as seasonal factors normalize.

Manufacturi

ng continued a strong trajectory this quarter, building on the strong momentum from the previous quarter with a year -on-year growth of 11.7%.

As stated earlier, we are seeing good traction in the aerospace and industrial segments in the U.S., while in Europe, growth was supported by the ramp of a large automotive client during the quarter. The U.S. automotive segment continues to remain in wait -and-watch mode, and we expect demand trends to turn more positive over the medium -term.

The hi -tech vertical declined 4.6% YoY; however, it showed positive momentum during the quarter ; the Q oQ was positive, driven by engineering services, particularly in the semi -con segment. That said, we expect the hi -tech sector to remain volatile as companies continue to operate under cost pressure and exercise caution in their IT spending.

Retail , travel and logistics continue to perform, delivering also 11.7% year -on-year growth, supported by strong traction in logistics and above -normal seasonality in the BPS business for retail.

On a geographic performance basis, the Americas grew by 2.1% YoY , Europe delivered a strong growth of 11.2% YoY , supported by the large -deal ramp in European auto. Revenue from the ROW declined by 4% YoY , primarily on account of furlough and annual productivity gains.

That said, our priority markets within the rest of the world that we have called out earlier grew 12.9% YoY , reflecting our continued focus on selected markets, which should better contribute to growth in the future as our mix continues to shi ft. As we said previously, these primary markets are primarily ANZ, Japan, and Singapore.

We added three $50 million client's year-on-year, reinforcing the strength and scalability of our client relationships. Additionally, revenue from our $20 million -plus clients, a key focus area for us, continue to significantly outpace the company average. The performance underscores our focused approach to scaling strategic clients and deepening long -term partnerships by brin ging

tailored solutions to clients and applying the distinctive domain expertise of our experienced staff.

AI continues to be a growth pillar of our strategy, and we support clients in moving across from the experimentation to the execution phase at scale. We are seeing AI increasingly embedded across large enterprise engagements, driving business experience, p rocess and operations transformation, IT build and change, as well as IT operations.

Client programs are shifting from pilots to scaled multi -year initiatives that are integrated into their operating models. In line with this, our partnership with Google, positions us well to accelerate enterprise adoption of Gemini Enterprise, levering Ge mini 2.5 multimodal models to drive human -centered innovation and scale AI adoption across global enterprises.

We have also signed an MoU with the University of Texas at Dallas for AI -led innovation, skill development and research. We will launch our First Makers Lab in the U.S. in Dallas, focusing on pushing the boundaries of AI, data science, Gen -AI, agentic AI, quantum computing, cybersecurity, and cognitive network innovation.

Our deal wins this quarter stand at $1096 million, including the large deals shared earlier. This represents a robust 48% year -on-year growth on an LTM basis. This strong performance is a testament to the focused investments we have made in strengthening our sales engine, our solution -based go -to-market o fferings, and the growing relevance of our AI -enabled capabilities, which are resonating well with clients and contributing meaningfully to these wins.

Other notable deal wins include our selection by a global HCM SaaS company to provide implementation and customer support services across their product portfolio. This engagement leverages TechM 's; HCM, and CX Centers of Excellence, along w

ith capabilities in AI,
automation, solution configuration, and data integration to drive greater efficiency, scalability, and innovation, resulting in enhanced customer experience and optimized cost.

We were selected by a leading European aerospace manufacturer as a strategic partner to provide support engineering across all aircraft programs. The service includes an end -to-end capability for aircraft operators and MRO, leveraging Tech Mahindra's deep expertise in aeronautics and strong delivery capabilities. This collaboration will ensure comprehensive support engineering across all aircraft programs.

We were selected by a leading U.S. -based comps provider to lead its transformation and systems integration initiatives. This strategic engagement focuses on consolidating operations under a single trusted partner, modernizing legacy systems, and reducing t echnical debt through automation and best practice. Leveraging Tech Mahindra's proven delivery excellence and deep expertise, this collaboration will drive cost optimization, accelerate growth, and enable scalable talent deployment through a core flex mode l.

We were selected by a U.S. -based healthcare provider as a strategic partner to lead its enterprise digital transformation. This engagement includes optimization, simplification, cloud migration, and transformation to unify tech stack to deliver better expe rience, cost savings, and business transformation in a managed services environment.

Selected by a leading U.S. -based banking institution as a strategic partner to modernize its enterprise -wide payments platform, incorporating real -time real capabilities across markets, cash management, and wealth management, leveraging Tech Mahindra's COE.

As I mentioned in my last earnings, we marked our 39th anniversary on the 24th of October, 2025, with the launch of our brand refresh. Since then, the refresh brand has been well -received across these stakeholders and has reinforced our positioning across innovation and AI -led capabilities. Further reinforcing the strength of the brand, we received the Best Brands 2025 Award at the ETNow Best Brands Conclave by ET Edge . I am proud that our refreshed brand encapsulates who Tech Mahindra is in the AI era, agi le in execution, bold in vision, collaborative in culture and with clients, and discerning in our decisions, this branding evolution positions us as the future -ready transformation partner enterprises trust to navigate digital reinvention with intelligence and speed. At its core, our refresh brand reinforces our promise to help clients scale at speed through AI -led innovation and precision.

Last quarter, we successfully concluded the third season of the Global Chess League, reinforcing our commitment to innovation, strategic thinking, and global engagement. Over time, these efforts support brand equity, talent attraction, and differentiated market presence, creating sustainable value for our shareholders .

Tech Mahindra has again been recognized as a Global Sustainability Leader in the S&P Global Dow Jones Sustainability Index. We have proudly regained our #1 position globally in the TSV IT services segment.

We have also been included in the prestigious A -list for both the Carbon Disclosure Project Climate Change and the CDP Water Stewardship 2025, a testament to our collective commitment to sustainability, transparency, and environmental stewardship.

As we close, I would like to highlight the launch of our new culture model, “Limitless Together, ” which brings our employee s, our employee value proposition to life. Limitless Together reflects our belief that when we unite with purpose, support each other, and push boundaries, there is no limit to what we can achieve. It is more than a phrase. It defines how we work, grow, and succeed as on e team.

As Margaret Mead had once famously said, “Never

doubt that a small group of thoughtful,
committed citizens can change the world. Indeed, it is the only thing that ever has ”. I believe that this alignment is translating to stronger execution and that each quarter's performance takes us a step closer to our FY27 goals. We expect to grow higher than the peer average by the end

of FY27 while progressing towards a 15% EBIT margin for FY27. The strong quarter reinforces our confidence that we are on the right path and building sustained momentum towards our long -term aspirations.

With that, I hand you over to Rohit to take you through financial performance .

Rohit Anand : Thank you, Mohit. A very warm welcome to everyone joining us today from across geographies .

Turning to our performance for the 3rd Quarter for Fiscal Year 2026 , this was a well -rounded quarter, with the majority of our growth engines coming together to deliver a strong set of results.

Our revenue for the quarter stood at US$1 ,610 million, representing a 1.5% sequential growth and a 2.7% year -on-year growth on a reported basis. On a constant currency basis, the revenue increased 1.7% Q oQ and 1.3% Y oY. The constant currency growth this quarter was driven by a 1% increase in service revenue and seasonality, net of furloughs and the remaining contribution was on the back of large -deal execution in European auto, which will normalize next quarter. In INR terms, revenue was at Rs.14,393 crores compared to Rs.13,995 crores in the previous quarter, an increase of 2.8% on a sequential basis and a 8.3% Y oY basis.

For the quarter, our operating profit was US$211 million, with operating margin expanding by close to 100 basis points to 13.1%, marking the ninth consecutive quarter of margin expansion.

Gross margin this quarter expanded by 120 basis points Q oQ, driven by improvement in our fixed price productivity program and volume growth.

In INR terms, operating profit reached Rs.1,892 crores, representing a robust year -on-year growth of 40.1%.

These results reflect disciplined execution, sustained focus on efficiency across the business while maintaining momentum in top -line growth.

Other income for the quarter had a loss of $2.4 million, primarily on account of forex losses . As of 31st December, our hedge book stood at $1.05 billion, compared to $1.33 billion in the previous quarter. Based on hedge accounting, the mark -to-market loss for the quarter was close to $40 million, out of which $13.9 million was taken to P&L and the loss of $26.3 million went to reserves.

Our effective tax rate for the quarter was 25.7%, while the normalized ETR, as we mentioned before, stays close to 27%.

Our profit after tax margin before exceptional item for the quarter was 9.2%, up 180 basis points on a YoY basis. The exceptional item for the quarter relates to one -time provision of US$30 million in accordance with the new wage code notification.

Through disciplined capital allocation and sharper execution, we have strengthened our return on capital employed to 26.9%, reflecting the business that is not just growing, but growing efficiently.

On a YTD basis, our free cash flow to operational PAT is at 123%. During the quarter, free cash flow was $194 million, driven by strong collection efficiency and continued improvement in our work in capital management.

Our DSO decreased four days on a quarter -on-quarter basis, driven by reduction in our unbilled receivables.

Our total deal wins in the quarter stood at 1,096 million, reflecting a growth of close to 48% on a last 12 - month basis. The quarterly deal wins this quarter is the highest as Mohit mentioned in the last five years.

As we move ahead, we remain focused on sustaining our operating rigor, strengthening execution and delivering our F27 strategic goals, where we continue to rem

ain on track.

With this, I hand it back for the Q&A to the moderator.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi! Good evening. Good afternoon. Thanks for taking my question and good to see all your performance. My first question was on the BFSI side, which you spoke about higher -than-usual furloughs and productivity pass -through. So, what led to this higher -than-usual furlough -- is there any sub -segment or client -specific factor which drove that? And also, is the productivity pass-through done entirely for the quarter, or is there something more to come into the next quarter?

Mohit Joshi: Yes. Thanks. Thanks, Rakesh. Look, I think if I look at the BFSI perspective, I just want to call out a couple of things and I will address your specific questions. But the first is that our BFSI business is compared to our own business is relatively small, right? So, a small change in a couple of clients tends to get amplified in terms of the percentage numbers. And there i s a lot of underlying good news within the BFSI numbers. What I want to point out is, for instance, we have added up a significant numb er of logos over the past quarter, I just want to call out a couple of them. So, for instance, in APJ, we signed up one of the largest Japanese banks. We won a transformation deal in wealth for one of the largest banks in Singapore. In Europe, we signed up a global preferred supplier list with one of the largest global insurers, and a new MSA and project wins with one of the world's largest private banks, again in Europe. In the Americas, we successfully renewed a longstanding infra -network support and tran sformation contract with an American insurer. So, there is a lot of momentum that is happening on the ground. Now, in terms of the furloughs that really had a quarter -on-quarter impact in some markets, like in Canada, for

instance, which is an important market for us, we saw with some of our clients higher furloughs than we had seen in the last year, for instance. Now, this could just be dependent on their project frequency or their own budgeting cycles. As far as the produ ctivity benefit for a larger client that we have spoken about, again, the productivity stepped down because it is a multi -year contract, you have to take a step down every year. We do not expect it to spill through into the current quarter, and we expect t o get back to our quarter -on-quarter growth trajectory. I just want to stress that our ambitions for BFSI remain unchanged, and while this quarter has been weak, there is underlying positive movement in terms of client acquisitions and deal activity.

Kumar Rakesh: Thanks, Mohit, for that. I was actually going to ask about the same thing on the deal -win side as well. Is it fair to say that your deal -win mix for BFSI would be higher than your revenue mix? I think you alluded that you have been getting a lot of new log os, so that is a fair conclusion to make, right?

Mohit Joshi: Well, it is a fair conclusion to make overall, not specifically for this quarter. In this quarter, I would say that our deal wins have tilted more towards telecom and hi -tech, candidly. We have had a lot of significant renewals from a BFSI perspective, which is also very important. For

instance, we renewed our long -standing infrastructure contract, as I mentioned, with an
Americ an insurer. In terms of net new, no, that would not be true for this quarter.
Kumar Rakesh: Got it. My second question was on the headcount. So, sequentially, there is some reduction in headcount. Was that more to manage the productivity pass -through and keep the cost structure under control, or is there something more to that?
Mohit Joshi: Well, I do not think there is any more

to that. What I will say is that we have called out from the beginning of this transformation program that one of the places where we see very significant levers to drive transformation is in our fixed -price portfolio, right, which is over half of our revenue. And so, as we drive productivity into our fixed -price programs, we are obviously releasing a lot of existing talent there. And then, rather than hiring fresh talent, we are largely using this pool. A nd because of the new sort of software infrastructure that we have created within the company, we have much better visibility of our bench and our talent pool than we previously did. So, redeploying those two projects, which is why, we are also seeing growth, right , we are also growing rather than shrinking , and we have chosen not to backfill the talent that would be leaving. And so, on the one hand, you are getting people freed up from fixed -price projects who are being redeployed, resulting in both margin growth and profit growth. On the other hand, where there is attrition, we are first choosing to redeploy our existing fixed -price pool. And thanks to our new software infrastructure, we have much better visibility of individual -level talent and where t hey can be redeployed .
Kumar Rakesh : Thanks a lot, Mohit. Have a great day. I will fall back in the queue.
Mohit Joshi: Thanks, Rakesh. Thank you.

Moderator : Our next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Hello ! Good evening. Happy New Year and congrats on a very strong quarter. Had a couple. So, on the telecom deal, which you mentioned, is the entire 500 million net new , because it looks like it will drive significant growth for Europe next year ? The second is, from a BFSI perspective, how big is payment for us considering all this, the recent thing around the credit card rates being capped at 10 %, do you think that becomes a headwind for us or it is not a meaningful part of the portfolio ? And finally, with this large win, in some form, does it sort of impact margins as we start executing this? And has this already started executing?
Mohit Joshi: Thanks for those questions. I will take them one by one . So, telecom, yes. The revenue that we have called out is all net new. While this is an existing customer, the number that we have included in our large deals wins is only the net new component. So, we have excluded the existing revenue component over her e. This large deal, again, has been signed, but we expect the actual delivery of this to start in the first half of the next financial year. So, it should start kicking in relatively early in the new financial year. As far as your question on BFSI is concerned, while we do have a very large payments practice, our exposure with the actual issuers is somewhat limited. A lot of our exposure is to the payment networks, and we do not see it having a sort of near -term impact. Obviously, this credit card interest rate cap is now just a proposal as it follows through into actual legislation and then into IT budgets. We will be able to give you a clearer picture. But as of now, our exposure is largel y to the networks and not to the actual providers. On the margin impact of the large deals, look, we have always been very clear about the fact that we do not want to do large deals that lose us money. And so, we have continued to stay very disciplined fro m our pricing and from our profitability perspective. And while obviously, large deals involve execution challenges that could dilute margins, we have not upfront signed a money -losing deal , we will not do that.
Nitin Padmanabhan: Perfect. That is very helpful. Thank you so much and all the very best.
Mohit Joshi: Thank you.
Moderator : Our next question comes from the line of Sudh eer Gunt upalli from Kotak Mahindra Asset Manag

ement Company. Please go ahead.
Sudheer Guntupalli: Hi, Mohit. Congrats on a great set of numbers. So, the large deal in European telecom, that in itself should add around 1.6% growth if it were to ramp up relatively early in FY27 , and on YTD basis, your net new TCV booking was up almost 45% , in general, there is a sense of improvement in the discretionary demand. So, with these factors in the background, do you now believe reaching high single -digit kind of revenue growth in FY27 is a possibility?
Rohit Anand: Yes. So, I think maybe I will just start off and then Mohit will add on the next year visibility as well. So, on the large deal, I think it is obviously not linear in terms of the way it is goin g to be happening. And the way Mohit explained, it will ramp up through the year beginning of the

financial year. So, it will take time to ramp it up, right? So, I think it will not be uniform over the five -year period. So, in fact, on next year revenue, it is not going to be equal to the 1.6% , it will be lower than that at a company level. When we look at it, of course, it helps us with more visibility towards FY27. We will have to continue, as I have mentioned before, continue to drive similar results over the next couple of quarters to drive more visibility and comfort around where we want to be. But Mohit can add more on FY27 as well.

Mohit Joshi: Yes, I think, look, it is too early to give a number for FY27 because we also, what happened last year between Jan and March, but on the whole, we are seeing an improvement in the tech spend environment, which is also reflected in our numbers and the peer numbers. I think more importantly, I am really delighted about the fact that if I look at our client list, and I look at our clients that give us more than $20 million of revenue, we are consistently growing in that pool. And that really refle cts why we are so much more confident about our financial performance , because large clients also are our most profitable clients , and there is a huge opportunity to sell our multiple service lines there. So, that is one particular great source of confidence for us. The momentum that we are seeing in our largest clients that are consistently growing faster than the rest of the company, it is whe n large clients grow consistently slower than the rest of the company, that you have to fill up your revenue with mid-market or with higher risk clients. This is a huge source of strength for us going forward.

Sudheer Guntupalli: Sure, Mohit. And my second question is, some of your peers started disclosing some AI metrics, which give confidence to investors on how the AI opportunity is panning out. Any quantitative or qualitative metrics you can share on your AI portfolio, which ca n give us the confidence on the trajectory we are chatting out here?

Mohit Joshi: Yes. Actually, that's a good question because we were asked this in the media sessions as well. See the challenges, right? That either you go very narrow, right? Which is, let's say the revenue that we get from either doing direct AI consulting work or the money that we get from building models or either large language models or small language model for our clients, right? And then you are talking about a very small number.

Or you go very extensively, which is, you include everything that has to do with delivering productivity, let's say using GitHub Copilot or clients where you have infused AI, which then comes to almost 100% of the clients. So, we have to figure out something which is meaningful. Now, over here, because we have given this a lot of thought, we have published a white paper along with Forrester that you may have seen that, it came out about a week ago, which is about building a new pricing model itself, where the pricing for human lab our and the pricing for digital labour is very clearly disti

nguished.

And the pricing for digital labour is then based on token consumption, right? So, if you are doing a testing project, there is a certain amount of effort that comes in from human labour. Let's say a program, a test lead or a test analyst, and a certain amount of revenue that comes in from the

use of testing specific or assurance specific agents, right? So, we have built that model, we have validated it with Forrester, and we have taken it to a few clients. As we start winning deals there and revenue starts to flow, that could be one great model because there it's very clear what's coming from digital labour.

But until that happens, we will have to think of some metric, which will probably be AI infusion for our top 20 clients. I can say with a great degree of assurance that like our peers, we are almost at 100% adoption there because it is impossible to find a Fortune 1000 client that does not use AI. And so therefore, when we are working with that client, you are not using either your own tooling or their own tooling.

I just feel that nobody's really come up with a metric, which is candidly credible and auditable.

Sudheer Guntupalli: Fair enough. And maybe a quick last one from my side. With the deal bookings being very strong for the last 4 quarters, how do you see the incremental deal pipeline? Is there signs of exhaustion or is it still good?

Mohit Joshi: Well, I think the deal pipeline still looks pretty good at the start of the year. Obviously, these things tend to be lumpy. And if you recollect in Q1 of this year, I had actually, when this question was asked, when are your deal wins going to start conver ting to revenue? We had said that these deal wins will start converting to revenue from the second half of the year onwards. And as we have closed Q3, you have seen that that is true.

So, I do feel that the deal pipeline is still strong. It will continue to be lumpy. So, you may see a quarter -on-quarter of fluctuation. But overall, we are happy with the pipeline and our odds of winning these deals.

Sudheer Guntupalli: Thanks, Mohit, all the very best.

Mohit Joshi: Thank you, Sudheer.
Moderator: Thank you. Our next question is from the line of Rod Bourgeois from DeepDive Equity Research. Please go ahead.
Rod, your line has been unmuted. You may proceed with your question.
As we are not receiving a response from the current participant, we will move to the next participant in the queue. Our next question is from the line of Rishi Jhunjhunwala from IIFL. Please go ahead.
Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Mohit, one question around your BPO segment, right? I mean, if you look at over the past 3 years, the growth there has been really strong when we compare it

to the IT Services business. And if we look around, there are a lot of concerns around this part of the business generally across the value chain, given the risks around AI.
So, one question is, what has driven growth in here for us? And what do you think are potential risks to this part of the business, given how much supportive this has been to our overall growth?
And secondly, from a profitability perspective, it hasn't really been similar story. So, what do you think are the reasons on that?
Rohit Anand: Maybe I can answer profitability first, Mohit, and then you can talk about the growth. So, Rishi, on profitability, as we mentioned earlier, right, if you look at the overall trend, we had also had some divisions that we had move to BPS, right? And BPS has a mortgage processing unit in the UK, etc.
They were relatively dilutive, so there was a comparative dip there, right? But from there, post the integration, they have been consistently increasing on margins, as before. Just this quarter, there is a one time that they had, because of which s

egment w as down, but on operating performance is still Q -o-Q improvement, if you exclude that. And we see that trajectory for BPS to continue over the next quarters or so.
Mohit Joshi: Yes. And the whole look, I think I have always been very bullish about our BPS business. That's for a couple of reasons. One is, we have a really strong leadership team in BPS, led by Biren. And at the end of the day, this business is very much based on t he quality of your leadership, and therefore the solutions that we are able to develop.
I think the BPS business has also gained from the huge infusion of technology, and specifically AI and automation that we have been able to infuse, because of being a large IT player. So, everything that we are doing from a TechM Orion perspective, in terms of agentic AI, or the work that we are doing to build large and small language models, is feeding into the capabilities of our BPS team, to become more effective, and therefore win deals from pure play BPO providers, who may not have that set of capabili ties, right? We see this very clearly, for instance when we are pitching against maybe a pure play BPO for a banking back office deal, right, where our ability to be able to show the level of automation and agentic AI capability, far exceeds what a pure pl ay may be able to provide.
I do feel that as long as this business continues to go up the value chain, and be able to be more solution driven, rather than purely sort of bumps on seats driven, that business will continue to grow. And so, we remain bullish about the long term possibility of this business.
Biren and team have also entered into new areas, where we are able to generate significant revenue. For instance, one of our key capabilities in BPS that's increasingly emerging, is our Saffronic capability, right? Which is our ability to do short digital movies, and a lot of the work on the animation side that is winning them clients across the world, so that BPS capabilities

continue to increase. And we are also driving a greater cross sell between our existing IT and BPS clients.
Rishi Jhunjhunwala: Got it. And just one question, maybe it was asked earlier and I missed it, but just on the wage hike cycle, have you guys thought about if and when we would want to do that?
Mohit Joshi: Yes, on the wage hike cycle, look candidly, with the new labour code having come in, we are studying the implications of that, because it has implications on how wages are structured as well. And therefore, how the wage hike would actually play through. T his is something that we will continue to examine, along with our CHRO, Richard Lobo, and the rest of the team. And we expect to be able to decide once we have the required information. But there is nothing that we can share at this time.
Rishi Jhunjhunwala: All right. Thank you. All the best.
Moderator: Thank you. Our next question comes from the line of Rod Bourgeois from DeepDive Equity Research. Please go ahead.

Rod Bourgeois: Yes, hey, you guys had set a target to grow at or above your peers, their average by fiscal '27. And you have now hit that target. Our data says you beat the peer average by about 1.7 percentage points when you look at organic constant currency growth res ults. So, question is, do you see this as an improved growth position, relative to your peers that should be sustainable going forward at this point as you are now close to fiscal 27? Thanks.
Mohit Joshi: Thanks, Rod. So, look, I think when we had set the plan, it certainly looked like a really ambitious plan because we were at the bottom of the pile in terms of growth. And so therefore setting a path for exceeding the peer average was seen as an aggressive plan. And I am h appy with the progress that we have made over the past 2 years.
What really makes us confident that this is credible is first and foremost, the q

uality of the leadership team that we have assembled. I believe that we have really built a world beating team in TechM.
The second is that we have focused the growth on our largest accounts, right? And so therefore it is stickier, because a lot of the growth is coming from selling new service lines to existing clients, so new design capabilities to existing clients and new AI and data capabilities to existing clients. As I have shared previously, our top accounts, that is accounts with more than $20 million in revenue are growing significantly higher than the company average. And so therefore there is stickiness because this is not one -off revenue from marginal clients.
And the third factor that I wanted to call out is our large deal book, a large and increasing large deal book also gives us a greater visibility of revenue for the future. So, we are confident that going into F '27, that we will be able to fully meet our promise of growing faster than our peer

average. And then hopefully over time building that momentum, there is a high degree of confidence there.
Rod Bourgeois: Okay, great. And then if I could dive further into the Comms vertical, especially in light of the large deal win in Europe, can you give us more color on your outlook for that vertical in particular? And how much of your outlook is a function of what's ha ppening in the vertical overall versus your ability to capture share? Thanks.
Mohit Joshi: Thanks, Rod. So, look, I think the comms vertical is very interesting, because at the end of the day, it is our largest single vertical. And it is very important that we maintain and grow our relevance in this vertical.
I do feel that for the Comms vertical, we have quite a unique proposition, because we are the only player that has the IT capabilities, but we also have the network capabilities and increasingly a lot of the opportunities are emerging on the network side. And we have BPS and software capabilities, right?
So, in Comviva, which has increasingly won a number of Tier -1 clients for our BSS solution, for our marketing analytics solution, we are able to sell that in Europe and in the America. So, first and foremost, I feel that we are really the only player to have a comprehensive and complete portfolio from a Comms perspective, IT and BPO, Network Services and Software. So, that is a winning combination.
In Europe specifically, we see a lot of consolidation opportunities because most of our clients still have a very long tail of partners. And as they consolidate, like they did in the mega deal that we had referred to earlier, we are getting increased oppor tunities. We also see a lot of opportunities with the Comms sort of technology providers.
In the US, we do not see so much of a consolidation opportunity because really the vendor landscape is already significantly consolidated. But we are seeing, as opposed to what we were seeing in '23 and '24, a slight loosening of purse strings. I would not break out the champagne yet, but it is a better picture than we saw certainly 18 months ago.
And in Asia, we see an opportunity really to deploy our software stack at scale. And again, it's been a couple of consolidation opportunities, right? For instance, in the early weeks of this current quarter, we have won a consolidation opportunity for an A SEAN based telecoms company, which consolidated from 10 plus vendors to 2. So, I feel consolidation will drive a lot of growth for us, and the software portfolio that we have, especially with Comviva, which is growing much, much faster than the rest of the company, is driving that differentiation.
So, that, in a nutshell, is where we are on Comms. No significant increase in overall spend for the sector, but an increase in market share for us, given our unique portfolio offerings and our incumbency for key clients.

Rod Bourgeois: Thank you.
Mohit Joshi: Thanks, Rod.
Moderator: Thank you. Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Yes, thanks. Thanks for the opportunity. Just one question in terms of deal TCV. So, I do agree, mega deals are lumpy and cannot repeat every quarter. But based on the efforts and the pipeline, and the success ratio in terms of winning the deals, Mohit, is it fair to assume on an annual basis, we can now achieve $3.5 to $4 billion worth of new business TCVs?
Mohit Joshi: Well, I hate to make projections about the future, but yes, I do think it sounds reasonable, Sandeep. We have certainly demonstrated that over the past 4 quarters, and I certainly don't see us going down from what we have accomplished.
You will see some up quarters, some sideways quarters, and some down quarters, but the overall trajectory for us has been steadily rising from 300 plus to 500 plus to 800 plus to a billion plus this quarter.
Rohit Anand: Yes, and Sandeep, already the LTM for us is 3.5 billion if you look at the last 12 months. So, as you rightly mentioned, the momentum needs to continue, right? We have to go to the F '27 aspiration, what we articulated 2 years back, executing that.
But as Mohit said, there's lumpiness associated with that, but yes, that mark needs to be ballpark in that range, yes.
Sandeep Shah: Okay, and the last question, Mohit, for you in your opening remarks, you called out there are certain one -time or seasonal strength in the revenues. Can you repeat the same? Where were it? Is it mostly to do with the BPO and Retail in U.S. or also in Pini nfarina, which you called out?
Rohit Anand : Yes, so there was marginal impact on the Retail and BPO, but more around the European Auto, which had some deliveries lined up, which will normalize next quarter.
Sandeep Shah: Okay, so will this also have a margin headwind in the 4th Quarter or no?
Rohit Anand : No, it won't have a margin headwind.
Sandeep Shah: Okay, thanks and all the best.
Mohit Joshi: Thank you.

Moderator: Thank you. Our next question is from the line of Abhishek Shindadkar from Incred Capital. Please go ahead.
Abhishek Shindadkar: Hi, thanks for the opportunity and congrats on a good quarter. 2 questions. The first is on the gross margin expansion. Have we reached the peak or there is still juice to be taken out on the gross margin side? That's first.
And second, Mohit, to you, it seems that we are probably on the favorable side of vendor consolidation deals in telecom. Outside of the furlough impact in this quarter, anything or any reason to believe the same or in contrast for the Financial Services sp ace? Or if you can give a color in terms of the vendor consolidation deals in the Financial Services space. Thank you for taking my questions.
Rohit Anand: Yes, so Abhishek, I will probably talk about the gross margins. So, as you look at the first half, we articulated our improvement was predominantly driven by the improvements in the SG&A side and a lot of the Project Fortius efforts, including consolidation of our portfolio companies and various initiatives that we have dr iven. That led to the margin expansion.
And as we discussed about the second half, I had clearly articulated that our expansion will be more driven by the gross margins. I think it's a journey that will continue as we move forward, not just for the next quarter, but also for the next year, right ? Because all the efforts that we are driving around Fortius will be factored and focused around it, while some impact and improvement will continue in SG&A, but on a relative basis, majority of the contribution will come from gross margin.
Mohit Joshi: Yes, and on the BFSI question, look, I think vendor consolidation is happening across se

ctors.
It's just that BFSI has longer buying cycles and longer ramp -up cycles. So, for us, the BFSI story really is about, especially in the Americas and about an APJ, is really getting into new clients and then being able to ramp up, which is why I am very enthused, for instance, like I said, by the signing up of one of the largest glob al banks headquartered in Japan or winning a transformation deal in Sing apore or our preferred supply list selection with one of the largest global insurers, and the win that with the private bank, right? So, we really have to be able to scale up in these accounts.
That is what will give us the growth. And really, we are not really such a large incumbent in existing accounts that we have to fear vendor consolidation in the sector.
Abhishek Shindadkar: Super helpful. Thank you for taking my questions, and best wishes for the rest of the year.
Mohit Joshi: Thank you, Abhishek.

Moderator: Thank you. Our next question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question and congrats on a great all -round performance. Mohit, I have just 1 question and then a couple of questions for Rohit. I think you mentioned about the very good pipeline that you are seeing in the BFSI vertical. Just wanted to pick your brains on the manufacturing vertical. How are you seeing that, as say, over the next few quarters?
We have heard a lot about the weakness in the Auto segment, and there are a couple of illusions that we have already seen from the peers that maybe Auto sector is showing signs of turnaround. You mentioned about the European Auto as well. So, how is the outlook in the overall Manufacturing vertical, Auto and ex of Auto? Any comment on that would be really helpful.
Mohit Joshi: Yes, so look, I think the Manufacturing vertical has done exceptionally well this quarter, right? Both from a Q -o-Q perspective and a Y -o-Y perspective. But as Rohit pointed out, there were some sort of seasonal ramps that we saw in European Auto, which w ill not recur next quarter. So, that's a bit of a headwind for us.
Overall, I think U.S. Auto has stabilized, and we should start seeing some growth there over the next few quarters.
We continue to build on our strength in Aerospace. We saw one of the large deal wins was in Aerospace as well. So, there will be some volatility because of European Auto, candidly, in the next couple of quarters. But on the whole, I feel very comfortable with the Manufacturing story that we have built, right? I think the expertise that we have built, the partnerships t hat we have built with the software providers, the lift that we are seeing because of the SAP upgrade cycles, that makes me long -term confide nt about Manufacturing.
And also, Manufacturing with the smart factory of the future, with physical AI, we see a lot of opportunities to build on a truly differentiated story within Manufacturing, where we have a natural right to win because of our history and heritage, and also because of the capabilities of the group. So, near-term volatility, but medium - to long -term significant opportunities. And that is just also backed up by the performance in the current quarter.
Vibhor Singhal: Got it. And the deal pipeline also in the vertical looks good?
Mohit Joshi: Yes. Absolutely.
Vibhor Singhal: Great, thanks for answering those questions, Rohit. Rohit, just a couple of bookkeeping questions.
Typically, we have seen in Q4, for the last 2 years at least, we have seen a seasonality plan to a number. We see kind of a 1%, 1.5% kind of Q-on-Q decline. The seasonality will continue this year as well? Or do you see the business exchanging and we might or might not see that kind of a seasonality?

Rohit Anand: Yes, Vibhor, the seasonality on revenue for us is more towards Q1, where we do we were back on the platform, not really Q4. So, I think the degree of that seasonality has definitely improved over the years. It's not as much as we had anticipated before, but it will continue. So, we will see a Q1 pressure on seasonality still to happen. But that's not in Q4.
Vibhor Singhal: But not in Q4. So, the last 2 years' decline in Q4 was not a seasonal factor. It would have been very specific to those quarters.
Rohit Anand: Yes, it was very client and project specific items. Seasonality for us is typically in Q1.
Vibhor Singhal: Got it, got it. Also, if you could just take us through the margin walk for the quarter, the 100-basis point margin expansion Q -on-Q, would you be able to give the break up as to how much have we benefited from operational efficiency, how much from INR deprecation, how much from other factors, breakup?
Rohit Anand: Yes, sure, sure. I think from a currency perspective, the improvement was marginal. It wasn't a big factor. Most of the improvement that you see is driven by operational improvement. Volume, of course, is some part of it, around 20 to 30 basis point is dr iven by margin, and the rest is driven by Project Fortius, which is all operational improvement.
And that's divided into various initiatives, as we called out, between delivery -led growth, pricing improvement, utilization improvement, fixed -price projects that we continue to call out as a big leaper, where we continue to drive automation, embed AI, an d keep on driving what Mohit explained, redeploy people internally into new work, and that's why the revenue productivity also keeps on going up, right? So, all the projects around Fortius are contributing to that, and that's mostly contributing to the imp rovement.
Vibhor Singhal: Got it, got it. And just 1 last question for me, just a clarification. So, as of now, we have not

decided on the wage hike for FY '26, so as of now, it has not happened in Q4.
Rohit Anand: So, it's undecided in terms of when it will happen, and we will keep on sharing updates with you as we move forward, as Mohit mentioned. As we get more information on the evolution of new labour code, we will keep you posted on the development, on the timing , etc.
Vibhor Singhal: Perfect, perfect. Great, thanks for taking my questions, and I wish you all the best.
Rohit Anand: Thanks, Vibhor.
Moderator: Thank you. The next question comes from the line of Sumeet Jain from CLSA. Please go ahead.
Sumeet Jain: Yes, hi, thanks for the opportunity. Mohit, I wanted to first understand, like, in your ambition to grow higher than peer average in FY '27, which vertical other than Telecom you are confident of to achieve that vision?

Mohit Joshi: Fair enough. So, first of all it's not about only next year, right? Because at the end of the day, we are building a company for the long term, so we want to make sure that we are growing really across verticals.
If you look at our portfolio, though, we have seen strong strength in Manufacturing on the basis of the solutions that we have created, the capabilities that we have, and the clients that we have. I continue to seek growth opportunities there.
If you look at our Retail and CPG and Travel, Transportation, Logistics portfolio, that has done extremely well. Candidly, I did not have such high hopes from it when we had started, but under very strong leadership that we have had with Sampath Saagi and the others, that portfolio has done extremely well, and I am very optimistic, bullish about our opportunities there.
The portfolio that we have in BFSI is clearly very important because there is a large spend pool. We are creating capabilities. We have continued to hire exceptional quality talent on the market, and I have no doubt that that will be a medium -too long -term growth driver for

us.
In the long run, I expect all of our verticals to do well, right. We have great capabilities. In some spaces, like for instance, U.S. payer , right, it will take us time to build out broader capabilities set and a deeper client presence. But on the whole, for Telco, for Manufacturing, for Insurance and Payments and Asset and Wealth Management, for the design -led capabilities in Retail, those capability sets already exist, so it should be easier to ramp on that.
Sumeet Jain: Right, Mohit. And I guess on your M&M Investor Day, you also, I think, alluded that once FY '27 vision is achieved, we will probably give another 3 -year FY '30 vision. Can you give any glimpse of that? Will there be any change in strategy, any further acc eleration we might see on either order booking or on revenue growth pickup?
Mohit Joshi: I think it's a little bit too early for that. All I can promise you is that it will be attractive and credible in equal measure, like our previous plan.
Sumeet Jain: Got it. Thanks and all the best.
Mohit Joshi: Thanks, Sumeet. Thanks for the support.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the Management for closing comments. Over to you, gentlemen.
Mohit Joshi: Thank you. Over the last 21 months, we have really focused on strengthening the fundamentals of our business, investing in the right capabilities, building scalable platforms, sharpening our go-to-market execution, and creating a resilient operating model . So, the results that we see

today, including the improved deal bookings, while also delivering margin expansion, are a direct reflection of these efforts.
As we look ahead, I am going to be traveling to Davos to meet with our leaders and with our clients to also get a perspective on how technology is driving deeper interaction across industries, economies, and societies.
So, thank you for joining us today. I believe we had an incredible quarter. Look forward to meeting you again next quarter.
Moderator: Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2026

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To,
BSE Limited
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Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th ■oor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the quarterly earnings meeti ng for the fourth quarter and ■nancial year ended 31st March, 2026– Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings meeti ng vide letter dated 3rd April 2026 and video recording of quarterly earnings meeti ng vide letter dated 22nd April, 2026.

Dear Sir/Madam,

In terms of Regulations 30 and 46 read with clause 15 of para A of Part A of Schedule III of the SEBI Listing Regulations and in furtherance to the outcome and video recording of the quarterly earnings meeting ■led on 22nd April 2026, please ■nd enclosed the transcript of the said quarterly earnings meeti ng of the Company for the fourth quarter and ■nancial year ended 31st March, 2026, held on Wednesday , 22nd April 2026 after the meeting of the Board of Directors for your information and records.

The text transcript is also uploaded on the website of the Company and can be accessed at the weblink: insights.techmahindra.com/investors/tml -q4-fy-26- earnings -transcript.pdf

Please note that the Company has referred to publicly available documents for discussions and no unpublished price sensitive information has been shared during the aforesaid meeting.

This intimation is also available on the website of the Company at the weblink: https://www.techmahindra.com/investors/

Kindly take the above on record.

Thanking you,

For Tech Mahindra Limited

Ruchie Khanna
Company Secretary

Encl.: as above

Tech Mahindra Analyst Day
April , 2026

MANAGEMENT: MR. MOHIT JOSHI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER, TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER , TECH MAHINDRA LIMITED

MR. ATUL SONEJA – CHIEF OPERATING OFFICER, TECH MAHINDRA LIMITED

MR. RICHARD LOBO – CHIEF PEOPLE OFFICER, TECH MAHINDRA LIMITED

Vrinda Pisharody: Good evening everybody a nd a very, very warm welcome to Tech Mahindra Pune. So what's an event if you don't start it with Murphy's Law? So past the glitch, hopefully the presentation goes on. I'm Vrinda . I head Internal Communications and re wards for Tech Mahindra. And I'm going to be your host today. So firstly, a big, big thank you to all of you for being here. While I know Bombay is not too far, we're also acutely aware of the effort it takes to travel in this heat from wherever it is , so a big round of applause to all of you. Thank you so much.
Thank you, like I say, for investing in us and investing the day with us. Thank you so much.

We hope you've had a chance to explore the Communications Experience Center and the vertical booths that we have outside. I mean, I'm hoping you've got a chance in a sense of where we are headed and what we're trying to build. And today is going to be about connecting those experiences into strategy, execution, and of course, outcomes.

So let me quickly walk you through how the session will flow. We will begin with our CEO, Mohit Joshi, who will take us through our strategic priorities, including a focus on AI and share an update on the FY27 transformation plan.
We will then hear from our Chief Operating Officer, Atul Soneja, who will walk us through the operational progress on our three -year strategic plan. And then, of course, the part that tends to get the closest attention, our CFO, Rohit Anand, will take us t hrough the financial performances.
We will close with what's usually the most engaging segment, and that's the Q&A with our leadership team.

So without further ado, I'll invite Mohit and Rohit to come on stage, please. Thank you.

Mohit Joshi: Thank you, Vrinda, and thank you all. Thank you all for, like Vrinda mentioned, making the arduous journey from Mumbai to Pune. I'm sure, it's been a very hectic 24 hours for all of you with all the earnings over the past couple of days. But hopefully, apart from the earnings, you've had an opportunity to see the lovely Communications Experience Centre that we've set up. And thank you Amol, thank you for helping in the build -out and for showcasing the capabilities that we've built from a comms perspective.

But also, the very important vertical use cases that we have shown outside, really going all the way from Manufacturing to the SDLC lifecycle changes that we're building , to the work that we're doing in building out sovereign models , hopefully, it gives you a sense of the very deep R&D and very deep sort of vertical focus capabilities that we're creating within Tech Mahindra. That really gives us a lot of optimism for the future.

Obviously, in the course of the next couple of hours, we'll be talking you through the progress that we've made in our journey so far and what we see unraveling or what we see happening in the course of the next 12 months as we work on fulfilling the promi se that we had made in April ‘24 about the three -year transformation journey of TechM.

But before we get into the transformation journey, I'm going to walk you through the FY26 financial performance, including the numbers we've reported for the most recent quarter. And again, to start off with, we're delighted with the performance. We're very happy that we were able to close out FY26 on a strong note. And really, the positive momentum that gives us as we go into FY27, really, the most important year of the three -year transformation journey.

 So to begin with, FY26 was clearly a very important year from a deal momentum perspective. We closed the year with the highest ever deal wins in the last many years. Notably, we've secured two mega deals over consecutive quarters aimed at accelerating innovation, strengthening digital resilience, and

delivering AI -led operational efficiencies. Y ou will
recollect that last quarter, we reported a large telecom deal. And this quarter, we've entered into a global partnership with Orange Business. The five -year collaboration will drive end -to-end digital transformation for enterprises worldwide with a strong focus on AI automation, secure digital platforms, cloud , cybersecurity, and scalable solutions.

We have further enhanced our right to win by making our offerings increasingly AI -led. We have made investments to embed AI across services, to augment capabilities, and to bring in seasoned industry specialists to drive innovation and execution at scale.

Full-year revenues stand at US D 6.385 billion, up 1.9% on a reported basis and 0.6% in constant currency. During the year, our focus remained on disciplined execution, staying close to clients, and progressing our solution -led approach. Operating profit is USD 797 million, up 31.4% year -on-year, with margins expanding by about 290 basis points to 12.6%. Rohit will walk you through this in more detail.

Moving on to vertical performance for the year, we delivered about growth of 5.9% year -on-year in manufacturing. Growth in the vertical was led by aerospace and industrial process manufacturing, where it helped us to navigate a softer environment in US aut o. The contribution also came from a ramp -up in European auto clients through our subsidiary.

In BFSI, the vertical grew 3.7% year -on-year. Our focus on specific sub -segments, like asset and wealth management, payments, and core platforms is yielding results. We are receiving an increasing number of analyst recognitions, with the latest being Tech M's position as a Leader and Star Performer in 2025 Banking and Payments by the Everest Group. Our approach in strengthening leadership coverage, investing in pertinent capabilities, and winning engagements with Forbes 2000 clients has helped improve momen tum across priority markets within BFSI.

Within Communications, we grew 2.6% year -on-year. This was led by stabilization and increased spend from our largest US client. Com viva also grew double digits for the second year, adding to the momentum. In Europe, we saw improving stability throughout the year, and we are now focused on ramping up these deal wins as we enter FY27, benefiting from scope expansion and deeper client rela tionships.

In Retail, Travel, Transportation, and Logistics , we grew 7.3% year -on-year. This was our highest -growing vertical for the financial year. The growth was supported by a focus on key clients, coupled with strong tailwinds in the logistics domain, driven by e -commerce expansion, automation, warehousing, a nd last -mile delivery optimization. Tech M was also awarded the Retailer's Favorite, underscoring the trust placed in Tech M’s reliable and outcome -driven transformation services at the NRF VIP Awards.

The Hi-Tech vertical declined 2.7% year -on-year. We faced headwinds in the first half of the year, including a restructuring at a semiconductor client and muted discretionary spend. In the second half, we began to see stabilization across clients. We continue to watch spending across Hi-Tech clients with continued investments in data centers, influencing their spending patterns, and we are making efforts to partner with these clients to refine and tailor our services to their evolving spending priorities.

In Healthcare, revenues declined by 0.6% year -on-year. We continue to see regulatory policy challenges across Provider and Life sciences segments, resulting in muted discretionary

 spending. At the same time, we are seeing increased engagements with large payer clients across data and AI -led initiatives, creating a clear pathway to scale enterprise -wide transformation programs as AI adoption accelerates.

From a geography standpoint, Europe delive

red a strong growth of 8.9% year -on-year, aided
by currency tailwinds. Within Europe, we saw encouraging traction in aerospace, industrial manufacturing, and European auto. We are seeing an active pipeline of vendor consolidation opportunities. The Americas was broadly flat overall, while Communications in the Americas grew. This growth was offset by softness in U.S. auto.

Turning to our client metrics, our $50 million -plus clients increased by 4 year -on-year to 29, and our $20 million -plus client base increased by 7 year -on-year to 66. This growth reflects continued success in deepening client relationships and expanding the scope of services delivered across the portfolio, including AI, data, and consulting -led engagements. Our market positioning and investments over the last year has been centered around AI delivered right, and this posture is paying off in our client eng agement metrics.

Last year, we were pleased that our NPS score improved from near the median to top of the quartile in a single year. This growth in customer satisfaction was the highest with senior and CXO-level clients, and we see this as a sign of trust and deeper engag ement. Building on this client relationship momentum, today I am very proud to say that our NPS score for this year is now the highest in the industry.

Coming now to our quarterly performance, we reported revenues of USD 1.625 billion, up 4.9% year -on-year and 2.4% in constant currency. The Manufacturing vertical grew 11.8% year -on-year, followed by Hi-Tech and Retail at 6.6% and 6.2% Y oY, respectively. Communications grew at 5.6% year -on-year, followed by Healthcare at 4.7%.

During the year, we participated in the India National AI Mission. Our participation was structured around three strategic pillars, Indus and sovereign AI platforms, ecosystem partnerships, and stack orchestration, and applied AI across manufacturing, agri culture, education, and inclusion. We also launched an education LLM in partnership with NVIDIA with the intent of democratizing education.

We are also advancing in our progress as an AI -first organization. We launched our enterprise -wide Claude Core training program, a strategic upscaling initiative designed to strengthen our AI engineering capabilities at scale. We are enabling our associates across three strategic AI engineering platforms, Cloud Core, Dev in, and Cursor, to accelerate adoption, build enterprise -scale expertise, and meet evolving client expectations. We also announced a collaboration with University College London to advance j oint AI research and solution development in GenAI and quantum computing. We will cover our AI strategy in more detail and progress thereof in my presentation shortly after Rohit speaks.

The financial year also saw an improvement in the deal -wins ratio. We closed the year with total deal -wins of US D 3.79 billion, representing a 42% growth year -on-year. TechM is increasingly positioned as a strategic partner to clients rather than only an outsourcing vendor. Let me share some examples of our notable deal -wins this quarter, apart from the other one I al ready spoke about.

A leading North American OEM selected us as a strategic partner for application development and support across mission -critical enterprise systems. A Fortune 500 energy major chose us as the sole strategic partner to run and manage infrastructure, cloud, s ervice desk, end -user computing and allied services, while driving measurable efficiency across the technology estate. We were also selected by a leading global public health alliance for

 managing high -quality and operational agility , while enabling continuous digital innovation to drive efficiency and mission -aligned transformation.

Alongside these client wins, we continue to deepen our partnerships and alliances across the ecosystem. With Microsoft,

we launched an ontology -driven agentic AI platform that accelerates telecom and enterprise data modernization. This is built on Microsoft Fabric and Azure AI Foundry. This solution is designed to enable explainable, auditable and real-time AI -powered decision -making while supporting secure and governed deployment of AI agents.

With NVIDIA, we partnered to introduce an industry -first AI -powered telco network operations reasoning agent. The solution is intended to help communication service providers accelerate progress towards Level 4+ autonomous networks by evolving traditional network operation centers into intelligent closed -loop operations.

With FICO, we partnered to help BFSI organizations accelerate value creation through AI -powered decisioning and advanced analytics. This partnership will deliver end -to-end consulting, implementation and managed services, enabling enterprises to fully leve rage the capabilities of the FICO platform and realize faster, measurable business outcomes.

Tech Mahindra was recognized in the S&P Global Sustainability Yearbook, achieving a top 1% ranking in the IT services industry and reinforcing our commitment to building a resilient and sustainable enterprise. Also reflecting our sustained brand strengthening and competitive progress, we advanced to the fourth position among India -headquartered IT services firms and ninth globally in Brand Finances IT Services Report 2026.

As we step into FY27, we will continue on the progress that we've made over the past two years. While the global backdrop can still be demanding and geopolitical volatility exists, we're encouraged by the way we have strengthened our client offerings, buil t added trust and deepened our client engagement approaches over the last two years. Our efforts are now paying off in stronger bookings, quantity and quality, while also delivering margin expansion.

Moving forward, we continue to remain focused on scaling our capabilities, driving profitable growth and leveraging AI to enhance value delivery for our clients. We are reiterating our FY27 financial targets, sure you're happy to hear that, including achie ving organic constant currency revenue growth above our peer group's average and achieving an EBIT margin of 15%.

With that, I'll hand over to Rohit for a detailed financial performance.

Rohit Anand: Can you hear me at the back? Yeah, okay, perfect. Thank you, Mohit. Good evening, everyone. Thank you again for traveling to Pune. And I hope you had a good day with the teams, as Mohit mentioned.

Just coming to the financial performance , the year, as you know, has marked many uncertainties. Tariffs is when we started the year with. Continuing with the uncertainty for most part of the year, wars and different conflicts is added to the uncertainty as we went ahead. And we had articulated that we'll continue our transformation amidst the macro environment. And with that, we focused on execution. That's what in our control, and that's what we focused ourself on.

Let me walk you through the quarter and the full year financials in the details, starting with our Q4 performance. Revenue stand at USD 1, 625 million compared to 1 ,610 million the previous quarter. On a reported basis, revenue have grown 0.9% Q oQ and 4.9% YoY on a

 reported basis. In constant currency terms, revenue grew 0.6% Q oQ and 2.4% on a YoY basis.

Within that, for this quarter, BFSI leads the quarter's growth with 8% Q oQ growth. Hi-Tech was up 2.5% also, and Communication supported by Comviva Seasonality , is up 1.8% on a quarter -to-quarter basis. Manufacturing was flattish for the quarter, but up 11.8% on a YoY basis.

In rupee terms, revenue stand at 15,076 crores, up 4.7% on a quarterly basis, and 12.6% on a YoY basis, aided by favorable currency movements during the quarter.

The deal wins for th

e quarter stand at 1 ,073 million, up 35% YoY, and reflects continued deal momentum. As Mohit mentioned earlier, we close F Y26 with the highest ever deal wins in the last many years, underlining client confidence in Te ch Mahindra's transformation capability and our solution -led go -to-market approach.

Operating profit for the quarter stood at 223 million, up 5.5% QoQ , and margin percent improved by 70 basis point to be at 13.8%. Project Fortius, FX tailwinds, and Comviva Seasonality contributed positively to the quarter progress on margin , while we continue to invest in AI and work through the transition cost for our large deal. In rupee terms, operating profit was at 2,084 crores, up 48% YoY, aided by favorable currency movement.

As of March 31st, our hedge book stands at 0.75 billion versus 1.05 billion the previous quarter. Compared to March '25, which is last year, our hedge book is lower by 62% from 1.96 billion. This is in line with the change we made in our hedging policy last year, where we've reduced our hedge ten ure from two years to one year. Under hedge accounting guidelines, the mark -to-mark movement was 58.7 million, of which 26 million was recorded in the P&L, and 32 million reflects in reserve.

The effective tax rate for the quarter was at 24.3%, and on the full -year basis turns out to be an ETR of 27%. For F Y27, our normalized effective tax rate should be in a similar range as we had articulated earlier. P AT for the quarter is 145 million, up 15.6% QoQ , and 6.7% positive YoY. In rupee terms, P AT was at 1,354 crores, our P AT margin stood at 9%.

Coming to the full -year performance, revenues ended at USD 6,385 million, up 1.9% and 0.6% on CC basis. Within that, as Mohit mentioned, Retail, Travel, and Logistics led the year's growth, up 7.3% YoY, while Manufacturing and BFSI is up 5.9 and 3.7% respectively. Communication is up 2.6%, with Com viva delivering double -digit growth for the year. Healthcare was flattish on a YoY basis, while Hi-Tech faced some headwinds with a decline of 2.7% YoY.

Full-year operating profit for the year stood at 797 million, up 31.4% YoY, and margin expanded from 9.7% to 12.6%, up 290 basis point. I'll take you further through our margin expansion journey through our presentation later in the deck.

In rupee terms, EBIT was at 7,152 crores, up 39.2%. DSO was 89 days, broadly in line with the previous quarter. As we have delivered in the past, we remain very focused on working capital management and continue our emphasis to reduce receivables and impro ve the cash conversion over time.

Free cash flow for the year stood at 616 million, which is 115% of our reported PAT, and cash and cash equivalent stood at 892 million.

In line with our stated capital allocation policy, the board has approved final dividend of Rs. 36 per share, taking the total dividend announced for the year at Rs. 51 per share, the highest

ever we've done. The full year dividend payout ratio works out at 104% of PAT and 91% of free cash flow, above our stated capital allocation policy.

With that, I'll hand it back to Mohit to share our strategic priorities. Thank you.

Mohit Joshi: Thank you. So it's wonderful to be back here. This is our third Analyst Conference since I joined, and for those of you who will recollect, we've done the first one in Bangalore. Seems like a very long time ago. It was only two years ago. So I just wanted to share an update on where we are on our journey and how we look at the next, the current, and the most important year of our transformation journey.

So if you recollect, right, when we started our transformation journey, we spoke about a new strategic narrative for TechM. We spoke about scale at speed, and really at why we thought we were uniquely positioned among all of our peer group to be able to deliver all the advantages o

f scale that our peers could provide, our very deep presence across multiple industries, multiple geographies, a full set of service offerings. But also, given the entrepreneurial DNA of the company and given our agility, we were also able to provide the benefits of speed. And I think the strategic narrative landed very well, even if I say so myself.

And then we followed that up with a narrative around AI. And we'd spoken about the fact that we're not looking at doing AI, but that we're focused on AI delivered right. We felt that a lot of our clients were really in POC (proof of concept) hell. And how do we get them to move from experimentation and AI to larger scale adoption? And this is why we chose the theme of AI delivered right.

Now, as we move to 2026 and financial year 26, clearly this was an area, this was a year of incredible change, incredible change, incredible volatility. From the start of the previous financial year between January and April, we saw the Liberation D ay tariffs and the impact that it had on technology budgets and the impact it had on our clients. We've had, to add to the complexity, the more recent war in the Middle East and the impact that that has had on commodity prices. We've seen regulatory changes acro ss a whole host of industries. And very importantly, probably the most importantly for our industry, we've seen the adoption of agentic AI and the new models that have been released over the past couple of months, promising to unleash a huge amount of productivity for the industry as a whole. So it has been a year of immense volatility.

But despite this volatility, we have continued to deliver, right? We have continued to deliver. And I think the credit for that goes to the fact that while we've had an enormous amount of external environment volatility, we've had a tremendous amount of internal clarity and a tremendous amount of internal clarity about what needs to be done. And that clarity is showing up in the number of new clients that we've added. So 63 must -have clients that we added in the course of the year. The 182 overall clients that we added, the fact that from an NPS perspective, like I shared previously, we are now the l eader from an industry perspective as far as NPS scores go. And the journey has been very important, right? The journey's been very important to go from the median to the top quartile to now number one within the short space of two years.

From an AI perspective, I want to point out the WEF MINDS Award that we won. This is about how you are able to build scalable and easily deployable AI models. I also want to point out the fact that we have continued to stay focused on our ESG agenda by being among the top 1% of our peer group in the 2026 Sustainability Yearbook. And so therefore all of this taken together gives us the confidence that we are the ascending force in the industry and that we have a remarkably bright future for the company as a whole.

 Now there's obviously been a lot of questions about how will you deal with the volatility, what does this mean, what does AI mean for the industry ? And what I really wanted to point out, I really want to take a few minutes to point out that volatility and change is not new to this industry. The industry has been through multiple waves of change and transmission , and as you see in this chart over here, this is a chart that covers the NASDAQ 100 volatility. You've seen multiple waves . The first wave was obvi ously after Y2K was the dot com adoption, then we had the financial crisis, mobile, cloud and more recently AI. And across all of these transition points, the industry and TechM has continued to thrive. They have always been … for each of these moves, there was always a concern that it would result in significant deflation for the industry and for TechM. But we've continued to thrive despite this an

d the
reason for that is the fact that each and every single wave of this change has meant a huge focus on mode rnization.

So if we look at the journey from Y2K to AI, the first wave after the initial modernization of Y2K was really a focus on enterprise packages, right? So, you know, the SAPs, the Salesforce . And there was a real concern when this enterprise package adoption happened that it would be significantly deflationary for the industry. So many of you will remember that around the 2006 -2007 time frame going onwards to 2011, there was a concern that because these packages were so much easier to deploy than the traditio nal bespoke packages o r the traditional core platforms, that there'd be a significant wave of deflation that would happen for the industry, but that didn't happen, right? This was actually a significant growth driver for the industry.

Then we had the wave of digital transformation , and again digital transformation, the widespread adoption of low -code and no -code platforms was felt to be driving down the demand for TechM ’s offerings , but clearly that didn't happen either. And now more recently, obviously, we've had the AI -related technology changes.

And my own sense is, right, or really our collective sense is that if you look at this, really all of these moves have tended to drive towards greater modernization. And so therefore, a focus on how SIs and companies like Tech Mahindra can work with our cl ients to be able to help them thrive in the new age. So I genuinely believe, and as a company we believe, that this new AI -enabled technology transformation will significantly drive us towards the need for greater modernization , and so therefore , to greate r relevance and greater revenue and profitability for Tech Mahindra.

And when I say it has come back full circle, I truly mean that if you look at Y2K, again, a lot of the demand was modernization -driven. A lot of the demand was for people who understood the industry and for people who understood the specific platforms that our clients have. And we see the same demand coming back again. And in this case, from a Y2K perspective, we were really seen as the builders. And this is really the return of the builder.

And from a TechM perspective, there is a very clear sense that we have that we are exceptionally ready for this new age of AI. And that is because of the pyramid that we have. As you know, we have, on average, about nine years of experience in the company. And when clients are looking at modernizing their stack, this is the skill set they're looking at is people who understand the AI platforms , but equally are able to truly understand the legacy platforms and are able to identify pathways for them to move to the new AI stacks.

If you look at something which has been a source of great panic for the industry, which is the new Anthropic Mythos platform. But if you look at Mythos, for instance, right? And if you look at any large customer, they certainly have billions of lines of co de that need to be understood and that potentially need to be remediated. So there is just an immense amount of relevance for the industry that also comes from our deep understanding of our clients and

their technology estates. We've always had the entrepreneurial agility as a firm. And this is important because at this time, I believe we are the right size and the right temperament to be able to make the sort of pivots that clients are looking for. There is a deep amount of mode rnization experience. And a couple of the examples that we'll be talking about today go towards the modernization imperative that our clients have. We have a significant amount of intellectual property in our core IT services busi ness, whether it's from a mainframe modernization perspective or a VMware migration perspective. And we have significant intellectual property in our Com viva business.

We are geographically diversified, which means that we are not overly exposed to a single market , and therefore , the currency fluctuations or the business and regulatory fluctuations from a single market. And finally, we have worked to build an ecosystem of partnerships across the software vendors, across the hyperscalers, and now across the model builders that reall y enables us to offer a complete and very rounded offering to our customers.

We've spoken about AI delivered right, and I feel that from an AI delivered right perspective, this really goes towards showing how the two stack, right? So there is the traditional technology stack and there is the new AI stack. And really the need for today is to build a bridge between these two stacks. There's not a single client who has moved to a new AI -only stack. Every single client has a legacy stack that they're looking to modernize. And if you look at the modernization imperatives, right, on the data layer side, on the platform side, on the application and the experience side, and while you're building out the new AI stack, which is focused on data, is focused on agentic orchestration, is focused on the AI enterprise layer, what we're really able to do is to bring our very deep knowledge of the traditional or the legacy estate. So how do your data structures work in your old application layer? How do you make sure that you're able to modernize those estates? And equally, building out the new AI est ate from the ground up, right? So for instance, as telcos are looking to build new … are they looking to provide GPU and AI services to their clients , how do we build and maintain those NVIDIA clusters or those Google Tensor clusters? That's a capability that we have.

And so , as clients look to also do agentic orchestration across legacy and the new stack, this is a significant new opportunity for us. And when we think about this opportunity, when people talk about the AI opportunity, this really is the AI opportunity to help modernize the old, build the new, and then build a bridge across both of these, right? This is a very significant opportunity. An d this requires not one capability, but requires a mix of capabilities.

And so , when we talk about building out the TechM capabilities from an AI perspective, we're really talking about building out what we call the new TechM Helix. And the TechM Helix really is a combination of the human capabilities and the agentic and the AI capabilities that we're building out. And from this perspective, when we look at it, we're looking at building out a set of eight areas where we're building ou t capabilities. These go towards the industry use cases that you're building. We spoke about t he work, for instance, that we've done with NVIDIA and building out a network reasoning model. We've spoken about, as you looked at, our Manufacturing capabilities, the work that we're doing in physical AI, how do you build the factory of the f uture ? So these are the industry use cases that need to be built. There is the partnership ecosystem. There is the platforms that you're building. And we've spoken previously about TechM Orion, which is our agentic AI platform. We've also spoken about the various doma in SLMs that we've built for our clients, including our Telefonica. We're talking about reinventing the core and building the new, so both offense and defen se. We're talking about the need to really completely transform our own sales and marketing, but also look at how our clients are looking at next best action, at marketing analytics. We're talking about the talent, both our talent and the client's talent. And we're looking about a new commercial model, right? A new commercial model in the age of AI, rath er than just looking at AI as a deflationary factor and just looking at AI as a productivity enhancer. Thinking about

how you build the new commercial model, like we move from T &M to fixed price to outcome -based. How do we look at the new commercial model that truly incorporates AI and is an AI native commercial model? So these are the eight themes that we've been working on, that we've been building capabilities. And this has both a human and agentic or AI or a technology -driven component.

I'll talk a little bit about the new commercial model that we're building. And this really goes towards how you build for the new age of AI. So I would say that the easiest thing … if you're thinking about AI and the only thing that you're doing is going and talking to a client saying, I'll give you 20% productivity or 30% productivity. It's really a very simplistic way of looking about how clients are thinking about deriving the ben efit of AI. Because really, where is the 30% coming from? How can I have th e confidence that you can deliver 30%? Why 30? Why not 40? Why 40? Why not 50? Why not 80, right? And so , you really have to be able to think about how you look at the work that is being done by a combination of digital labo ur and human labo ur. And think about work in terms of tokens , the way we think about it.

So if you take the work that we do in F nA, for instance, right, that's a good example. We run the F nA function in our BPS business that Biren leads for a number of our clients. We do the work end -to-end, and we measur e it with targets on accuracy, cycle time, and compliance, right? So the way of thinking about running an AP function for our client , for instance, in the age of AI , is thinking about the work overall in terms of the number of service tokens that you will deliver to a client. So a service token i n the context of an AP could be a sub -process of AP that you need to deliver for a telco. And then within that sub -process, what is the work that is being done by human agents? What is the work that is being done by digital labo ur? And how do these tokens combine to make an overall service token and therefore price it to the client? And as the combination of human labo ur and digital labo ur changes over time, and as the pricing for digital labo ur changes over time, the result is very transparent to the clien t.

And AP is just one example. We have built these service token models for modernization. We have built it for front -end design. We have built it for network services. We have built it for infrastructure operations. So really a much more sophisticated, comprehensive, and cohesive way of thinking about pricing, using the vector squads that I spoke about. And so as you move to a vector squad -based pricing for AP, for instance, you will still get the same outcomes. And really, you should get much better outcome s in terms of price, in terms of quality, and in terms of predictability. But it is a new way of thinking about the old pricing issue.

And we've got a couple of examples of where we have been able to deliver AI outcomes for our clients. Kroger, for instance, as you know, is one of the largest grocery chains in the US. And Tech Mahindra has been engaged with Kroger for eight -plus years across e -commerce, merchandising, and retail media programs. And as Kroger is preparing for the agentic a ge, we are playing a key role in AI engagements like Kroger Shopping Assistant and AI Insights in Merchandising from the cent res that we have in India an d Mexico. And if you think about it, right, Kroger Shopping Assistant is an AI -powered interactive shopping layer. What it does is really change the way you shop, right? So from making pure recommendations to really creating shopping baskets for you and then being a ble to execute on those shopping baskets is a very new way of thinking about agentic AI. So rather than making a recommendation about what meal I want, moving from what recommendations I may have for a meal that yo

u have to creating a complete sh opping basket and being able to execute that shopping basket , is an example of agentic AI in action, right? And that's some of the work that we're doing with Kroger.

We also work extensively with Enbridge. As you know, end -user services is a key area. The

service desk is a key area that is going to get disrupted with AI. And how do you build a zero -touch, agentic AI -driven model to be able to deliver these services with much greater customer satisfaction? That is the work that has happened with Enbridge. Large -scale operational transformation, you have the platform capabil ities that we're building and giving a tangible result for the client.

The third example is from TForce, which is a logistics provider in the US. And over here, the focus has been on modernization. How do you look at a legacy mainframe stack and how do you look to transform the mainframe stack using AI? There has always been the promise of AI that you're able to do legacy transformation at speed and you're able to decouple processes from the traditional legacy stack and move them to the new AI stack. That is the work we're doing with TForce.

Coming back again to the three -year roadmap that we've given you, the first year of the plan was always about the turnaround. The second year was the stabilization, which has now come to an end. And the third year is when we said you will realize the benef its of the work that we've done in terms of margin expansion and in terms of faster growth. And I'm very happy to say that you haven't really had to wait for the third year to see the benefits of that. We've now had 10 quarters of margin expansion, so goin g from an exit margin of 6.4% to 13.8% in the most recent quarter. You've seen our growth growing over the period of time. Growth has been muted for the entire industry. But if you look at where we started, with a significant negative year -on-year coming to a very positive exit velocity, almost a 5% year -on-year on a reported basis in the most recent quarter , it has been a significant transformation and we are confident that that transformation and that promise of growth and profitability will be delivered in FY27 also.

This was the original flywheel for Tech M that we had shared and it had a plan around revenue, which was really a plan around deep focus on key accounts, on key verticals, on key geographies. There was a plan around operational efficiency, Project Fortius, and there was a plan for transforming th e organization, transforming the employee experience, looking at the culture of the company and reshaping the culture, a deep focus on training and learning, leveraging the full strengths of the Mahindra Group and c ontinuing with our ESG agenda. I'm very happy that we've made progress across all these tracks. If I just take a look at the growth strategy track, for instance, we've spoken about the balance industry mix and we have been sharing this data with you over the course of the past two years.

There was a big concern when we started this journey about is Tech M going to remain a leader in the telecom business? This was a very real concern. A lot of you had asked me when I joined saying, you guys are losing the plot as it comes to telecom. Well, hopefully that fear has been completely allayed now with everything that you've seen about the steady growth, relevance, large deal wins, stabilization, the work that we've done to infuse new talent into our telecom business, the work that we've done to be come really AI native in terms of telecom, the work that has been done from an overall analyst rating and ranking perspective. So very comfortable with that.

Manufacturing was a second area of strength for us and has really delivered, right? You look at the growth in the most recent quarter for the year across industrial manufacturing and the new

strength that we've built out in aerospace and defense and proces s manufacturing that has happened.

BFSI was a relatively small vertical for us and we promised that this would be an area of focus for us. The work over the past two years has really been on creating the opportunity for growth through entering promising logos and then being able to reap the benefit of that through expansion over the next few years. It has been about the talent expansion that we've
 done from an AI perspective, from an FS perspective by adding very deep domain industry talent.

And finally, the other sectors we spoke about, about Healthcare, about financial, about Retail and CPG, and you've seen remarkable growth there as well. I think Retail CPG is another example which we had not actually initially called out but has been the fastest growth driver for us because we realized that we had an amazing strength because of Pininfarina and B ORN on the design side that could be leveraged to grow the business as a whole. And our team, especially our Americas team under Sampath's leadersh ip has done a wonderful job there.

We’ve spoken about the focus on certain service lines and Atul will talk about it. We've spoken about our digital enterprise applications business, our engineering business, the work that we're doing from our data AI, from our consulting and from a design persp ective ; that business has done very well. So there has been an improvement in the quality of our earnings as well.

BPS, again, under Bi ren's leadership has been a growth driver for us from a growth perspective, from a profitability perspective. It has been an integral part of the transformation that we've driven within Tech M. From a prioritized markets perspective, you've seen the growth that we've delivered in Europe. The immense pipeline that we have converted , and that still remains from a Europe perspective . In the initial turnaround, the transformative role that was driven by our APJ business and driving growth, w hich continues to be a significant growth driver for us. We've spoken about the Turbo charge program, which is the exceptional focus that we have on our top clients, right? And you've seen this. The number of our top clients, our 50 million plus clients has increased steadily over the two years of this journey. And I can tell you that the gr owth in our top clients is orders of magnitude higher than for the company as a whole because we have continued to trim the tail, right? So we have continued to grow , while trimming the tail , because our top accounts have done well.
The feedback from top account is best exemplified through the NPS scores that you see. And our NPS scores are done by feedback where we are number one in the industry in terms of our NPS scores.

The large deal focus has delivered. We'd always said for the first year when we did not deliver large deals, people always said that, you've done everything, but you can't deliver large deals. Now we've delivered large deals. And as we ’d promised, we have stayed extremely disciplined in large deals. So we have stayed disciplined so that large deals don't end up creating a problem for us in the future , or doing large deals that don't make business sense. Clients don't want us to do deals that don't make sen se either, right? Clients want us to do deals which makes sense for both the organizations , and that's what we've been focused on.

While we have delivered large deals, we continue to have a healthy pipeline and we continue to have an incredible amount of confidence in our ability to win these deals in FY27 as well. These deals are across sectors, in Manufacturing, in Financial Services, in Healthcare, in Retail, CPG, in Energy and U tilities. I had spoken about the Orange Partnership earlier. I think this is an example, important example of a partnership where we'll be work

ing on a joint go -
to-market , we'll be working on transforming their technology estates , and we'll be working on using their world -leading evolution platform to take to our common set of clients.

I had spoken about the work that we're doing to transform the organization. A lot of the work has been focused on reshaping the culture of the company, keeping the intrinsic strengths of Tech Mahindra , while focusing on simplifying the organization, clarifying roles and responsibilities with a huge focus on innovation that you have seen in our experience cent res in Chennai and over here, but also the display that you got of the industry -specific

13 use cases.

And f inally, a focus on driving a very strong performance orientation across the company. I believe our learning offering is truly industry -leading. It is supplemented by the significant investments that as a company, Tech Mahindra has made in Mahindra University with over 700 full -time faculty. I would welcome you to go and see, for instance, the life sciences lab that we have built within Mahindra Un iversity, which is an exceptional showcase for the deep research capabilities that TechM brings to that sp ace. Several dozen of our clients have visited it and have always come back impressed with the quality of the research scholars within the university and the deep ties that we have built to our core business in TechM.

From a branding and marketing perspective, P eeyush and his team have done a wonderful job in making sure that the brand is elevated, in making sure that our messaging is consistent, and in making sure that we have a uniquely differentiated position that we occupy in the market.

From an ESG leadership perspective, Sandeep Chandna and his team have continued to ensure that, for instance, we were the first organization in India to have science -based targets accepted by the SBTI Foundation to make sure that we are in the top 1% of th e Sustainability Yearbook, to make sure that in the Dow Jones Sustainability Index, we have a leadership position. So across the entire spectrum of organizational strengthening capabilities that we spoke about, including the Mahindra Synergy, how do we wo rk with Mahindra suppliers? How do we do more work with the group? How do we build on the unique domain strengths that Mahindra has across a range of businesses? The promise of building the organization for the future also is being realized.

So with that, I will pass it on to my friend and colleague Atul S oneja, our Chief Operating Officer, to talk about the stellar job that he and his team have done in driving the operations transformation for TechM .

Atul Soneja: Thank you, Mohit. And hello, everyone. Good evening. And as both Rohit and Mohit said, first of all, thank you. Thank you for joining us here. Thank you for your support over the last two years of the transformation journey.

As a leadership team, I think we are very, very proud of what we have accomplished in the last two years. We are very well aware of what lies ahead. We have a plan to achieve the commitments that we have made for the entire FY27 transformation journey as w ell. And what I will speak today about is what are we really doing as part of the operation strategy.

So if you look back two years back, we had spoken about operation strategy not just as a Project Fortius , which was focused around margin improvement. We spoke about how are we going to build a resilient, relevant, and a responsive organization. Right? Those were the foundation blocks of our entire operation strategy. Obviously, it was about building the right capabilities, both on the domain side as well as on the horizontals. We had identified the industrial verticals, be it Telecom, Manufacturing, Banking a nd Financial Services, Insurance, Hi-Tech, Manufacturing , all these were the verticals that we had identi

fied. And we had also
identified the horizontal capabilities that we will excel in, right? Enterprise applications, engineering services, AI, cloud, consulting. And this is where we have focused on.

But it was also about not just building capabilities, but about being able to take it in a meaningful way to our customers. It was about creating a delivery organization which was simplified in its operations so that we can be very responsive to our customer needs, which were very continuously and fast evolving. So that is a journey that we have really been on.

 And again, as I said, we are proud of some of the outcomes that we have delivered, and we know what it takes to deliver our FY27 as well.

So if you look at our focus on productivity gains, it was about bringing in the right technology levers. Obviously, automation, AI, principles of lean has helped us drive the right kind of productivity improvements that we wanted to drive. It was also abou t making sure that we bring in the right kind of platforms within the organization, which will help us drive better outcomes. So we invested, and Rohit had made a commentary of this about a year back and two years back as well, as to how we will continuou sly invest in different interventions as we continuously scale as an organization. So we have invested in technology platforms, for example, an entire demand and supply management platform, which is AI enabled, which helps us being more responsive to our c ustomers. That is something that we have invested in, which helps us improve our fulfillment time. That's something that we are good at now.

We have also been focused on making sure that the companies that we had acquired in the past, there was a real value about these companies in terms of the quality of the services that we could take to the customers. But the integrated offerings combined wi th the service lines was something very, very important for us. So, the last 1.5 -2 years we have worked relentlessly as part of a separate team that we created to get all these portfolio companies integrated. Very happy to see that 100% of all these portf olio companies have been integrated from the backend and from the frontend and the middle end, right. Backend work is in progress, should get over this year.

Obviously, when we looked at our operational parameters, this was about really getting the right rigor within the organization focusing on very simple things but focusing on it to make sure that we are able to drive the difference. It was about making sur e that we focus on utilization, we focus on the right pricing. It's okay to invest in a platform which is AI -enabled to do the demand and supply management but it's also important to make sure that we are charging the customers the right price for the righ t capabilities that we are bringing in.

Mohit spoke earlier about how we have this golden pyramid, which is very much relevant in the current era of AI as well. Now, how do we price for that right experience and the expertise that we have in the organization was very, very critical for us and th at is what we have done as part of our entire pricing track and the operational excellence as well. We focused on the high margin service lines but more than high margin service line it was all about the focus about the capabilities that are relevant to th e customers in the current environment and that is how we have been building our services and our solutions to our customers both on the domain as well as on the horizontal side.

Delivery excellence, it was about making sure that what we commit to our customers gets delivered, what are the right kinds of early warning signals that are in the organization which help us understand the risk that we are carrying in multiple programs t hat we are executing for our clients, how do we ensure that there's right governance so that t

hese risks are
captured and then we have the right governance to make sure that they are escalated in a proper way. It was about making sure that there's a predic tability to the entire delivery model, right.

Now, again, for me, the best reflection of what we have been doing is in some of the outcomes that we have been able to deliver here. Mohit spoke about 10 quarters of continuous margin improvement, something we are very, very proud of, and we had said that this will be almost linear in nature, we will not have too many ups and downs from that perspective. And as you can see from the graph here, this is something that we have been able to deliver. And again, if you look at what we have been doing across IT, Comviva, BPS across the entire organization, it is not something which is very, very different. It's about

 doing things in a disciplined way with the right rigor, focusing on some of the basics while we obviously take some of the high margin service lines to our customers as well.

When we look at our FY27 ambitions, clearly commitment to deliver the 15% EBIT. We know what are the headwinds, we know the tailwinds that we are entering the year with. But if you look at the FY27 ambitions ahead, again you will see it's about doing the same thing again and again, repetitively, but with the same rigor and discipline. But this year, obviously, the big focus is around using AI to drive and enhance the productivity that we can drive from our fixed price programs majorly. We have made a very good start around that and that is something that we will carry on this year. Anyways, this is something which our clients expect and I'm sure you would have heard it from other industry players as well. So, this is something that we have already started a s a journey and this is something that we will carry on as we go forward.

When we talked about building the relevant capabilities, how do we win in this era, which has got multiple of these macroeconomic challenges as well, we looked at what are some of the things which will hit us in terms of potential headwinds. We know what the GCCs are continuously expanding, we have adopted different models as to how do we partner with these GCCs. In some areas you are competing with the GCCs, some areas you are almost acting as a vendor to the GCCs as well. But whether the GCC is from a co st perspective or a capability perspective, depending on how the GCC itself has been set up we are trying to optimize our way of partnering with them to make it a win -win for them as well.

When we look at some of the changes that have happened with respect to AI, again for us it was very clear as to how are we going to build an AI first delivery organization. And if I look back, I mean, as an organization who had built its own LLM with the Indus coming in, being part of the India AI mission as well, taking lead of all the great work which was happening on AI in Makers Lab, led by Nikhil and his team, we had crafted out a very clear strategy as to how we will deliver AI to our customers. It w as about making sure that we lead the customers on the consulting side as to how they should approach their AI programs, which are the use cases that they should prioritize, how should they set up looking at the ROI of their AI investment that they are doi ng, what should be their thinking of in terms of building a COE or partnering with some other partner to deliver their AI programs.

So, we had led through a consulting lens on the AI side clearly focusing on building the right platforms which will help us deliver AI programs both to our customers as well as from within the organization. So, when we launched Orion earlier in the year, the idea was not that we are just going to monetize Orion, it was also about using Orion for our internal consumption, how do we create agents, how do we use verify in terms of agents b

eing having both the
maker and checker model in the same platform, how are we going to use a platform which cannot just operate with its own agents but with agents created by anybody else in the entire environment as well. So, the successes that we have seen with respect to Orion being accepted and being very, very widely req uested by a client is something great and we'll continue on this journey.

So, we lead through consulting, we build our platform and IP through what we have as part of our CTO organization and then we said we are going to democratize AI. Every single service line, be it the application development and maintenance services or eng ineering services or enterprise applications or Cloud and infrastructure services, each of them are going to approach AI in a different way. So, how do we enable each of these service lines to figure out what works best for a client leveraging either the t ools which are provided by the clients or our own platforms to deliver the right value to our customers was the approach. So, democratized AI delivery led through consulting by building platforms at a central place. That's how we have been delivering value to our customers. Again, something which we are
 proud in terms of how it has been accepted by the customer as well.

Now, when we look at what kind of services are we being able to use AI for, Manulife is a very classic example where from a starting point where the customer wanted to bring in Tech Mahindra from an insurance domain perspective in a geography, Japan, wher e they wanted multilingual skills, how do we go about ensuring that we ramp up quickly in a domain and a technology and a language which we were not too conversant with. The ramp up is a very clear reflection as to how we have been able to use both technol ogy and a very quick learnability of our associates. And Sandeep, who's our CTO and CIO of Manulife, actually gives us the credibility in terms of how the team has ramped up and made a difference to the customer as well.

Bombardier, now again a classic example where a lot of work which has been happening on our engineering side and the work that we are doing on the aerospace side as well. We got the diamond certification, supplier certification from Bombardier for the thi rd consecutive time and this is something that we are very, very proud of because it shows the diversity of the experiences that we are being able to bring to the client. Obviously, it is about and some of these examples that you would have seen outside as well, it was about bringing in the integrated manufacturing experience services solutions that we took to Bombardier which was again very, very well received by the client.

AIA, very interesting case study because when we started doing the transition we realized that there is a whole lot of work that will be required in terms of understanding what the code base is, creating the right kind of documents for the customers and b uilding a knowledge repository that can be used by the people coming in. So, we actually ingested all the incident logs that we had with the customer for a period of 2 -3 years, brought it into a model, used the normal search feature and actually made the t ransition very, very seamless exercise which could have actually been very, very cumbersome. And again, something which again Susan was very, very appreciative of how smooth the transition went which could have actually been a very complex exercise.

So, transition through multiple other lifecycles of the program we have been able to deliver these successes using technology as well.

Now, Mohit has spoken a lot about the work that we have done, our NPS scores, and I do believe that the best return of investment, I mean, the best success for me as a delivery leader is about showing that customers are happy and a good NPS score, I mean, continuous improve

ment over the last 2 years being an industry leader in NPS is a very clear reflection of what we have been able to drive value, being responsive to our customers, taking the relevant solutions I spoke about. I think it all stitches in to gether as well. And when we are looking at the year ahead, obviously it's not going to be the same -same, right. We have to continuously evolve as an organization and sometimes evolution means looking at how we are going to be responsive to the changes that are happening on the AI side.

So, for example, we are repurposing our application development and maintenance services to agentic development and modernization services and it's not just a name change, right. It's not just a name change because it's about how are we driving value to th e customers. We all have heard about how significant the productivity improvement can be looking at AI to drive work or productivity in application development especially in greenfield scenarios. Now, how are we bringing that experience in the agentic form to our customers for building application agentic development is something that we are very, very focused on and that is something that is happening today.

When we look at our BPS services, for example, close to one -tenth of our current business

17 in BPS is working with technology players, high -tech players creating their AI models, continuously fine -tuning them and managing them over a period of time. And more and more work we are doing on the BPS side is actually towards that now. In the BPS itsel f, if you look at it, they have more than 200 agents which are currently there on our Orion platform itself and more and more you'll start seeing in the hyperscalers environment as well and more than 20,000 bots, which are currently running within BPS, hel ping them bring in the efficiencies within the internal organization be it in finance, be it in HR, be in procurement, be it in people supply chain, multiple areas.

So, what we are really doing, as you can see from here, is basically reimagining the way we deliver work to our customers and taking a very, very proactive approach in terms of eating our own dog food first, making sure that we can drive those efficiencie s, building the right platforms and stitching together the industry and technology solutions that we can take to our customers.

Some of the metrics on AI that I would like to start reporting on. Number one is about the percentage of people who are trained on AI. And we divide it into two, which is AI trained talent and AI certified talent. As people keep coming into the organizati on, we have 80% of the people who have been trained on AI on the different models of AI, etc. but we also have a very specific intervention where we have created a four -tiered certification process for all our associates. So, it's a white belt, blue belt, brown belt, black belt kind of a certification and our attempt is not just to train people because training doesn't mean anything, it's about certifying people across the different belts so their capabilities are continuously improving as they go through t he journey working with their clients. And for us rather than just focusing on a single partner or a single product that we will train our people on, as Mohit said, we are training our people on Claude, we are training our people on Devin, we are training our people on, I mean, Cognition, Cursor, everyone, right.

So, what we have really done is taken an approach because customers need different platforms, different tools that they have selected as a partner of choice. So, our associates should be ready to work in any platform that the customer has or bring in our own platforms as well and that is the approach we have taken towards our training. Percentage of accounts which are our peak and prime accounts that have any version of GenAI is 95%. So, 95% of ou

r peak and prime accounts have some version or the other of GenAI offering or solutions being done today.

We started measuring the true AI -led productivity improvement in our programs starting last year and 7% improvement might not sound much but I think it's a very healthy start with respect to AI -only led productivity improvement. It includes everything els e that we have done from an optimization or bringing in lean principles etc. This is an AI -led only productivity improvement. Happy to see the top two AI leaders in analyst positions. I mean, we have 90% there. Obviously, as Mohit mentioned, building our own LLMs has given us the credibility. Now, using that credibility, using that experience and expertise we are able to start building the sovereign LLMs, starting to build the right kind of models that we can take to the customers. So, the entire domain sp ecific language model that people are talking about, given the capabilities that we have developed creating our initial version of Indus is something that is helping us take the right kind of sovereign LLMs and DSLMs offerings to our customers as well and multiple agents which are industry specific which are there in the client environment which is around 350.

As you can notice, we have not reported a number that you might have been expecting, which is around the revenue from AI, but I think as we progress over the next year we will start making sure that we start thinking about it differently. Because as I loo k at it from a delivery organization lens, every single project is using some version or the other of AI and
 we just need to find a meaningful way to report a metric to you which is credible and I think over the next quarter in the year we will work on it and start reporting it as we go along with it and as well.

So, with it, I'll hand it over to Rohit who will take us through our financial performance, more commentary on what the outlook is. Not the outlook, Rohit, but, yeah, the financial performance. Thanks everyone.

Rohit Anand: Can you hear me at the back? Yeah, okay perfect. Okay, so thanks, Atul. Thanks, Mohit. I think my pages are going to be relatively simple kind of work that you've delivered through the year, so I'll walk it through quickly and we'll spend more time on Q&A, that'll be more meaningful for everybody and numbers mostly you know. I want to start with the page that I presented last year where I wrapped the presentation from a finance perspective that these are the areas that we will deliver on, right .

- We said we're confident of making transformation for the organization. That time, if you remember, tariffs had just kicked in, so it was very volatile but we said we will focus on what's in our control, we'll focus on execution and that's what we made prog ress on.
- Margin, of course, was a priority for us.
- Returning cash to the shareholders.
- Deal wins, we said we'll keep on improving as we move forward.
- And then investment in Generative AI, right. New technology is very important for us. As we deliver margin, we also need to invest, right.

While we started the journey in ’24, we said we will do a lot of investments in long -term success of the business. We did that but as we moved forward we thought that'll cut down but with technology coming in we have to up the investment again in new techn ology. I think while doing all of that we said we will still hold our metrics as we move forward. So, that's what we said is exactly verbatim.

And then when you look at, I'll talk about the next few pages and what we've done on that. These are some of the metrics. Deal wins Mohit spoke about, free cashflow, more than 100% conversion to PAT, 12.6% of margin. We've integrated the portfolio companie s. This was a big pain point, as you recall, in the past. Frontend, middle office 100% integrated. Last, I would say, 4 -5

companies on the backend integration which will happen this year.

So, I think visibility, the availability of estimates, the lack of surprises, the control we have is much more on the entire organization than we had in the past. So, that's very meaningful. And then, you know, the dividend that we've kind of announced, hi ghest ever for the year, ■51. We'll continue to kind of being adhered to the policy we set for the 3 -year period. So, that's something that when you look at all the areas, we've continued to deliver on that.

If you look at more detailing on some of this, so large deal wins. Looking at last 12 months, for the last few quarters there's a sequential increase. We keep on articulating the fact that these are lumpy decisions, so there will be up and down progress bu t on a movement perspective we've made significant progress on it and we'll continue to drive that as we move forward.

And how we've delivered that, I think it's a function of the solution team coming together, the credibility they bring in, the sourcing and the origination, the relationships that we've been able to harness over a period of time and then the whole process and the investment, that Atul mentioned, we've done in the whole operating rhythm of the business. That's all contributed to this consistency that we've been able to drive.

 And the deal wins then reflecting into revenue, that's been the big area that we've discussed in the past and there's, of course, as we all know, the industry growth is muted, it's driven by consolidation deals predominantly. We don't see too many transfor mation deals, hence the revenue bucket keeps on shifting. But when we look at our large deal wins, which has progressed over the last four quarters, you see that sequential trend in revenue profile on a YoY basis has moved from -1% to 0.3% to 1.3% and the n to 2.4% on a cc basis. So, there's an increase that we see over a period of four quarters, which is reflecting the deal win trend, which has been one of the questions we've been discussing in the past. So, we will continue to show progress on this as we move forward.

Margins; I had shown this page last time. We started with a 6.1% reported with some one - time impact which would have normalized ended at 9.7% last year and then from there we said we will continue to drive Project Fortius , that Atul articulated, on pricing, actions, productivity on fixed price projects, rotations, subcon improvement and our GNA optimization. So, we've delivered on all of that. We've been supported by the FX tailwind but, of course, there's been a lot of he adwinds as well on growth, on volume, on various uncertainties that have not enabled us to harness all the productivity benefits that we envisioned.

And we continue to invest, as I mentioned. Investment is something we don't want to short change because this is not a 1 -year, 2 -year journey, it is a continuous, long -term transformation that we are going to drive in the business. And as we look at next y ear, a similar action stream will flow through to drive productivity benefits to get to the 15%.

I mean, if you summarize it, you can see deal wins, revenue growth that we started from a peer growth average historically to narrowing the gap last year. This year, I mean, the results are still work in progress but we're very hopeful that we'll be at par or slightly better and then next year I think that's the commitment we have. So, we'll continue to drive improvement there.

And then looking at Return on Capital Employed, we are close to 26% and our commitment to all of you is get to 30% for next year. So, we are on track for all of these metrics.

And then, you know, important part is while doing this investment that I mentioned, this is very critical for us. We keep on looking at this on a regular basis. We'd shared this in the past with you that we'll inv est in service line capabilities, we'll inv est in leadership, we've supplemented the leadership capability quite dramatically, we've invested in internal tool and platform, that Atul mentioned, done a lot of work on learning and development, we've upped that capability, spend a lot in areas that we were lacking in sales and marketing capability, in verticals we really needed to get it from external side, we supplemented that through the year.

So, we did all of that. And as we look forward, while we continue those investments in a differentiated form and size, we need to do a lot more on AI. Lot more on AI in terms of LLMs, in terms of platform ecosystem, people investments. All that will come i n importantly. And then, you know, we'll also, as Mohit mentioned, while this phase was predominantly organic, we will not look at transformation in M&As but we will start looking at certain tuck - ins that supplement our capability moving forward. So, those are the buckets from an investment perspective that we are shifting as we move forward in line with where the industry is moving.

In terms of cashflow and returns, you can look at the focus on the working capital that will help us drive more free cashflow, that is converted as a percentage of PAT, and then continuous return to the shareholders which is in line with our capital alloca tion policy.

And these are the metrics that we shared last time, we shared in '24. Certain metrics that we'll track progress on – input, output. Last year we showed progress on this and this year we wanted to articulate similar progress on each of these. Look at the fi rst metric, we said greater than 20 million accounts it's a proxy to our top accounts that we work with. That's grown 7.7%, and we've continued to weed the tail account. That's a quality of revenue that we want to focus on is very important for us and, hen ce, that metric that we wanted to track is extremely important.

Look at the contribution from prioritized markets in APJ, Europe and North America. We said that we want to make sure that we cut on territories and geographies and countries where we are subscale, so we've continued to focus on that. Again, that's grown b etter than the company average. I've spoken of some of this, so I won't reiterate. Just generally, last metric maybe I'll talk about. We continue to track our progress on Generative AI being infused in each and every project. That's a big, big area of focu s and we are close to 90% -95% on our top accounts in terms of Generative AI infusion. So, we'll continue to drive that more as we move forward.

And, hence, what does it mean for the next 12 months. So, the next 12 months we are committed on the same 4 metrics we gave you two years back. So, there's no change. And how we drive that in all the strategy areas, that Mohit mentioned, continue to deepen our client kind of relationships, do some tuck -in acquisitions for supplementing our capability, drive high growth service line, high margin service lines, we'll continue to invest in Generative AI for long -term success, be very, very nimble in terms of o ur narrative on scale and speed and then continue the large deal wins. Large deal wins at good margins, which is what Mohit said, we are very, very careful on origination of these deals, the quality of these deals. So, we'll continue to drive that as we mo ve forward.

So, same 4 metrics we'll continue to drive and, I mean, as I keep on saying internally we want to be a very boring organization and we'll try to be as boring as we can to deliver the results we want to deliver on. Thank you. I'll hand it over to Mohit to w rap the session before we move to Q&A.

Mohit Joshi: Thank you, Rohit. I think we want to be boring but with exciting solutions and exciting numbers like for this quarter. I think I just want to close with the fact that I feel that we'

ve
been very focused on consistency, predictability, building the foundati ons. And I do feel that the work that has happened to build the foundations over the past couple of years is now bearing fruit, right. It's bearing fruit in terms of our performance and clearly as a company we spend most of our time thinking about what is it that we can do for our clients and what is it that will take for us and for our clients to win in this new age of AI and we've sort of boiled it down into three things, right. This is what our clients expect from us –

- They expect us to be able to outthink the competition.
- They want us to be able to think very creatively about their challenges and their

transformation and really deliver the value that comes from AI, which is where the work that we're doing on Helix is very important.

Given the speed at which the world is changing, the macro volatility, the AI driven disruption clients are looking at speed. Speed is very important, so we need to be able to help our clients outpace their peers and their competition.

And, finally, because there is just so much of work that needs to be done, right. There is so much of work that needs to be done, there is so much of technology debt, there is so much of a legacy estate that needs to be modernized, there is so much of work that needs to be

 done to make operations truly worldclass and truly AI native, there is the amount of work that is required. And these are the 3 sort of focus areas for us, which is, outthink, outpace and outwork the competition and do it for the benefit of our clients, ri ght.

So, these are the 3 things that we are focused on as a company. You know, if there is one message that we would want you to carry, which is the same thing that I had mentioned the first time when we had the session in Bangalore, which is that this is a tea m that knows what it's doing and this is a team that is moving in the right direction and has the confidence. It has the confidence that we will deliver the numbers, we will deliver the growth and we continue to see, you know, a tremendous amount of opport unity for us, for the sector and for Tech Mahindra specifically.

So, with that, thank you all and we will now begin the Q&A.

Vrinda Pisharody: Thank you, all. Yes, we will come to the most awaited segment and I request Atul and our Chief People Officer, Richard, to please join us on stage. And till they join us, there's also a short film that will probably help you think more about the questions that you want to ask, yeah.

All right, thank you. So, yes, we move on to our Q&A round and the rules are very simple. If you've got a question, please raise your hand. Second, do state name of your organization and yourself, of course. And third and most important, do try and keep i t short because given the constraints of time we'd be able to pack in more questions if your question is shorter. And of course, this is not the end of the Q&A, we are all going to be having dinner after this. So, please feel free to ask any questions to a ny of our leadership present here, yeah.

And while they're setting up the chairs, do think your questions. And, yes, I've already got the first question going. The first one is always the toughest, so I'm very happy, yeah. Yeah, you may go ahead and ask your question.

Ankur: Hi, thank you. This is Ankur from JP Morgan. So, you know, you've reiterated your target of growing faster than the industry for F Y27. Some of your peers who have reported so far and give formal guidance seem to suggest growth is slowing down. In that context, how easy do you think it is to achieve and sort of accelerate for you versus where the industry is doing?

And if you can comment, where do you think industry growth will be next year?

Mohit Joshi: Sure, yeah. So, Ankur, I think, look, if you look at our own traj

ectory, right, we've clearly had a trajectory which gives us a good exit as we get into FY27 because we have gone from being negative year -on-year when we started the journey to being, you kn ow, sort of almost flat to slightly down at the start of the year, to progressing on a positive trajectory. So, that is the number one thing that gives us confidence.

Secondly, we see our pipeline, we see the deals that we have won, which we will convert, you know, through the course of the year, and we see the existing pipeline that we have where we have the confidence that it will close. We also see the existing pipel ine that we have in our sort of our current book of business - what are the open positions, what are the sort of projects for which greater expansion will be needed. So, all of that gives us confidence for the year.

Now, again, obviously it is possible in the course of the year things may change, projects get

cancelled, discretionary work gets called off. But as we stand here today, there is confidence that growth will be certainly higher than it was in FY26, that a certain amount of growth is
 locked in and that while there are a couple of clients where we are also concerned about ‘will they make sharp discretionary cuts?’, on the whole we feel that we have enough stabilizers and enough resilience in the system to be confident about growth in FY 27. Obviously, growth is always linked to what happens in the industry overall. It's very hard to predict an industry growth number. As you know, the number that is predicted at the start of the year always ends up, you know, sort of rationalizing in the c ourse of the year for the past 2 -3 years.

Having said that, if I was out on a limb, I'd probably say maybe the industry growth would be in the 2% -4% or 3% -5% range. That is certainly the estimates that we are seeing now.

Ankur: Thank you. Just a follow -up on margins, if I can. You know, a lot of your margin improvement for the last two years, especially F26 also was being cost -led, and a lot of efficiencies have been gained. How much of the margin expansion for F27 is cost -focuse d versus growth - focused, if you can sort of break between the two?

And a related question was, you've had a lot of success in mega -deals, large deals, in the last few quarters. Congratulations! How does the margin profile of these deals look versus maybe the ‘2024 vintages, the older contracts, and what are the risks fro m that? Thanks.

Rohit Anand: So, Ankur, I'll take that. The first one, margin, I would say, as we started last year it was a similar thought process that we'll have a certain portion of margin which will be cost -led and then there'll be revenue -led margin. But we didn't see that perco lating down because the macro environment turned out to be continuously uncertain versus where we wanted it to be and similarly for the previous year. So, as we go through the year, there's always a revision on that percentage of dependencies on growth versus on cost actions. And I think we're fairly comfortable that as the year progresses, even though we have a reasonable amount of uncertainty, if the world goes totally topsy -turvy then probably it'll be tough. I think we're reasonably sure i n our plans that we should be able to cover any logical standard deviation on growth not happening with the cost action. So, I think right now we're comfortable from a dependency…not too much dependency on growth. That's the way I'll answer it.

Sorry, what was your second question?

Ankur: The margin profile of the mega -deals or the very large deals won in the last couple of quarters, if you can comment about them versus the older, you know, vintage deals?

Rohit Anand: Yeah. So, I think the large deals, as I mentioned in my presentation also, we're extremely conscious on what margins and the risk profile we sign it up. And we're ver

y happy that we've
been consistent in the thought process between Mohit, me, Atul on that and been very selective not just on the two large deals that we've announced but even on the deals that we've been ramping up for the last 3 -4 quarters. We track this very closely and we show it to the board as well that our as -sold margins o n each of these deals from a portfolio perspective are accretive. And we'll continue to make sure as we execute them, we drive more efficiency through all the actions that Atul outlined.

Vrinda Pisharody: Can we have the next question, please? Yeah, clearly dinner is on mind.

Rohit Anand: I think more one -on-one questions at dinner.

Kumar Rakesh : Yeah, I was thinking of that. Thanks for hosting us and great things on display outside. Some of the things which I saw was quite impressive, the work which you are doing under Orion and some of the bots which you are building on the BPS side as well. One question on those side, so the agents which you have built, about 350 of them, some of the frontier model companies are also starting to build agents and launching them. Do you see them as threat and how
 would you handle the enterprise adoption of your platform, of Orion, while competing with some of these frontier model companies?

Atul Soneja: Yeah, I think a lot of these frontier models are getting built, right. What we are really bringing together is a very strong domain expertise and how do we stretch these models at the bots that we are creating, the agents that we are creating, and then how will they be interoperable with agents which are being created by the ecosystem players as well, right. Because for the true agentic workflow to happen it's not about just one agent working, it's how they work together in harmony, right. And that is what our attempt is.

So, if you look at what we have tried to build as part of our Orion is not just the ability to create an agent but to orchestrate the agent workflow as well. And that is what our attempt is, right. So, it is about creating agents but also about being able to orchestrate the agent.

Kumar Rakesh : Related to that my second question was, your exposure to some of the verticals like BFSI and retail is relatively smaller. Some of your competitors claim of their relevance in this world is the context or understanding of the enterprise and the entire tech stack, which partly comes from higher exposure to these verticals. How would you be able to offset that disadvantage that your exposure to BFSI or retail is relatively smaller? And as you were saying that Orion's actually brings in the cont extualization as an advantage compared to these frontier models.

Mohit Joshi: Yes, look, I think if you look at the BFSI portion, for instance, BFSI is a very, very large space. The way we have been approaching the market is, one is, identifying areas where we feel we have differentiated capabilities. And we've identified that payme nts, for instance, or asset and wealth management or insurance or core banking platforms, these are four areas where we have differentiated capabilities. So, that's the first part of it. We're not trying to boil the ocean, we're not saying th at in front office trading platforms we are the expert but we have identified areas of strength.

The second is, supplementing it with very deep industry experts who come with usually decades of experience in the industry. You see Shyam over here but Anil is here as well and Tarun Kohli, so hiring the industry experts who come with a very deep knowled ge of how things actually happen rather than sort of a theory from having worked with the service providers. So, that's the second way that we're looking at.

And the third thing, which I've not discounted, is there is a level of vendor fatigue, a level of partner fatigue also that happens in the organizations where there's a conc

ern that these
people may not give us truly cutting edge work because they're afra id about cannibalizing their own business. And we have seen that most exceptionally in the retail business. If you look at our retail CPG business, we are literally the smallest player over there but we have reported the best numbers of all of our peers. T hat's because there's a level of fatigue, there's a level of design capabilities that we've been able to bring as a differentiator. So, I do feel it is quite manageable.

Again, we are looking in a very focused manner. So, if I take a look at wealth management, for instance, in wealth management we've identified what does the financial advisor typically do, what elements of the financial advisor's work could be optimized o r could there be a productivity increase by use of AI. But this is from practitioners who truly understand that it is not like the wealth manager can take the data and feed it into ChatGPT and build a model because that's not the way it works. None of the large banks are allowing the advisors to use large language models to build model portfolios. The work of building a model portfolio will happen in a certain way. But equally, if the advisor is sending out happy birthday greetings, maybe that work can be a utomated. So, a very deep understanding of specific subdomains is allowing us to build tailored advice to clients about AI transformation.

Atul Soneja: I think the scale versus the depth, I think what we have tried to build is depth in specific areas and I think that is what is holding us good. And also, if you look at BFSI, again from a delivery organization as well we are not treating BFSI as a single u nit now, right. We have broken it into banking and financial services, insurance and banking products group under three separate leaders just to highlight, again, the focus that we are bringing in specific areas. So, it's not about boiling th e ocean but building depth by getting the right leaders from outside and taking the talent of that 9 years experience people who've been working with these clients and build that domain expertise over the years. And his friend Kaustubh has taken over banking and financial services delivery.

Participant: All the best to him and thank you.

Sudhir: Hi. Hi, Mohit. This is Sudhir from Kotak AMC. Just a couple of questions. First is, after the blitzkrieg of announcements by Anthropic on the Cl aude releases in Feb, are you seeing any sort of decision -making delays by clients because they might be wanting to wait and watch to see how this agentic AI technology progresses? Or are you seeing any unreasonable requests from them for price deflation or pr oductivity pass -ons?

Mohit Joshi: Yeah, this is a very good question. Actually, in February or March I was quite concerned that our large deal signatures or large deal closure may get delayed because clients may believe that the productivity assumptions that were originally proposed may be too anemic. But thankfully, we have not seen any of that. There are obviously some clients who questioned about whether productivity in the outer year should be higher with the evolution that we're seeing of models. But this is not common beh avior. And also, we've been encouraging our clients to take a real view of the real savings or the real speed improvements that they can get today rather than a fear of a better option in the future. So, I feel most of the time clients are taking a fairly realistic and pragmatic view. And, obviously, they have savings numbers that they want to lock in and there are speed advantages that they want to lock in. So, we have not seen a significant change in client behavior from that perspective, maybe a little b it of a sharpening around the productivity assumption. So, that's the first part of the question.

Sorry, what was your second? Did you have a second q

uestion as well?

Sudhir: No, no. So, my second question is, it's a follow -up to what Ankur has asked. So, a few months back, 3 -4 months back also, you seem to be working with an assumption of 3% -5% industry growth or 2% -4% industry growth and your commentary is that you're confide nt that you'll do better than industry growth. Now, where things stand today, what is the margin of safety behind your assumptions, especially given that there is a concern about a couple of large accounts in telecom where some of your competitors are calling out business specific pressures or leadership changes and that can turn things the other way around? So, in that backdrop, what is the margin of safety you are keeping in your assumptions when you say that we'll be better than the industry and industry may deliver 2% -4% or 3% -5% kind of growth? That's it from my side. Thanks.

Mohit Joshi: So, I mean, the margin of safety for us has been that rather than an absolute number we have given a linkage to industry growth. So, that's the first piece.

But I think the second piece is on a more serious note. Look, one of the benefits for us on the telecom business, for instance, is a lot of our peers have large telco businesses but those telco businesses are based on working with three clients or working with four clients. Our telco business works with 100 plus operators across the world. So, we truly have a scale telco business across multiple clients rather than an excessive dependence on a single client or a single deal. So, that gives us one level of protection. The second piece is that our telco business
 also is not focused only on the IT side of the house. Uniquely among our peers, we have a telco business that is focused on IT but we also have a large BPS telco business, we have a very large business around network services around telco, which is far mor e resilient to spending cuts because the network is the heart of the enterprise, and we have a large telco business around Comviva, which is focused on products in the telco industry.

So, to that degree, obviously, we are also concerned about what specific telco clients may do. We have a degree of additional resilience because we are not overly dependent on a single operator or two or three operators, we are also more resilient because our telco clients are not only based in the U.S. but are truly global and we have a resilience because our telco business is not only IT but IT, BPS, network and products.

Vrinda Pisharody: Thank you. Any last questions before we head for dinner? Yeah.

Kawaljeet: Just a couple of questions. The first one is, Mohit, that is for you, FY27 is kind of an underwritten growth courtesy to mega deals in telecom. Now, here's a weird factor that you have been trying to reduce rather, you know, balance the portfolio, which is telecom heavy. So, while FY27 growth is underwritten because of the 2 deals, right, how do you create a durable growth and at the same time manage to overcome the challenges of telecom, which can be a fairly finicky and volatile vertical?

Mohit Joshi: Yeah, so I think it's a good question. Good question, Ka wal. So, I think while obviously, you know, look, when we started this transformation journey, lots of people, including if I may say so you, were questioning about our continued relevance in telecom saying, 'Are you guys going to continue to be the telecom leader?'. Hopefully, we have left that question behind. So, that's the first piece of it that we obviously wanted to make sure…you cannot win if you're losing in your home ground, righ t. So, we wanted to make sure that we were winning in telecom and, thankfully, so far we have delivered on that promise.

The second piece is that under the covers, not even under the covers, the work of expanding the portfolio has been happening relentlessly. So, you've seen the fact that o

ur most
successful sort of industry vertical in this year has been manufacturing, rig ht. And within manufacturing, we have really built on our, despite the fact that the US auto business was down significantly and we called it out, despite that our manufacturing business has grown because we have diversified in a very significant way in ae rospace and defense organically. So, that's been a growth driver for us. And now that we see some recovery in US auto, hopefully it will not be derailed by the Middle East crisis. The auto business should then be a net positive rather than a negative as it was last year.

In our financial services business, we have grown albeit of a, you know, sort of modest growth but it has still been higher growing for us than the rest of the portfolio. Now that we've added on these new clients, we're hoping that these clients will help drive the acceleration to the next level. Our retail CPG business has done well and will continue to do well in FY27 as well.

So, we are diversifying the portfolio. However, absent a significant M&A or absent any significant, even if you do sizable organic deals they're not going to move the needle in terms of percentage contribution unless you're doing very poorly in our core b usiness. But I do feel that organic growth of adding clients, growing capabilities, all that will start to bear fruit in FY27 because of the seeds that we have sown, right. The new clients we've added in manufacturing, the new sectors and the new talent we 've added in BFSI will all start to contribute meaningfully.

I also would like to add that for the year the deals that we have in the pipeline, to include a significant number of BFS deals or manufacturing deals. And, hopefully, as they conclude and

26 start to ramp up, you will see a more meaningful addition from these sectors.

Kawaljeet: That's helpful. The second one is kind of a cheeky question. I mean, think about it this way that when did the inefficient pyramid turn into a strategic advantage? How and when did that happen? And if it's a margin improvement driver, would it be by correc ting the pyramid or getting the right price? I mean, looking at Atul, he always wants to get the right price for the resources.

Mohit Joshi: I'll say, I mean, I'll pass it on to Atul. But, you know, John Maynard Keynes was once asked a question saying, 'You have changed your position, right?' and he said, 'Sir, when the facts change, I change my mind. What do you do?'. And the reality is that t he facts have changed, right. What was earlier, you know, clients were not seeing the experience of the talent as a huge advantage because they were not seeing that expertise that was coming in from an understanding of their systems or the ind ustry as a significant advantage. Now, clients are releasing that advantage. So, clients increasingly are asking for that. And it's not just for us, for all of our peers the experience levels have gone up partly because of the growth but also partly becaus e of the client demand.

We continue to add fresh talent, right. Look, we added a significant amount in the first year, almost 6,000, but even in the current year we added 900 plus freshers and we continue to have a programmatic way of adding to the talent. But the need to delive r projects with an enriched talent is something which is visible. We obviously have to make sure, as you very rightly pointed out, that we get the right rate realization, the right price for this experience.

Kawaljeet: And what's the gap in the margin between, let's say, fixed price project versus T &M projects today? So, you can answer both the questions, Atul.

Rohit Anand : Yeah. So, gap, Ka wal, right now is close to 8%, I would say, in T &M fixed price. And that's why we've been continuously reiterating that's the biggest opportunity. The gap is narrowed versus where we started because we've improved on both. But now the improvement is going to be happening most in fixed price project becaus e we've done the foundation in most of it. So, that's where the margin improvement. Next year when you see, that's the biggest lever for us.

Kawal: Just an absolute final one. So, I think 8% points is a big number, which means that there is plenty of pool in the kitty to use. So, what are you going to do with it - expand margins, drive accelerated growth? I know FY27 strategic priorities are done but what are you thinking right now?

Rohit Anand : As I said, AI investments, very, very humongous new area that's come in front of us. Growth, obviously, is a priority, as you rightly mentioned. So, I think those two are the priority right now for us, yeah.

Kawal: Got that.

Atul Soneja: And Ka wal, if you look at it, two years back, I had mentioned that one of the biggest productivity levers, efficiency levers will be improvement in pyramid, right. And it's much easier to improve the pyramid, as all of us know, in a high growth environment. And g iven the fact that the growth was a bit muted in the last couple of years, we have to use what we have to our advantage. And what we had in the pool mix was a very rich, experienced talent pool. So, how do we to purpose them, repurpose them and ensure that we get the right billing for them? What's the strategy for them? Now, as we see growth coming back and if we see a lot of these growth is coming back on fixed price, transformational program where we can add freshers, we are very, very flexible of trying and improve the pyramid this year as well.

But what we don't want to do is miss out the opportunity of pricing our experience, expertise into a good pricing as well. So, that is what we are doing. As Mohit said, we did about 6,000 in FY25, we did about 950 odd in FY26, we should have a higher numb er of freshers coming up this year as well.

Kawal: Thank you. Great job, guys.

Vrinda Pisharody: Thanks, Ka wal. All right, the last and final call for any questions. All right, if that's it, then, yes. Thank you so much, ladies and gentlemen, for being here today with us. Once again, truly, truly honored that you chose to invest a day with us and we will all head for dinner now. Thank you so much.

Yes. And we have our team outside who will guide you to the dinner place, yeah.

Mohit Joshi: Thank you.

Rohit Anand: Thank you.

Atul Soneja: Thank you, everyone.

Call: Jul 2026

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Regd. Office: Gateway Building, Apollo Bunder, Mumbai 400 001 India | CIN: L64200MH1986PLCO41370 1 22 July 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code : 532755 National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Plot No. - C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol : TECHM

Subject: Transcript of the quarterly earnings conference call for the quarter ended 30 June 2026 – Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)
Ref: Intimation of quarterly earnings conference call vide letter dated 30 June, 2026 and audio recording of quarterly earnings conference call vide letter dated 16 July 2026.

Dear Sir/Madam,

In terms of Regulations 30 and 46 read with clause 15 of para A of Part A of Schedule III of the SEBI Listing Regulations and in furtherance to the outcome and audio recording of the quarterly earnings conference call filed on 16 July 2026 , please find enclosed the transcript of the said quarterly earnings conference call of the Company for the quarter ended 30 June 2026 , held on Thursday, 16 July 2026 after the meeting of the Board of Directors for your information and records.

The text transcript is also uploaded on the website of the Company and can be accessed at the weblink: https://insights.techmahindra.com/investors/tml -q1-fy-27-earnings-transcript.pdf

Please note that the Company has referred to publicly available documents for discussions and no unpublished price sensitive information has been shared during the aforesaid meeti ng.

This intimation is also available on the website of the Company at the weblink: https://www.techmahindra.com/investors/

Kindly take the above on record.

Thanking you,

For Tech Mahindra Limited

Ruchie Khanna
Company Secretary

Encl.: as above

“Tech Mahindra Limited
Q1 FY27 Earnings Conference Call ”
July 16, 202 6

MANAGEMENT : MR. MOHIT JOSHI – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TECH MAHINDRA LIMITED
MR. ROHIT ANAND – CHIEF FINANCIAL OFFICER –
TECH MAHINDRA LIMITED
MR. ATUL SONEJA – CHIEF OPERATING OFFICER –
TECH MAHINDRA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tech Mahindra Limited Q1 FY27 Earnings Conference Call . We have with us today Mr. Mohit Joshi, Chief Executive Officer and Managing Director; Mr. Rohit Anand, Chief Financial Officer; and Mr. Atul Soneja, Chief Operating Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Joshi, MD and CEO for Tech Mahindra. Thank you and over to you, sir.

Mohit Joshi: Thank you and thank you all for joining us. Welcome to our Q1 FY27 earnings call. Now, in April 2024, we had presented a three -year turnaround plan with clear goalposts and measurable markers for success. The first year of our plan was focused on laying th e foundations which would lead to margin expansion, and in the final year of the plan, we would see growth outpacing our peers. We also promised to build a future -facing organization with differentiated capabilities and talent, a performance -oriented culture, and a proven execution engine.

Now, in the final year of our transformation journey, we are increasingly seeing the benefits of the investments and the actions taken over the past two years. We have delivered margin expansion consistently over the past two years. More recently, our reve nue growth has begun to move ahead of the peer average. We had said that in the third year of our transformation, we would pivot strongly to growth, and as the numbers today show, we have done just that.

For the quarter, we reported revenues of US$1.66 billion, representing a 6.1% year -on-year growth on a reported basis and 6.6% growth in constant currency. This performance reflects continued momentum across the business, broad -based growth across our key verticals, progress in our AI -led strategy, and strong client engagement across markets. Operating margins stood at 14.4%, reflecting sustained execution discipline, operational rigor, and a continuous focus on profitable growth.

This profitable growth is being enabled by our posture of using our experienced talent and domain expertise. This enables us to work more closely with clients, design tailored solutions, and deliver measurable business outcomes. Let me now turn to our perf ormance across the key verticals.

In our communications business, we grew by 1.3% year -on-year. The vertical continued to benefit from stability in key accounts, sustained client engagement, and the ramp -up of the large deals secured over the last few quarters. Our communications experienc e center in Pune, which many of you had the opportunity to visit in April, is strengthening the way we engage with clients. The center brings together immersive demonstrations, integrated solutions, and industry -specifi c use cases in one environment.

In the first two months since its launch, we have hosted more than 10 executive sessions with global clients, highlighting the breadth and depth of our capabilities. The center is also enabling deeper collaboration with strategic partners, including hypers calers, and strengthening our

engagement at industry forums such as Digital Transformation World , DTW. Together, these efforts are creating opportunities for richer client relationships and long -term growth.

Our BFSI business grew 8.1% year -on-year. We continue to see healthy demand in areas such as payment modernization, wealth platforms, regulatory compliance, identity and access management, and AI -led transformation. During the quarter, we also announced th e acquisition of Avant Tech

no Solutions, a Canada -based firm specializing in payments modernization and wealth platforms. This acquisition is aligned with our stated strategy of deepening our presence in payments and the wealth segments, which we have con sistently identified as im portant growth areas for TechM.

It also strengthens our position in a structurally high -growth segment. Payments modernization, particularly real -time payment rails and cloud -native transformation, is expected to grow faster than traditional IT services. Avant Techno Solutions adds capab ilities and client relevance in areas where we see sustained long -term demand.

Manufacturing grew 17.2% year -on-year. Our focus remains on scaling sustainable growth across aerospace, industrial, and process manufacturing. We continue to see strong client interest in intelligent, data -driven operations that bring together AI, data pl atforms, engineering, and enterprise systems at scale. In this context, I am pleased to share that Tech Mahindra was recognized as the 2026 Google Cloud Partner of the Year in services and industry solutions in manufacturing. This recognition highlights o ur ability to help manufacturing clients modernize operations, improve agility, and build more resilient digital foundations.

Retail, travel, and logistics grew 8.6% year -on-year, supported by momentum across e -commerce expansion, logistics modernization, automation, warehousing, and last -mile delivery optimization. We are bringing together our digital, data engineering, and expe rience capabilities to help clients improve efficiency and customer engagement across the value chain. While the macroeconomic environment for this vertical remains mixed, our tailored offerings and focused client engagement approach are gaining traction and we remain positive about the direction of the business.

Our healthcare business grew 7.2% year -on-year, supported by momentum across providers and life sciences. We are seeing opportunities in vendor consolidation and AI -led discretionary spend. Our AI solutions catalog, developed in partnership with hyperscale rs and other ecosystem partners, is helping us win new clients and take differentiated solutions to clients. TechM Scale enables us to be agile while also participating effectively in larger vendor consolidation opportunities. We are encouraged by the grow ing contribution of AI -related work as adoption accelerates in the healthcare and life sciences vertical.

Overall, every vertical delivered year -on-year growth during the quarter. Based on our pipeline and the ramp -up of recent deal wins, we expect this positive momentum to continue, subject of course to the broader macroeconomic environment. Equally encouragi ng is the continued deepening of client relationships. The number of clients generating more than US$50 million in revenue increased by seven year -on-year, reflecting the trust our clients place in us and our ability to expand strategically within our key accounts.

Another important area of progress during the quarter was TechM Helix, which represents the next phase of our AI -led transformation. It brings together our platforms, talent, partnerships, and innovation efforts to help clients adopt AI at scale. Atul Sone ja, our Chief Operating Officer, will talk about it in more detail shortly, but let me highlight a few developments from the quarter.

In Q1, our focus was on strengthening the foundational elements of Helix. These investments are now translating into scaled execution, deeper client engagement, and stronger mindshare in the market. A key milestone has been the launch of our agentic develo pment and modernization services portfolio. The next -gen offering is designed to help enterprises reimagine how applications are built, modernized, and operated.

By embedding agentic AI across the application lifecycle, this portfolio

enables clients to accelerate their transition towards AI -led autonomous enterprise ecosystems. Alongside this, we continue to scale our agentic AI platform ecosystem led by TechM Ori on, which enables multi -agent orchestration across complex enterprise environments.

These AI investments are complemented by a strong innovation engine. Makers Lab continues to play a central role in advancing applied AI research and engineering -led innovation across Tech Mahindra. During the quarter, Frost & Sullivan recognized Orion Mar ketplace, our next -gen agentic AI solution that enables enterprises to design, deploy, and manage autonomous action -oriented AI agents across business processes. Its hyperscaler -agnostic architecture supports rapid deployment across assisted and fully aut onomous models while maintaining enterprise -grade governance, transparency, and lifecycle control.

While capability and innovation form the foundation of Helix, scale will come from real -world enterprise adoption and a strong partner ecosystem. During the quarter, we continued to expand our ecosystem across hyperscalers, enterprise platforms, and emergi ng AI players, enabling us

to bring more integrated and industry -specific AI solutions to clients. One example is our collaboration with Microsoft on AI -driven 5G network digital twin solutions for autonomous network operations.
The solution is designed to help communications service providers modernize their networks, improve service performance, and accelerate the monetization of next -gen 5G capabilities.
Another example is our partnership with Kits a, the AI operating system for clinical startups, to advance agentic AI -driven medical writing solutions for the global pharma and biotech industry.
In Europe, we expanded our relationship with Telefonica Germany through a multi -year engagement to build an AI -first private cloud platform. The partnership combines Tech Mahindra's platform engineering and AI -led operations with Telefonica Germany's telec om infrastructure modernization objectives. The platform will create the foundation for a full -scale private cloud with building blocks across compute, storage, backup, containers, GPUs, and ransomware protection as a service.
These examples reinforce an important shift we are seeing in the market. AI adoption is moving beyond pilots into production ecosystems. Helix is enabling us to support this transition by integrating platforms, talent, partnerships, innovation, and deliver y capabilities into a more

scalable operating model. It is also bolstering our capability to structure and deliver outcome - based engagements.
Let me also touch briefly on two of our portfolio companies, Comviva and Pininfarina. Comviva continues to build momentum, supported by revenue growth, improved margins, and a healthy order book. Drawing on a heritage of more than nine decades, Pininfarina is preparing for the AI-led transformation of its mobility and architecture businesses while strengthening its commercial and operational foundations.
Moving to deal momentum, we delivered total deal wins of US$1.078 billion. These wins were broad -based across key verticals and geographies, with the largest deal wins coming from manufacturing and HLS verticals. This performance reflects continued client confidence in Tech Mahindra's ability to deliver transformation programs anchored in domain expertise, operational execution, and AI -led capabilities. Based on the annual contract value won over the last 12 months, ISG named Tech Mahindra among the top 15 sourcing standouts across all regions: Global, Americas, EMEA, and Asia.
Let me share a few notable wins from the quarter. A leading regional healthcare system in the US selected Tech Mahindra as a strategic partner for an integrated applications and infra managed services engagement. Leveraging our exper

ience supporting 200 pl us health systems
and deep healthcare transformation expertise, we will help strengthen operational resilience, accelerate modernization, and enhance caregiver and patient experiences.
We were selected by an American autonomous driving technology company to enhance the scale rollout of fully autonomous technology across US cities and global markets. This deal will leverage TechM's strong GIS domain expertise to deliver high -quality HD ma p development and maintenance services for the customer's technology.
A leading global aerospace and defense company selected TechM to provide end -to-end database administration services across a complex, mission -critical environment and enhance the customer's long -term digital transformation objectives through AI -driven ope rations, strengthen cybersecurity and compliance, and cloud -ready operations.
We were selected by a leading global payments technology company as a preferred technology partner to support its next -gen product and program roadmap. Leveraging Tech Mahindra's product engineering expertise, payments domain knowledge, and AI -led delivery capabilities, the collaboration will help scale innovative payment solutions, reduce technical debt, and drive KPI-led outcomes across global operations.
During the quarter, we partnered with Perplexity and deployed Perplexity Enterprise Pro across our sales and client -facing teams. By embedding AI -powered intelligence into account planning, pursuit strategy, and client conversations, we are enabling our te ams to develop more relevant insights and shape stronger transformation propositions.
Lastly, I am proud to share that Tech Mahindra has once again been recognized as one of the world's most sustainable companies by Time and ranked number one among Indian corporates.

This recognition reflects our continued commitment to environmental stewardship, responsible

business practices, and long -term value creation.
It reinforces our focus on extending sustainability beyond our own operations and working closely with partners and suppliers to build a more resilient and sustainable ecosystem. Cameron Sinclair once said, "When sustainability is viewed as being a matter of survival for your business, I believe you can create massive change." In many ways, that captures our own belief that sustainability and business performance are increasingly interconnected.
As we continue to grow, we remain committed to driving positive impact alongside long -term value creation. And with that, I will hand you over to Atul, who will take you through our operational performance and AI progress for the quarter.
Atul Soneja: Thank you, Mohit, and thank you all for tuning in. As Mohit mentioned, we delivered a strong quarter with solid top -line and bottom -line performance, and the ramp -up of large deals remains on track, positioning us well to sustain this momentum. AI is increasingly central to our performance and how we deliver value to our clients.
For TechM, AI represents a significant opportunity because enterprise AI is not a single -layer technology shift. It cuts across the full services value chain, including consulting, domain use cases, data modernization, agentic platforms, application engine ering, infrastructure operations, testing, customer experience, business process transformation, and increasingly, AI cost governance and operating model redesign. This is where our AI -first strategy across IT and BPS comes together.
In IT, we have launched agentic development and modernization services, a next -generation portfolio that gives Tech Mahindra a unique opportunity to help customers modernize their tech and enterprise functions using agentic AI. In BPS, our AI strategy is b uilt around three vectors: new markets, new services, and internal transformation. Together, these vectors are helping us driv

e growth, create differentiated offerings, and improve operational efficiency across the enterprise.
Across TechM, we now have more than 350 deployable AI agents developed across industry and functional use cases, and we are deepening our strategic partnerships with hyperscalers and foundational AI players. This puts us in a strong position to help our cl ients move from experimentation to enterprise -scale deployment of AI solutions, whether in applications, data platforms, infrastructure, or operations.
Our approach remains anchored in AI delivered right. Through Project Helix, we are bringing together domain expertise, agentic AI, platforms, partnerships, delivery transformation, talent, commercial models, and internal AI adoption, all into one integrate d operating model.
The objective is simple: make AI part of how we build, sell, deliver, run, and scale services across both IT and BPS, rather than treating it as a stand -alone initiative. Project Helix is to AI - led transformation what Project Fortius has been to margin imp rovement. We are seeing a clear shift in client demand.

Clients are looking for agentic workflows, AI -native engineering, autonomous operations, AI - led modernization, responsible AI, model governance, and better control over AI consumption and cost. This is bringing AI FinOps, token economics, model assurance, responsible AI, and outcome -linked delivery to the forefront.
We are working with clients not only to deploy AI , but to make it measurable, governed, cost - managed, and scalable within their operating environments. Let me share a few examples of how this is playing across our industry. In healthcare, we won a transformation engagement where AI is embedded in the operating model from day one. The client is moving towards an AI - enabled digital operations center with se lf-service, self -healing, and shift -left capabilities.
The program is designed to improve reliability, reduce manual effort, and enhance the experience across applications, infrastructure, service desk, data, cybersecurity, cloud, and FinOps. The commercial model is tied to measurable outcomes , roughly 40% fewer tickets, 20% lower mean time to resolution, 30% to 35% reduction in technical debt, and significant productivity improvement over the deal duration.
In telecom, we secured a recent win where AI is central to the managed operations model. The roadmap moves from AIOps to agentic AI -led root cause analysis, agentic assistance, and eventually self -healing operations. Close to 30 AI and automation use cases are already live, with more under development. The program targets doubling the release velocity and about 40% reduction in incident handling effort, leading to significant cost reduction.
For one of our clients in the life sciences segment, our AI vector squad approach has compressed upgrade timelines from months to weeks , while improving quality through an evidence -based repeatable model. In our BPS business, we are seeing this AI momentum reflected directly in deal wins. The largest this quarter was a marquee AI engagement with a large high -tech player,

one of the largest AI-led BPS deals.
This is not a technology experiment , it is a large -scale AI operations engagement where BPS is embedded as the AI delivery infrastructure for the client. Across our wins this quarter, AI operations contributed an overwhelming majority of our total BPS deal TCV. On internal transformation, our focus is not simply deploying tools , but reimagining the way we work.
Our approach is tailored by work type, lifecycle stage, and delivery context . So productivity gains are linked to both efficiency and quality, predictability, and customer outcomes. Our AI belt certification program continues to help TechM associates become increasingly relevant to client AI needs, with over 65% of our associates c ertified as

white, blue, or brown belt.
Across our delivery and internal adoption initiatives, we are seeing measurable progress. 70% of eligible developers are now enabled to code alongside an AI pair programmer. We have established more than 100 productivity benchmarks across SDLC activities a nd technology combinations, and thousands of bots and agents supporting internal adoption and automation programs.
A key element of our differentiation is our platform and IP foundation. Orion is being deployed as an enterprise -grade agentic AI platform and is available through major hyperscaler

marketplaces. More than 20 Orion agents are listed on the Google Gemini marketplace, with over 100 users actively using Orion to develop agentic AI solutions for clients.
We are also investing in domain -specific and sovereign AI, with purpose -built models that understand industry terminology, operate securely, reduce inference cost, and provide stronger contextual accuracy than generic models in specialized environments. Th is work spans across our industry segments like telecom, BFSI, healthcare, and other domains and complements our AI-led BPS offerings.
When we look at AI, we see both opportunity and a fundamental operating model change. Some traditional work will become more productive and require new commercial constructs. At the same time, AI is creating new demand across modernization, data readiness, agentic operations, trusted deployment, industry -specific AI, sovereign AI, platform engineering, business transformation, and AI governance.
Our focus now is on disciplined scaling , accelerating deployment velocity, scaling adoption, building repeatable offerings, strengthening our platform and partnerships, developing AI -ready talent, ensuring governed adoption, and converting innovation into measurable business outcomes for our cus tomers and for TechM.
AI is just not a technology theme for us , it is becoming a structural lever for growth, delivery modernization, productivity, talent transformation, and long -term competitiveness. With that, I will now hand it over to Rohit to walk you through the financial performance.
Rohit Anand: Thank you, Atul. Good evening, everyone, and thank you all for joining. I'm pleased to report a strong start to fiscal '27 with our first quarter performance reflecting the momentum we're carrying into the financial year. We delivered our strongest revenue growth since the start of our transformation journey , while continuing to expand margins for 11 consecutive quarters. We also maintained strong deal momentum, securing another quarter of a billion -plus deal wins.
In Q1, we reported revenues at US D1,660 million, representing a 2.2% quarter -on-quarter growth and a 6.1% Y -o-Y growth on a reported basis. On a constant currency basis, revenue grew 2.6% quarter -on-quarter and 6.6% Y -o-Y. Organic revenue grew 2.5% quarter -on-quarter and 6.2% Y -o-Y in constant currency.
Manufacturing led the growth, delivering 9% on a quarterly sequential basis, driven by sustained momentum in aerospace along with earlier than planned execution of a large European automotive program which contributed to higher revenue this quarter. This w as followed by BFSI at 2.7% Q -o-Q and healthcare and life sciences at 2.5% Q -o-Q. The underlying communication business remained healthy during the quarter, supported by large deal ramp -ups and growth in top clients.
The core business continued to grow sequentially while the reported performance was impacted by seasonality in Comviva business and one -time transition associated with clients' post - acquisition integration and insourcing of cloud revenue. Technology, media , and entertainment declined 1.7% Q -o-Q on account of continued volatility in the client spend.

From an INR perspective, revenues stood at

INR15,712 crores , growing 4.2% Q-o-Q and 17.7%
on a Y-o-Y basis. Our total deal wins for the quarter stood at US$1,078 million, up 33.3% Y-o-Y. As Mohit highlighted earlier, this performance reflects the trust our clients place in Tech Mahindra and an increasing relevance of our offering. Importantly, the momentum was broad - based across multiple verticals with strong contribution from BFSI, manu facturing, and healthcare.

EBIT margins for the quarter were at US$238 million with EBIT percent at 14.4%, up 60 bps Q-o-Q and 330 basis points Y-o-Y. The margin expansion was led by volume growth and savings from Project Fortius, partially offset by Comviva seasonality and business mix. In rupee terms, operating profit stands at INR2,264 crores , up 53.3% on a Y-o-Y basis.

Our effective tax rate for the quarter came in at 27.2%. Profit after tax for the quarter was US$154 million, a year -on-year increase of 16.2%. In INR terms, profit after tax is INR1,465 crores with a PAT margin of 9.3% and an expansion of 80 basis points on a Y-o-Y basis.

Our hedge book as of June 30th stands at US$0.72 billion. Under the hedge accounting guidelines, the mark -to-market movement was negative US$24.85 million, of which US$14.55 million was recorded in the P&L and US$10.3 million taken into reserves. We genera ted US$167 million of free cash flow during the quarter, up 94% on a Y-o-Y basis. Higher collection efficiency supported the DSO improvement to 84 days, a reduction of five days on a quarter -on-quarter basis.

Our return on capital employed stood at 28.3% for the quarter, reflecting a sequential improvement of 210 basis points. On a Y-o-Y basis, ROCE improved by 450 basis points driven by enhanced profitability and disciplined capital allocation.

We continue to invest in AI capabilities. Our Makers Lab, which remains the core of our innovation engine, helps us translate emerging technology into practical enterprise solutions. At the same time, we're building differentiated capabilities in domain -specific and sovereign AI, areas where we believe demand will continue to grow as enterprises seek greater control, governance, and contextual relevance in their AI deployments.

As we look ahead, we'll continue to invest in the areas that we believe will shape the next phase of growth for the industry. Our focus remains on building a future -ready enterprise by strengthening our AI capabilities, expanding our platform ecosystem, an d investing in talent required to deliver AI at scale.

To sum up, this quarter is a testament to the disciplined execution of our strategy and the trust our clients continue to place in us, even amidst a volatile macroeconomic environment. Delivering high single -digit Y-o-Y growth alongside strong profitability demonstrates the progress we've made in strengthening the fundamentals of the business. As we look back in our transformation journey over the last two -plus years, we're all very proud of the journey we've covered til l now.

More importantly, the momentum we've built across growth, deal wins, client engagement, and profitability gives us confidence that we are well -positioned to deliver on our FY 27 ambition

of achieving above average of the peer growth and an operating margin of 15%. Thank you. We can open it up for Q&A.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. Our first question comes from the line of Kumar Rakesh with BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question. My first question was around growth. So in this quarter, we saw pretty strong growth delivery driven by Europe and manufacturing as a vertical. Going into the second quarter, especially when you won't have the Comviva seasonality as well impacting, do you see this growth momentum continuing into that quarter and w

hat would be driving that?

Mohit Joshi: Sure, Rakesh. Thanks for the call. Look, I think we're delighted that we've had a very strong quarter in what is seasonally a weaker quarter for us, right? If you recollect, Q1 we typically have negative Comviva seasonality. As we go into Q2, I think we wi ll see the continued ramp - up of the large deals that we have won over the past 12 months, so that should be a strong tailwind for us.

We continue to see, like we were seeing in our healthcare business, a positive outlook towards that sector again driven by some of the wins that we've had. The one sort of headwind that we will have is the fact that we had a one -off in our European auto bu siness in this quarter, which will show some signs of slowdown then in Q2.

On the whole, we feel we have a healthy order book for the remainder of the year, and barring any sort of unexpected and so far unforeseen macroeconomic developments, we remain confident that the growth momentum that we have set in the first quarter of the year will continue for the remainder of the year and that we will, you know, we will meet or exceed our goal of

being ahead of peer average for the full financial year, as we already are in the first quarter of the financial year.
Kumar Rakesh: Thanks, Mohit. That's very reassuring. My second question was on the margin side. So in this quarter, we have seen the margin expansion led by SG&A. Earlier, Rohit had spoken about that we expect gross margin to drive the margin. So how much of the gross m argin lever is still there in our hand and what kind of exit margin we are targeting to get to?
Rohit Anand: Yes, so I think on margin, two or three things, right? We typically have seasonality on costs on visa travel in Q1 from Q4 to Q1 perspective, so that comes negative in the gross margin predominantly. Then the Comviva seasonality also comes in there, so that's a negative. And then as I mentioned, the European auto segment where we got accelerated program deliveries, that's dilutive to the gross margin which has caused the negative.
And on the SG&A side, as I'd mentioned that our portfolio company consolidation continues and we try to get the benefits there, and that progress continues this quarter as well. I think as we move forward into the next few quarters, I think it will be a mi x of both.
We will continue to drive gross margin on all the actions that we're delivering on Project Fortius, from fixed price productivity to more utilization from a T&M perspective, as well as continued

SG&A benefit on portfolio company consolidation. So it will be a mix of both, but actions are all over to make sure that we are on track for the 15%.
Kumar Rakesh: Thanks, Rohit. Any target which you have in mind to exit the year at?
Rohit Anand: We've not articulated that, but I mean if you look at Q1, we're at 14.4%, and as we move forward incrementally, as I mentioned, we'll keep on improving margins, so it has to be upwards of 15% for the fourth quarter, and we'll see how each quarter progresse s from here and now.
Kumar Rakesh: Got it. Just one clarification. We have seen strong improvement in DSO and free cash flow generation as well. So how sustainable from here on we should see -- should we expect a similar performance in the coming quarters? And thanks a lot, that's my last question.
Rohit Anand: Yes, no worries. So Yes, so DSO has been favorable. Usually, Q1 is a seasonally weak quarter from a cash and DSO perspective. This time there were two or three drivers. Operationally, we did do well, that contributed to the performance, but there were some accelerated payments a lso that came in which will normalize for the next quarter.
And similarly, there was some FX benefit on the AR side that contributed, which was negative last time but positive this time. So it's a mix of all of that, so you

'll see some normalization come
through as you move forward, but as a focus area, and I'd art iculated it earlier also, you know, just the working capital strategy is very important for us and we will continue to make sure on a long-term basis we'll keep on improving, though quarterly seasonality you'll see.
Kumar Rakesh: Thanks, team.
Moderator: Thank you. Our next question comes from the line of Sudh ir with Kotak Mahindra. Please go ahead.
Sudh ir: Yes, hi Mohit and team, congrats on a great performance. On the Comms vertical, we have two large deals. So what percentage of the -- or what part of the ramp -up impact was already there in the current quarter, and how does the revenue ramp from these two deals stack up in terms of growth impact in the subsequent quarters?
Mohit Joshi: Look, I think one of these deals will only start to ramp up, has not ramped up in Q1 at all, so we will see the impact in subsequent quarters only. I think as we had shared with you previously, for Comms we had the Comviva seasonality as a negative impact, and the second impact, as Rohit pointed out in his notes, was the case of, you know, of a client where cloud consumption was being routed through us as part of a larger deal, and as part of their takeover by a larger tech company, that cloud consumption is now being sourced directly, right?
So I think these were the two headwinds for us coming into Comms for Q1, but despite that, we've delivered, you know, we've delivered a positive year -on-year growth number. I think going forward into the year, we feel positive about the possibilities and t he opportunity in Comms. There is clearly volatility in a large US telecoms client, but despite that, we remain optimistic about Comms being a growth driver for us for the remainder of the year.

Sudhir : Sure, Mohit. And so your earlier guidance of doing better than industry growth, obviously that statement will not have much of a predictive power right now because you are already way ahead of the industry getting into this year. So if you can help us unde rstand that on a year -on-year

basis, do you expect the growth to accelerate further from here on, maybe into high single digit for the full year? High single digit or how to think about the full year growth, that would be very helpful.
Mohit Joshi: Sure. So look, like I said, as of now, we see a strong order book, we see strong continued execution on large deals, we see very high NPS scores, we see an expansion of service lines into existing clients, we see strong opportunities, especially in continu ed strong opportunities in areas like ServiceNow, building out a strong set of AI capabilities.
So on the whole, we're very optimistic about our business and what we see, but clearly we're operating in an environment with enormous volatility, so it would be foolhardy of me to give you any specific numbers. But standing where we are, we continue to ha ve confidence that we will have strong execution through the year and like I said we will more than achieve the targets that we've set for ourselves in terms of beating peer average. By how much percentage, that is harder to say at this time.
Sudhi r: Fair enough, Mohit. And the European auto account where you have seen accelerated delivery, this is just a normal project which got accelerated or is there any particular one -off in it and if possible, can you quantify the impact?
Mohit Joshi: No, it's not a one -off. It is accelerated delivery within a program. I would ask Rohit to answer the second part of the question.
Rohit Anand: Yes, it is a normal project which got accelerated, which will have a next quarter pressure for us because it will not be repeated. I would say around a 1 % to 1.3% range would be the impact coming into the next quarter. And as we have the large deal ramp -up which we'd mentioned, Mohit mentioned has not st

arted yet, that will offset that and above and over and above that, the rest of the business needs to continuou sly perform to offset that and grow further for us for the next quarter.
Sudhir: Thanks, Mohit and Rohit. All the very best.
Mohit Joshi: Thank you.
Moderator: Thank you. The next question co mes from the line of Ankur Rudra with JP Morgan. Please go ahead.
Ankur Rudra: Thank you. So clearly the 1Q performance was very impressive. A few parts in my question, it's a single question only. Were you surprised by any segment or was this a plan a nd as you look at the performance, can you maybe separate out the demand environment, was i t -- has it improved at all or were you just taking m ore successful at taking share a nd the same comment if you can make for the rest of the year, your confidence of sustaining this comes from your own execution or you think demand is also improving? Thanks.

Mohit Joshi: Sure. So look, I think the first part of your question was about the – sorry Ankur I completed blank out in the first part of your question was that about the European auto.
Ankur Rudra: Were you surprised by the performance or was this a plan all along?
Mohit Joshi: No, I think look clearly the quarter turned out to be stronger than we were originally expecting and I think part of it is the acceleration of the delivery for the European auto piece that we spoke about, so that was a positive surprise coming into the qua rter. This is a seasonally weak quarter for us, but we were expecting a strong performance, but yes it did come out to be higher than what we expected.
For the remainder of the year, like I said now we're getting into seasonally stronger quarters for us and we're also going to be delivering on the order book that we have closed in the previous year, so we feel pretty good about the opportunities in front of us. Now, as you talk about the total dem and environment and we did a significant amount of analysis over the past 12 months.
So what we're seeing is we are seeing a little bit of a shift. I believe that the core which is relatively stable, but the demands are changing in the sense that the demands from an application development perspective are more from a modernization perspective. From a platform enterprise applications perspective where there is a growing fear of a SaaS eclipse , we're not really seeing that.
We are seeing the platform or the enterprise application demand actually strengthening, specifically seeing strong demand in areas like ServiceNow and SAP, but also in Salesforce.
Seeing a very strong demand as you would ex pect in the data and AI family. S o whether it's cloud AI ser vices or it's data engineering, D atabricks, Snowflake or on the GenAI frameworks.
Also seeing, given the fact that we are building out capabilities strongly in that sector on the sector -specific or the vertical packages like a Gu idewire or a Temenos or a LabWare LIMS.
Areas where we are seeing challenges to demand are sort of as you would expect in the manual testing area in your traditional big data area, in standalone e -commerce, in legacy CRM and legacy infra admin. So I would feel that the demand situation is not ca tastrophic. Clearly, th ere

is a ton of competition out and our competition at times is doing irrational things, but aside from that we remain as they would say cautiously optimistic about the demand environment for the rest of the year and our ability to e xecute.
Ankur Rudra: Awesome. Thank you so much. Best of luck.
Mohit Joshi: Thank you, Ankur.
Moderator: Thank you. The next question comes from the line of Rod Bourgeois with DeepDive Equity Research. Please go ahead.
Rod Bourgeois: Yes, thank you. Hey, so given your growth acceleration and the positive growth that you have in each of your verticals, I'd like to ask if you could if you could just pinpo

int what are the main enablers that have allowed you to achieve that improved growth and the breadth of growth across

the verticals? And now that has improved relative growth in the sector has been enabled, do you have a key next step in your strategy to try to extend and add to that? Thank you.
Mohit Joshi: Sure. So look, Rod, I think there was a very meaningful strategy that we'd laid out at the start of the transformation journey itself. And it was predicated on the need to build deep domain vertical depth across the sectors and it was not just a sectoral q uestion . Look in sectors like telecom, we have depth in your traditional IT which is OSS, BSS, but also in networks and we have ou r own software packages.
So we pretty much cover the entire ground there. In areas like financial services where we are smaller than our peers, we clearly identified sub -verticals like payments, like wealth, like insurance and like core systems where we wanted to build that very d eep vertical expertise, hire a ton of industry experts and then start building AI agentic AI frameworks across processes that we feel were amenable to automation.
We did the same thing in healthcare where we identified areas of strength in life sciences and in the provider space. In manufacturing, we opened up aerospace in a very significant way and it's been a huge growth driver for us, which has compensated for th e somewhat slower movement that we've seen on the auto side.
So through Sh am Arora our CTO, we've been building very strong horizontal capabilities, very strong tooling for our teams, supplemented by the work in our Makers Lab. But I feel it is the vertical piece that is really bringing the sort of the spe cial sauce to our capabilities a nd I'll give you an example. For one of our telco clients , we're building out a small language model, but then the client also wanted us to fit a harness onto the small language model so that it could d rive agent -based action.
Our ability to understand the process flows within telecom, our capabilities to build a small language model from scratch have really allowed us to marry the two in a very seamless way, which we believe is a great differentiator. All of this combined with the architecture that we've created for the organization that allows us to really act with agility, I feel is giving us the lift as is shown in our significantly differentiated growth in this quarter.
I think the future pivot will be to dig deeper into marrying the AI capabilities onto the domain capabilities because I feel that the real value for clients will not come from model -specific changes, the real value for clients will come from deep process k nowledge and deep industry knowledge and that's what we look to do is to combine our core technical and engineering skill s with deep vertical expertise.
And we will continue driving deeper and deeper. For instance, our BFSI teams have created a remarkable set of agentic solutions for wealth management that can give a very quantifiable degree of savings and growth to our clients and that's the direction we'r e going to be headed towards in all of our vertical businesses.
Rod Bourgeois: That's helpful. I'll go back in the queue. Thanks.
Mohit Joshi: Thank you, Rod.

Moderator: Thank you. The next question is from the line of Kawaljeet Saluja with Kotak Securities. Please go ahead.
Kawaljeet Saluja: Hey, hi, fantastic performance team, congratulations. Just a couple of questions. First, actually both questions are for Mohit. Mohit, the first question is that when you joined TechM, you mentioned that the pricing of Tech Mahindra is comparable to peers, implying potential of high teens margins. Does that assessment hold true even today, and if yes, you know, have you thought through as to how you would use th

e surplus margin in case you're able to execute well
over the coming quarters? That's the first question.
Mohit Joshi: Okay , super. So you want to ask all your questions now or should I go through one by one?
Kawaljeet Saluja: Okay, the second question is that I think on one of the questions of Ankur's question, you did mention that the competition is irrational. Now without naming any competitor, can you give flavors of irrationality so that we can understand and appreciate the industry perspective a little bit better?
Mohit Joshi: Sure. So look, first on the pricing piece, right? Hopefully, Kawal, you consider 15% also as high teens because then I can reassure you we will hit that number for the year. As you know, we have been consistently growing our margin over the past 11 quarter s now. We continue to have a number of operating and pricing levers that will allow us to hit that number and we have been incredibly dis ciplined in terms of our deals.
And so we absolutely make sure that all of the deals are at least in the long term accretive to our margins and we will continue that discipline. As you know, we h ave also been investing. We've been investing in talent, we've been investing in IP, we've been investing in software licenses and we will continue to do that and we will calibrate that based on where we see the growth opportunities.
For instance, in my opening remarks, I'd spoken about the Comm Center of Excellence, but when you have a chance to visit Hyderabad next, you will also see our learning center of experience, you will see our engineering center of excellence and you will get to see our retail CPG center of excellence.
So we're investing very heavily in these showcases that showcase our technology, our use cases and our partner technologies. So we will calibrate the level of investments according to where we see the most opportunity. For the year, I think 15 is a number we're comfortable wi th, and obviously for beyond FY 27, we will have to spell out a path.
I feel that we continue to remain disciplined in terms of our pricing, and so that gives us the optionality in the future about whether we want to -- how much we want to focus on expanding margins and how much we want to focus on further deepening capabilities.
On your second question about competitor irrationality, I'll give you a couple of examples, right? I think one example is obviously the level of productivity baked into, 5 to 7 year deals. Now, obviously, we want to make sure that we are aggressive, but getting into a 70%, 80% productivity benefit over a 5-year deal, I feel is getting into productivity benefits that are not visible today

without very significant process or system changes by the client, so th at is where we would hold back.
I think a second area is on the infrastructure side. As you know, memory prices and chip prices are increasing significantly, and we are not willing to guarantee those for the customer, right? If you're seeing a pricing inflation of 20% year -on-year, to te ll clients that you will hold the price for a 3 or 5-year deal, we think is a forward call which doesn't really make sense. So I think these are two examples of irrationality where we have stepped back.
Kawaljeet Saluja: Okay, noted. Looks like deal values are getting an Ozempic treatment. Fantastic. Thank you so much.
Mohit Joshi: Thank you, Kawal.
Moderator: Thank you. The next question is from the line of Nitin Padmanabhan with Investec. Please go ahead.
Nitin Padmanabhan: Yes, hi, good evening. Congrats on a very solid quarter. Had a couple. So one is there are a couple of puts and takes both on comms and manufacturing as we get into the following quarter. Just wanted your thoughts on do you believe that both these verticals can actually grow, or do you think we could see declines? That's the first one.
The second is w

hen are we sort of planning wage increases? And finally, Mohit, are you seeing any instances of delays on ramp -ups due to the macro that you would worry about incrementally, or is it just business as usual at the moment?
Mohit Joshi: Okay. So let me answer your first question. We fully expect to see growth in comms and manufacturing to continue. In manufacturing, like we said, a portion of the year -on-year growth came from the fact that we were able to deliver early for our client project in Europe, but even if you take that out, we remain optimistic about our a bility to drive growth in manufacturing on a year -on-year basis.
Obviously, the quarter -on-quarter piece is attributable to an increase and that will pull back. For comms, it's the other way around. We had growth, but we had a relatively softer quarter because of one is the Comviva seasonality and the second, like I said, is a cloud pass -through within a complex project that got pulled back by a cl ient, which will go away in Q2.
So I remain optimistic about both comms and manufacturing growing through the remainder of

the year, barring obviously any unforeseen surprises. As far as the wage piece is concerne d, we
expect to be able to announce it effective Q2, obviously in a phased fashion which we will be
announcing, to our employees in the days to come, so that will be effective, it'll start becoming
effective Q2 in a phased fashion.
On signs of delays in contract signing, candidly, I've seen one or two examples where clients
have been, if it's a multi -year contract, there have been questions about should we do this in -
house, is this really very strategic and should we outsource it, wh at will we do with the AI piece,
are we getting enough benefits?

But candidly, it's not very different from what I used to see, in my 25 -plus years in this industry.
So I would say I'm not seeing an outsized or a very large level of client delays or cancellations,
and hopefully this is proven by our own large deal track record over the past three quarters.
Nitin Padmanabhan: Anything on ramp -ups of deals that you've already won that's getting pushed out that you would worry you?
Mohit Joshi: No, nothing out of the ordinary, Nitin.
Nitin Padmanabhan: Perfect. That's very helpful. Thank you so much and all the very best.
Mohit Joshi: Thank you, Nitin.
Moderator: Thank you. Our next question comes from the line of Surendra Goyal with Citi. Please go ahead.
Surendra Goyal: Yes, good evening and thank you for the opportunity. Couple of questions. Firstly, on the IT
services headcount, it's down 7% year -over-year. So based on the plans, do you see it kind of
continuing to decline further or are you at a point where this may kind of need to start going up?
Mohit Joshi: Sure. So look, I think look, IT services revenues has continued to go up year -on-year. As you
know, as we have shared in the past as well, our productivity for our fixed price engagements
was below our expectations, and so we've driven with the help of the new AI tooling a higher
level of productivity, w hich has meant lower headcount.
At times, that headcount has therefore been repurposed to other engagements, either FP or T&M,
and that has meant that we have not had the need to be able to backfill as much as we traditionally
would have. I believe we're running a healthy utilization, bu t we also see a good, trajectory for
revenue growth for the remainder of the year, and I assume that that will mean hiring in the
remainder of the year absolutely, which will be a mix of fresh talent and experienced talent, so
that should -- that should a bsolutely happen, Surendra. The decline so far, which is not a revenue
decline, just headcount decline, has been driven by our ability to drive greater efficiencies in our
very large fixed price portfolio.
Surendra Goyal: Thanks. And just on

e clarification for Rohit. Rohit, on the SG&A, is there any one -off provision
reversal, bad debt related provision reversal, anything to call out which could impact going
forward?
Rohit Anand: No, nothing as a one-timer in this quarter that will impact next time.
Surendra Goyal: Sure. Thank you so much.
Rohit Anand: Thank you.
Moderator: Thank you. The next question is from the line of Sandeep Shah with Equirus Securities. Please
go ahead.
Sandeep Shah: Yes, thanks for the chance and thank you, congratulations on a very strong performance. Just
first question, Mohit, in terms of this is a consistently third quarter in a row where the deal TCV

is above 1 billion and which is in line with what you have been indicating earlier. But now we
are near to the aspirational margin of 15%, is it fair to assume the TCV has an upwards scope in
the coming quarters because discipline approach on the margin, t hat challenge is reducing
quarter -on-quarter?
Mohit Joshi: Thanks, Sandeep. Look, I think, as far as TCV is concerned, TCV is also feeding through to
growth, and we're very happy about that. We will continue to be very competitive in the deals
where we think it makes long -term economic sense for us. But as you kno w, for large deals
specifically, right, it's quite a binary outcome, it's a zero or one, and our ability to forecast beyond
let's say a quarter o r two, is quite limited.
We're very confident that our capabilities on the large deals front have built up quite
significantly. Our pipeline looks quite strong as of now, but I candidly don't know what it would
look like 2 or 3 quarters down the line, so it's hard for me to forecast. We wi ll continue to stay
aggressive.

And on the margin point, all I'll say is while we're very happy with the margin growth that we've been able to deliver, I'm also mindful of the fact that we have the wage bill coming up in this quarter, we will certainly have, some productivity pressures f rom an AI perspective, and we still have to deliver the 15% margin, right? So we're not taking that for granted and losing our discipline on large deals and on profitable growth.

Sandeep Shah: Okay. And just the last question, Rohit, I think we have done a post -mortem of many of the acquired entities and wherever required, we have taken a control or started liquidating. But if I look at the IT headcount mix on the offshore, it has been going dow n on a Y -o-Y basis. So this is still a lever which we have not fully utilized and can be a big margin driver ahead?

Mohit Joshi: Yes, so I think you're talking about the pyramid, is that right?

Sandeep Shah: Yes, IT headcount mix, onsite -offshore. Yes.

Mohit Joshi: Onsite -offshore. So look, I think as you know, we've signed up a lot of large new deals, and some of these new deals have a rebadge component as well. So I think that will limit very significant changes because obviously for the large deals, initially the headcount ramp -up is much higher onsite and then over time you're able to transition some of that work offshore.

So I feel our ability to pull this lever will be limited also, in response to a question that was asked earlier by Ankur, I'd shared the fact that we are seeing, strong momentum and opportunities on the enterprise application side, an SAP, a ServiceNow, or even a Salesforce, and as you know, these are more onsite -heavy programs of work, right? So that is the other aspect there.

Rohit Anand : The strength , Sandeep, will continue, right, as we ramp up on the large deals that we've announced, that will have more onsite portion as well. I think the trend will continue as we build in more maturity stage of execution of these deals, we'll see a reduction, but n ot in this year.

Sandeep Shah: Okay. Thanks and all the best.

Moderator: Thank you. L

adies and gentlemen, we will now take one last question which will be from the line of Vibhor Singhal with Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi, thanks for taking my question and congrats team for a solid quarter. Mohit, just one question from my side. In the manufacturing vertical, I think a large part of our manufacturing vertical still pertains to the auto segment. We are hearing a lot of commentary by peers about weakness in the auto segment, especially in US and Europe, especially on their EV pr ograms and other parts as well.

How is that playing out for us? Are we also seeing that kind of a weakness, and despite that, there is just strength that we have seen in the manufacturing vertical? Are we not really present in those parts where the typical cut down in spend or weakness i s happening, and how do you see vertical playing this vertical playing out given the auto segment itself? Any colo r on that would be very helpful?

Mohit Joshi: Sure. So I think it's a little bit nuanced. So first of all, we look at industrial manufacturing, so we look at auto and aerospace sort of -- together from a manufacturing perspective. Now, obviously in aerospace, there has been an uptick in demand. We're especially seeing an uptick in the IT function but also in the engineering business function.

In auto, customers are looking for AI for cost reduction, they're looking for faster turnaround of system changes, which is a little bit of a downer. But on the whole, I think, some of our auto customers actually we had a significant hits last year, which we had called out if you remember our manufacturing growth last year had st alled because of auto cutbacks.

Some of those we see coming back, so it's a little bit of a nuanced picture, right? We are not certainly seeing the same level of stress that some of our other competitors have called out. There is some pressure certainly, there is a huge ask of productivi ty, but in some cases, this has also meant consolidation opportunities.

In some other cases, we have seen growth, for instance, while the auto sector is a little bit challenged, auto finance has actually shown reasonable resilience, right? So because we have a reasonably diversified portfolio, we've been able to manage through , and if I look at the combination of aerospace and auto together, then certainly feel positive about it.

Vibhor Singhal: Got it, got it. Great. Thanks for taking my question and wish you all the best.

Mohit Joshi: Thank you, Vibhor.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Mohit Joshi: Well, thank you so much. Thank you all for making time for us today. Again, just to reiterate, very pleased about the very strong start that we've had to financial year '27 with really strong growth, strong large deal performance, strong addition of large clients, strong margin performance that has been aided by a strong team, strong, customer sa tisfaction and NPS performance.

And we're very confident that in the last year of our transformation, these trends will continue and that we will continue to deliver on all the promises that we had made to all our investors and stakeholders. And thank you all for your support again.

Moderator: Thank you. On behalf of Tech Mahindra Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.